BLS Internat. (BLS)

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Call: May 2023

May 16, 2023

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C-1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on May 12, 2023
In continuation to our intimation dated May, 04 2023, please find enclosed a transcript of the Earnings Call held on May, 12 2023 to discuss the operational and financial performance for Q4 FY 2022-23.
The transcript is also available on the Company's website at https://www.blsinternational.com/

You are requested to take the same on your records.

For BLS International Services Limited

…………………………
Dharak A. Mehta
Company Secretary & Compliance Officer
ICSI Membership No.: ACS40502

Encl: as above

"BLS International Services Limited
Q4 FY23 Earnings Conference Call"

May 12, 2023

MANAGEMENT : MR. NIKHIL GUPTA – MANAGING DIRECTOR – BLS INTERNATIONAL SERVICES LIMITED
MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER – BLS INTERNATIONAL SERVICES LIMITED
MR. SHIKHAR AGGARWAL – JOINT MANAGING DIRECTOR – BLS INTERNATIONAL SERVICES LIMITED

MODERATOR : MR. RAHUL TRIVEDI – ADFACTORS PR

Moderator: Ladies and Gentlemen, good day, and welcome to the Q4 and FY '23 Earnings Conference Call of BLS International Services Limited. This conference call may contain forward - looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant’s lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shikhar Aggarwal, Joint Managing Director of BLS International Services Limited. Thank you, and over to you, sir.

Shikhar Aggarwal: Good morning, everyone. I welcome you al l to our Earnings Conference Call to discuss the business and financial performance for Q4 and FY '23. I have on call with me today Mr. Nikhil Gupta, Managing Director; and Mr. Amit Sudhakar, Chief Financial Officer of the company.

Our performance in the fourth quarter has been in line with expectations, continuing the growth trajectory of the previous quarters. Continued recovery in travel and tourism across the globe is boosting volumes and revenues in our Visa business, which is growing month - on-month. An early pickup of travel has been boosting visa volumes as several people are traveling before the onset of summer. With higher volume, we are benefiting from economies of scale, leading to improvement in margins. Moreover, our value -added services are al so contributing to our profit margin.

We also increased our stake in Zero Mass Private Limited through a share transfer agreement in March 2023. Post this acquisition, BLS E -Services now holds aggregate of around 91% of the paid -up equity share capital of ZMPL. We have won several new contracts during the period. We have signed an agreement with Polish Embassy in Manila to provide visa outsourcing services. Under this agreement, we will be processing 20,000 applications annually and opening offices in Mani la and Cebu. We are thrilled to have signed the contract with the Polish government because it marks the beginning of our relationship with them, and we are optimistic for taking part in their upcoming tenders worldwide.

Moreover, we signed an MoU to accept electronic visa on arrival for seamless travel to Thailand. Our significant development will enhance the traveling experience for Thai tourists. A projected 75,000 or more applications are anticipated for the forthcoming season, which is likely to d rive continuous increasing travel to Thailand. We will start the EVOA's applications from 17 countries worldwide for Thailand. Also, we have signed a

contract with a Thai Embassy in South African and neighbouring countries for visa outsourcing services.

On the digital front, we are able to offer banking correspondent e -governance services through a common touch point. We are investing in infrastructure and manpower to expand our digital services segment. Moving to the growth potential, we are looking to re structure the business to make the digital service segment a self -funded, growth -oriented and independent business.

To sum up, I would like to say that we are optimistic about both our Visa and Digital Service business and aim to grow both independently. This is all from my side. I now hand it over to Mr. Amit Sudhakar for updates on financial performance. Thank you.

Amit Sudhakar: Good afternoon, everyone. I'm pleased to present the financial performance for the fourth quarter end ed March 31, 2023. In Q4 FY '23, we achieved a revenue of INR 449 crores, reflecting an impressive 76% Y -o-Y increase and 2.45% quarter -to-quarter growth. This growth was mainly -- primarily driven by the robust recovery of visa volumes bolstered by the Digital Service business. W e have witnessed a surge in travel with early onset of summer, which boosted our Visa business. I'm pleased to inform you that we are currently experiencing positive momentum across all our businesses and hold a strong sense of optimism for sustained growt h in the coming quarters.

During the quarter, our EBITDA stood at INR 67 crores compared to INR35 crores in the corresponding quarter of last year and INR 66 crores in Q3 FY '23. The EBITDA margin for the quarter stood at 14.83%, an increase of 103 basis points compared to corresponding quarter last year. We are able to offset the impact of higher employee costs by implementing cost optimization and managing higher volumes, thereby benefiting the EBITDA margin for the quarter. In Q4, FY '23, the profit aft er tax stood at INR77 crores as compared to INR 35 crores in previous corresponding quarter and INR 46 crores in Q3 FY '23.

Moving on to the financial year ending March 2023, our revenue grew by 78% Y -o-Y to INR 1,516 crores. Our EBITDA stood at INR221 cr ores, growing 107% Y -o-Y while our EBITDA margin improved by 200 basis points to 14.58%. Our PAT for the period was INR204 crores as compared to INR111 crores in the previous financial year, representing an increase of 84% Y -o-Y. Lastly, the Board has reco mmended a dividend of INR0.25 per share on the expanded equity capital for the current year FY '22, '23 subject to shareholders' approval.

In conclusion, we are committed to maintaining this positive trajectory and creating a substantial value for our sha reholders. Thank you for your attention, and I'm now ready to address any questions you may have.

Moderator: We have the first question from the line of Ravi Naredi from Naredi Investment.

Ravi Naredi: Sir, in March quarter, Digital Services gave good prof it almost 40%, while visa services, 15%. So that trend continue in future too?

Amit Sudhakar: See, one is the growth which you are looking at is mainly on account of the new acquisition we did in digital services during the financial year. So the base was quite small, therefore the percentage -wise it looks much better at the moment. But if you look at overall scenario, the digital business of was 10% last year, it has now become around 20% of our overall revenue. So that is the increase over the year, but if you look at from a medium -term perspective, we see a growth in both the businesse s going forward.

Ravi Naredi: Okay. Secondly, you mentioned MoU with Thailand for 17 countries worldwide. And now you tell again, Thai embassy contract different of South Africa contract. Why you gave 2 separate announcements?

Shikhar Aggarwal: Correct, this is Shikhar this side. So basically, we have been outsourced the physical visa from the Thai embassy in South Africa and neighbouring country. So that is the physical visa that we'll be processing. People who go to the embassy, they will have to come to us. And then parallely, we have signed another MoU with Thailand government, wherein we will be processing the electronic visa on arrival which is a digital for many count ries worldwide for people visiting Thailand from different countries.

Ravi Naredi: Right. Yes, sir. Sir, any more acquisition are in pipeline at present? Or how many visa services applications we made usually? And what is our success rate in these visa application services execution. These are my questions.

Shikhar Aggarwal: Yes. So we did around 78 million applications as of 31st March, 2023. And last year, we processed around 16 million applications. There are -- if I got your question correc

tly, there are multiple acquisition opportunities. Nikhil, would you like to put some light on that?

Nikhil Gupta: Yes. Actually, we are continuously looking at acquisition opportunities, and we have created a pipeline of such opportunities. And we are at different sta ges of discussion. So it's not possible to give any further information until they are concluded.

Ravi Naredi: Right, right. And we are just reaching to 1 billion market cap in advance, I'm wishing you all the best.

Nikhil Gupta: Thank you very much, sir.

Moderator: We have the next question from the line of Omkar Kamtekar from Bonanza Portfolio.

Omkar Kamtekar: So sorry for the disturbance. So first question is, are we looking to expand any regional

offices in India? So we currently have Punjab, Uttar Prad esh, Rajasthan projects ongoing. So are there any plans to expand the regional footprint?

Nikhil Gupta: No. I would say that we are constantly looking at opportunities and bidding for projects, which are outside in these 4 areas. So there is no focus only on some areas in India. As you know, we have a presence in banking across all states in India. So we are present already and we want to expand.

Omkar Kamtekar: Okay. And just to understand the acquisitions that are in pipeline, so these are -- which segmen t facing. So are they basically business facing or are the overall visa consular also. Any idea on that?

Nikhil Gupta: We are working on the entire pipeline, which includes visas and includes the digital services, both.

Omkar Kamtekar: It's both. So it's n ot specifically targeting any segment like digital services or visa.

Nikhil Gupta: Wherever there's a good opportunity.

Moderator: The next question is from the line of Ankita from Shree Capital Services.

Ankita: Hi Sir, Good Morning and Congrats on a good set of results. So I have a basic question. I just want to understand your business model in the sense. Like, let's say, when you're acquiring a visa processing for a new country. How is this whole process? Because there are many competitors, right? So ho w is this whole process you're acquiring the deal like? Is it your bidding process? Could you please throw some light here?

Shikhar Aggarwal: Yes. So Ankita, we have now -- our company has been there for the last 12 years. So we have been continuing bidding for contracts. So I can tell you that this industry is quite segmented with only 3 players qualified globally for all the tenders, so we've been the only Indian company. If there is a tender, any government tender, if you qualify, you have to bid f or it and the model is that you don't collect money from the government. And you collect up -front money, which is a tendered value that you demand. So that is how the model works, and we'll take care of all our expenses, everything from the revenue that we generate from that service charge plus value -added services.

Ankita: Okay, sir Thank You. And my second question is like, are we gaining market share? Because I think our biggest competitors in India is VFS. So how are we like are we ahead? Could you just throw some light on that, too?

Shikhar Aggarwal: So definitely, every year -on-year, month -on-month, we are increasing our market share. If you see, in the last 2 years, we have won quite a few contracts with Germany, Philippine and different governments. So definitely, our market share is increasing year -on-year.

Moderator: We have the next question from the line of Rahil Shah, an individual investor.

Rahil Shah: Good Morning. Yes. I just want to ask are you providing any revenue or margin outlook for FY ' 24? How do you feel about the business growing more?

Amit Sudhakar: Sorry, I couldn't hear you.

Shikhar Aggarwal: Amit, he is asking about revenue and margin outlook. Yo

u go ahead, Amit, on that question.

Amit Sudhakar: Rahil, you have seen this year and in the last 2 years, our growth trajectory has been in the range of 50% to 70% growth. Yes, it was based on a COVID situation. But this growth has now stabilized around these levels, depending on as and when we get a new contract, it will go to a different level. But the current momentum is steady, and we think this will continue. Margin will obviously improve as the volumes will start picking up further. So like Shikhar has talked about earlier that a few geographies are still to open like China and others , obviously, we will improve the revenue as well as the EBITDA going forward.

Rahil Shah: Did you say 50% to 70%, and that is 5 -0, 7-0 percent growth you've seen?

Amit Sudhakar: See, last year, we have done about 70% to 80% growth. Going forward, i t will taper down to around 20% to 25% of the existing business. But with the opening of new geographies like China and others, may grow by another 10% to 15%. So that is the range which we expect.

Moderator: We have the next question from the line of Nitin Padm anabhan from Investec. Please go ahead.

Nitin Padmanabhan: Yes. This quarter, the revenues were a little tepid relatively. So the China and the Russia side of things, were supposed to begin to at least contribute to revenue. Has it not come through this q uarter? Or it's just a timing difference and is expected to sort of come on a going -forward basis?

Shikhar Aggarwal: See, basically, normally last quarter for us is normally subdued in terms of travel season, but still, we did a growth from the quarter 3 b ecause March, we saw some early summer actually beginning. From China, we saw only probably 10 - 20% probably 30%, 35% of the pre -COVID numbers coming in from 0. So definitely some numbers have started to come in, but fully China is not opened up. So I thi nk in the coming quarters, we will see more revenue coming in from those geographies.

Nitin Padmanabhan: So the flow from Moscow for Spain, so that is opened up or that is yet to sort of open?

Shikhar Aggarwal: Sorry, the flow from?

Nitin Padmanabhan: Mosc ow for the Spain -- Spanish contract.
Shikhar Aggarwal: No. that is -- still, the numbers are still very low because of the different issues that are happening globally. So definitely, those numbers are expected to grow.
Nitin Padmanabhan: Okay. Okay. Any sense by when you think this will open up or you think it's still difficult to sort of predict when it actually comes through.
Shikhar Aggarwal: I think it's a political issue, more of a political issue between Europe and certain geographies. So I think de mand is there, but I think as soon as flights, direct flights start from Moscow to different European countries and more travel is allowed, definitely, people are willing to travel. So I think we are ready with the capacity as soon as the government starts sending more people or allowing more people. So definitely, numbers will increase. But we don't have any specific time line, but we expect within a year's time, definitely things from Russia to get back to normal. And China has already started to become -- the number has started to grow month -on-month.
Nitin Padmanabhan: Sure. Fair enough. And on the Digital Services business, I think we added West Bengal during the quarter.
Amit Sudhakar: Karnataka was added during the quarter.
Shikhar Aggarwal: West Beng al also was added.
Nitin Padmanabhan: Right, right. So when we look at both of them, the 5% sequential growth that we're seeing, would it mean that the Zero Mass side of the, or the banking correspondent side of the business was relatively flat during the quarter?
Shikhar Aggarwal: Yes. Nikhil, can you take this call -- question?
Nikhil Gupta: Yes. The March quarter has been -- there is growth, but not the kind of

growth that we would have expected. We think that this coming quarter could look much better f or the banking correspondents.
Nitin Padmanabhan: Okay. And what's driving that confidence at this point in time? At least from a business perspective some type.
Nikhil Gupta: Two things have happened. One is that we've got more allocation of new areas and new consumer -- the customer service points. We've also got a few more banks which we are working with, and that will help us to increase on the volumes. In addition, we find that the economy also is showing some signs of improvement where the numbers pic kup is in the banking side.
Nitin Padmanabhan: Okay. Sure. Fair enough. And if possible, what was the accretion from West Bengal and

Karnataka this quarter, if it's possible?
Nikhil Gupta: Minimal. Amit, very little.
Amit Sudhakar: I don't have at the mome nt with me, but I will come back to you with that number.
Moderator: The next question is from the line of Pramod R., an individual investor.
Pramod R.: Shikhar, could you please throw some light on the upcoming tenders as well as what is the expected CAGR growth for coming quarters?
Shikhar Aggarwal: Hi, See, as you know, in the last 1, 1.5 years, we have won quite a few contracts with the likes of German government, Philippine government, Poland government, Estonia government, so which are -- we are in th e process of deployment, deployed a few. And now in the next few quarters, definitely there's an opportunity of more than $1 billion that we have talked about. And we're in the process of bidding in the different stages of different tenders. So definitely, when those come in there will be additional growth, as Amit had mentioned in the previous question. But if you talk about from the existing revenue, definitely, whatever we have achieved in the last quarters, we expect to maintain that. And further if dif ferent geographies like China, Russia open up, there will further grow from existing contracts.
On top of, if you add the new contracts, exactly, we don't know how much market share we will win. But if we win, then there will be a further increase in growth trajectory.
Moderator: The next question is from the line of Bapodara Mayur, an individual investor.
Bapodara Mayur: So congratulations to the management on good set of numbers. So my question was regarding an earlier con calls, we stated that we wa nt to bid for that last mile delivery services in e -commerce businesses. So I want to understand the thinking process behind those businesses, is this related business? Isn't it more crowded space?
Nikhil Gupta: Shikhar, I’ll answer that?
Shikhar Aggarwal: Yes, please go ahead. Please.
Nikhil Gupta: Yes. This is a business for -- it's an extension of the banking business that we are doing. And the public sector banks alliance have had quoted an inquiry and a tender for bidding

for the last mile delivery of cash. We see that as an opportunity and the extension of our
existing business. And as a result of it, we have bid for it. It's not yet finalized the contract.
We hope it will get done in this quarter.
Bapodara Mayur: Okay. No. So I think I misunderstood t hat. Is it for last mile delivery for cash? Or is it for
e-commerce things like Flipkart and Amazon.

Nikhil Gupta: No, no, this particular tender you're referring to was for cash.
Bapodara Mayur: Okay? And is there any other things like last -mile delivery for e-commerce products?
Nikhil Gupta: We are doing some retail work also, which includes the last mile delivery. We started that
about 6 months ago, and that's still in its nascent stage, but it's progressing well.
Bapodara Mayur: Okay. So how are the mar gins in those lines of businesses? Is it same with our current
business line?
Nikhil Gup

ta: No. In this kind of -- you will understand that in trading and e -commerce, the margins are
not in the same level, but there is no cash deployment, and we still get a reasonable return
on this business.
Bapodara Mayur: Okay. Great. And my other question was regarding the increase in depreciation and
amortization expenses related to earlier quarters. In quarter 3, it was around INR3.5 crores,
and it has jumped to INR8 crores, almost. So are there any policy changes in our
depreciation and amortization expense booking?
Amit Sudhakar: No, there is no change in the depreciation and amortization policy, but they were IT
investments which we have done, on that depreciation h as started now because the IT
software got installed and was operational. We have started using it. And there was an
impairment in one of the assets, which is a yearly exercise to review the fair value of all
the assets. In that, there was an impairment on 1 asset, and that has impacted by about
INR1.2 crores in th is quarter.
Bapodara Mayur: Okay. So going forward, it will be around these numbers only or it will reduce by the
onetime item?
Amit Sudhakar: This INR1.2 crores will not come again, but the norm al depreciation will be there.
Moderator: The next question is from the line of Sumit Chandwani from Earth Equity.
Sumit Chandwani: So a couple of questions. One, can you please explain this exceptional item, which is there
in the last quarter, it was an e xpense. And this time, it appears to be an income. Both are
related to, I think, these shares that were issued to the promoters in one of the subsidiaries.
So can you please explain these accounting entries?
Nikhil Gupta: Yes. Let me do that, Sumit. Actually, what happened was that after due consideration and
acting upon the feedback received from various stakeholders, the Board unanimously
decided to reduce the amount of sweat equity of BLS E -Services given to the promoters.
So based on whatever feed back we got from all of you and the other stakeholders, the sweat
equity, which was earlier allotted to the promoters was reduced substantially after approval

of the Board, and that's what you see in the accounting entry.
Sumit Chandwani: So this is a onet ime so the net effect is INR2.60 crores for the year, and this is it for this
year, or this will appear every year?
Nikhil Gupta: No, no, no. This is one time.
Sumit Chandwani: This is one time. Okay. Got it. All right. So second question is on your segmen tal results.
If you go to the segmental results, now the Digital Services showed a loss of INR16 crores
in the last quarter on about INR75 crores turnover. And this time, it is showing a profit of
INR31 crores. Can you please explain the reason?
Amit Sudha kar: Sumit, this is because of this sweat equity impact only. Because this sweat equity was given
in BLS E -Services, which is a part of the Digital Service company . That has impacted the
profit in the last quarter that is Q3 FY23 , actually.
Sumit Chandwani: Last quarter.
Amit Sudhakar: Yes. That's right. So the impact of that has been there.
Moderator: We have the next question from the line of Rajiv Venkatesh, an individual investor.
Rajiv Venkatesh: I hope you guys are doing great. So I have a co uple of questions here. One is on the renewal
contracts, especially in the European region. We haven't heard anything from Spain or any
other regions on the renewal contracts. Can you throw some light on that?
Shikhar Aggarwal: Yes. So as and when the cont racts are renewed and we are legally informed by the
government, we will be informing the exchanges and the market.
Rajiv Venkatesh: But it was supposed to come for renewal this year or last year, if I'm right.
Shikhar Aggarwal: Correct. Correct. Correct. So as and when everything is formalized, we'll be talking about
it.

Rajiv Venkatesh: Ok

ay. And the second question is on EBITDA margins. We are close to 15% margins this
year. So if I look pre -COVID in 2018, we clocked somewhere close to 20% margins. Is
there a possibility to reach the 20% margins considering that China and Russia may come
online probably this year or by first quarter of next year? What are your thoughts on this?
Shikhar Aggarwal: Amit, would you like to take that?
Amit Sudhakar: Yes. Rajiv , first that, when you're talking about FY '18, that was mainly because of the
Punjab contract, which was an annuity -based contract. And we have done a major
investment of more than INR125 crores, and the impact of that was in the depreciation. So

if you s ee the depreciation in that year was much higher and the net profit was more or
less same at that time. But as that contract has changed now, Ideally , if you look at financial
from '19 onwards and without the Punjab contact business. We have grown from 1 3% to
now 15% EBITDA margins. And as and when this business further grows and the revenues
continue growing upside, this will g o up by at least another 100 to 200 basis points,
depending on how the volumes comes up.
Moderator: We have the next follow -up qu estion from the line of Ravi Naredi from Naredi Investment.
Ravi Naredi: So one my relative apply for Spain visa from Delhi, but they are not getting any interview
there -- there is a long queue while if they apply for -- from Kolkata, they are getting in 3
days only. So why this rush and why not we arrange smoothly in Delhi? This is my
question, sir.
Shikhar Aggarwal: Ravi, thank you for the question. I don't think we will be able to comment on individual
cases. We work under the guidelines of the governme nt.
Ravi Naredi: Yes, I understand.
Shikhar Aggarwal: Yes. Thank you.
Moderator: The next follow -up question is from the line of Omkar Kamtekar from Bonanza Portfolio.
Omkar Kamtekar: So in the last 2 years, we have incurred significant amount of investmen t in the assets. So
we have done good amount of property plant and equipment in tangible investment. So any
idea how much more are we looking to spend in expanding the infrastructure? Any idea on
that?
Amit Sudhakar: I think we have done basic infrastructu re investment on the assumption of the current
volume of operations . Any further new contracts, which requires further investment, we
are ready to do that. But on regular basis, which we have been saying every year, we have
a normal operating capex require ments of around INR 15 crores to INR 20 crores. But any
new contracts or big tenders which we win , may require an incremental capex,.
Moderator: The next question is from the line of Harsh Sharma, an individual investor.
Harsh Sharma: So I wanted to ask what is our strategy to identify the governments that are not currently
outsourcing visa consular services?
Shikhar Aggarwal: See, our strategy is very simple. We look for the countries where the volume is there, and
governments are currently facing a prob lem in processing. And government's policy
changes in the government level. What are they looking at and what is -- where the future
growth markets will come from.

Harsh Sharma: Understood that, sir. And one more question. Sir, what are the barriers for new players to
enter this industry and our market shares?
Shikhar Aggarwal: Correct. So barriers are too many. There is qualification criteria in which you need to show
your experience, a different time government, the SLAs, the data protection. Different,
different barriers are there in terms of history and the industry and how many governments
presence, global presence. So that is why only a handful of companies are qualified to bid
for these tenders.
Harsh Sharma: And sir, last question, like do we have any capex pla

ns?
Shikhar Aggarwal: I think on a normal basis, Amit, every year, we have a regular capex, which is a small
amount. But in case there is any big tenders that we win, definitely, there will be some
capex that has to be run in deployment of the se offices globally.
Harsh Sharma: And is that -- like prior to my previous question, are there any barriers only for the digital
services business?
Shikhar Aggarwal: No, there are barriers in both visa outsourcing business. For the digital service busines s,
Nikhil, would you like to take that?
Nikhil Gupta: Yes. Actually, experience is clearly one of the important barriers, and what you've achieved
in the past and what your experience is, is critical to getting, winning any new business.

Moderator: We have the next question from the line of John Matthew, an individual investor.
John Matthew: I believe we might have discussed this, but I'm going to ask anyway because -- Okay. So going ahead with the question. Are we seeing any specific growth from a particul ar region when it comes to growth in our visa business?
Shikhar Aggarwal: Yes. Definitely, I think a particular region is that definitely, we had an increase in revenue per application wherein -- in the last couple of years, the consumer demand pattern has changed. People are opting for more value -added services, more at home services. So that is definitely one of the reasons. We've got certain increases in service charges during COVID and there has been a different increase in consumer volume. In the last 2 years, we've also won a few contracts that we've deployed, so there has been additional revenue and profit generation from those contracts. So those are the couple of reasons from the Visa business while there is an uptick in revenue and profitability.
John Matthew: You having said that, how do you think is this growth rate sustainable?
Shikhar Aggarwal: I think we already discussed about the growth rate that whatever numbers we have achieved when there is a further opening up of geographies, there can be a further growth from the

existing contracts. On top of that if we win newer contracts that could be an addition on the existing base that we have achieved. So there will definitely, we wish to maintain the growth trajectory that we have done in the last few quarters.
John Matthew: Two, three more questions I have. Since China has opened its borders, what kind of revenue in terms of volumes can we expect?
Shikhar Aggarwal: So, see China has recently opened up their borders, but governments also need to tak e time to ramp up the capacity and demand starts coming in, in certain time. So definitely, we will see as the number goes because from 2019, definitely we are doing high numbers. So if we achieve those numbers back, we will be doing overall of our applica tion volume around 10% comes from China, 10%, 15%. So if that comes back, definitely there will be increase in overall percentage for BLS.
John Matthew: Okay. Talking about our cash position, especially since this quarter has been highly cash generative, w hat is our plan regarding utilization of cash like how do you plan to use the cash?
Shikhar Aggarwal: We are looking at inorganic growth opportunities in terms of mergers and acquisitions. And definitely, the contracts that we're bidding for, there will be a deployment of cash that is necessary in terms of opening of offices globally. And also on top of that, we are rewarding our shareholders with different dividends all the time. So I think this is how we are utilizing our cash.
John Matthew: Okay. And las t question, sir, what is our current working capital cycle?
Amit Sudhakar: Ours is a negative working capital cycle. So we don't need money for the working capital. Further, It will depends upon any new contracts.
Moderator: We have the next follow -up que stion from

the line of Bapodara Mayur, an individual Investor.
Bapodara Mayur: So actually, I wanted to expand on the previous question regarding profit before tax of Digital Services. So you alluded that it was due to that subsidiary, sweat equity changes that last quarter, it was minus INR16 crores, and this time it is INR31 crores. So excluding all business related, unrelated to business changes, what is the amount that will sustain?
Nikhil Gupta: Amit, will you respond?
Amit Sudhakar: Yes, I can do that . So see, basically...
Bapodara Mayur: As I wanted to ask what is the sustainable rate?
Amit Sudhakar: EBITDA margin basis.

Bapodara Mayur: EBITDA margin.
Amit Sudhakar: So currently, we are working at a 12% to 13% EBITDA margin business, and we see this can be sustained up to 14% to 15% once the volumes kick in, in this business.
Bapodara Mayur: Okay. And the next question is, we are targeting that unless we win new contracts in visa and consular services, our growth rate will be around 20%, 25%. And similarly, what will be our growth rate in Digital Services segment going forward?
Nikhil Gupta: We are targeting growth rates and since it's related to new business, the growth rates could be even hig her than that.
Bapodara Mayur: Okay. And actually, I wanted to understand a bit regarding the current market size, global market size of Visa and Consular Services business and our markets share in that as per FY '23 data.
Shikhar Aggarwal: So as per the V isa Consular business, I think our market share would be around, it's very

difficult to know the exact numbers since there is no particular report, but do you think our
market share would be in the range of 12% to 15%.
Bapodara Mayur: And what is the globa l market size?
Shikhar Aggarwal: I think we would like to probably see this number exactly before commenting on that.
Moderator: The next question is from the line of Aniket Redkar an Individual Investor.
Aniket Redkar: Good Afternoon sir, I have a couple of questions. So I just want to know the capacity of
U.K. Visa business renewals that we have.
Shikhar Aggarwal: I don't understand the question.
Aniket Redkar: I just wanted to know the status of the U.K. Visa business renewals that we have.
Shikhar Aggar wal: We are not currently working. But we have bid for the contract and currently there is no
result. So as soon as result is announced, we will definitely let the market know.
Aniket Redkar: Okay. Okay. And sir, what is the reason behind the issue of the sweat equity in our
subsidiary of BLS E -Services?
Nikhil Gupta: We didn't get the question. What was the question, again, sorry?
Aniket Redkar: So what is the reason and rationale behind this issue of sweat equity in our subsidiary called
BLS E -Services to the promoter?

Nikhil Gupta: We've already explained that, that it was earlier issued. And based on the feedback that we
received from all the stakeholders, the Board has unanimously decided to reduce the
amount substantially. That's only a INR2.5 crores a mount remaining, and the reason why
we have done it is because the promoters have bought the business to this stage, and they
did not get any compensation for it. So we decided to issue sweat equity, which was non
cash.
Moderator: We have the next question from the line of Neha Jain, an individual investor. Ladies and
gentlemen, as the current participant was on hold and as that was the last question for today,
I would now like to hand the conference over to Mr. Shikhar Aggarwal for closing
comments. Over t o you, sir.
Shikhar Aggarwal: Thank you, everyone. These outstanding financial results serve as a testament to our
dedication, resilience and strategic initiatives. We are committed to maintaining this
projected positive trajectory and

creating sustained v alue for our shareholders. Thank you
all for your attention, and I am now ready -- and thank you for participating in this call.
Moderator: Thank you, sir. On behalf of BLS International Services Limited, that concludes this
conference. Thank you for joini ng us, and you may now disconnect your lines. Thank you.

Call: Aug 2023

August 18, 2023

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C-1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on August 11, 2023

In continuation to our intimation dated August 01, 2023, please find enclosed a transcript of the Earnings Call held on Friday, August 11, 2023 to discuss the operational and financial performance for the first quarter ended June 30, 2023.

The transcript is also available on the Company's website at https://www.blsinternational.com/

You are requested to take the same on your records.

For BLS International Services Limited

…………………………
Dharak A. Mehta
Company Secretary & Compliance Officer
ICSI Membership No.: ACS40502

Encl: as above

"BLS International Services Limited
Q1 FY24 Earnings Conference Call"

August 11, 2023

MANAGEMENT : MR. NIKHIL GUPTA – MANAGING DIRECTOR – BLS INTERNATIONAL SERVICES LIMITED
M R. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER – BLS INTERNATIONAL SERVICES LIMITED
M R. SHIKHAR AGGARWAL – JOINT MANAGING DIRECTOR – BLS INTERNATIONAL SERVICES LIMITED

MODERATOR : ADFACTORS PR

Moderator: Ladies and gentlemen, good day and welcome to BLS International Services Limited Q1 FY24 Warnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the belief expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties which are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shikhar Aggarwal, Joint Managing Director. Thank you and over to you Mr. Aggarwal.
Shikhar Aggarwal: Good afternoon everyone. I welcome you all to our earnings conference call to discuss the business and financial performance for Q1 FY24. I have on call with me today Mr. Nikhil Gupta, Managing Director, and Mr. Amit Sudhakar, Chief Financial Officer of the company.
I am happy to say that we have begun the new financial year on a strong note. The company's performance in the first quarter of FY24 was in line with the expectations, maintaining the upward trend of growth seen in previous quarters. The on-going revival of the travel and tourism industry worldwide is driving an increase in the number of visa applications. This, along with higher realization, is leading to continuous month-by-month growth in our visa business.
Today, I would like to share some of the recent developments and highlights. Firstly, I am thrilled to announce that the Ministry of Foreign Affairs, Spain, has once again chosen BLS International as the global visa contractor for the visa application outsourcing. This marks the second time in a row that we have been trusted with this significant responsibility.
The contract covers a wide range of regions, including Europe, America, Latin America, CIS, Africa, Middle East, and APEC, among others. BLS International has been serving the Spanish government since 2016 and operates 122 visa application centers. We process almost 2 million applications from the Spanish government every year. And this number is expected to increase further.
What's more exciting is that we have also been outsourced a national visa for the first time, which will lead to further growth in volume and opening up offices in newer geographies. As normally is the case under the contract, BLS will also be providing different kinds of additional value-added services, including SMSs, couriers, mobile

biometrics, etcetera.
By providing these services, we hope to enhance the overall experience for visa applicants and further strengthen our position as a trusted service provider. One of the key factors contributing to our success is the strong partnership we have forged with governments around the world. We currently work with more than 46 client governments in key. These partnerships have allowed us to leverage our expertise and provide unparalleled services to citizens and governments alike.
We've also won some new contracts with the Italian governments, Poland governments and different other governments. On the digital services front as well, we are making significant headway. Based on the growth of our banking correspondence and e-governance business, we decided to merge these two into the digital services segment and focus on growing these lines of business.

As our number of touch points across India increase, we expect robust growth of these revenues. The business now comes under our subsidiary BLS e-Services. I'm happy to share that Board has approved a fun

draising initiative through an IPO of its equity shares of BLS e-Services.

We recently filed the DRHP for the company with the SEBI. The move, subject to necessary approval and market conditions, will enable us to explore new avenues of growth and expand our reach. BLS e-Services will continue to be a subsidiary of BLS International Services. The fund raised through this will help fund our growth plan for this business where we see significant growth potential.

Overall, we aim to grow both Visa, Consular as well as digital service business organically as well as explore inorganic opportunities. To sum up, we are optimistic for the on-going fiscal and strive to foster growth. I would now like to hand it over to Mr. Amit Sudhakar, our CFO, for an update on the financial performance. Thank you.

Moderator: I'm sorry, sir, the line got dropped for Mr. Sudhakar. I'll reconnect him, sir. Give me a moment.

Shikhar Aggarwal: I can read for Mr. Sudhakar also.

Moderator: Sure, sir. Please proceed. I'll try connecting him in the meanwhile.

Amit Sudhakar: Okay. Good afternoon, everyone. I am pleased to present the financial performance for the quarter ended June 30th, 2023. In quarter 1 FY24, we recorded a revenue of INR383.49 crores, a 40% increase year-on-year, primarily driven by the robust recovery of visa volume supported by the value-added services.

We are witnessing positive momentum across all our businesses and are optimistic about sustaining growth in the coming quarter. Our digital service revenue increased about 140% year on year during the quarter, supporting the overall growth. During the quarter, our EBITDA stood at INR80.5 crores compared to INR31 crores in the corresponding quarter last year, and INR66.53 crore in quarter four FY23.

The EBITDA margin for the quarter crossed 20% mark, standing at 20.88%, an increase of 933 basis points compared to the corresponding quarter last year. We were able to offset the impact of higher cost of services and higher employee costs by implementing cost optimization and managing higher volumes, thereby benefiting EBITDA margins for the quarter.

In Q1 FY24, the PAT stood at INR70.99 crores as compared to INR30 crores in the previous corresponding quarter and INR76.73 crores in Q4 FY23. That's all from our end and we can now open the call for any questions. Thank you.

Moderator: We'll take the first question from the line of Ravi Naredi from Naredi and Investments. Please go ahead.

Ravi Naredi: Thank you for giving me opportunity. Mr. Shikhar, I am watching BLS International since last six years and realizing how you change the fortune of company with help of good consultant. Our fund is stuck with Punjab government and how we come out of that mess? Now you change business model. I am very much impressed as you are doing -- you are working and wishing you all the best.

Now my question is how many visa tender work we apply and likely to get in next few months, maybe March 24 and INR642 crores cash, how we utilize for the development of company and we are also making an IPO in subsidiary, we may be receiving money from there, so what is your plan for long term purpose? If you tell specific, it will help us. thank you very much.

Shikhar Aggarwal: Thank you first of all Mr. Ravi for your good wishes and I would like to reiterate that we have a 10,000 more strong strength of people in the company that are working hard you know for the growth of the company and there is no particular individual you know so it is the entire company that is working towards the growth of the company. It is teamwork.

Yes, and second of all, the growth, if you see the contracts that we have won in the last few years, in the last few months also that we have announced with the Italian government, we have announced our sixth contract within this year itself. With Polish government, w

e have recently announced a contract. With Thai government, we have announced a few contracts. So we have been winning all of these contracts and deploying these contracts.

In the next few months and few years also, as we discussed last time, there are multiple

opportunities coming out for contracts, so that we will be bidding for. The opportunity is huge. We have already mentioned more than a $1 billion opportunity. Out of this, some has been realized as the contract that we have been willing for.
So the opportunity size is huge and whatever number that we have recently renewed our contract with the Spanish government also. So all the contracts that we have won we have deployed and these new contracts as and when they come, it will lead to an increase in profit and revenue of the company.
Regarding BLS digital services, which is BLS e-services business, you know that has grown around 140% compared to similar quarter last year, you know that is a fantastic business.
You know we see growth coming in that business also, but we do not want to utilize the money earned in visa business for the growth of that business. That was the reason that we wanted to list the company and we have filed the DRHP. The funds that will be coming in will be utilized for both organic and inorganic growth opportunities of that company. So, you know, we are expecting future growth in that company also, you know, coming in.
Ravi Naredi: Nice, sir. Really, those 10,000 employees are also part of our family. I forget to mention their numbers, so sorry for that. And in the state of dividend in future, you consider buy back, it will help us as a shareholder and as an investor. Thank you very much.
Moderator: Thank you. We'll take the next question from the line of Sakshee Chhabra from Svan Investments. Please go ahead.
Sakshee Chhabra: Hi, sir. Congratulations on a great set of numbers. Sir, my first question was I wanted to understand that if we are not going to use the INR640 crores of cash that we have for the digital side of the business since you are coming out with an IPO shortly, so what is this money going to be used for exactly?
Shikhar Aggarwal: So we, so definitely we expect further growth in the visa and outsourced consular service business. You know, that is the momentum has really increased after COVID also. So we are looking at acquisition in the visa consular states of some regional providers. And also the kind of contracts that we are eyeing and the business that we are eyeing will require deployment of cash for opening up of offices in different geographies.
Many new governments which are going to outsource for the first time now are also will require a new infrastructure and setup. So we are looking at as we have explained before acquisition, organic growth all the new contracts that we will be deploying and definitely dividend and shareholder to enhance shareholder value all the steps that we can take, we

will do that to utilize this cash.
Sakshee Chhabra: Right. And so is there any quantum that you have decided on the risk for the IPO?
Shikhar Aggarwal: We have not. I think, Amit, would you like to comment on that? We have decided on I think Amit would you like to comment on that, we have decided on the number of shares.
Amit Sudhakar: So, see this will be decided, the valuation will come from the merchant bankers once they get it through with the SEBI. We have defined the number of shares which we plan to dilute and issue the new ones.
Sakshee Chhabra: Right, but you must have decided on a certain amount that you wish to raise right?
Amit Sudhakar: Yes, it will be somewhere in the range of 290 to say 320 cr that is the range we are expecting.
Sakshee Chhabra: Okay, alright. And so another thing I wanted to just understand so if I see t

he EBIT that
was reported in the last quarter for the digital services, that was around INR31.6 crores versus in this quarter that number is down to INR9 crores. So is it that in the previous quarter there was something exceptional because of which that number was so high?
Amit Sudhakar: Yes, that's right. If you see the last quarter of FY 23 result, there was an exception item of INR22 crores, which was related to this. If you take that out, then about INR965 crores was the operating EBITDA of digital segment in the Q4 FY23.
Sakshee Chhabra: Okay, all right. And so on your Visa and Consular Services side, what is the sustainable EBITDA margin that we can look at going forward?
Amit Sudhakar: See, what we have achieved in the current quarter, we are looking at maintaining that at least if we cannot increase it further, this will become the base now for the further growth.
Moderator: Thank you. We'll take the next question from the line of Mayur Bapodara, an individual investor. Please go ahead.
Mayur Bapodar: So some of my questions were answered. So I wanted to know that, so you told that margins in the Visa segment which we achieved this quarter, so is it sustainable? Right?
Amit Sudhakar: Yes, that's right.
Mayur Bapodar: So what is the reason behind such improvement in this margin improvement?
Amit Sudhakar: So this has a couple of factors which we have been talking about over the last couple of

quarters calls. One is the value-added services which we have been able to sell much
more on a quarter-to-quarter basis. And if you see the last four to five quarters, there is an

improvement in the margins . And we have got new contracts which are at a much higher
rates.

So that has been contributing on the revenue side, margin improvement, as well as on our cost optimization. After the COVID got over, we have maintained our cost under control, whereas the volumes and the revenues are going up. So these factors have made us reach this 20% plus, EBITDA margins.

Mayur Bapodar: Okay, so is there any chance to improve the margin further going forward like not in the short term but in one to two years span in Visa processing?

Amit Sudhakar: We are looking at every day to improve it further and hopefully we will be able to improve it further on a quarter-to-quarter basis. But this what we have achieved, we think we can maintain this.

Mayur Bapodar: Okay, great, sir. And my second question is regarding you told that the cash on balance is like INR642 crores, we are going to utilize it in expanding our Visa segment, Visa processing segment. So can we expect anything concrete like acquisition or something in the span of at least one year from now?

Amit Sudhakar: Certainly, there should be some acquisitions getting finalized. But again, as I said, you don't know till the last moment. We are seriously looking at acquisitions in both the Segments, not only in Visa, but we are also looking into digital business also.

Mayur Bapodar: Okay, okay. Right, right. So, and so my second question is regarding some. One UK tender was there which got float in the February or January I think and results for that were expected in the end of current year -- first half of current year. So anything is there regarding that, we bid for that tender or not?

Shikhar Aggarwal: As when the results are announced, we let you know.

Mayur Bapodar: Okay, so results were not out right now, right?

Shikhar Aggarwal: Correct.

Mayur Bapodar: Okay, okay, sir. And, sir, what will be the BLS International's holding in the e-Services subsidiary after the listing? Currently it is 69% something. So what will be after the listing?

Amit Sudhakar: So, Mayur, it will remain a subsidiary of BLS International, we will ensure that it is not less than 50%.

Mayur Bapodar: Okay, okay. And rest of the stock promoter is also selling this stock or?

Amit Sudhakar: No, this is all a new issue IPO. The funds will be used for the organic and inorganic growth, what we are looking at acquisitions as well as expanding existing business.

Moderator: Thank you. We'll take the next question from the line of Dhvani Shah from Investec. Please go ahead.

Dhvani Shah: Can you please explain why was there a dip in the margins of digital services? If I adjust for the exceptional item for last time, it was around 12.1% and now it is 10.8%. This is after adjusting. And if you see Y-o-Y, it was 13.5% so if you can just explain the difference?

Amit Sudhakar: So as we have explained we started digital and are expanding it now. We are spending on hiring new people on board, investing in people. We have also had opened a new office in Gurgaon, so the rentals have gone a little higher. So we are basically creating an infrastructure for the next growth which we are anticipating in the next year or two. Therefore the expenses are a little higher.

Dhvani Shah: Okay, understood. And could you tell us how much was the contribution from ZMPL this quarter?

Amit Sudhakar: So ZMPL, I just said, one second has contributed about INR6.5 crores EBITDA.

Dhvani Shah: Okay, INR6.5 crores, and that's been on 13% margin?

Amit Sudhakar: Yes, that is about 13% margin, exactly about 12.78%.

Dhvani Shah: Correct, got it. Perfect. And is there any seasonality in visa or in digital services in Q1?

Amit Sudhakar: Digital segment you don't have much seasonality but visa obviously you have seasonality. It peaks during the winter as far as India is concerned. As of this quarter there is a seasonality impact that there has been a little less revenue compared to Q4. And if you see on a Y-o-Y basis, the growth has been because of the COVID getting over and from the new contracts which have been now executing.

Dhvani Shah: And just one last question, could you share the visa volumes for this quarter?

Amit Sudhakar: Exact figure we don't have at the moment, but I can share it with you later.

Dhvani Shah: Sure. Thank you so much.
Moderator: Thank you. We will move on to the next question which is from the line of Ravi Naredi from Naredi Investments. Please go ahead.
Ravi Naredi: Sir, my question is again from BLS e-Service IPO, BLS International receive any fund or

all fund will be from new investor only?
Amit Sudhakar: So, Ravi, there will be no OFS. It's all going to be a fresh issue. As I explained, it will all be for the growth of the company.
Ravi Naredi: So, BLS International, how much it will be having after the IPO?
Amit Sudhakar: So it will remain a subsidiary of BLS International therefore it will be higher than 50%.
Ravi Naredi: Okay, thank you.
Amit Sudhakar: Thank you.
Moderator: Thank you. We will take the next question from the line of Neha Jain, an individual investor. Please go ahead.
Neha Jain: Good afternoon, sir, and congratulations for a good set of numbers. Just wanted to check, the growth in digital service that we have as of now, is that kind of sustainable? How do we see it going forward? Just wanted some light on that.
Amit Sudhakar: Neha, see the digital business , if you see the base is very small currently. So the growth what we are anticipating will continue the way we have been doing till now. . We are looking at acquisitions as well as new contracts which will keep this momentum going. So, we are very bullish about this business per se. We can really take it to a different level altogether.
Neha Jain: So sir, in terms of percentage wise, do we see it contributing a sustainable percentage in the coming two to three years?
Amit Sudhakar: Yes, we are very bullish and we should continue with this momentum, which we have seen, the percentage rise more than 100% growth is what we are foreseeing in the near futur

e.
Neha Jain: Okay. And sir, our operating expenses have also reduced. So are there any specific measures that we are taking towards it?
Amit Sudhakar: So as I said that we have focused on cost optimization since the COVID happened and luckily the volumes have started coming in but we have been able to control our costs and still we are keeping these cost under control. That's why you can see the improvement in the margins.
Neha Jain: And also do we have any plans for inorganic expansion like M&A?
Amit Sudhakar: Very much.

Neha Jain: Do we have anything that is already in process?
Amit Sudhakar: Yes, we are talking to couple of targets and let's see when they get finalized.
Neha Jain: So then will that require any further capex?
Amit Sudhakar: Capex, no, maybe funding will be required and that is what we are working on.
Neha Jain: How do we plan to get those funded?
Amit Sudhakar: So it will depend on case-to-case basis and on the circumstance of each situation . The whole objective is to improve the ROI of the company. So whatever best combination we think will improve company's ROI , we will go for that. It may be a leverage buyout or. equity if we think is required. But the intention is, to improve the ROCE of the company.
Neha Jain: Okay. And just one last question. So these value-added services, what kind of revenue does it generate and what kind of margins does it generate for the company?
Amit Sudhakar: See, these value added services improve our margins at a much more than the visa service per se. Because...
Shikhar Aggarwal: Amit, Let me answer that. I think, so value-add service, combined the service charges and the value-add services, the margin that we are generating is on a combined level. And definitely, over the years, the consumer mentality has changed. People are opting for different home delivery kind of services, mobile biometrics. So that is where we see, and we've also, and we are now working in more geographies around the world where the consumer pattern is different. So on a consolidated level, we can now as we have achieved a better margin of around 20%.
Neha Jain: Okay, got it sir. Thank you so much and good luck.
Amit Sudhakar: Thank you.
Moderator: Thank you. We will take the next question from the line of Harsh Sharma, an individual investor. Please go ahead.
Harsh Sharma: Hi sir, good afternoon. Sir, you did mention INR22 crores of exceptional items. Can you

please share what comprises of this?
Amit Sudhakar: This was in Q4, last FY '23, not in the current quarter. As we have explained it last time also, this was a sweat equity payment which the promoters have given for the shares, which have shown as the exception items.
Harsh Sharma: Thank you. Also, sir, if we see our depreciation has grown around 145% Y-on-Y. Have

we made any investment?
Amit Sudhakar: So, see this has gone up mainly because of two reasons. One, we acquired in June last year ZMPL, the company. So the depreciation of that business has come in. In the current, if you see the Q4 FY23, we are practically at the same level. So, Y-o-Y the difference you see is because of that ZMPL was not there in the Y-o-Y June FY '23 results.
Harsh Sharma: And sir, if we see, our other income also has gone up by 87% or 87-odd percent. So, could you please throw some light on that?
Amit Sudhakar: Sure. So, other incomes have mainly gone up because the interest rates on our FDs have changed in global market. Last year, on average, our FDs were at 1% in US dollar, whereas now, most of them are at 5.5% so that has improved our other income and as well as the additional funds generated from operations the number of FDs have gone up so that's main reason of the interest income.
Harsh Sharma: Thank you and sir one last question now that China has opened

its borders, do we see any kind of volumes or revenue? Do we expect?
Amit Sudhakar: Yes, Shikhar, can you?
Shikhar Aggarwal: Yes, definitely China has opened up, so we expect increase in volumes coming from China.
Harsh Sharma: Okay, fine. That's it from my side. Thank you, sir.
Moderator: Thank you. We'll take the next question from the line of Aniket, an individual investor. Please go ahead.
Aniket: Thank you for the opportunity. I have few questions sir. So sir, how does the company plan to utilize this cash? Can you throw some light on this?
Amit Sudhakar: I think we have already answered this multiple times in the last few questions.
Shikhar Aggarwal: As we said, we are using this money for new M&A activities as well as for new contracts which we expect to win in the next couple of quarters.
Aniket: Okay. And sir, how many touchpoints do we have as of now?
Amit Sudhakar: Around 1 lakh.
Aniket: Okay. So sir, on the M&A plan, would this be for the visa or for digital services?

Amit Sudhakar: For both, we are looking aggressively in both the segments.
Aniket: Okay, thank you. Okay, and sir one last question, can you give some guidance on the visa volume and also on the revenue realization? Since now value-added services are contributing well to the revenue?
Shikhar Aggarwal: No, first of all, we are seeing growth in the numbers as we have explained -- right after COVID and we have also got increase in service charges. So our service charges are more from before. So prices have increased. So conversions have improved a little bit but prices have increased more both in service charges and other services. So we expect to maintain the growth momentum.
Aniket: Thank you. Thank you, sir. This is from my side.
Moderator: Thank you. We'll take the next question from the line of Mayur Bapodara, an individual investor. Please go ahead.
Mayur Bapodara: So just I wanted to understand, so the visa contracts which are up for renewal like opportunity of $1.5 billion. So in that case that our competitors are serving for those governments already for a long time in past. So how we are planning, how we are strategizing to get the market share from those contracts? What is the strategy we are looking at? So can you provide some light on that?
Shikhar Aggarwal: See, strategy is definitely internal of the company and this is what we have been working on. But definitely as we mature as a company, we are in touch with those governments and doing pilots all over and have been talking to these governments for last couple of years. So definitely we have people from the industry that are working on such things.
Mayur Bapodara: Okay, sir. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Shikhar Aggarwal, Joint Managing Director for closing comments. Over to you, sir.

Shikhar Aggarwal: Thank you everyone for your participation in our Q1 FY ‘24 earnings call. In case of any further queries, you may get in touch with Adfactors PR or feel free to get in touch with us. We look forward to interacting with you next quarter. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of BLS International Services Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

November 13, 2023

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C-1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on November 07, 2023

In continuation to our intimation dated November 01, 2023, please find enclosed a transcript of the Earnings Call held on Tuesday, November 07, 2023 to discuss the operational and financial performance for the second quarter ended September 30, 2023.

The transcript is also available on the Company's website at https://www.blsinternational.com/

You are requested to take the same on your records.

For BLS International Services Limited

…………………………
Dharak A. Mehta
Company Secretary & Compliance Officer
Membership No.: FCS12878

Encl: as above

"BLS International Services Limited
Q2 & H1 FY24 Conference Call"

November 07, 2023

MANAGEMENT : MR. SHIKHAR AGGARWAL – JOINT MANAGING DIRECTOR ,
MR. NIKHIL GUPTA –MANAGING DIRECTOR ,
MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER , AND
MR. GAURAV CHUGH – HEAD -INVESTOR RELATIONS

BLS International Services Limited
November 07, 2023

Moderator: Ladies and Gentlemen, Good day and welcome to BLS International Services Limited Q2 and H1 FY24 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company which are based on the belief, opinions and expectations of the Company as on the date of this call. The statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shikhar Aggarwal – Joint MD of BLS International Services Limited. Thank you and over to you, Mr. Shikhar Aggarwal.

Shikhar Aggarwal: Thank you. Good evening, everyone. A very warm welcome to all of you and thank you for participating in our Earnings Call for the Qu arter Ended 30th September 2023.

I have on call with me today, Mr. Nikhil Gupta – Managing Director, Mr. Amit Sudhakar – Chief Financial Officer of the Company and Mr. Gaurav Chugh, who has recently joined us as Head of Investor Relations and Adfactors – our IR team.

I am happy to share our recent developments and achievements during the last few months and our future plans for the Company. We have set the stage for an exciting journey in the current fiscal year commencing on a strong note with the more promising Financial Results for the 2nd Quarter of the Financial Year 2024.

Our business continues to witness growth momentum as well as strong profitability. We saw the highest ever EBITDA being reported by the Company and in addition , our EBITDA margins continue to be in excess of 20%. On the given bas e, we believe that this momentum will continue for the foreseeable future. Any new contracts or acquisition will further add to this momentum.

Regarding the industry we operate in, we believe the outsourcing market, particularly the Visa outsourcing market has been expanding rapidly with many new countries scouting for partners who can facilitate Visa as well as consular services for them.

Additionally, the travel industry continues on a trajectory of revival worldwide. This global recovery is expected to translate into a surge in Visa applications, fueling the growth of our Visa business. Month -on-month, we are witnessing a steady upward trend driven by both growth in applications as well as improvi ng realizations .

The last quarter has been quite eventful for us. In our Visa business, we signed up with the Government of Slovakia to offer outsourced Visa services across 18 countries. This is an exclusive global Visa contract. Slovakia is fast becoming a sought -after tourism destination for travelers across the globe.

We also recently opened up new application center s in China for the Spanish Embassy. As China is opening up, we expect to see further growth in volume from the region . This growt h could also be complemented with further opening up of CIS countries.

Furthermore, we recently expanded our operations in Saudi Arabia and Nigeria where we have opened new offices, these offices will further help enhance the Visa service business.

On th e digital service front, I am thrilled to share a significant milestone achieved by our subsidiary BLS E -services. We have successfully integrated UMANG Services into our digital platform. This strategic collaboration with the National E -governance divisio n aims to make over 500 E -governance services easily available. This integration underscores our commitment to provide seamless and convenient services to citizens both i

n India and overseas and in multiple
languages.
In addition, BLS E-services also tied up with Kotak Mahindra Bank for offering banking correspondence services .
Looking ahead, our focus remains twofold, growing both our Visa & Consular Services and Digital Service Business organically and exploring opportunities for inorganic g rowth in India as well as abroad. We continue to be optimistic about the ongoing fiscal and are committed to fostering growth.
In conclusion, I want to emphasize our confidence in the next few quarters. So, the BLS team is resilient and committed to growth in both our segments. We firmly believe that the strategies we adopt would pave the way for a bright future for BLS International Service in the coming years.
Thank you for your continued trust and support. I would now like to hand over the call to Mr. Amit Sudhakar, our CFO, for an update on our financial performance. Thank you.
Amit Sudhakar: Good evening, everyone. I am pleased to present the Financial Performance for the 2nd Quarter and Half Year Ending September 30th, 2023.
In Q2 FY24, we recorded a revenue of 407.7 crores , a 14.3% y -o-y increase, driven by both business segments, Visa and digital services. We continue to witness growth in both our business segments and are optimistic about sustained growth in the coming quarters. During this quar ter, our EBITDA stood at 86.7 crore compared to 56.8 crores in the corresponding quarter last year, witnessing a growth of 52.7%. The EBITDA margin for the quarter stood at 21. 3%, an increase of 535 basis points compared to the corresponding quarter last year.

Cost optimization, higher volumes and favorable business mix help expand the EBITDA margin for the quarter . Profit before tax stood at 87.2 crores, a growth of 55% over the corresponding previous quarter.
The profit after tax for the quarter stood at 82 crores as compared to 51 crores in the previous corresponding quarter , a strong growth of 60.8%. Earnings per share for the quarter stood at Rs. 3.59 per share as compared to Rs. 2.46 per share in Q2 FY23.
Coming to the half year performance :
The half year revenues stood at 791.2 crore, a growth of 25.6% versus the corresponding previous period.
EBITDA for the H1 FY24 stood at 166.8 crores compared to 88.3 crores in the corresponding half year last year, witnessing a growth of 88.9%. The EBIT DA margin for H1 FY24 stood at 21.1% versus 14% in H1 FY23 an expansion of 706 basis points.
Profit after tax (PAT) stood at 153 crores as compared to 81.7 crore in the previous corresponding half year, a growth of 87.3% . That is all for my side.
We ca n now open the floor for questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ravi Naredy from Naredy Investment. Please go ahead.
Ravi Naredy: Sir you are doing a r eally fantastic with our business. This enhanced margin will continue in H2? What is your expectation?
Amit Sudhakar: Margins, if you see from last year EBITDA margins were in the range of 15 to 16%. Now in the curre nt year, we have maintain ed it around in our 20s and we see the potential that we should be able to continue these margins in the coming quarters.
Ravi Naredy: Okay and sir how many more Visa contracts we have applied and what is success rate we can expec t from them?
Shikhar Aggarwal : So, as part of our ongoing business activities, we keep on applying for different tenders and as you have seen in the last 1 -1.5 years, we have won a lot of tenders for different governments like recently we won a contract for Slovakia, different European governments, Germany, Italy. Poland, Portugal and we also renewed our contract for the Spanish Government. So, definitely we keep on applying for different tenders and as we have said before, there's a big p

ipeline and
out of this pipeline only some of the tenders we are winning and some of the results are to be announced. So, as and when we win some tender , we will be announcing.
Ravi Naredy: So, this 80% Visa volume. Can we expect in the next few years also?

Amit Sudhakar: Correct. Yes.
Ravi Naredy: Sir, how do we utilize the 700 crores cash which we are having and because ROCE is 35%. So, how would you achieve 35% ROCE in future?
Amit Sudhakar: So, we have talked about in our last call also, we are seriously looking at new acquisitions in the similar field and as well as Shikhar said, we are bidding for big contracts, so we may need

some funding for setting up new offic es. So, we are going to use this fund for these requirements .
Ravi Naredy: Right. This big contract in Visa service.
Amit Sudhakar: In both in Visa as well as digital services, so we are bidding in both.
Moderator: Thank you. The next question is from the line of Omkar Kamtekar from Bonanza. Please go ahead.
Omkar Kamtekar: So, firstly with respect to the rate of growth in the digital services, we can clearly see that the digital services business is growing more than twice the rate of the Visa and consular services and it s share in revenue pie is also increasing. So, the first question is how long will this sustain and what will be the effect say two years or three years down the line, the share of the digital service business.
Shikhar Aggarwal : The Digital Service business as we stand today is around 21% of the entire revenue of the Company. Base was quite small compared to the last year. That is why we have grown quite well. We have big plans for the growth of th e e-services business also. So, in the next few years we can see good growth coming in from different future contracts that we are eyeing as well as , acquisitions . So, I think growt h momentum should continue in both of these.
Omkar Kamtekar: Okay. So, we can expect a similar kind of growth or maybe higher going forward for the next 2 - 3 years?
Shikhar Aggarwal : Percentage I do not know. I cannot comment on any percentages , but as you have seen from our track record, we have been focused on growth. So, definitely next few years also we are targeting growth.
Omkar Kamtekar: Okay and with respect to the, so we had also applied for the listing of the E -service business. What i s the status of that ? Is there any update from the SEBI with respect to that?
Shikhar Aggarwal : As per the norms , we have filed our DRHP with SEBI and as and when we get the approval , we will be listing the Company and as we have stated we need money to come into the Company which will be utilized for further growth of the Company.
Omkar Kamtekar: And just to comment on the Visa space specific ally now because of the conflict that has happened in the Middle Eastern region. We also have certain amount of business in that region.

So, how much of an impact has that had on the business, and do you see this business impacting other re gions such as Europe or adjacent areas, can you comment on that.
Shikhar Aggarwal : Well, see, we operate in a global environment. We operate in 64 countries. We work with 40 plus government s. So, for us this event has not at all impacted our business. So, our revenue, as you have seen have grown, even in the last quarter that for us . But as we are a global Company, you know different events keep on happening in different parts of the world, but on an annual basi s, it hardly matters.
Moderator: Thank you. The next question is from the line of Supan Parekh, who is an individual investor. Please go ahead.
Supan Parekh: Sir I would like to ask about the IPO. So, like you plan to propose an I PO of BLS E -Services, so like what is the aim for that like could you elaborate much on that?

Amit Sudhakar: See, DRHP has been filed with SEBI. So, we can say that the whole idea of the IPO is to raise the fund for the growth of the Company because we see a big potential of growing this digital business first in India and then globally , and for that we are looking at this growth capital for the digital business at the moment.
Supan Parekh: Okay so lik e what is the future road map for this BLS E -Services?
Amit Sudhakar: I think once the SEBI approval comes in, we will share the road map and the presentation of the whole business.
Supan Parekh: So, next question, I would like to ask the current grow th rate and EBITDA margin . Is that sustainable for long term like what are the things like you are looking out for the next quarter or this fiscal year like?
Shikhar Aggarwal : As we have stated , I think you already answered that question that fo r long time we were doing the margin of 15 -16% and from first quarter this we achieved a margin of 20% and we have sustained that in the 2nd Quarter also. So, every day we are working very hard to obviously sustain and improvise. So, definitely I think fro m where we stand, we feel that we can sustain the margin .
Supan Parekh: Okay and also on the purpose of the cash utilization, so this quarter has been like has been highly cash generative. So, what are the Company’s plan regarding the utilization of cash in the coming quarters?
Shikhar Aggarwal: We are very conservative and looking for effective utilization of money and as you know this cash has been generated because of the hard work that the Company has done from the inception. So, definitely we are look ing at particular opportunities and as and when you know, we think that it qualifies all our conditions, we will be going in for acquisitions. Other than we are

regularly paying dividends to the shareholders and the opportunity is that we forese e, money
will be utilized in growth, opening new offices , in technology and everything else.
Supan Parekh: Okay, so now I am just shifting my questions right now like I am seeing like the volumes have recovered from China. So, what are the expectations with the Russia right now.
Shikhar Aggarwal: See in terms of volumes we are better than what we are doing in COVID. In China , now things are opening up, we have also opened our offices. In Russia , volumes are still low, so if you talk about the numb ers, still from 2019 level, we have not achieved the volumes , but still revenue and profitability is higher.
Supan Parekh: Okay. So, like we can expect it to go like moving forward, it can go up.
Shikhar Aggarwal: Correct. This is not the base volume. So, base volume 2019 level, we still have not reached.
Supan Parekh: Okay and that the impact of Canada issue been so far like how has that impacted us?
Shikhar Aggarwal: I do not think there was any impact as we have stated . The Visa business from Canada was 2% of our annual revenue and that has also come back . So, we do not see any impact from the Canada business.
Supan Parekh: Okay and also like the last question I want to ask is that the status of UK tender, is there any progress in terms of these things like winning any geographies?
Shikhar Aggarwal: No, there is no status. We are filing for many tenders and as and when the results are announced we are notified. We will inform.
Moderator: Thank you. The next question is from the line of Vicky Patel from Artika Wealth. Please go ahead.
Vicky Patel: My first question is I would like to know on the recent news we heard regarding the Egyptian Embassy. So, what is the current status? Are we like, have they denied working with BLS or?
Shikhar Aggarwal: No, we work for them, and we are one of the authorized partners. There is an exclusive contract with them. So, numbers are quite negligible from the start and still. S o, no one has denied, but

we are not the exclusive partner . They does not follow exclusive outsourcing policy anywhere in the world. So, that is the status.
Vicky Patel: And Sir, the ongoing Israel situation, so will it affect the current line of busin ess?
Shikhar Aggarwal: No, actually we have not seen any impact on it and we see strong growth in our numbers.
Vicky Patel: Okay and sir the revenue, the total income has grown, I think roughly 14% to 15%. So, do we see a similar range of growth in the com ing second half of the year?

Shikhar Aggarwal: Whatever we have achieved, I think we, I think our wish is definitely to maintain it and we are working hard towards that.
Vicky Patel: There has been a rise in the increase interest cost. The short term borro wings or the long term borrowings have not increased. So, if you could please throw some light where why has there been an increase in the interest cost?
Amit Sudhakar: So, see the interest cost is mainly because of the new accounting standard AS -116 where the lease right s of lease has been booked in the assets and the expense has been routed to depreciation and the interest. But there is no debt on the books and there is no interest payment in the financial charges.
Vicky Patel: Okay and also empl oyee cost as a percentage of sales has increased. If you see y -o-y so is this because of the increments or we are expanding the manpower?
Amit Sudhakar: Right , it is because of the increments that have been there for to the existing empl oyees and currently the Company is investing in people at the senior a nd the middle level to ensure the growth which we are planning to do in the next couple of quarters.
Moderator: Thank you. The next question is from the line of Omkar Kamtekar from Bonanza. Go ahead.
Omkar Kamtekar: One thing what I wanted to ask was on the fixed asset. We have seen an approximate 24 -25 crore of addition. So, how much of more CAPEX for fixed asset and other equipment are we looking ahead for the H2 and FY24 also if you can.
Amit Sudhakar: So, Omkar, this is the CAPEX which is showing in the balance sheet . The increment is mainly during this half year and is as per the accounting standard of Use of Assets which we have leased.
Omkar Kamtekar: Okay. So, the lease assets the lease liability.
Amit Sudhakar: Otherwise, we normally have a normal operation al CAPEX in the range of 15 to 20 crores in a year.
Omkar Kamtekar: So that will be the steady state 15 to 20 crores CAPEX that we do annually. T hat would also continue FY25, okay?
Amit Sudhakar: Correct. That is right.
Omkar Kamtekar: And with respect to I was not able to catch the number or what was the volume growth in the number of Visa applications that we did for the period?
Shikhar Aggarwal: Volume we do not normally declare the exact volume.

Omkar Kamtekar: As a suggestion if it is possible if you could add that bit on the investor presentation that would be very hel pful. I mean if because what would happen is because we can see in EBITDA, the EBITDA margins have increased and because the high margin business of the digital services is increasing so we could break it down as to how much of the revenue.
Shikhar Aggarwal: High margin is in the Visa business.
Omkar Kamtekar: So, that is why so if the volumes there are also going to pick up the margins would also meaningfully pick up.
Shikhar Aggarwal: Definitely volumes there will increase further.
Omkar Kamtekar: So, the analysis becomes much easier for us. So, that's it. That's it. Thank you.
Moderator: Thank you. The next question is from the line of Rajiv Venkatesh, who is an individual investor. Please go ahead.
Rajiv Venkatesh: Couple of questions from my side . I want to know from the tender pipeline for the Visa business, would you be able to provide

the split on the retenders and the new tenders that we are in and secondly would you be able to provide the split in the EBITDA for the Visa and the E -business and would you be able to provide more details on the ZMPL business like I think before we had like Punjab, UP and all, we used to provide some details, some color on that. So, will you be able to, sorry.
Shikhar Aggarwal: By whatever tenders that we are currently doing, we have retained, and we have even re -won our tender. So, if you see Spain tender also, we again re -won in April for the next five years at an increased service charge and we recently have won tenders like for the Slovakia Government. There is a global tender that we have won in Visa and we have won tenders for Portugal, Poland, Germany, Italy, couple of governments that we started working for within this year. So, definitely there has been a growth in number of governments that we are working for and going forward, as I have been telling, there are multiple opportunities in Visa outsourcing. Different governments are coming out with tenders and different geographies which we are eyeing for . Now the resul ts have come for Slovakia which we have announced. So, as and when other governments come out with results, we will be announcing . But the opportunity size is quite huge. There are many governments which are outsourcing for the first time and there are many government which are coming out for the re -tenders that is on the Visa business . And on the ZMPL , you know ZMPL which is part of BLS E -services as we have declared that we have already grown, I think more than 100% in that business, compar ed to last year . We have already won a lot of contracts with new banks like Kotak Mahindra and different banks. We have tied up different government , things like Umang. So, we see further growth happening in that we have now started . We were already in public sector business , now we have also started the private sector business . We have tied-up with HDFC, Kotak, and couple of other banks. So, we see huge growth coming in that business and for that reason only we wanted to list that Company

separately and as and when growth capital comes, it will be utilized for growing the Company further.
Rajiv Venkatesh: Great. And I have one request from my side. Like would you be able to provide some sort of say during the IPO some sort of employee asked for pre i nvestors who are already invested with BLS as a priority for getting the IPO?
Shikhar Aggarwal: See, we have to follow the SEBI rules so whatever SEBI rules allow we can only work on that.
Rajiv Venkatesh: Okay, great and what is the group guidance for the next year for the year FY25 I think last call you iterated that it will be like somewhere north of 50 or 60%?
Shikhar Aggarwal: We have not given any guidance I think till now, but of any percentage terms. But as you know, whatever growth that we have ach ieved in the first two quarters, we wish to maintain that.
Moderator: Thank you. The next question is from the line of Dhvani Shah from Investec Capital Services India. Please go ahead.
Dhvani Shah: One question was on digital services. You all saw the hig hest margin this quarter to 14%. So, can you explain the drivers for the same and the sustainability of it?
Amit Sudhakar: In digital business this quarter, there was a new contract which we have won and under that they have given us an advance /Incentive which was part of the new revenue in the business. So, that has increased the revenue in the current quarter by about 3 crores and that has impacted the bottom line.
Dhvani Shah: Okay. So, the cost for that will be booked in the future?
Amit Sudhakar: The CAPEX costs, which we have done in this case.
Dhvani Shah: Okay, got that and also just to confirm, the previous participant asked about ZMPL. So, you said

the growth has been 100% y -o-y, if I am not wrong the y -o-y the previous quarter that was
reported to 40 crores from the ZMPL. So, the 100% growth on that was around 800 million, is
that correct or can I just?
Nikhil Gupta : Now if you see in this quarter the revenue that we have done for digital bu siness is around 82
crores if I am not mistaken.
Dhvani Shah: 90 crores.
Shikhar Aggarwal : How much is it.
Dhvani Shah: 90 crores.

Shikhar Aggarwal : For digital business we have done 85 crores, which is compared to 68 crores. No, this is quarter 2.
Dhvani Shah: Quarter 2 is 90.1 as reported.
Shikhar Aggarwal : I think we had some intersegment. I don't know which numbers are talking?
Dhvani Shah: As reported in your NDL segmented revenue 900.72.
Amit Sudhakar: So that may have inter-company revenue, which may have been netted off.
Dhvani Shah: Okay.
Amit Sudhakar: Because the intercompany transactions are under the segment s.
Dhvani Shah: Fair enough. S o, how much would be this ZMPL of that?
Amit Sudhakar: ZMPL is for the quarter 2 is about 49 crores.
Dhvani Shah: So, that is over last quarter, which was last year, which was 40.
Amit Sudhakar: Q1 was 45 and last year 40
Dhvani Shah: Okay, understood and in terms of Visa volume recovery for the FY24, do you expect to close
around at least 75 to 80% of the higher levels of FY19 considering China has opened up and
Russia is in initial stages.
Shikhar Aggarwal: Corre ct. I think we definitely expect the numbers to be higher than last year and last year I think
we achieved around 65% to 70% of the numbers. So, this year it should be closing at 75% to
80% definitely.
Dhvani Shah: Okay and just one more question on the realization per Visa application are you seeing a
significant growth there after the Spanish contract which was at increased level.
Shikhar Aggarwal: Well, actually, you know what this is not because of any particular contract. Definitely our
service charges from contracts have gone up in the last few years, but also the consumer pattern
has changed. So, demand for different kind of services will also increase . So, in the last few
years, after COVID, constantly we tried to offer more services , we have seen increase in revenue
per applications in the last two to three years.
Dhvani Shah: And just one more question this quarter has witnessed some kind of seasonality in the Visa and
consular services with higher international like higher European c ountry Visa applications and
that could be a reason for the higher gross margin. Is that a correct assumption?

Shikhar Aggarwal: See definitely in this business seasonality is there, but since we are operating in a global
environment, now the seasonality d oes not impact . But if you talk about the EBITDA margins,
they are particularly not because of seasonality because EBITDA margins are counted per
application basis. So, we have seen rationalization of cost and increase in revenue. That is why
there have been higher EBITDA margins.
Dhvani Shah: Okay, now as I was referring more to the gross margins and EBITDA margins, I understand just
wanted a little bit more color on the gross margin improvement. I wanted more color on the
gross margin improvement.
Amit Sudhakar: Gross margin has been on a similar line. If you see Q1 versus Q2, they have been around 40
percent or so.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last ques tion. Request
participants to get in touch with Investor Relation Team for further queries. I now hand the
conference over to Mr. Shikhar Aggarwal for his closing comments. Please go ahead, Sir.
Shikhar Aggarwal: Thank you everyone for taking your time out to participate in BLS International Earning Call
today. Wish you all very happy and prosper ou

s Deepavali . In case of any further queries you
may get in touch with Gaurav Chugh, our Head of Investor Relations or Adfactor PR. We look
forward to interacting w ith you again next quarter. Thank you so much.
Moderator: Thank you. On behalf of BLS International Services that concludes this conference. Thank you
for joining us and you may now disconnect your lines.

Call: Feb 2024

February 16, 2024

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C-1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on February 13, 2024

In continuation to our intimation dated February 06, 2024 and February 09, 2024, please find enclosed a transcript of the Earnings Call held on Tuesday, February 13, 2024 to discuss the operational and financial performance for the third quarter and nine months ended December 31, 2023.

The transcript is also available on the Company's website at https://www.blsinternational.com/

You are requested to take the same on your records.

For BLS International Services Limited

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Dharak A. Mehta
Company Secretary & Compliance Officer
Membership No.: FCS12878

Encl: as above

"BLSInternationalServicesLimited
Q3&9MFY24ConferenceCall"
February13,2024
MANAGEMENT:MR.SHIKHARAGGARWAL–JOINTMANAGINGDIRECTOR,
MR.NIKHILGUPTA–MANAGINGDIRECTOR,
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER,AND
MR.GAURAVCHUGH–HEAD-INVESTORRELATIONS
Moderator: LadiesandGentlemen,GooddayandwelcometotheBLSInternationalServicesLimitedQ3 and9monthsFY24EarningsConferenceCall.
Thisconferencecallmaycontainforward-lookingstatementsaboutthecompanywhichare basedonthebelief,opinionsandexpectationsofthecompanyasonthedateofthiscall.

Thesestatementsarenottheguaranteesoffutureperformanceandinvolveriskand
uncertaintiesthataredifficulttopredict.Asareminder,allparticipantlineswillbeinthe
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conferenceisbeingrecorded.
InowhandtheconferenceovertoMr.ShikharAggarwal–JointManagingDirector,BLS
InternationalServicesLimited.Thankyouandovertoyou,Mr.Aggarwal.
ShikharAggarwal: Goodafternooneveryone.IwelcomeyoualltoourEarningsConferenceCallforthequarter
andninemonthsended31stDecember2023.
IhaveoncallwithmetodayMr.NikhilGupta–ourManagingDirector,Mr.AmitSudhakar–
ChiefFinancialOfficeroftheCompany,Mr.GauravChugh–HeadofInvestorRelationsand
Adfactors–ourIRteam.
Iamgladtosharewithyoualltodaywhatweallhavedonelatelyandwhatweaimtodoin
thenearfuture.Wehavemadegoodprogressinthepastfewmonths,crossingsignificant
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Talkingaboutourstrategy-Wehavebeenspeakingtoyouregardingourstrategyoffocusing
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iDATAisaprominentplayerinvisaandconsularservicesandisbasedoutofTurkey.
Interestingly,iDATAhasbeentheexclusiveproviderofvisaandconsularservicestothe
Italiandiplomaticmissionssince2006andGermangovernmentssince2012incertain
geographies.
Theacquisitionwillbefundedprimarilythroughinternalaccrualsofthecompanyandwould
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iDATAoperatesmorethan37visaapplicationcentersacross15pluscountriesserving
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willcontinuetoprovideserviceslikeconsularsupport,passportprocessingandvisa
facilitation.
Onthedigitalservicefront,wesecuredasignificantcontractfromstatehealthagency
AyushmanBharat,PradhanMantriYojana,UttarPradesh.Thispartnershipinvolveshandling
ofAyushmanncardsonbehalfoftheNationalAuthorityITplatform.Beingchosenasbeing
chosenasaEmpanelledServiceProviderreflectsbasedinternationalreliabilityindelivering
crucially,governanceServices.
ThecompanywasawardedanothersignificantcontractfromUIDAItoconducta
comprehensivedataqualitycheckforAadhaarinformation.Theproject,spanningoverthree
years,isextendablebyanothertwoyears.
Lastbutnottheleast,inisamomentousmilestone,werecentlycompletedtheIPOofour
subsidiaryBLSE-Servicesuccessfully.AsBLSEmakesitsdebutinthepublicmarket,itprovides
anopportunityforustoparticipateinthecompany'sgrowthtrajectorywhileenablingBLSE
toexpanditsoperationsandenhanceitsofferinginthebusinesssegments.Theproceedswill
beutilizedtowardsgrowingourE-servicebusinessbothorganicallyandinorganically.Wesee
tremendousheadroomforgrowthinthisbusinessinthecomingyears.
Ourendeavoristocontinueexpandouroperationsthroughbothorganicaswellasinorganic
growthofinitiativesandservepeopleacrosstheglobe.Technologyandprocess-oriented
approachwillremainakeyfocusareaandwewillcontinuetoinnovateandstrengthenour
businessoperationstoservethegovernmentandcitizeninthebestpossiblemanner.

Thankyouforyourcontinuedtrustandsupport.
IwillnowliketohandoverthecalltoMr.AmitSudhakar,ourCFO,foranupdateonour financialperformance.Thankyou.

AmitSudhakar: Goodafternoon,everyone.Iampleasedtopresenttheconsolidatedfinancialperformance forthethirdquarterandninemonthendedDecember31st,2023.InQ3FY24,werecorded revenueof437.9crorea7.4%.QoQriseprimarilydrivenbycontinuedrecoveryinvisaand consularservices.Duringthisquarter,ourEBITDAreached88.6crorecomparedto66.3crore inthecorrespondingquarterlastyearand86.7croreinQ2FY24.Notably,theEBITDAmargin forthequarterstoodat20.23%reflectingasubstantialincreaseof509basispointcompared tothesamequarterlastyear.Thisimprovementcanbeattributedtoourcostoptimization initiativesandthepositiveimpactofvalue-addedservices.

InQ3FY24,ourprofitaftertaxamountedto87.18crores,asignificantincreasefrom45.85 croreinpreviouscorrespondingquarterand82croresinQ2FY24.Additionally,theEPSfor thequarterstoodatRs.2.5comparedtoRs.1.23inQ3FY23.

Nowshiftingtoninemonthsperformance,theninemonthsrevenuereached1229crore showingarobust15.13%YoYincrease.Thisgrowthwasprimarilydrivenbythestrong recoveryinvisavolumesalongwithhigherrevenuefromdigitalservicebusiness.TheEBITDA forninemonthsFY24amountedto255crorescomparedto154croreinthecorresponding ninemonthslastyear.TheEBITDAmarginforthisperiodstoodat20.78%reflectingan increaseof631basispointcomparedtoninemonthsFY23.

Inninemonths,FY24theprofitaftertaxstoodat240crores,substantialimprovementfrom 127croreinthepreviouscorresponding9months.TheEPSfortheperiodisRs.5.64 comparedtoRs.3.2reportedinninemonthsFY23.

Additionally,IampleasedtohighlightthattheBoardhasrecommendedadividendof50%to theshareholdersofthecompany,thistranslatesinto50paisapershareasdividend.

That'sallfromourend.Wewouldbehappytotakeanyquestionthatyoumayhave.Thank you.

Moderator: Thankyouverymuch.Wewillnowbeginthequestion-and-answersession.Ladiesand gentlemen,wewillwaitforamomentwh

ilethequestionqueueassembles.Thefirstquestion isfromthelineofMayurBapadora,whoisaninvestor.Pleasegoahead.

MayurBapadora: Congratulationsforthegoodsetofnumbers.So,myquestionwasregardingvisasegmentof ourbusiness.So,inVisasegmenthowmuchwearegoingtogrowinthefuture,likewesaid, wearegoingtogrow20%yearoveryearandforninemonthsitisactually11%growthnine monthsoverninemonths.So,itisslightlyslowingdown.So,whatwemustexpectgoing forwardwithouttheacquisitionwehadiDATAandwiththeacquisitionhowmuchweexpect invisasegmentgrowth?

ShikharAggarwal: Seeifyouseefromaprofitabilitypointofview,youknowfromaPATlevelwehavegrown morethan90%ifyoucomparethesamequarterlastyear,evenifyouseethatfromEBITDA levelyouknowwehavegrownmorethan33%.So,definitelythereisamajorgrowth. Regardingrevenue,youknowalsowegrewtherewassomeseasonalityinthebusiness,some contingentopenupthisquarterthatiswhytherewasalittledropinthevolumes.Butstillif youseetherevenuewehaveachievedissimilar.So,thatiswhythereisanincreaseinthe revenuethat'sactuallyandwhatevernumberswehaveachievedwewishtomaintainthat.If youhaveseeninthelast3-4yearswehavegivenmorethan50%CAGRgrowth,andnextyear alsocomingyearsourobjectiveisobviouslytogrowthecompany.Wecannotgiveyouany firmnumbersorpercentageswheretargettogrow,butdefinitelywehaveaggressivegrowth internallysetwithinthecompany.

MayurBapadora: Sir,mynextquestionwasregardingourdigitalservicesegment.So,onthemarginfront,can wefurtherseethemarginimprovementindigitalservicesegmentgoingforward?

ShikharAggarwal: Seethemarginsthatwehaveachieved,obviouslythisisavolumedrivenbusinessspread acrossthelengthandbreadthofthecountrywherewehave4lakhpeoplecomingintoour centerseveryday.Marginislittlelessthanthevisabusinessaround14.5%margin,whereas inourvisabusinessweredoingupwardsof20%margin.Definitelyoureventhemarginfor visabusinesswasless,itgrewwithtime.So,definitelyourobjectiveandagendaisalwaysto growthemargininwhateverbusinesswegetintoandthatwillbethesameobjectiveevenin E-services.

MayurBapadora: Sir,whatisourthoughtprocessbehindtheacquiringtheiDATAandhowisthemarginprofile iDATAwillhaveandcanweexpectsimilarmarginprofileinthatacquisitionalsooncewefully accommodatethecompanyinoursystem.

ShikharAggarwal: Seefirstofall,ittookus15yearstoacquiresuchabigcompany.Themoneythatwehave generatedisourhard-earnedmoney.FirstweinvestedinStarfinthenZeroMassandnow this€50million,ittranslates450croresacquisition.Weexpectthemoneytoberecovered withinfivetosixyears.Thisisanicheplayerbasedincertaingeographyoftheworldwherein

theyareoperatingonlyforGermany,Italy,CzechRepublicalsofrommanyyear,2006they
havebeeninbusiness.DefinitelymarginsinthiscompanyislittlehigherthanBLS
Internationalbecauseitisanicheplayerworkingincertaingeographiesonlywithcertain
governmentsathigherservicechargesthanus.So,thatwasalsotheobjectiveofbuyingthis
companytolearnfromthemandobviouslyaddinganewclientbase.Inthisgeographyit
givesuswecanuseeconomiesofscale,combineouroffices,leadtofurthergrowth,
reductionofourexpenses,wegetqualifiedformoretenders.So,definitelytherearemultiple
advantages.Thatisalladdedadvantagesotherthanthefactthatwewillrecoverourmoney
withinfivetosixyears,andtheseareallextraadvantagesthatwewillget.

MayurBapadora: Okaysir.Bestofluckfrommysideforyourfutureendeavors.Thankyou.

Moderator: Thankyou.ThenextquestionisfromthelineofRaviNaredifromNarediInvestments.Please
goahead.

RaviNaredi: FirstofallNikhiljiandShikharjicongratulationstoyouandyourteamalongwithusforgood
listingofBLSE-services,becauseyouhavegiventhequotaforshareholderofBLSandweget
theallotmentandsir100%youacquiredfullythisvisacompany,sohowmuchnetprofitin
lastcalendaryear2023?

AmitSudhakar: So,see,wehavesignedadefinitiveagreement.CertainCPsarestilltobedoneandafter
gettingtheapprovals,wewillbeabletocompletethebuyout,theCY22auditednumbers,
theyhaveacalendaryearwasabout20millionrevenueandhadEBITDAof€10.2million.This
isallinEuros.

RaviNaredi: Verynice,veryni

ceandourquarterthreetoplinerevenuecouldnotgrowanyreason?

ShikharAggarwal: Ithinkwejustansweredthisquestionpreviously.Wejustansweredthisquestion.

RaviNaredi: OK,soIwilllisteninthesystemandthisdigitalservices,itwillstandwithusoritwilltransfer
toBLSE-services.

ShikharAggarwal: NoBLSE-services,whichisthesubsidiaryofBLSInternational,willcontinuetoremaina
subsidiaryofBLSInternationalandalltherevenue,profitabilitywillgetconsolidatedintoBLS
International.ButdefinitelytheE-servicearmwillhandlealltheregionalservicebusiness
everything.

Moderator: Thankyou,Sir.OurnextquestionisfromthelineofAvnishKharafromInvestec.Pleasego
ahead.

AvnishKhara: So,Ijusthavetwoquestions.Thefirstoneisonthevisaservices.Ijustwantedtounderstand
whetherthequarter-on-quarterincreaseisprimarily,isitledbyvolumesordoyoualsosee
somekindofapricejumpoverthereandsecondlyonthedigitalservices,it'squarteron
quarter,itisfallingalittlebit.So,maybeyoucouldthrowsomelightoverthereaswellon
whatexactlyhappened?

ShikharAggarwal: So,Ithinkonthevisaservicefront,definitely,therehasbeenagoodgrowthintherevenue
mix,therevenuemixhaschanged.Wehavedefinitelygottensomeadditionalservicecharges,
someofourservicechargeshavealsoincreased.IfyouseeinthelastyeareventheSpanish
contractthatwewonorthenewcontractsforGermany,Italy,whateverwehavewonisat
higherservicechargesanddefinitelytherehasbeenagoodincreaseindifferentadditional
serviceslikebiometric,mobilebiometric,etc.So,thatiswhyalsotheprofitabilityhas
increasedandweexpecttomaintainthat.Regardingdigitalservices,Ithinkfromquarter2to
quarter3therecouldbeaminutechange,butgoingforwardweseegoodgrowthcomingin.

Moderator: Thankyou.ThenextquestionisfromthelineofOmkarKamtekarfromBonanzaPortfolio.
Pleasegoahead.

OmkarKamtekar: So,justaclarificationtounderstandifthethoughtprocessisrightasyousaidtheiDATA
acquisitionthatyouhavedone-theentityisanicheplayeranditshasahighermarginsthat's
whatBLShas.So,Ithinkbywhattimeyouwillbeabletocompletetheacquisitionbecauseif
itisahighermarginbusiness,oncethatbecomesincorporatedinthenumbersofBLS,the
marginfromthevisaservicesshouldincreaseandifyouaresayingthatthevisamarginwe
arecurrentlyat20,theycouldjumphigher.So,wouldthatbeamaterialjumporanormal
jump?

AmitSudhakar: So,asIexplainedintheearlierquestionthatiDATAhasamuchbetterEBITDAmargin
percentagescomparedtousbecausetheyareinnichemarketandthemostlucrativemarket
inwhichtheywork.So,obviouslyonceweacquireourmarginswillgoupoverallandwesee
valuecomingfromsynergiesofoperationsandwebothhaveofficesinmorethanfive
countrieswhichwearelookingathowtosynergizethoseoperationsandimprovethemargin
furtherintheconsolidatedfinancials.So,thosearethepotentialEBITDAimprovements
whichwearelookingat.

OmkarKamtekar: Understoodsir,butwouldthemarginsjumpmateriallyhigherorwouldbeitincremental
marginalgain?So,woulditbesayforexampleifthemarginiscurrently20%.Woulditgolike

25-26-27percentwouldbelike1or2%higher?It'sjustthatwoulditbeamaterialjumpora
normaljump?
ShikharAggarwal: See,actuallywecannotgiveanysubstantialnumbersrightnow,becausewearealsonot
aware,butasyouhaveseeninthepastBLSinternationalEBITDAmarginshavejumpedfrom
15%to20%.Nowweareupto20%andourendeavorisdefinitelytogrowthemargins
alwaysevenwiththisacquisitionandotherthanthisacquisitionalsoourendeavoristogrow
themargins.So,definitely,wewillbefocusingonthat,butwedonothaveanyvisibilityon
exactnumbers.
OmkarKamtekar: Andfinalquestioniswithrespecttothelengthofthecontractsthatyoualsohavewith
respecttoyourawardsthatyougetforvisaandotherprocessingandwhatiDATAhas,do
theyhavethesimilarlengthofcontractsordotheyhaveahigherorashorterlengthof
contractsandwhatisourlengthofcontractscurrently?
ShikharAggarwal: Ifyouarefollowingonthehistoryofthecompany,maybeifyouhaveseenthatwehave
renewedourmajorcontractsrecently.WerecentlywonacontractagainwiththeIndian
EmbassyinCanada.Lastyear,wewonagaintheSpanishglobalcontractatahigherservice
charge.So,everygovernmenthasdiffe

renttopographies.Germanytypicallyworksona7
yearperiodeventhenewcontractthatweworkwithGermangovernmentinUSAisforseven
years.Accordingly,allthecontractswiththiscompanyalsoaretherefornthenextfewyears
andwhenevertheycomeupforbidding,thentherewillbeatender.
Moderator: Thankyou.OurnextquestionisfromthelineofAniruddhaThackeraywho'saninvestor.
Pleasegoahead.
AniruddhaThackeray: Ihave2questions.CanweexpectthistohappeninFY2023-2024,theiDATAcomplete
acquisition;alsoisthereanyprobabilityorchancewithoursynergiestohaveanewbusiness
offorexexchangesforthecustomer?
ShikharAggarwal: Sorry,Iunderstoodyourfirstquestion.Thatanswerisyes,youcanexpectthistransactionto
closesoonaftertheapproval.Ididnotunderstandyoursecondquestion.Canyouplease
repeat?
AniruddhaThackeray: WhatIamtryingtounderstandisthatweareintovisaservices,andweareprovidingalotof
digitalservices.So,incasecanwehaveanewbusinesslinefortheexchangeofcurrencies
likecanwemakeavailablethecurrenciestoouroffices,Forexexchanges.
ShikharAggarwal: See,wearenotaversetoanyvalueadditionthatcancometoourexistingcustomerbase.So,
youknowinsomecountrieswehavetieupalreadywithcertainbankswhereinweare
offeringForexcardservicesatourcentersandalreadythisishappening.So,youknowwe
don'twanttoinvestinanynewlineofbusinesswhereinwewanttoutilizethecustomerbase
thatwehave.So,definitelyweareveryopenoranybusinessthatcanleadtoincremental
revenuefromourexistingcustomerbase.
Moderator: Thankyou.ThenextquestionisfromthelineofNiharMehta,who'saninvestor.Pleasego
ahead.
NiharMehta: Ifyoucouldreiterate,Ihavenoticedrecentlytherevenuegrowthwasnotsignificantsoifyou
couldhighlightorgiveacoloronthereasonforthesame.
ShikharAggarwal: Certaingeographiesthathadnotfullyopeneduportherewassomeseasonalityincertain
geographies.Thatiswhyvolumewasalittlelesscomparedtoasimilarquarterlastyear,but
infactourrevenuehasincreasedbecauseourrevenuehasgoneupfromtheexisting
applicationsthatwearegettingandgoingforwardalsoweseethevolumesgoingup.So,the
volumeshouldgrowmore.So,thatiswhythereshouldbeafurtherincreaseinrevenue.
NiharMehta: UnderstoodandgiventherecentIPOthatwehadifyoucouldelaborateonlikehowmuch
fundingwasraisedorwherearewegoingtousethatfund?
ShikharAggarwal: Wecanreiteratethat,butwehavealsoexplainedthisalotoftimesinthelast2weekstolot
ofinvestorinterviews,butIcantellyouthatseewehaveraisedaround300oddcrores.
Fundingwillprimarilyusedforfourverticalswhichisgrowingofallthethreeverticalsofour
bankingcorrespondent,ourE-governanceandassistedE-servicesandwearegoingtospend
themoneyonstrengtheningourexistingtechnologyinfrastructure,todevelopnew
capabilities,investininorganicgrowth,openingofdifferentkindofBLSstoreswithinour
network.So,coupleofthingsthatwehavealreadymentionedinourRHPalsoandwehave
reiteratedinourresponsesandinterviewsthatwedidinthelastone/week10days.
NiharMehta: Understood,Sir.AndwehadoursubsidiaryintheUS.So,correctmeifIamwrong,wehave
recentlysteppeddownthatsubsidiarywhichwereintheUS.So,ifyoucouldtellmewhatthe
reasonsbehindthatwereandhowdoweplantoworkonourgrowthprospectsgiveninthe
US.
AmitSudhakar: See,wehaveapresenceintheUScurrently.Wehavecreatedthiscompanywith$200of
equitymorefromtheoperationspointofview,nothingelse.So,itisjusttostreamlineour

operationsintheUS.
Moderator: Thankyou.ThenextquestionisfromthelineofOmkarKamtekarfromBonanzaPortfolio.
Pleasegoahead.
OmkarKamtekar: Thequestioniswithrespecttothegrossmargins.So,intheninemonthswecanseethat
thereisagoodjumpinthegrossmarginsgoupcloseto42%onaroundedbasis.So,my
questionwaswithrespecttowhatitisattributedto,approximately10%jumpinthegross
margin.Whatisthebreakupofthisjump?Howmuchisitwithrespecttoincreasingprices
andwhatisthebreakdownofit?
AmitSudhakar: So,it'samixofallwhatwejusttalkedabout.Therehavebeennewcontractswherethe
revenueperapplicationishigher.Wehaveaddednewvalueaddedservicesandtheyallare
highermarginbusinesses,whichisimprovingourgrossmarginovertheyears.Youcansee
thatchan

gingoverthelastyear,quarteronquarter.The5%overallEBITDAmarginshave
beenimprovedandwearenowmaintainingthose.
OmkarKamtekar: Understoodandthecashonthebooksthatisshowninthepresentationisapproximately750
oddcrores.So,oncetheacquisitionofiDATAiscomplete,thatwouldgodown,sothatwould
bethecorrectunderstanding?
AmitSudhakar: Yeah,thatisright.Butwearegeneratingaround80croresaquarteralso.So,thatwillalsogo
onaddingtothecash.
OmkarKamtekar: Understoodandfinally,onequestionwithrespecttotheE-servicesbusiness.So,fromwhatI
recollectfromoneofthepreviouscon-calls,youhadsaidthatwewereexperimentingand
exploringwithrespecttolastmilecashdeliverysystem,cashdeliveryintheE-services
business.Whatisthestatusofthatandareweseeinganytractionwithrespecttothat?
NikhilGupta: So,wewentintoanagreementwiththepublicsectorbanksalliancewherethereare12
publicsectorbanksthathavegivenusnearly58%ofthetransactionsacrossIndiawherebyin
thelastmilewehavestarteddoingvariousservices,totheresidentsattheirattheirhomes,
forexamplepickingupcashorgivingthemcashandevenanykindofcheckbooksthatthey
want,theywantbankaccountstobeopened.Wehavealreadystartedmanyofthese
servicesinthelastthreemonths.
OmkarKamtekar: Understood.So,thiswouldfallunderthebankcorrespondenceservicesorwoulditbe
differentfromtheexistingmultiples?
NikhilGupta: It'sseparatecontract,butwithintheBLSE-services.
OmkarKamtekar: No,butwoulditfallunderthebankcorrespondencesubsegmentorwillitbeaseparate
head?
NikhilGupta: Noit'sseparate,itwillbeinthesamesegment,butit'saseparateagreement.
OmkarKamtekar: OK,understoodandareweseeingtractionoritisstillinitsnascentstageorareweseeing
rampingupveryquickly?
NikhilGupta: It'sinitsnascentstage,butthebanksexpectedtoberampedupveryrapidlyoverthenext
coupleofmonths.
OmkarKamtekar: Nextcoupleofmonths,somaybe12monthsdownthelineitwouldbeamuchsignificant
contributortotherevenuesoftheE-servicingbusiness.
NikhilGupta: Itwouldbeacontributor.Wewillhavetoseehowsignificantitisovertime.
Moderator: Thankyou.OurnextquestionisfromthelineofMohitDoshi,whoisaninvestor.Pleasego
ahead.
MohitDoshi: Goodafternoon,sirandsojusttwoquestionsandthefirstonebeingatechenabledservice
provider,So,whatisourbudgetonR&Dforinnovation.
ShikharAggarwal: AreyoutalkingaboutBLSInternational?
MohitDoshi: Yes,Sir.
ShikharAggarwal: ThebudgetforR&D,Ithinkwhatwehavebeenspendingis20oddcroreseveryyear,and
definitelynowwiththenewthingsinplaceandnotnonewkindofbusinessthatweare
targetinginvisaconsularservicesacrosstheworld,wearegoingtomaybehavealittlebit
moreinvestmentgoingforwardinthetechnologyspaceasourrevenueandprofitsincrease.
MohitDoshi: So,whatwouldbeanapproximatescaleupinthisifyoucouldprovideanumber.
ShikharAggarwal: Noitisnotdefinedthepercentageasandwhenwegetnewcontractsaccordinglywehaveto
investintechnologyforeachcontractsomedifferentkindoftechnology.So,probablythat,
butIthinkitwillbeutilizedfromtheinternalaccrualsofthecompany.
MohitDoshi: Andsirinthefuture,ifonewantstoassessthecompanyImeanmeasurethecompany
successinanyparticularindicatororsomethingthatweshouldlookoutfor?
ShikharAggarwal: IthinkEBITDAandPATaretheindicatorthatweinternallylookatanddefinitelysustain
growththatiswhatwearelookingat.
Moderator: Thankyou.ThenextquestionisfromthelineofSupanParekh,whoisaninvestor.Pleasego
ahead.

SupanParekh: Ijustwantedtoknowaboutwayforwardfortheinvestoraswellasforthestakeholdersto monitorthesuccessoftheBLSgoingforward.Like,whatarethemainthingsthatthe indicatorstheyshouldlookupon?
ShikharAggarwal: See,youshouldlookatthehistoryofBLSlast3-4yearshowwehavegrownasacompany andthismaybedefinitelynextfewyearsthecompanythatwehaveacquired,iDATA,the revenueprofitabilitythatisgeneratedinthatcompanywillgetconsolidatedintoBLS.Wesee growthcominginfromthatarea,enteringintonewgeographies.So,Iwouldsaythat definitelyweasacompanyhavenowbecomealittlematuredintermsofourentryinto
differentgeographies.Nowweunderstandhowtoaggressivelygrowthec

ompanyeven further.So,definitelyyouknowtherecouldbegoodgrowthcominginthenextfewyears.
SupanParekh: Okay.Iwantedtoaskaboutthecurrentvisavolumesperannumorquarterlikewhatarethe currentvolumes?
ShikharAggarwal: Wehavenotdisclosedthatnumberproperlybecauseweareworkinginmultipleterritories andmultiplecountriesordifferentgovernments.So,Ithinkwehavetogetbacktoyouon that.
SupanParekh: Okay.Sirhaveyoulostanycontactsinthelastfewmonths?
ShikharAggarwal: No,wehaveinfactwonnewcontracts.
SupanParekh: OK,soIalsowantedtoaskthefollowupquestionforthevolumesregardingwhatisthe volumesinChinaandRussiaaswelllikewhatisthesituationinRussiaandChina?
ShikharAggarwal: 20%ofourglobalvolume,thevolumethatwearegenerating,anycontractthatwedo20%of usedtocomefromRussiaandChina.Chinaisstartingtolookatcomingbacknow.Russiastill hasnotstartedtocomeback.
SupanParekh: OkayandthelastquestionIwouldwanttoaskislikeanyshorttermorroadmapforBLSE-servicespostIPO?
ShikharAggarwal: Wehavealreadyannouncedourroadmap,themoneythatwewillbeutilizingforitisall growthcapital.Youknowthisisallfreshissueofequity,moneyhascomeintothecompany andwewillbeourmainobjectivewillbewhateverwehavementionedinRHPwewanttowe wanttofollowthat,andourmainobjectivewillbetoimplementthat.
Moderator: Thankyou.ThenextquestionisfromthelineofOmkarKamtekarfromBonanzaPortfolio. Pleasegoahead.
OmkarKamtekar: Thankyou.Couldyousharethefreecashflowgeneratedfortheninemonths,ifitisavailable.
AmitSudhakar: Youcancheck.wehavegiventhecashason31stMarchaswellasnowIdon'thavethefigure withme,butitwasaboutIbelievearoundRs.550crason31stMarchandnowitisaboutRs. 750cr.
OmkarKamtekar: Freecashflows,notthecash,freecashflow.
AmitSudhakar: Freecashflowfromthebusiness.
OmkarKamtekar: Yes,freecashflow.
AmitSudhakar: So,inourcase,ifyouaddthedepreciationandthetax,you'llgetthefreecashflowfromthe business.Wehavegeneratedaround200croresintheninemonths,freecash.
OmkarKamtekar: Understood.ThankyouandwithrespecttoCAPEX,whatisthesteadystateCAPEXthatwe wouldrequire?Iknowitwouldbedependentmoreuponhowmanycontractsdowegetand wherearetheofficesthatarebeingopenedinvariousregionsbutanapproximatesteady stateCAPEXthatwegenerallydoonanongoingbasissothattheoperationsarerunning?
AmitSudhakar: Sure.wehaveanormalCAPEXintherangeofaroundRs.15croreseveryyearandadditional comesfromthenewcontractswhichwewinanditsdependshowmuchweneedtoinvestin thosenewcontracts,butthenormalisaboutRs.15cr.
OmkarKamtekar: 15crores,so15croresisonaverageitcouldhappendependingonthecontracts.
AmitSudhakar: Anythingadditionwillbeonaccountofnewcontracts.
OmkarKamtekar: Andallthisisgenerallyfundedbyusonlyorforexamplethecounterparty,thegovernmentis alsofixingabitorisitfullyfundedbyus?
AmitSudhakar: No,itisdonebyusonly.NogovernmentsupportsontheCAPEX.
OmkarKamtekar: Understoodandcanwesharewhatistheapproximatemarketshareifwecandisclosethat whatisthemarketshareBLShasinthevisaservicesbusinessordomesticallyandgloballyor otherwise?
AmitSudhakar: Ithinkthereisnoauthenticatedsourceavailabletogivethat.
OmkarKamtekar: Okay,noissues.Iftheinvestorrelationteamscouldsharethenumberwithrespecttothe volumes,wouldthatbesoIwouldseparatelyaskthemofflinethisquestion.
AmitSudhakar: Yeah,wecandiscussofflineonthat.
Moderator: ThenextquestionisfromthelineofRaviNaredifromNarediInvestments.Pleasegoahead.
RaviNaredi: Yeah,thishighermarginwehavegetinthisninemonthswillthismarginstayforfutureyears also,futurequarter?

AmitSudhakar: YeahRavi,ifyouseeourresultsoverthepast,Iwouldsayoneyear,quarteronquarterwe havebeenabletomaintainover20%EBITDAmarginandwearequiteconfidentof continuingandmaintainingthat.

RaviNaredi: Yes.Iamshareholdersincelast10years.So,Iamminutelystudyingeverythingandlastfor thisdigitalservicesthatisBLSE-servicesconcallyouwilldoseparately?

AmitSudhakar: Yeah,wewillstartdoingthatfromnextquarter.

Moderator: Thankyou.Astherearenofurtherquestions.IwouldnowhandtheconferenceovertoMr. ShikharAggarwalfromBL

SInternationalServicesLimitedforclosingcomments.

ShikharAggarwal: ThankyoueveryonefortakingtimetoparticipateinourQ3and9MFY24EarningsCall.In caseofanyfurtherqueries,youmaygetintouchwithGauravChugh,ourHeadofInvestor RelationsorAdfactorsPR.Welookforwardtointeractingwithyouagainnextquarter.Thank you.

Moderator: Thankyou.OnbehalfofBLSInternationalServicesthatconcludesthisconference.Thankyou forjoiningusandyoumaynowdisconnectyourlines.

Call: May 2024

May 20 , 2024

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C -1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Compl ex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on May 15, 2024

In continuation to our intimation dated May 1 0, 2024 , please find enclosed a transcript of the Earnings Call held on Wednesday , May 1 5, 2024 to discuss the operational and financial performance for the fourth quarter and year ended March 31, 2024 .

The transcript is also available on the Company’s website at https://www.blsinternational.com/

You are requested to take the same on your records.

For BLS International Services Limited

……………………….
Dharak A. Mehta
Company Secretary & Compliance Officer
Membership No.: FCS12878

Encl: as above

“BLS International Services Limited
Q4 FY24 Earnings Conference Call”

May 15, 2024

MANAGEMENT : MR. NIKHIL GUPTA – MANAGING DIRECTOR
MR. SHIKHAR AGGARWAL – JOINT MANAGING
DIRECTOR
MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER
MR. LOKANATH PANDA – CHIEF OPERATING
OFFICER – DIGITAL BUSINESS
MR. GAURAV CHUGH – HEAD INVESTOR RELATIONS

 Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY24 BLS International Services Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunit y for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gaurav Chugh, Head of Investor Relations from BLS International Services Limited. Thank you, and over to you, sir.

Gaurav Chugh: Thank you, Dorwin. A very good afternoon, everyone, and thank you for joining the Q4 and FY24 earnings call of BLS International Services Limited. To give you all, an overview of the company and to discuss the operational and financial performance, we have with us on the call today, Mr. Nikhil Gupta, our Managing Director; Mr. Shikhar Aggarwal, our Joint Ma naging Director; Mr. Amit Sudhakar, our Chief Financial Officer; and Mr. Lokanath Panda, COO of our Digital business.

The company's investor presentation and press release has already been uploaded on the stock exchanges as well as on the company's websit e and we hope you all have had an opportunity to go through the same. Let me remind you that this discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction wi th our business risk that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

I would like to hand over the call to Mr. Shikhar Aggarwal for his opening rema rks, post which Mr. Amit Sudhakar will discuss the financial performance, and then we'll open the floor for an interactive Q&A session.

Thank you, and over to you, Mr. Shikhar.

Shikhar Aggarwal: Thank you all for joining us on this earnings call to review our operational and financial performance for the quarter and full year ended March 31, 2024. We trust you had the chance to review our results, press release and the latest investor presentations, which are available on both the stock exchanges and our c ompany's website.

I'm pleased to report that our company has delivered a robust performance in this fiscal year 2024 with consolidated profitability surging by almost 60% year -on-year. As we embark on fiscal year 2025, our commitment remains steadfast to achieving strong financial results through our focused strategy and structural adjustments to our business model, particularly within our Visa and Consular segment.

We have transitioned from a partner -backed model to managing our own operations, a move

 that underscores our dedication to optimizing performance. Our Visa and Consular business has sustained its growth trajectory, experiencing decent increase in both revenue and volumes during the year. The growth as well was supported by the overall expansio n in the global travel and tourism industry.

Gross revenue in the Visa and Consular business increased by almost 8% to INR1,361 crores, contributing around 81% of the consolidated revenue. The business generated EBITDA margins of 22.1% in FY24, up sharply around 726 basis points year -on-year from 14.8% EBITDA margin in FY23. We successfully renewed and re -won our global contracts with the Spanish government and the contract for the Indian government in Canada, augmenting our service portfolio to enhance ou r offering.

Additionally, we secured another additional global contract from Slovakia and secured visa outsourcing contracts from Germany, Italy, Poland, Thailand, Malaysia, Hungary, Czech

Republic and Portugal that we st

arted just last week. A significan t milestone in our global strategy was a definitive agreement to acquire a pertinent stake in iDATA, a leading provider of visa & consular services based in Turkey. This strategic move aligns seamlessly with our objective and is expected to enhance our mar ket presence substantially. We expect this acquisition to be completed by 30th June 2024, subject to necessary regulatory approvals.
To elevate customer experience, we have implemented several initiatives across our value chain, including a new appointme nt system with advanced facial recognition technology, a dedicated mobile app for Italian customers and a revamped website platform. Our commitment to providing essential services such as counsellor support, passport processing and visa facilitation remain s unwavering.
In the digital service domain, we have witnessed commendable growth in both revenue and profitability, highlighted by the successful completion of the INR 300 crores IPO of BLS E - Services Limited. The funds raised will fuel the expansion of our digital service arm enabling investments in new technology, service offerings and outright efforts. Our digital business expanded its reach to over 1 lakh touch points and 1,000 BLS stores, reflecting our dedication to promote financial inclusion and d igital empowerment.
Partnerships with public and private sector banks exemplified by initiatives like Har Ghar Suraksha and DBS Dastak underscore our commitment to extending banking services to underserved population of the country. Our innovative solutio ns such as the Business Facilitator model and Iris scanner have been instrumental in driving success and delivering value to our partners.
We have recently launched doorstep banking services tailored for the elderly in 25 states and union territories, mak ing banks more accessible and convenient for them. This service aims to address the challenge faced by elderly in accessing traditional banking facilities. Looking ahead,

 we are focused on organic growth initiatives and strategic acquisitions to expand our market share and strengthen our competitive position. Our unwavering commitment to generating sustainable value for our stakeholders, underscores our responsible approach to growth.
Now I'll turn over the call to Mr. Amit Sudhakar, our Chief Financial Of ficer, for further updates on financial performance. Thank you.
Amit Sudhakar: Thank you, Shikhar. Good afternoon, everyone. I'm pleased to present the consolidated financial performance for the fourth quarter a nd full year ended March 31, 2024. During Q4 FY24, our revenue from operations stood at INR 447.7 crores. Our Visa and Consular business remained steady in this quarter. Our EBITDA surged to INR 90.3 crores from INR 66.5 crores in Q4 FY23, showing a robust growth of 35.7% Y -o-Y, primarily due to redu ction in service costs. However, employee costs and other expenses was higher this quarter due to change in our business model, including transition from partnership m odel to direct operational management.
This transition resulted in increase in our workforce and expenses on refurbishment of our new offices, contributing to higher other expenses. Our EBITDA margin expanded significantly by 534 basis points to 20.2% in Q4 FY24, indicating an effective cost management and better reven ue mix. PBT before exceptional items stood at INR 93.5 crores, up from INR 65.2 crores in Q4 FY23, marking a 43.4% increase. PAT reached INR 85.5 crores showing a growth of 11.4% Y -o-Y compared to INR 76.7 crores in Q4 FY23. In Visa business, the gross revenue for Q4 FY24 st ood at INR 370.4 crores while EBITDA grew by 40.5% Y -o-Y to INR 77 crores from INR 54.8 crores in Q4 FY23. Our digit al business revenue stood at INR 77.3 crores with EBITDA of INR 13.3 crores in Q4 FY24.
Moving on to full year

financial performance. We wi tnessed a 10.6% increase in revenue from operations, reaching to INR 1,676.8 crores from INR 1,516.2 crores in FY23 driven by a higher revenue in both the segments. EBITDA showed remarkable growth increasing by 56.4% to INR 345.7 crores compared to INR 221.1 crores in FY23. Our EBITDA margin improved to 20.6% in FY24, up from 14.6% in FY23, indicating a significant expansion of 603 basis points.
PAT for FY24, experienced a robust growth of 59.4% to INR 325.6 crores compared to INR 204.3 crores in FY23 with improvement in margin by 595 basis points. The earnings per share for full year for FY24 was at INR 7.6 per share against INR 4.89 per share in FY23, registering a growth of 55.4%.
In Visa business, the revenue for FY24 stood at INR1,361.8 crores, up fr om INR1,259.9 crores in FY23, while the EBITDA grew by 61% Y -o-Y to INR 300.5 crores in FY24 with a margin of around 22.1%. Our digital business demonstrated a strong performance. For the full year the revenue increased by 22.9% Y -o-Y to INR 315 crores in FY24, up from INR 256.3 crores in

FY23. EBITDA also increased by 31.3% Y -o-Y to INR 45.1 crores in FY24. We take pride in

 being a financially strong company, supported by our low -cost and asset -light business model.
As of March 31, 2024, our cash balance stood at INR 1,135 crores, including proceeds from the IPO of BLS E -Services Limited. Further, our esteemed Board have recommended a final dividend for financial year 2024 of INR 1 per share to the shareholders, including an interim dividend of INR0.50 per share.

With that, I would request the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Ravi Naredi from Naredi Investments .

Ravi Naredi: Fantastic result you have posted for FY24. Sir, iDATA, you mentioned by June '24, we complete acquisition. Can you tell top line, bottom line, our margin of iDATA for CY23 or FY24?

Amit Sudhakar: So see, iDATA, the last audited balance sheet for CY22, they had a top line of around EUR 20 million and EUR 10.5 million EBITDA.

Shikhar Aggarwal: For CY22.

Ravi Naredi: Okay. So after acquiring this company June 30, with complete formality, we are seeing any top line growth in FY25?

Amit Sudhakar: Yes, this revenue will get added to our existing revenue . Whatever is our existing business, this will add to that, and the existing revenues are also growing at around 15% every year.

Ravi Naredi: 15%. Sir, any modification in the business will happen due to iDATA, so many offices of our other countries will merge with this iDATA in future.

Amit Sudhakar: Yes, the whole advantage is that we will realign our offices with their offices. They are present , in more t han 10 countries and 5 countries are the common countries where we also have our offices. So the whole idea is to align those offices and get the necessary economy of scales from there.

Ravi Naredi: Okay. And sir, last, our enhanced EBITDA margin, which ri ses by 600 points, it will be continuing FY25, what is your prediction?

Amit Sudhakar: See, this 20% is now the base, and we are now looking at improving it in the current year and you will see that happening because of the business model we are trying to change from partnership to our own management, which will improve our EBITDA margins going forward as well as by acquisition. Th is company is generating an EBITDA of around 50%. So, the overall EBITDA margin will move up in the current year. We expect th is to start happening from the first quarter onwards.

 Moderator: The next question is from the line of Avnish Khara from Investec.

Avnish Khara: My first one is on the gross margins. So you had a decent quarter -on-quarter improvement, so maybe you can provid e some sort of colour on why exactly that has happened and whether it's sustainable moving forward?

Amit Sudhakar: Yes. As we explained in the previous question, that the business model, the way we are changing it, our margins will go on increasing now bec ause the margin we were paying to the partners will come down. And, as we start operations on our own, these margins will start improving. And that we have seen in the last financial year also.

Avnish Khara: Right. So then is it safe to assume that increme ntally, I mean, can you provide some sort of an internal target as to where they'll sort of level off?

Amit Sudhakar: Our intention is to be around 25% - 27%. That is our target to reach immediately. And then let's see from there how we can improve it further.

Avnish Khara: Right. And what are your effective tax rate expectations for the next 2 years?

Amit Sudhakar: We are now around 7% to 8%. It will go to around 12% -ish.

Avnish Khara: Okay. 12 -ish in FY '25. Is that fair to assume?

Amit Sudhakar: That's right. Because in the current year, there will be a higher tax es in Dubai , they have come up with a 9% effective tax. So we'll have some impact of that coming in.

Avnish Khara: And maybe if I can squeeze in one last question. You've spoken about volumes going down because of Ramadan festival, but that ended in April, right? And we've had sort of 1.5 months of Q1. So maybe you could throw some sort of colour on what kind of volumes we're seeing right now? And another question in relation to that, are we a lso may be planning any price hikes in the visa business?

Amit Sudhakar: So taking the second question first, the price rises are not there because the contracts have a fixed price rates, which have been fixed. So we don't have an option of just changing the pricing.

But as you said, because of the festival reason, which started from 10th of March, those 20 days, in the last year, which started in the month of April previ ous year. So we have seen the volumes have come back and we'll see a better Q1 on volum es compared to the Q4.
Avnish Khara: Got it. And on the iDATA front, what kind of ramp -up in revenues do you think is possible for FY '25, given that in '22 calendar year, they've done about EUR 20 million, so any sort of colour on where that can be for FY '25 for us?
Amit Sudhakar: Again, we are looking at scaling those operations by at least 25% to 30%, both on the top line as well as on the bottom line.

 Avnish Khara: Got it. And in relation to that, so your other expenses have spiked up because of the bu siness model change, right? But do you think that because of the iDATA acquisition and then sort of since you have offices in similar geographies, there is a scope for reducing other expenses as a percentage of the revenues?
Amit Sudhakar: Yes, it will be. But again, once we get into the operations, we will know much better.
Shikhar Aggarwal: Also because of the increase in other expenses, the EBITDA has been impacted .
Avnish Khara: Got it. I guess the reason that I'm asking this question is that I'm trying to ascertain whether your margins will be pulled up because of the gross margins or because of the opex that we're able to get under control. Which one will...
Amit Sudhakar: The gross margin will improve much more because of the improvement, and that would reflect in the EBITDA margins improvement.
Moderator: The next question is from the line of Anuj Jain from Globe Capital.
Anuj Jain: Congratulations on the very good set of numbers. So just want to understand, regarding that iDATA acquisition, I mean , due to what kind of problem, this acquisition is being delayed?
Shikhar Aggarwal: See, basically, we are doing a multi -jurisdiction acquisition. This company we're acquiring

is
present in 15 countries. So as a precondition, we have to get certain regulat ory approvals from different countries. So those formalities are going on. And that is the reason the acquisition timeline has shifted. Otherwise, the entire due diligence, everything is completed. But since we are a listed company, we cannot acquire a com pany without all the compliances.
Anuj Jain: So right now, we are comfortable with the date that you have given like 30th June. So we are comfortable with that date, or it can be extended further?
Shikhar Aggarwal: I think we are working towards according to that date. But you can understand this is a multi - jurisdiction acquisition, so I think so we are on track.
Anuj Jain: Okay. And I just want to understand one more thing. I mean, if we add up the iDATA numbers for FY25, we'll get some growth. So let's sa y, for example, without iDATA, what are the growth we are expecting from this visa business?
Shikhar Aggarwal: I can tell you the past historical figures, we did. 3 years back, we did a INR50 crores PAT then we achieved INR 100 crores and last year, we h ad INR 200 crores. And now for FY24, we closed at INR 325 crores of PAT, so which was a 60% growth compared to last year. So we have been growing quite, I think, above average, I would feel. And our objective always is to maintain whatever we achieve first , so whatever we have achieved last year, our objective will be to maintain that.

 Now last year, we won a few contracts with different governments. We renewed some contracts like the Spanish government, with Indian government. We won a few new contracts with Portugal government, Poland, Czech Republic, Germany, Italy. So all these contracts some revenue came in last year, but majority of the revenue will start coming in this year. So definitely, there will be a good growth in terms of the organic business that we have. On top of that, if you add the countries that have not fully opened up, if they open up, numbers should increase further. New tenders that we are bidding for. If you add on these acquisitions of iDATA and other companies also that we are look ing at. So definitely, we are in the last 2, 3 years, we are in a growing space right now, and that is the trajectory we want to scale.
Anuj Jain: Yes, that is very exciting, Shikhar. I just want to understand one more thing. I mean, like VFS Global, that is the major player. What kind of market share they are commanding and what is our market share?
Shikhar Aggarwal: See, there is no proper market share available in the world. So definitely what we know is VFS is probably double or more than that, maybe 3x our size. That is what we feel in terms of the market share that they are handling globally. But there is no proper numbers to find that out.
Anuj Jain: Got it. And one last question. I just want to understand like when you are planning to utilize

this is for this BLS E -Services, when you're planning to utilize the IPO proceeds?
Amit Sudhakar: If you see in our DRHP, we have worked out a plan of investing this money over the next 1.5 years. We have started the process and a couple of acquisition s are also part of the object of this money. Those are also in advanced stages. As and when we finalize those, the money will get utilized.
Anuj Jain: Okay. And for the cash portion that we are holding, I guess, we are running 5%, 5.5% on those cash levels, if I'm ri ght. Is that correct understanding?
Amit Sudhakar: So it depends. The money, which is in dollar, will be around 5.5%, to 5.75% maximum. And in India, the deposits are at the range of around 7%.
Moderator: The next question is from the line of Priyam Poddar from Value Equity.
Priyam Poddar: So this is with regard to the revenue. If you can share the revenue breakup of digital business between the BC and e -assisted and e -governance

for the full year?
Amit Sudhakar: So yes, for digital, for the year, it was IN R 315 crores. And visa business for the year was INR 1,361 crores.
Priyam Poddar: Okay. And secondly, if you can share, which are the top 3 to 4 countries for our visa and consular business revenue -wise?

 Shikhar Aggarwal: Now there basically, we are workin g in more than 66 countries globally, and we work with more than 46 client governments. So as of now there is no top country, but I could say that regions, in terms of region, we get a good amount of revenue from our operations in North America, wherein we have renewed our contract with Indian embassy. We get a good amount of revenue from Gulf coming in. From Africa, Northern Africa, also our revenue is quite good. From the European countries, from UK, so these are 4, 5 regions wherein we get good amount of revenue.
Moderator: The next question is from the line of Sakshee Chhabra from Svan Investment.
Sakshee Chhabra: Yes. Sir, I wanted to just understand that for Q1, what would be the sort of volume increase that you are witnessing in the visa issuances?
Shikhar Aggarwal: See, definitely, normally, Q1 is the tourist season, at least from India outbound, if you see. So I would say exact numbers, it's too soon, and we don't want to give any forward -looking statement. But I think probably 5% to 10%, we will see an increase in volume in Q1.
Sakshee Chhabra: Okay. But it would be not more than 10%?
Shikhar Aggarwal: I'm saying that could be the average and could be more or less, I don't know right now. But definitely, the numbers will be higher.
Sakshee Chhabra: Okay. But the issues that were there last year in terms of visa issuances, all that have been resolved now, right?
Shikhar Aggarwal: Which issues?
Sakshee Chhabra: There was like the time taken for visa issuances was much longer last year in the same quart er, right, in Q1, so according to that.
Shikhar Aggarwal: See, time issuance, judgment is not our prerogative. We work under the guidance of the government and whatever they inform us, we have to collect the application and transfer it to them. Time taken, everything is dependent on them. So right now the government that we are working for, we know that they are taking quite smooth time and the visa is being turned around in a short duration of time. So that is what we know.
Moderator: The next question is from the line of Mayur Bapodara, an Individual Investor.
Mayur Bapodara: Sir, congratulations on good set of numbers. Actually, my question was regarding iDATA. So the question is why there is so much difference in EBITDA margin? Like that is a huge differ ence, that 50% EBITDA margin of sales and ours is 20%. So can we expect that we can also improve our EBITDA margins after we synergize with iDATA?
Shikhar Aggarwal: See, they are a very niche and regional player working in only certain geographies from the

 last 15 years. And the government that they are working for, they've got contract at a very higher service charge. So definitely, that is the reason. And that was also one of the reasons we have acquired them. So that will also lead to an increase in our EBITDA margin, and we will also learn. We'll add value wherever we can to increase their profitability, but we will also learn and incorporate the things in BLS International. We are more focused on volume, so we will also learn and probably that will lead to an increase in EBITDA for us also.
Moderator: The next question is from the line of Manoj Agarwal, an individual investor.
Manoj Agarwal: I'm an individual investor. I'm pretty new to your company. So if you can tell me what you mentioned that in the p ress release that there is some transformation in your business model.

So what were the issues you were fa

cing in your current business model that you want to
transform it? And what would be a few challenges you would be facing?
Shikhar Aggarwal: First of all, we are looking at transforming and improving on the company every day. So that it is not like we have done something wrong, but it is a normal growth of the company that every day you think about what can be improved further, how you can transform the company going forward, next month, 1 year down the line, 2 years down the line. It's the changing environment we live in. So from that respect, we have mentioned that transformation.
And definitely, for example, in certain countries, laws have been chang ing. We were working with some FMC partners in certain Gulf countries wherein you're not legally allowed to own 100% of the entity. So we had to do revenue sharing with local FMC partners, and that has been changed now. We have done our 100% investment on our own. We are now getting the fruit of that revenue and profitability also. So from that aspect, we have mentioned that business transformation. But from a positive outlook, next year also, we will look at transforming something else. Wherever we see we can improve efficiency and benefit the shareholders and the company, we work on that.
Manoj Agarwal: Okay. So that would be for a few geographies or countries only, you are transforming on a global level?
Shikhar Aggarwal: Correct, correct.
Manoj Agarwal: Okay. And this would be for your visa and consular business only or you are taking this transformation to your digital business?
Shikhar Aggarwal: See, as of now, digital business is in a nascent stage. Right now we are not looking at implementing the sam e model. But right now only the visa and consular business.
Manoj Agarwal: Okay. And another question I have for your digital business is, its revenues are not expanding much. Can you please elaborate more on the reason behind that?

 Shikhar Aggarwal: No. I f you see the revenues that we have done, we achieved a revenue of INR 309 crores, which is a growth of 25% compared to last year. EBITDA, we have achieved around INR 50 crores, which is a growth of 37.6% compared to last year. So definitely, revenue and profitability has gone up. And this year also, we expect because of certain things that we have done, acquisitions that we are planning, the increase in the contract that we have got from different banks, e -governance contract that we have got, revenue and profitability to increase further.
Moderator: The next question is from the line of Manoj Sah from Laxgov Investments.
Manoj Sah: My question is the software that you use for the visa and consular services, is it like an in - house developed software or you use a third -party software?
Shikhar Aggarwal: See everything is in -house from us. The source code, everything is retained by us in -house, but we do use certain outsourced partners globally. In different countries, we have different partners for different k ind of requirements.
Manoj Sah: Okay. Just like for different countries, you will be using it in a local language or the language for the working is in English only across the globe?
Shikhar Aggarwal: Across the globe, it is in English. It depends on the r equirement of the client government.
Manoj Sah: Okay. And regarding your visa business and consular is around 81% of the total revenue. You're doing the digital business in that e -governance business. So you are doing it at the centre government level curr ently or you have tie up with state governments in India? And what are your plans for doing these kind of e -governance business in other countries as well?
Shikhar Aggarwal: We have tied up with both at the central level and state level also. Some of the o pportunities, some of the central schemes, Aadhaar, the data quality check and different kind of tenders

we're doing directly with them. And a lot of tenders we are doing with state governments, like we recently won the Gujarat land record registration con tract as well. So going forward, I see that ample amount of opportunities are there within India. But as we are a global company and we first want to excel in India and then take this model abroad, we are still looking at the same time in opportunities acr oss the world using our resources already present there. So I feel that when the time is right, we might take this global as well.
Manoj Sah: Okay. So as of now, you're doing this e -governance services in India in partnership with states and the centre, bu t in future, you might go abroad also.
Shikhar Aggarwal: Okay.
Manoj Sah: Okay. And what's the outlook for the FY25 growth, revenue growth? Because this year, it's like in this quarter, it was flat and for the whole year, it was like top line was just 10% growth.

 Any guidance for FY25?
Shikhar Aggarwal: First of all, as a company, I personally look at more EBITDA and PAT numbers. I feel we have done a 60% growth at EBITDA level. And a year before that, we also did more than 100% growth in EBITDA. So that is what we are focused on. And I feel definitely this year also, we will surpass the numbers that we achieved last year.
Manoj Sah: Okay. So are you trying to say that the focus is more on the margin side rather than the top line growth or a growth with the margin kind of.
Shikhar Aggarwal: See, definitely, our focus is the growth of the company from wherever it comes. Right now we see that there is a big amount of opportunity in the margin growth. So that is why we are focused on that. And revenue growth wil l come automatically with the new contracts, existing volume getting increased, everything. So definitely, if we focus on the margin growth, the revenue growth will come automatically.
Manoj Sah: And in the worldwide wherever you got orders, these are your direct orders from the government to you or you have got local partner, he gets the order, and you provide assistance with them. How does it go?
Shikhar Aggarwal: These are all direct orders.
Moderator: The next question is from the line of Priyam Poddar from Value Equity.
Priyam Poddar: So there is just one question that I want to ask. If you can help us, what was the contribution of Punjab government for FY '23 and '24, like the contract, which is no longer with us under digital?
Shikhar Aggarwal: I thin k probably it will be better if we talk on this individually because right now, we don't have the handy numbers, so from the numbers we can tell you later.
Moderator: The next question is from the line of Rikesh Parikh from Rockstud Capital.
Rikesh Parikh: Congratulation on a good set of number. Sir, I just wanted to understand for the EBITDA, we have added that we'll like to maintain 20% plus going forward. So that was excluding iDATA, we are looking at? Or how one should be looking at?
Amit Sudhakar: Yes, excluding iDATA.
Rikesh Parikh: Okay, excluding iDATA. So including iDATA, that kind of be in the next year, it could be in the range of 24%, 25%, if I look at the current EBITDA number of iDATA.
Amit Sudhakar: Definitely, definitely. I think, it will get in there.

 Rikesh Parikh: Secondly, in terms of growth, 15% growth what we are guiding 10% to 15% kind of accrued, so that is also excluding this acquisition, or we have included this?
Shikhar Aggarwal: All of this is excluding acquisition or new contracts or growth in volume.
Rikesh Parikh: Okay. So on the base margin, you're looking at 10% to 15% growth, right?
Shikhar Aggarwal: So growth, I think on a normal conservative basis, this is the growth that even for the last 4 years, we have been telling this amount of growth only. 10%

will grow, but definitely, numbers are changing. So we'll see.
Rikesh Parikh: And then, lastly, this iDATA acquisition is from our Dubai entity, if I'm not wrong?
Shikhar Aggarwal: Yes, it's from BLS subsidiary.
Rikesh Parikh: So means the cash, that we hold and means we have the profit that we can't fund it to India. So now again, the cash will be arising over there in Dubai, and we won't be able to reward the shareholders from that fund as well. So how do we propose to utilize t he cash holding at Dubai?
Amit Sudhakar: First, we are using th e cash for the acquisition of iDATA, whatever we have at the moment. And then secondly, we get dividend from FZE in India, and we use it for payment of dividends as well as for our funding req uirement in India.
Moderator: We have no further questions, ladies and gentlemen. I would now like to hand the conference over to Mr. Shikhar Aggarwal for closing comments. Over to you, sir.
Shikhar Aggarwal: Thank you, everyone, for joining in our Q4 and FY '24 earnings call. We hope all your queries were answered. In case of any further queries, please feel free to get in touch with Mr. Gaurav Chugh, our Head of Investor Relations, or the IR team at Ernst & Young. We look forward to interacting with you a gain next quarter. Thank you, and goodbye.
Moderator: Thank you. On behalf of BLS International Services Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer:
This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an

effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 15, 2024, will prevail.

Call: Aug 2024

August 12, 2024

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C-1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on August 06, 2024

In continuation to our intimation dated July 31, 2024, please find enclosed a transcript of the Earnings Call held on Tuesday, August 06, 2024 to discuss the operational and financial performance of the Company for the first quarter ended June 30, 2024.

The transcript is also available on the Company's website at https://www.blsinternational.com/

You are requested to take the same on your records.

For BLS International Services Limited

…………………………
Dharak A. Mehta
Company Secretary & Compliance Officer
Membership No.: FCS12878

Encl: as above

"BLSInternationalServicesLimited
Q1FY25EarningsConferenceCall"
August06,2024
MANAGEMENT:MR.NIKHILGUPTA–MANAGINGDIRECTOR
MR.SHIKHARAGGARWAL–JOINTMANAGING
DIRECTOR
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER
MR.LOKANATHPANDA–CHIEFOPERATING
OFFICER–DIGITALBUSINESS
MR.GAURAVCHUGH–HEADINVESTORRELATIONS
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BLSInternationalServicesLimited
August06,2024
Moderator: Ladiesandgentlemen,goodday,andwelcometoBLSInternationalServicesLimited

Q1FY25EarningsConferenceCall.Asareminder,allparticipantlineswillbeinthelisten-onlymode,andtherewillbeanopportunityforyoutoaskquestionsafterthepresentation concludes.Shouldyouneedassistanceduringtheconferencecall,pleasesignalanoperatorby pressingstarthenzeroonyourtouchtonephone.Pleasenotethatthisconferenceisbeing recorded.
I'llnowhandtheconferenceovertoMr.GauravChughfromBLSInternationalServices Limited.Thankyou,andovertoyou,Mr.Gaurav.
GauravChugh: Thankyou,Sumit.VerygoodafternooneveryoneandthankyouforjoiningtheQ1FY'25 earningscallofBLSInternationalServicesLimited.Todiscusstheoperationalandfinancial performanceofthecompany,wehavewithusonthecalltoday,Mr.NikhilGupta,our ManagingDirector;Mr.ShikharAggarwal,ourJointManagingDirector;Mr.AmitSudhakar, ourChiefFinancialOfficer;andMr.LokanathPanda,ChiefOperatingOfficerofourDigital business.
Thecompany'sinvestorpresentationandpressreleasehasalreadybeenuploadedonthestock exchangesaswellasonthecompany'swebsiteandwehopeyouallhadanopportunitytogo throughthesame.
Letmeremindyouthatthisdiscussionmaycontainforward-lookingstatementsthatmay involveknownorunknownrisks,uncertaintiesandotherfactors.Itmaybeviewedin conjunctionwithourbusinessesthatwouldcausefutureresults,performanceorachievements todiffersignificantlyfromwhatisexpressedorimpliedbysuchforward-lookingstatements.
IwouldliketohandoverthecalltoShikharAggarwalforhisopeningremarks,postwhich Mr.AmitSudhakarwilldiscussthefinancialperformance,andthenwewillopenthefloorfor aninteractiveQ&Asession.Thankyou,andovertoyou,Shikhar.
ShikharAggarwal: Thankyou.ThankyouallforjoiningBLSInternational'sQ1FY'25EarningsCalltoday.We trustyouhadanopportunitytohavealookatourresults,pressreleaseandtheinvestor presentation,whichareavailableonboththestockexchangesandourcompany'swebsite.
I'mdelightedtosharewithyouthatwehavecommencedFY'25byachievingsome significantmilestones.Firstly,wehavecrossedINR500croresintermsofconsolidatedtotal incomeinthequarter.OurtotalincomeinQ1FY'25wasINR510crores,whichisagrowth of31%fromthesamequarterlastyear.Thiswasalsothequarterwiththehighest-ever quarterlyprofits.WehavedeliveredaprofitaftertaxofINR120.8crores,whichisa remarkable70%year-on-yeargrowth.
Iwouldalsoliketotakeamomenttopointoutsomeinterestingfacts.Ifyoulookatour numbersfewyearsback,inFY'21,wedidarevenuefromoperationsofINR478croresinthe

fullfinancialyear,whichislowerthantherevenueofINR493crores,whichwererecordedjust inthisquarteritself,whichisQ1FY'25.Andthisisjustnotfortherevenue.Itisalsofor otherkeyfinancialparameterslikeEBITDAandPATaswell.Ibelievethisisatestamentto ourfocusonsustainablegrowth.
NowcomingbacktoQ1FY'25,ourrevenuesfromoperationsduringthequarterhave reportedastronggrowthof28%year-on-year.Thegrowthhasbeenlargelydrivenbygrowth inourVisa&Consularsegment,whichhaswitnessedanincreaseinvolumes,growing18% fromthecorrespondingquarter.Thevolumegrowthhasbeenduetogrowthcomingfromnew contractsaswellasgrowthfromourexistingcontracts.
Ourenhancedpenetrationintargetmarketsandstrongindustrytailwindsfromglobaltravel andtourismduringthequarterhavealsocontributedpositivelytoourgrowth.Aswehave beenmentioningaboutthetransitioninourbusinessmodelfrompartner-runmodeltoself-run model.Overthelastfewquarters,wehavebeensuccessfulinthistransition,andwearenow startingtoseeresultsinexpansionofthemargins.Andwearehopefultoseefurtherpositive outcomefromthisstrategicmoveinthefuture.
AnothermilestonethatwehaveachievedistherecentlycompletediDATAacquisition.We havesuccessfullycompletedthe100%acquisitionofiDATA,aleadingTurkey-basedVisa& Consularserviceplayer.TheintegrationofiDATA'sbusinessoperationswithBLSwill furthersolidifyourpresenceintheEuropeangeography.Wewillstartseeingthe consolidationofthisacquisitionfromQ2FY'25onwards,andwearealsoexploringfurther synergieswhichwillfurtherhelptooptimizeouroperations.
OurDigitalServicebusinesscontinuestowitnessgrowthtraction,whiletherevenuesinQ1 FY'25wasatsimilarlevelsascomparedtoQ1FY'24.Wecontinuetodeliveragood performanceintermsofprofitability.Ourcontinuousfocushasledtoanincreaseinmargins andoperationalefficiencies,whichhasenabledushigherprofitabilityinthisquarter.We continuetowitnessgrowthinthissegmentwiththeadditionofnewbanksandCSPduringthe quarter.Asof30thJune2024,wehad27,000plusCSPsandmorethan110,000touchpoints.
Inthisquarter,theBCbusinesshasseenover3.5crorestransactionswithGrossTransaction

ValueofaroundINR20,000crores.Further,inlinewithourcommitmenttopromote
financialinclusionanddigitalempowerment,wesignedadefinitivesharepurchaseagreement
toacquire55%controllingstakeinAadifidelisLoanSolutionanditsaffiliates,whichisone
ofthelargestloandistributionprocessingcompaniesinIndiawithPan-Indiapresence.A
networkof8,600pluschannelpartnersenabledAadifidelistofacilitateaveragemonthlyloan
disbursementofmorethanINR1,500crores.TheacquisitionisexpectedtocloseinQ2
FY'25andwillalignwithourcompany'sportfolioofBusinessCorrespondents-ledcitizen-
centriclastmilebankingdeliveryandprovideamplecross-sellingopportunities.

Toconclude,withincreasedbusinessconfidenceandtravel-facilitatingmeasuresandrising
aircapacityandconnectivityacrosstheglobe,weanticipatesignificantboosttothe
internationaltourismandcorrespondingdemandofvisaapplications.Wearewitnessinga
positivemomentumandareoptimisticaboutsustaininggrowththinthefuture.
Wealsoareresoluteinourbeliefthatourstrategicgrowthinitiativesandacquisitionswill
generatesubstantiallong-termvalueforourstakeholders.Meanwhile,we'llcontinuetofocus
onourinorganicgrowthinitiatives,whereinwewouldbetargetingsynergistictech-enabled
businesses.
NowI'llturnoverthecalltoMr.AmitSudhakar,ourCFO,forfurtherupdatesonfinancial
performance.Thankyou.
AmitSudhakar: Thankyou,Shikhar.Goodafternooneveryone.I'mpleasedtopresenttheconsolidated
financialperformanceforthefirstquarterendedJune30,2024.Ourconsolidatedrevenue
fromoperationsincreasedby28.5%toINR492.7croresfromINR383.5croresinQ1FY'24,
largelydrivenbygrowthinVisa&Consularbusiness.TheEBITDAsurgedby66%to
INR133.2crorescomparedtoINR80.1croresinQ1FY'24.EBITDAmarginimprovedto
27%inQ1FY'25,upfrom21%inQ1FY'24,showingasignificantexpansionof615basis
points.PATinQ1FY'25witnessedarobustgrowthof70%toreachINR120.8crores
comparedtoINR71.0croresinQ1FY'24,withamarginimprovementof600basispointsto
24.5%inQ1FY'25.
Nowmovingtot

hesegmentalhighlights.RevenuefromVisa&ConsularServices
experiencedastronggrowthof36%toregisterrevenueofINR414.1croresinQ1FY'25,up
fromINR304.8croresinQ1FY'24.EBITDAgrewbyarobust71%Y-o-YtoINR121.3
croresinQ1FY'25withamarginof29%,whichexpandedby600basispointsascompared
to23%inQ1FY'24.Themarginshavewitnessedanexpansionduetohighervolumes,
transitiontoanewbusinessmodelaswellasoureffortstobringinoperationalefficiencyin
ourbusinesses.Thenumberofvisaapplicationsprocessedduringthequarterhaverisenby
18%from7,21,000applicationsinQ1FY'24to8,50,000applicationsinQ1FY'25.
WehavealsoannouncedthecompletionofiDATAacquisitionrecently,foraconsiderationof
INR720crores.Thisisalargemilestoneforthecompanyandwewillwitnessthesynergystic
benefitsfromQ2onwards.iDATAisaprofitablecompanyandrecordedINR246crores
revenuewithINR144croresinEBITDAincalendaryear2023.
OurDigitalBusinessrevenuestoodatINR78.5croresinQ1FY'25comparedtoINR78.7
croresinQ1FY'24.TheEBITDAsurgedby31%Y-o-YtoINR11.9croresinQ1FY'25,
againstINR9.1croresinQ1FY'24.TheEBITDAmarginsat15.2%wereup358basispoints
from11.6%inQ1FY'24.

Thecompanycontinuestomaintainastrongbalancesheetwithcashandcashequivalentof
INR1,290croresason30thJune2024,andstrongreturnratioswithROEof29%andROCE
of32%onanannualizedbasis.
Withthat,Iwillrequestthemoderatortoopenthefloorforquestions.
Moderator: ThefirstquestionisfromthelineofNikhilShettyfromNuvamaWealth.
NikhilShetty: Congratsonastrongsetofnumbers.Myquestionisonmargins.So,wehavewitnessed
substantialgrowthintheEBITDAmargininVisa&Consularbusiness.AndasIunderstand,
numberofiDATAisyettobeaddedtothenumbers.So,whatledtothisgrowth?AndImean,
howmuchofourpartner-basedcentersaretransitionedtothecompany-ownedmodel?And
whatiskeyreasonbehindthegrowthintheEBITDAmargininVisabusiness?
ShikharAggarwal: Yes.Thankyou,Nikhil.So,asyouknow,wegrew600basispointsinEBITDAmarginlevel,
nowwearestandingat29%EBITDAmarginsfrom23%.Andthereare,Ithink,acoupleof
factorsforthisgrowth.Definitely,ifyouseethatinsomecountries,wehavetransitionedto
ouronemodel,Ithink4,5countrieshavealreadytransitioned,more3,4,5countriesare
expectedtotransition.Wehavegottenanincreaseinservicefee.Wehavewonnewcontracts
athigherservicecharges,eventhoughexistingcontractthatwere-tenderedwehavewonat

higherservicecharges.Sotheservicefeehasincreased.
Also,therehasbeenanincreaseinsomeconversionsofdifferentservicesacrosstheworld.So IthinkthatisthereasonforincreaseinEBITDAmargin.Andyes,wehavealsoseena growthinrevenueof36%.Volumeofapplicationshavealsogrownby18%.SoIthinkthose aresomeofthefactorsthathaveledtoincreaseinEBITDAmargin,andwethinkthatthisis sustainableanditcangrowfurther.AndyetacquisitionofiDATA,thenumberswillbeadded fromsecondquarter.
NikhilShetty: Yes.ButjusttogetmoreclarityonEBITDAmargin.So,aftertheintegrationofboththe acquisitions,howmuchmargindoyouexpectonablendedbasisforFY'25?
ShikharAggarwal: Theexactnumber,wedon'tknow.Butdefinitely,weseefurtherupsideinourmargins.Ifyou seelastyear,wedid21%,yearbeforewewereat15%-16%.Soconstantly,theEBITDA marginshavebeengrowinganddefinitely,afterthisacquisition,wedefinitelyfeelthat EBITDAmarginscangrowfurther.
NikhilShetty: Okay,sir.Andlastly,sir,despitehavingINR1,300-oddcroresonourbalancesheet,weare planningtoraiseINR2,000-oddcrores.Ibelievethisisforacquisitionaswell.Soisitfairto believeyouhavealreadyidentifiedthetargetcompany?

ShikharAggarwal: So,Nikhil,firstofall,thismoneyINR1,290croresthatwehaveonthebooksisasoffirst quarter-endandpostthattheacquisitionofiDATAwasdone,somoneywaspaidfromthat. Also,AadifidelisLoanSolutionthatwe'veannounced,wewillbeusingthiscash.So,cash leveldefinitely,intheshortterm,willbeutilizedintheseacquisitions.Obviously,inthenext fewmonthsandyears,weexpectmorecashtocomeintothecompany.Butsee,thiswasan enablingresolutionthatwepassedintheBoardmeetingandinthefollow-upAGMwewish totakethatup.Butdefinitely,weareconstantlylookingatgrowthopportunitiesofthe compan

y.Organically,wearelookingatnewcontracts,newergeographiesandinorganically theseacquisitions.
Sodefinitely,wearetalkingconstantlytodifferentoutsourcingcompanies,notonlyinVisa, butalliedsectoraswell.So,thiswasanenablingresolution,andthatiswhywepassedit.But definitely,wehaveplannedforthefutureasandwhencompaniesthatwe'retalkingto,oneof itgetsclosed,thebiggeracquisitions,thenwewillbeaccordinglyraisingthefunds.
Moderator: ThenextquestionisfromthelineofSandeepAgarwalfromNarediInvestments.
SandeepAgarwal: Mr.Aggarwal,youdidmiracleincompany.Congratulations.Andweareashareholdermore than5years,soweknewthiscompanythroughout.Wewishallthebesttoyouandyour employees.Sir,myquestionis55%controllingstakeyouboughtforloandistribution,soitis forBLSorBLSE-Services?
ShikharAggarwal: Thankyou,firstofall.IthinktheentireteamofBLSInternationalisworkinghardtodeliver goodgrowthonasustainablebasis.Sodefinitely,inthefuturealso,weexpectgoodgrowth comingin.Thiscompanyhasboughttheloandistributioncompanyinitssubsidiary-BLSE-Services.55%willbeheldbytheBLSE-Services.
SandeepAgarwal: Okay.Secondly,after100%acquisitionofiDATA,howmuchcashwehave,orweraised somedebt?
ShikharAggarwal: Asoffirstquarter-end,wehavegiventhecashnumbersofINR1,290-oddcrores.Postthat, wehaveutilizedcertaincashintheacquisitionofiDATA.
SandeepAgarwal: AfteriDATA,"YehDilMaangeMore"sowhatisnext?
ShikharAggarwal: See,weare--aswe'vespoken,weareamaturecompanynow,andwearefocusingon sustainablegrowthandweseethereisampleopportunitiesinthemarket.Soweare--asyou know,wehavebeenaconservativecompanyutilizingourcasheffectively.Soaccordingly, wearelookingatmultipleopportunities,bothinorganicallyandorganically,andwewishto doacquisitionsthatwillberevenueaccretive,EPSaccretive,andwe'llonlyfocusonthat.So definitely,wewanttogrow,butonasustainablebasis.

Moderator: ThenextquestionisfromthelineofAmitChandrafromHDFCSecurities.
AmitChandra: Yes.Soonthemarginexpansion,obviously,themarginexpansionhasbeenprettydecent, andithasbeenthehighestmargin.So,wesaidthattransitioningfrompartner-runcentersto self-managedcentersasthemainreason.So,ifyoucanthrowsomemorelighthereinterms ofhowmanycenterswehaveintermsofself-ownedandoutsourcedasofnow?Andasfaras myunderstandinggoes,shiftingtotheself-managementalsoinvolvesthecapex,likeowned centers.So,isitturningtowardsmoreasset-heavykindofamodel?
ShikharAggarwal: So,Amit,firstofall,thisincreaseinmargins,oneofthereasonsistheshiftfrompartner-run modelstoself-ownedcenters,buttherearemultipleotherfactors.Ifyousee,wehavegot increaseinservicechargesfromourexistingclientgovernmentandnewtendersthatwehave

wonatgoodhigherservicecharges.Therehasbeenincreaseindifferentvalue-addedservice feealso,increaseinconversionaswell.So,therewere multiplefactorsthathasledtoan increaseinmargin,andthatissustainable.Thecapexthatpertains,IthinkAmitcanaddon that.

AmitSudhakar: So,Amit,ifyousee,ourdepreciationandouremployeecostshavegoneupcomparedtothe lastquarters,andonlyduetothisthatwehavegotpeopleonourownpayrollaswellaswe haveinvestedinnewfacilities.Therefore,thedepreciationhasalsogoneup.So,itis reflectinginthoseratherthaninEBITDAdirectly.So,theimpacthascomefromhedge actually.

AmitChandra: Okay.Sointermsofthe615bpsmarginexpansionthatwehad,howmuchwecanattribute towardsshifttowardstheself-ownedcentersandhowmuchwouldbefromthecostsaving measuresandhigherrealisationandthevalueaddservices,canyoucangivesomebreakupon thatorsomemorecolorthatwouldbehelpful?

AmitSudhakar: Wedon'thaveaspecificbreakup,butyoucanseethatthevolumegrowthhasbeenabout18%, whereastherevenueinvisaandconsularbusinesshasgrownataround35%.Sothatshows theincreaseintherevenue,whichwehavedonethat,whichisimpactingtheEBITDA.Onthe otherhand,ifyoutakeouttheincrementalemployeecostsandthedepreciation,thatwillgive youthenetincrease,whichhascomeinfromEBITDAmargins.

AmitChandra: Okay.Andwehavealsoseenquitesubstantialincreaseinthenumberofapplicationsandalso therevenueperapplicationhasbeenincreasing.So,intermsofthetotalapp

lications,ifyou canprovidehowmuchhasbeenfromIndianandforeigncentersormissions,whatisdriving thishigherrealizationandhighervolumegrowth?Isitsomespecificcenter,specificcountries? Orislikewidespread?

AmitSudhakar: So,see,thisiscomingfromnewcontractswhichwehavewon.AndinIndia,wedonotmore than10%ofthetotalrevenue.So,90%isalloutsideIndia.Andthegrowthiscomingfrom IndiaaswellasfromoutsideIndiainthesenumbers.Itisonhighervolumesfromtheexisting

centersaswellasthenewcenters,whichwehaveopenedforthenewcontractswhichwe havewonoverthelastoneyear.

AmitChandra: Okay.So,allthecontractsthatwehavewonisalreadyintothis?So,fromhere,wecansee thegrowthlikenormalizingortherearesomeothercontractsthatwe'rewinningandthereis possibilitythatthisnumbercangrowfurtherbecauseiDATAiscoming,soitopensupanew market.Sohowdoyouseethisintermsofnumberofapplications?

ShikharAggarwal: Ithinkifyouseethevolume,wehavegrown18%intermsofthevolumeinfirstquarter.This obviouslydoesnotincludetheacquisitionnumbers.Thenumberswillgrowfurther.ButI thinktheopportunityinthemarketishumongousintermsofoutsourcedmarketitself,there aremultipletendersthatarecomingupforbidding,andwearedoingpilots.Wehaveabunch ofcontracts.Ifyouseeinthelastoneyear,wehavewonmultiplecontractswithmultiple governments.Inthefuturealso,weexpectsomemarketsharetocome-infromthat. Thentherearenon-outsourcedmarketsalso,whichwillcontinuetooutsource.Moreandmore outsourcingwillhappen,moreontheproductionwillcome.Sodefinitely,wethinkthatwe cansustainthegrowthmomentum.

AmitChandra: Sir,Ijustwantedtounderstandbecauselast4quarters,thevolumeapplicationshasbeen mostlyconstant.Wehaveseenajumpinthisquarter.So,thegrowthiscomingfromexisting contracts?Orisittotallyfromanewercontractinthisquarter?

ShikharAggarwal: Somegrowthisalsocomingfromexistingcontracts.Chinaisnowbacktopre-COVIDlevel. Butobviously,majorityofthegrowthiscomingfromnewercontractsaswehavebeen talkingthatwehavebeenwinningnewcontracts,deployingthem.So,volumegrowthhas startedtocomeinfromthoseaswell.

AmitChandra: Okay.Andintermsoftherealizationgrowth,obviously,ithasbeengrowingsteadily.Sothat couldbeoneofthereasons.Butapartfromthat,isthereamixchangealsoareasonforthe increaseinapplicationsandhowthisapplicationwilllooklikeafteriDATAintegration?

ShikharAggarwal: Honestly,Amit,I'msorry,butyouarenotveryclearonthelastquestion.Ithinkyou're talkingaboutthevolumeofiDATA.So,theydo650,000orsomethingoddapplications annually.

AmitChandra: No,no.Iwastalkingaboutthenetrevenueperapplication.Thathasbeenonanincreasing trend.Sohowmuchofthatisfromthechangeinthemixofinternationalversusdomesticand howmuchisfromvalue-addedservices,ifyoucanprovidesomecoloronthat?Andalso, howtherevenueperapplicationisofiDATA?

ShikharAggarwal: So,revenueperapplicationofiDATAishigherthanBLSInternationalbecausetheyare operatinginspecificgeographiesathigherservicecharges.ButIthinkourrevenuemix,Amit

Sudhakarifyoucansharemore.
AmitSudhakar: Thisall,iscomingfromoutsideIndiaonlymainlybecauseinIndia,wehaveaverylimited revenue.
ShikharAggarwal: IthinkmaybeyoucanhaveacallwithAmitSudhakaronyourquestion.
Moderator: ThenextquestionisfromthelineofSamirPalodfromAUMFundAdvisors.
SamirPalod: Wonderfulsetofnumbers.Ifyoucanjusttalkalittlebitaboutcashflow,theEBITDA growthandhowmuchofthatEBITDAhastranslatedintocashflowfromoperations,that wouldbeveryhelpful?
ShikharAggarwal: Yes.IthinkAmit,ourCFO,willtakethisup.
AmitSudhakar: So,Samir,ifyouseeournumbersandthegrowthincashflow,moreorlesstheEBITDAwill matchwithourincrementalcashposition.Wehavegivenourquarterlycashbalances,the increaseifyouseeismoreorlessmatcheswiththeEBITDAthatwehavedone.Becauseour businessesareall-cashbasis,itreflectsdirectlyintoourcashbalances.So,ifyouseethecash balancehadmovedbyINR154croresinthisquarter,ifyouaddthedepreciation,itwillbe approximatelycomingtothesamenumbers,aroundthat.
SamirPalod: Fairenough.Andifyoucanjusttalkalittlebitabouthowyouseetherestoftheyeargoi

ng
foryourVisaprocessingbusiness,foryourcurrentbusinessandfortheacquisitionbusiness separately?Anddoyouseefurtheroperatingleverageinyourmarginsgoingthroughthenext 3quarters?
AmitSudhakar: Soifyouseeinthelastcoupleofquarters,wehavetalkedaboutthisshiftwhichwewere doingfromapartnership-modeltoourown-model,andtheimpactstartedcomingfromthis quarter.Andthesecond,therehavebeenatailwindasfarasglobaltravelisconcerned,which ishelpingusinthevolumeofbusinessinmostofthecenters.Sothatgrowthiswhatwehave doneinthisquarter,wefeelthatthismomentumwillcontinueforthecurrentyear.Andover andabovethat,theacquisitions,whichareinthepipelineastheywilladdandtherewillbea valueEBITDAaccretivefromtheday1,willaddfurthertothetoplineaswellasthemargins.
SamirPalod: Butintermsofsortofsteerintermsofwhatwouldbethegrowthyouthinkinyourbase businessaswellasintheTurkeybusiness.
AmitSudhakar: So,see,wehavedoneagrowthinthisquarterabout18%inthevolumes.Andoverall,about 35%ontherevenue,webelievethatwillcontinueandthegrowthintheEBITDAshouldalso beonthesamelineasfortheexistingbusinessisconcerned.Andoncetheseacquisitionsare completed,additionalEBITDAwillbeaddedtothesame.
Moderator: ThenextquestionisfromthelineofKevinJainfromPLCapital.

KevinJain: Shikharandtheteam,congratulationsforthesekindsofnumbers.Onepeculiarparticular thing,whichIhavenoticed,whichisnotthereanyoftheIndiancompaniesforthefirstfull financialyear,March'22,yourentireconsolidatedprofitwasINR111crores.Andthisisa testimonythatinthefirstsinglequarterofMarch'25,youhavedoneINR120crores,whichis higherthantheentireprofitoffinancialyearFY'22.Congratulations.Nowonefundamental questionwhatIwanttoaskthatyouandyourmanagementhaveseentheevolutionofVFSor anyoftheglobalmajorsright?Nowtheyhavealsoacquiredseveralregionalplayers.So,ifI weretoaskthatBLSisatwhichjunctureortrajectoryintermsofacquiringnow,asyouhave acquirediDATA,right.Whatisthepathwayfornext5to6years?Andwhathasbeenthe journeyofVFSoranyglobalequivalentmeasure,seebecauseyouracquisitionisoneofthe mostrelevantthings,right?Becausethenyoumakeaverystrongpipeandaverystrong funnel,andcredentialshelpstobuildoncredentials.So,canyouthrowsomeperspectiveon thismatchingthetrajectoryofVFS,whatareourrenewedstrengthascomparedtoVFS?That wouldbehelpful.
ShikharAggarwal: So,Kevin,ifyouseeinthelast4years,wehavegrown92%CAGRlevelinEBITDA.And thatwasallorganicallydone.Nextfewyearsalso,ifyoudividethebucketofgrowthofBLS, ourfirstfocusisonorganicgrowth,howwecanorganicallyincreasetherevenuefromour existingcontracts,getmoreoutsourcingfromourexistingclientgovernments,increaseour geographicalpresence.
AndthenSecondishowwecanwinmorecontractsfromthecompetition,whicharecoming upforrenewal,wherewecanbuildacertainmarketsizeshare.Thenifyouseealotofnew governmentswhichhaveneveroutsourcedlikePhilippines,Brazil,werecentlywon,more governmentsarenowinthepipeline,whichareoutsourcingforthefirsttime.Someexisting governmentsareoutsourcinginthenewergeographiesforthefirsttime.So,firstfocusison that.
Thendefinitelyacquisitions.Ifyouseethereareonlyahandfulofplayersinthisbusiness globally,bigplayersandthenahandfulofregionalplayersaswell.Andwehaveacquiredone ofthosesizableregionalplayersiDATA.Sonextfewyearsalso,thekindofcashthatthe

companywillthrow,wearelookingatconstantlygrowingthecompanybothinVisa
outsourcingandalliedgovernmentoutsourcingservicesglobally.
So,wearelookingatdifferentacquisitionopportunities.Regionalplayersacrosstheworld
thatcanbeEPSaccretive,economiesofscalehelpusenterintonewermarketandwegetour
moneybackinacertainnumberofyears.Sodefinitely,wearelookingatthosekindsof
acquisitionsandalsoVisaoutsourcingalliedfieldingovernmentoutsourcingwheretheyare
goodcontractsbeingheldbythosecompanies.
Sonextyear,Ifeelgrowthwillcomeonallfronts,andIfeelthatwecansustainthegrowth
momentum.Ifyouseeourcompetitors,wehavewon14to15newcontractsinthelast1to

1.5years,andmostofitwasfromthecompetition.Somegovernmentshaveo

utsourcedfor
thefirsttimealso,thatmostofthiswaswinningmoremarketshare.Sothatiswhywesee
goodgrowthcominginallfrontsofthecompany.
KevinJain: Weabsolutelygotit.MylastquestionisthatfromQ2orQ3,youwillbegivingacombined
consolidatednumberonaline-by-linebasis.Sologicallyspeaking,whenyouintegrateyour
numberswithiDATA,yourmarginsatEBITDAlevelandaPATlevelthenwouldbe
substantiallyhigher.Andwilltherebeanycostsynergyintimestocome,notimmediately
fromtheiDATAbusinessoverthenext1.5to2years,whichyouwilleventuallyfocuson.
AmitSudhakar: SoKevin,first,justtogiveyousomenumbers,iDATAlastyearhasclosedaboutINR240
crorestoplineandhadanEBITDAofaroundINR140crores,sothosewillgetline-to-line
consolidatedwithus,whatwewouldbedoingitfrom,10thofJulyonwards.Thosewillbein
ourbooksdirectlycomingin.
Thenwhatwehavedoneiswehaveanalyzedthatoutofthose15locationswheretheyhave
officesoutofthem,7or8places,wealsohaveourofficesandwearetryingtoseeto
synergizethoseofficesandgetthebenefitofcostandaswellasoperations.Sothese
efficiencieswilladdvaluetothewholetransaction,whichweplantodo,itwilltakeacouple
ofquarterstoalignthoseoperations,sothatwillhaveanotherbenefit,whichwewillsee.
KevinJain: Perfect.Igotthebestperspective.Wishyougoodluck.
Moderator: ThenextquestionisfromthelineofJaiprakashfromKormanCapital.
Jaiprakash: Questionontheseasonality.Isthereanyseasonalityinthebusiness?LikethereisQ1
generallythestrongerthanotherquarters?
ShikharAggarwal: Yes.Definitely,weseegoodnumberscominginQ1.Thereisagrowthintermsofcertain
geographies.Butnowglobaltravelhascometoasimilarlevelacrossallthemonths,that's
whatIfeel,soIfeelthatifyouseetheacquisitionsthatwehavedone,thenewcontractsthat
weareplanning.So,Ithinkdefinitely,weseeagoodgrowthcominginallthequarters.
Jaiprakash: Okay.Sir,justtounderstand,wedidtheIPOofthisBLSe-services,right?So,Ijustwanted
tounderstand,likewhatwasthereasonwedidtheIPOandbecausecompanyseemstohave
enoughcashonthebalancesheet.So,ifyoucanjustgiveouttherationale?
AmitSudhakar: Jaiprakash,webasicallywantedtodealinboththebusinessesseparately.Andtheybothhave
theirowngrowthplansandtocatertotheirfundingrequirementsoftheirfuturegrowth,we
wantedtokeeptheminsulatedwitheachother.Wedonotwanttousethecashgeneratedby
Visabusinessintothedigitalbusinessrequirementaswellthedigitalbusinesscashgeneration
intoVisa.

Soforthatangle,wehavedelistingthatindirectlythiscompany.Andnowtheacquisition
whichwehaveannouncedofAadifideliswillbedonebytheIPOofundsthatwehaveraised
forthatexpansion.SothosefundswillbeusedforthegrowthoftheBLSe-servicesfuture
growthrequirements.
Moderator: ThenextquestionisfromthelineofArvindKumarSharmafromGemologicalScience
International.
ArvindKumarSharma:Mr.ShikharAggarwal.Wehavegotveryactualresults.Actually,BLSistheonlycompany
whichishavingbusinessinternationallyandgettingtheprofits,otherwise,allthecompanies,
whicharehavingglobalbusinessareindeeptrouble.Onlycompanieswhichareconcentrated
onIndiaareprofitable.OnemoretimeIwanttocongratulateyou.Sir,myquestionisthatwe
havegoneforIPOofBLSe-services.ButwehavetheINR300crores,itisbeingunutilized.
Whatisthereason?
AmitSudhakar: So,Arvind,thelastquestionIexplainedthattheIPOoffundingwearegoingtouseforthis
acquisition,whichisinthefinalstagesnow.Wearesigningadefinitiveagreement.Andonce
thathappens,wewillbeutilizingforthataswellasthebalancewillbeusedforthegrowth
capitaloftheBLSe-services,whereweareinvestingintheITinfrastructureaswellasweare
goingtoopene-storesaswellastheacquisitions.So,thereareacoupleofmoreacquisitions

inthepipeline.Asandwhentheygetcrystallight,wewillbeannouncingthatalso.
ArvindKumarSharma:Actually,weareaddingalotofopportunity.Imeantosayinourrealbudget,weareagain emphasisonretailinfrastructureofIndia.So,youhavedoneverygoodoutsideIndia,letus considertoIndia.
AmitSudhakar: SoBLSe-servicesfocusingonlyonIndia.
ArvindKumarSharma:Yes,that'swhatIwanttosuggest,youmightbeknowingitbetterthanme.
AmitSudhakar: Thanksforyoursuggestion.Thankyou.
Moderator: Thenextquestionisfromthelineof

SunnyRoy,anindividualinvestor.
SunnyRoy: Yes.So,IjustsawthatyouarehavingenrichedresolutionofINR2,000crores,viaQIPor anyothermode,somayIknowwhattheintentorreasonissincewehadanegativeworking capitalandyouhaveflushedwithcash.SowhydoyouwanttoraiseuptoINR2,000crores viaQIPoranyofthemode?
AmitSudhakar: So,SunnythatwasexplainedbyShikharalsothatthisisanenablingresolutionwehave passed,andwhichwillrequireanAGMapprovalalsoandwewillkeepithandyforifweare lookingatlookingatacquisitionsglobally.Ifthearesomebigacquisitionscomein,wewill havetoatthattime,takeacallofraisingthesefunds.So,atthemoment,theseareallenabling

resolution.Nospecificfundraisinghasbeenbroughtoutatthemoment.
SunnyRoy: Okay.So,youdon'thaveanyconcreteM&Aplanasofnow?
AmitSudhakar: No,no.Asandwhen,wehavesome,wewillbethenraisingthefunds.
Moderator: ThenextquestionisfromthelineofSachin,anIndividualInvestor.
Sachin: Congratulationsonamazingsetofresults.Justwantedtocheckifthereareanyopportunities forrevenuesbetweenthe2firms,BLS'se-servicesaswellasinternational.Idon'trecall specificallywhere,butisthecompanylookingattravelinsuranceasasegmentrevenue?And isthatsomethingthatthecompanyislookingat?Andalso,intermsoftheexchangerate fluctuationsandsoon,howwellisthecompanyinsulatedbecausewe'rejustseeingthatinthe newsnowthatthere'salotoffluctuationswiththedollar.Canyoupleasethrowsomelighton that?
AmitSudhakar: Soasfarastravelinsurance,thisfacilitywegivepartofthevalue-addedservicestothe travelers.Thatwegivethemacoupleofcountries,wegivethattheoptionofapplyingfora travelinsurancebecausethatisamandatoryrequirementfortheVisa.So,weprovidethose servicesfromrespectivetravelinsurancecompanies.Andasfarastheexchangerate,wehave anaturalhedgethatourallcontractsareinUSDorinEuro.So,wecollecttheequivalentlocal currencymatchingwiththeachievedrate.So,wedon'thaveanexchangerateriskinherited intothesystem.
Sachin: Okay.Andalso,intermsoftheenablingprovisionofINR2,000crores,Ididn'tseewhether debtwasanoption,itmoreinclinedtowardsequity,butnotsureifdebtisanoptionorthereis goingtobeequitydilutionwheneveritcanhave.
AmitSudhakar: So,thisresolutionisonlyrelatedtoequity.Andwehaveearlierpassedouroveralldebt fundingrequirementasanenablingresolution.So,thoseareverymuchthere.Oncewehave somedecentamountofacquisitionorsomething,wewillbeannouncingitandthenworkout thestructureofhowmuchdebtorequitywe'llhavetoraise.
Sachin: Okay.Sohopefully,whenthathappens,yourexistinginvestorshaveawaytoparticipatein such.
AmitSudhakar: Certainly.Certainly.
Moderator: ThenextquestionisfromthelineofManishfromKJMCCapital.
Manish: Firstofall,congratulationsonthegreatnumbers.Ijustwantedtoknow,lookingatthecurrent internationalsituationasaBLSInternationaloriDATA,areweinvolvedinabusinesswith anyofthesecountries?Anddoyouthinkitmightaffectthequarter2numbers?

ShikharAggarwal: Weoperatecurrentlyinaglobalscenario,wherethereiseveryyearoreveryquarteror somewherewehavegeo-politicaltensionkeepshappening.So,Idon'tthinkonanannual basis,thisaffectsourbusiness.Weareoperatingin70-pluscountries.So,everycountry acrosstheworld,wehavesomesmalloperationsorbigoperations,butIdon'tthinkonan annualbasis,anythingeffects.Maybeintheshortterm,itmightaffectincertaincountry.But thecountriesinquestion,wedon'thaveanysizablerevenue.So,Idon'tthinkithasanyeffect onus.
Manish: Okay.AndthesecondquestionisaboutBLSe-servicesasgovernmentislookingforwardto reachouttotheeverycornerofIndiaforfinancialinclusionandotherservices.Soasan outsourcingservice,whatisthegrowthstrategydowehave?Anddowehaveanydomestic tendersunderpipeline?

ShikharAggarwal: Ithinkweareinlinewiththegovernmentstrategy.Thatiswhywestartedthebusiness6 yearsbacktoreacheverycornerofthecountry.Wealreadyhavenow100,000touchpointsin allthestatesandunionterritories.IfyouseeourBCbusinessesnowreached27,000touch points,wehavestartedloandistributionforprivatesectorbankswhereintheentirelastyear, wedidINR600croresofloandistribut

ion.Andthisfirstquarteritself,wehavecrossedINR 1,000croresofloandistribution.
So,Ithinkweareverywellalignedwiththegovernmentstrategyofpiggybankingtoallparts ofIndia.Ourreachwithexistingclientsisincreasing.Wearegettingmoreprivatesector banks.E-governancealso,wearediscussingwithmultiplestatesoutsourcingopportunitythat we'recurrentlydoing.Assistede-servicesalsotoourfootfallof600,000-700,000peoplehave seenuptick.Andthatiswhyweseetherehasbeena30%increaseinEBITDAofe-services aswell.So,Ithinkthatisheretostay,andwefeelthereisfurthergrowthexpectedinthe comingquarters.
Manish: Okay.Andanystategovernmenttendersunderpipeline?
ShikharAggarwal: Therearemanytendersinthepipeline,butithastoalignwithourstrategyobjectiveor negativeworkingcapitalupfrontcashcollection.So,wearefocusedfullyonthat.Wewantto growonasustainableandconsistentmanner.
Moderator: Thankyou.Ladiesandgentlemen,duetotimeconstants,thatwasthelastquestion.Iwould nowliketohandtheconferenceovertoMr.ShikharAggarwalforclosingcomments.
ShikharAggarwal: Thankyou,everyone,forjoininginonourQ1FY'25earningscall.Wehopeallyourqueries areanswered.Incaseoffurtherqueries,pleasefeelfreetogetintouchwithMr.Gaurav Chugh,ourHeadIRorourIRteamatErnst&Young,LLP.Welookforwardtointeracting withyouagainnextquarter.Thankyou,andgoodbye.
Moderator: OnbehalfofBLSInternationalServicesLimited,thatconcludesthisconference.Thankyou

forjoiningus,andyoumaynowdisconnectyourlines.

Call: Nov 2024

November 18 , 2024

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C -1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Compl ex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on November 12 , 2024

In continuation to our intimation dated November 05 , 2024 , please find enclosed a transcript of the Earnings Call held on Tuesday , November 12 , 2024 to discuss the operational an d financial performance of the C ompany for the Second quarter ended September 30, 2024.

The transcript is also available on the Company’s website at https://www.blsinternational.com/

You are requested to take the same on your records.

For BLS International Services Limited

…………………………
Dharak A. Mehta
Company Secretary & Compliance Officer
Membership No.: FCS12878

Encl: as above

BLSInternationalServicesLimited
November12,2024
“BLSInternationalServicesLimited
Q2andH1FY'25EarningsConferenceCall”
November12,2024
MANAGEMENT:MR.NIKHILGUPTA–MANAGINGDIRECTOR
MR.SHIKHARAGGARWAL–JOINTMANAGING
DIRECTOR
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER
MR.LOKANATHPANDA–CHIEFOPERATING
OFFICER–DIGITALBUSINESS
MR.GAURAVCHUGH–HEADINVESTORRELATIONS
MODERATOR:MR.NIKHILSHETTY–NUVAMAWEALTH

Moderator: Ladiesandgentlemen,goodday,andwelcometotheBLSInternationalLimitedQ2andH1 FY'25EarningsConferenceCallhostedbyNuvamaWealth.Asareminder,allparticipant lineswillbeinthelisten-onlymodeandtherewillbeanopportunityforyoutoaskquestions afterthepresentationconcludes.Shouldyouneedassistanceduringtheconferencecall,please signalanoperatorbypressingstarthenzeroonatouch-tonephone.
Pleasenotethatthisconferenceisbeingrecorded.InowhandtheconferenceovertoMr. NikhilShettyfromNuvamaWealth.Thankyou,andovertoyou,sir.
NikhilShetty: Thankyou,Del.Goodday,everyone.OnbehalfofNuvamaWealth,thankyouforjoiningthe Q2andH1FY'25earningscallofBLSInternationalServicesLimited.Todiscussthe operationalandfinancialperformanceofthecompany,wehavewithusonthecalltoday,Mr. NikhilGupta,ManagingDirector;Mr.ShikharAggarwal,JointManagingDirector;Mr.Amit Sudhakar,CFO;Mr.LokanathPanda,COOofDigitalBusiness;andGauravChugh,Headof InvestorRelations.
InowhandovertheconferenceovertoGaurav.Thankyou,andovertoyou,Gaurav.
GauravChugh: Thankyou,Nikhil.Goodafternoon,everyone.Thecompany'spresentationandpressrelease hasalreadybeenuploadedonthestockexchangesaswellasonthecompany'swebsite.And wehopethatyouhadanopportunitytogothroughthesame.Letmeremindyouthatthis discussionmaycontainforward-lookingstatementsthatmayinvolveknownorunknownrisks, uncertaintiesandotherfactors.
Itmaybeviewedinconjunctionwithourbusinessesthatwouldcausefutureresults, performanceorachievementstodiffersignificantlyfromwhatisexpressedorimpliedbysuch forward-lookingstatements.IwouldliketohandoverthecalltoMr.ShikharAggarwalfor hisopeningremarks.Postwhich,Mr.AmitSudhakarwilldiscussthefinancialperformance ofthecompany,andthenwewillopenthefloorforaninteractiveQ&Asession.
Thankyou.Andovertoyou,Shikhar.
ShikharAggarwal: Thankyou.Thankyou,everyone,forjoiningusonBLSInternational'sQ2andH1FY'25 earningscalltoday.I'mextremelydelightedtoannouncethatwehaveconcludedthesecond quarterandfirsthalfoffiscalyear2025withhighest-everfinancialperformance.Oursecond quarterconsolidatedrevenuehasseenastrongincreaseof21%toINR495crorescompared tosameperiodlastyear.Wewitnessedhighest-everEBITDAreportedbythecompanyatINR 164crores,whichgrewremarkablyby89%andourprofitaftertaxwasINR146crores, surging78%year-on-year.Theresultinourfirsthalfisthebestperiodtillda

tewith
consolidatedrevenuesclimbing25%toINR988crores.EBITDAalsogrewby78%toINR 297croresandprofitaftertaxincreasing74%year-on-yeartoINR267crores.Theseresults

layasolidfoundationforourgrowthtrajectorythroughouttheremainderofourfiscal.
Ourremarkablegrowthisprimarilyattributedtothesurgeinvisaapplications,adirectresult ofourstrategicexpansioninkeymarketsandourtargetedapproachtosecuringlucrative contractsalongsidebolsteringourexistingonesoverthelast18to24months.Further,we haveexpandedouroperationsbyopeningupnewvisaapplicationcentersinColumbiaand Peruduringthequarter.
DuringquarterQ2FY'25,thenumberofVisaapplicationprocessedhasincreasedfrom7.2 lakhapplicationsinQ2FY'24to10.1lakhsinQ2FY'25,whichhavegrownbyarobust41% year-on-year.ThisincludestheapplicationprocessedbyiDATAduringthequarter.This uptickalignswiththebroadergrowthintheglobaltravelandtourismindustrywhichhas providedanencouragingbackdropforourexpansion.
WiththecompletionofacquisitionofiDATAinJuly2024,webeganincludingiDATA's financialsinourconsolidatedreportsfromthesecondquarteronwards.iDATAhas contributedsignificantlytoourfinancialstrength,reportingrevenuesofINR60croresand EBITDAofINR23croresandalsorepresentsaround1.6lakhvisaapplicationsduringthe quarter.
SynergiesfromtheacquisitionsofiDATA,andongoingtransitioninourbusinessmodelfrom partner-runcenterstoself-runcentershasresultedinenhancedmarginprofileforthe companyduringtheperiod.OurEBITDAmarginsexpandedto33.1%inQ2FY'25,an expansionof1,186basispointsfrom21.3%inthecorrespondingquarter.Furthermore,our netrevenueperapplicationhasalsoincreasedfromINR1,988inQ2FY'24toINR2,883in Q2FY'25.
Additionally,inOctober'24,wehavealsocompletedtheacquisitionofCitizenshipInvest,a globalleaderinResidencyandCitizenshipprogramswithpresenceacrossmorethan15 countries,enhancingBLScapabilitiesandofferinglong-termvisasolutions.Capitalizingon

BLSexpansivereachacross70-pluscountriescombinedwithCitizenInvest'srobust reputationandinfluenceamongHighNetWorthindividualsisanticipatedtosignificantly enhanceoverallprocessingvolumes.
I'mdelightedtoreportthatourDigitalServicesegmenthasexpandeditspresencetomore than121,000touchpoints,underscoringourcommitmenttofosteringfinancialinclusionand empoweringdigitalaccess.
IntermsofBusinessCorrespondent(BC)operations,wehaveseenaremarkablevolumeof over3.6crorestransactionswiththegrosstransactionvaluesurpassingINR20,000crores duringthequarter.Additionally,wehaveexpandedournetworkbyaddingmorethan2,700 channelservicepartnersbringingourtotaltoover29,700BCsasofSeptember30.The partnersalsohavegeneratedloanleadsofapproximatelyINR1,400croresforfinancial

institutionsascomparedtoINR1,000croresinthelastquarter.Theexpansionreflectsour ongoingeffortstodeepenourmarketpenetration.
OursubsidiaryBLSE-Serviceshasalsosignedadefinitiveagreementtoacquire57% controllingstakeinAadifidelisSolutionsanditsaffiliates(ASPL).Itisamongtheleading loandistributionprocessingplayersinIndia,boastingacomprehensivepan-Indiapresence. ASPL'snetworkof8,600pluspartnershavepresencein17statesandtieupswithleading financialinstitutionsisanaddedadvantage.TheintegrationofASPLwillcomplementour existingsuiteofBC-drivencitizen-focusedbankingservicesandunlocknumerouscross-sellingopportunities,furtherenhancingourserviceofferingsandmarketreach.Wehopeto closethistransactionquitesoon.
Aswelooktothefuture,ourstrategyisdualfaceted.Weaimtocultivateorganicgrowth withinourVisaandConsularservicesanddigitalservicebusinessandalsoactivelyseeking outopportunitiesforinorganicexpansion,bothdomesticallyandinternationally.Ouroutlook forthecurrentfiscalremainspositive,andwearededicatedtodrivingsustainablegrowth.
Inclosing,Iwishtoreiterateourstrongconfidenceinthecomingquarters.TheBLSteamis committedtoadvancinggrowthacrossbothofourkeybusinesssegments.Weareconvinced thatstrategicinitiativeswehaveimplementedwilllaythegroundworkforaprosperousfuture incomingyears.
NowI'llturnoverthecall

toMr.AmitSudhakar,ourCFO,forfurtherupdatesonthefinancial performance.Thankyou.
AmitSudhakar: Thankyou,Shikhar.Goodafternoon,everyone.I'mpleasedtopresenttheconsolidated financialperformanceforthesecondquarterandhalfyearendedSeptember30,2024.Inthe Q2FY'25,weachievedarevenueofINR495croresmarkingarobustyear-over-year increaseof21%fromINR408croresreportedinQ2FY'24.Thisgrowthwasattributed largelybystrongperformanceofVisaandConsularservicebusiness.Wearewitnessinga sustainedmomentumandremainconfidentofourprospectsforcontinuedexpansioninthe subsequentquarters.
OurEBITDAforthequartersurgedtoINR164crores,upfromINR87croresinsameperiod lastyear,registeredastronggrowthof89%.TheEBITDAmarginforthequarterwas33.1%, expandingby1,186basispointsyear-over-year.Thismarginexpansionwasattributedtoour costoptimizationeffortsandtransitioningtoself-runmodelandiDATAacquisition.
ProfitbeforetaxforthequarterwasreportedatINR164crores,asignificant88%increase fromINR87croresinsecondquarterofthepreviousfinancialyear.Theprofitaftertaxalso showedastrongperformanceatINR146crorescomparedtoINR82croresinthe correspondingquarterofthepreviousyear,reflectingagrowthof78%.TaxesinDubai impactedthePATgrowth.EarningspershareforthequarterstoodatINR3.40pershareas

comparedtoINR1.90pershareinQ2FY'24.
Comingtothehalfyearperformance,thehalfyearrevenuestoodatINR988croresas comparedtoINR791crores,registeringagrowthof25%overthecorrespondingprevious period.TheEBITDAfortheH1FY'25stoodatINR297croresversusINR167croresinthe correspondinghalfyearoflastyear,arobustgrowthof78%.TheEBITDAmarginfortheH1 FY'25stoodat30.1%against21.1%inH1FY'24andanexpansionof901basispoints.
ProfitaftertaxstoodatINR267croresascomparedtoINR153croresintheprevious correspondinghalfyear,agrowthof74%.
Nowcomingtosegmentalhighlights.InQ2FY'25,ourVisaConsularsegmentsawastrong growthof30%,generatingarevenueofINR418crores,anincreasefromINR322croresin Q2FY'24.TheEBITDAforthissegmentexpandedby107%toINR152croreswithan EBITDAmarginof36.4%.Thisrepresentsanincreaseof1,360basispointsover22.8%

marginrecordedinQ2FY'24.
Thequarteralsosawa41%riseinthenumberofvisaapplicationsprocessedclimbingfrom INR7.2lakhsapplicationinQ2FY'24to10.1lakhsapplicationinQ2FY'25,whichincludes 160,000applicantcountsfromiDATA.
Lookingatthefirsthalfoftheyear,VisaandConsularservicerevenuegrew33%toINR832 croresinH1FY'25,upfromINR627croresinH1FY'24.EBITDAforthesameperiod experiencedasignificantyear-on-yearincreaseof89%,reachingtoINR273croreswith EBITDAmarginof32.9%.Thismarginwidenedby982basispointscomparedtoa23% margininH1FY'24,reflectinganongoingcommitmenttogrowthandefficiency.
InQ2FY'25,ourdigitalbusinesssegmentreportedarevenueofINR77croresascompared toINR86croresinthesamequarterofthepreviousfinancialyear.TheEBITDAforthe segmentstoodatINR12croresinQ2FY'25.TheEBITDAmarginhasremainedflatat15.5%.
InH1FY'25,thedigitalrevenuestoodatINR156croresascomparedtoINR164croresinthe correspondingperiod.TheEBITDAforthesegmentstoodatINR24croresinH1FY'25as comparedtoINR22croresinH1FY'24.TheEBITDAmarginwitnessedanexpansionto 15.3%inH1FY'25from13.6%inH1FY'24.
Thecompanycontinuestoexhibitahealthybalancesheetwithnetcashandcashequivalents totallingtoINR902croresasonSeptember30,2024.Ourfinancialprudenceisfurther reflectedinourstrongreturnratioswiththeannualizedreturnonequityof32%andreturnon capitalemployedof27%.
Withthat,Iwillrequestthemoderatortoopenthefloorforquestions.Thankyou.
Moderator: Thankyou.Wewillnowbeginthequestionandanswersession.Thefirstquestionisfromthe lineofDineshfromFinsight.

Dinesh: Okay.Firstofall,verycongratulationsonareallygoodsetofnumbers,sir.Imean,obviously, onthemarginsandthePATfront.Myquestionsir,wehaveseentheVisaandConsular businesshasshownhasatremendousgrowthintermsofapplicationsandrevenueonall fronts.Butthedigitalbusinessdefinitelyisnotonayear-on-yearbasis,showingthenumbers whatwearelookingat.
Sofirstofall,whatarethechallengesherethatwearefa

cing?Andsecond,arewedon'twant tosplitthisbusinessandcompletelyusethiscash,theproceedsofthisbusinesssointheVisa businessforfurtheracquisitions?That'smyfirstquestion.
AmitSudhakar: Nikhil,sir,youwouldliketotakeitor?
NikhilGupta: No,Idon'tmind.Actually,Ijustwantedtorespondbysayingthatallbusinesseshave differentrisksandrewards,asyouknowsodefinitely,thevisaandconsularbusinesshas muchhighermarginsbecausethenumberofpeoplekindofcompetinginthatspaceareless andthedigitalbusinessisalittlemorecompetitive.Thereisnoplanrightnowtocompletely sellorseparatethebusinesses.
Asyouknow,digitalbusinessisasubsidiaryofBLSInternational.Andwewanttofind opportunitiesforgrowththerebecausewebelievethereareopportunitiesstillthereinthat space.
Dinesh: Okay.Sothenwhatarethechallengesyou'refacing,sir?Becausewearenot,Imean, definitely,thenumbersarenotreflectingthat,right?Andwhatisthechallengeyouarefacing?
ShikharAggarwal: Competition.Ithinkalso,Icanadd1morepoint.Basically,lastyear,ifyouseeoneofour contractsthatcompletedandinspiteofthatcontract,nothavingtherevenuefromthatcontract, whichwasinthestateofPunjab,therevenueshaveincreased.Sodefinitely,wehaveseena growth,but1ofthecontractswerecompletedlastyear.
Thatisthereasonyouseethereisnomajorgrowthintermsofrevenue,butbecausethe overallrevenuereducedfromthatcontract.
AmitSudhakar: AndDinesh,thisIPOmoney,whatwehaveraisedisforthegrowth,andthat'swhatShikhar saidinhisspeechalsothatwearedoingfewacquisitionsandthenumberswillstartshowing fromQ3onwards.Soyou'llseethegrowthcominginthisbusinessalso.
Dinesh: Thatsoundsgreat,sir.Thelastthingfrommyend.Sowehavemadequiteafewacquisitions inthelastfewmonths,right,includingtheiDATA.Sohowdoweseethethingsarepanning outthere?Andwhatkindofnumbersweshouldexpectwhenweendthisfinancialyearand maybethenextfinancialoncewehaveallthe consolidatednumbers?Yes.
AmitSudhakar: So,theconsolidationsinthisquarter,ifyouseetheiDATAnumbershavebeenaddedinthe

currentquarter.Therefore,thegrowthtrajectoryhasbeenabout22-23%intherevenue,which wehavebeendoingforthelast2quarters,andwethinkitwillcontinuewithourexisting businessgrowingaswellaswiththeacquisitionswhicharecomingin.

Dinesh: Okay.Sothekindofnumbersweseeinthenextyearl'maskinglikesay,whatwasthetarget andguidanceforthenextyearand--yes,thenextyear?
ShikharAggarwal: Correct.Wewanttomaintainthenumbersthatwe'veachievedinthefirstfewquarters.
Dinesh: Okay.Andthesamemargins,right?Wecanexpectthemarginstomaybeexpandfurther?
ShikharAggarwal: Yes.Ourobjectiveistomaintainthesamemargins.
Moderator: ThenextquestionisfromthelineofNihalShahfromPrudentCorporateAdvisory.
NihalShah: Congratulationsforthegreatsetofnumbers.SoifIreducetheapplicationsthatwehadfrom iDATAinthisquartersowearelookingataround18%volumegrowthintheseapplications thatwehaveprocessed.SowhatwasthatnumberforiDATA?AndhowhasiDATAbeen growingsincethelastfewyears,ifyoucansharesomelightonitandtheirmarginsaswell.
AmitSudhakar: iDATAishavingarevenueofaroundINR200crorestoINR250croresannually,whichis goingtobenowpartofournumbers,further,whatweanticipatearound10%to15%growth goingforwardiniDATAbusinessthatishowwelookatit.Whatwasyoursecondquestion?
NihalShah: Sothemarginshavebeenaround45%,50%theresincethelastcoupleofyears.Andforthis quarter,ifyoucangivespecificmarginsforiDATA?
AmitSudhakar: Aswesaid,thisquarter,theydidaboutINR60croresofrevenueandINR23croreswasthe EBITDA,about40%.
NihalShah: Okay.Andsoareweusingtheirfacilitiestomanageourcontractsaswellintheirexisting facilitiessothatsynergieshavebeensetalreadyorthatwillhappeninthecomingquarters?
AmitSudhakar: Thatwillhappenoverthenextcoupleofquarters.
NihalShah: Okay.Okay.Sothatcouldimproveourmarginsevenmorefromthislevelof33-oddpercent, right?
AmitSudhakar: That'sright.Oncethosesynergieswillcomeinplay,wewillseeimprovement.
Moderator: ThenextquestionisfromthelineofVishalSinghfromFinvestors.
VishalSingh: Andcongratulationsonpostingexcellentresults,sir.Myquestion,although2ofthequestions havebeenanswered.Myquestionwould

belikewhatimpactofcurrentgeopolitical

environmentorscenarioswhicharegoingon,willhaveonourbusiness?
AmitSudhakar: Shikhar,youwouldliketotakeit?
ShikharAggarwal: Yes.See,asyouknow,ourcompanyiscurrentlypresentin70-pluscountriesinvolving multiplegovernmentsandgeopoliticalscenariosyear-on-yearkeeponhappeningindifferent pocketsoftheworld,butitdoesnotimpactusonanannualbasis.Definitely,afterCOVID certaincountries,forexample,Russiaoutboundtrafficstillhasnotcomeup.
Sooonceprobablythesituationstabilizes,wewilldefinitelyseenumberscomingbackfrom there.Butotherthanthat,acrosstheworld,wehaveseenincreaseinvolumesince2019.
VishalSingh: Thatmeanstherewouldbehardlyanimpact.Sir,couldyoujustpossiblyguideusforlikethe guidancelike25%to30%oftheconservativeside,whatyouaredoingcurrentlyforthisfiscal year?
ShikharAggarwal: Ifyouseeourlast5years,ourCAGRgrowthhasbeenmorethan70%intermsofPAT.Even thisfirst2quarters,thenumbersthatwehaveachievedcomparedtolastyearhasbeen phenomenallyhigher.Sodefinitely,aswegrowmoreasacompanyaswearebiddingfor multiplenewcontracts,billionsofdollarsofcontractsthatwe'vebeenbiddingfor.
Wehavewonafewcontractsinthelastcoupleofmonths,we'vedeployedthem,wehave acquiredafewcompanies.Sodefinitely,growthcancomefrommultipleareas,existing businessgrowth,newcontracts,acquisitionsynergies.We'realsoshiftingfromsomeofthe operationsincertaincountries.Wearetakingoverfullywherewehadsomelocalpartners.
Soyouwillseedefinitelythatwewanttomaintainwhateverwehaveachievedfirst.
VishalSingh: Soasperyourpresentation,asyousaid,likeyouhavemoatandIthinkyoudon'thaveany peerinourcountry.Aswecanseethatyouhavepostedthatitwillbelike20%ofCAGR growthinairtrafficandpassengerswillbetraveling.Sowhatisyourvisionongrowth trajectoryforalongerperiod,likefor'27or3to5yearslike...
ShikharAggarwal: Whateverwehaveachievedinthepastyearwewanttomaintainthat.Andwhatever, obviously,industrygrowthtrajectoryof15%,20%,thatisabareminimum,Ifeelthatwecan achieve.Butdefinitely,asinthepastalso,wewanttooverachievethengiveahighguidance.
Sodefinitely,wewillbemaintainingthat.
Moderator: ThenextquestionisfromthelineofShrijaPathakfromJKCapital.
ShrijaPathak: Somyfirstquestionisactuallyaboutrevenuepervisitorpassport.Inthepast,itusedtobe higherthantheonethatwe'reseeingrightnow?Isitbecauseitwasactuallyabove3,000in the2015,2016years.Haveyouguyschangedthewayyoucalculateitnow?Orwhyisthe reason,what'sthereasonforitsdecrease?

AmitSudhakar: Sofranklyspeaking,Idon'thavenumbersofFY15-16.Butforthelastcoupleofyears,ifyou see,especiallypost-COVID,thetrendhasbeengoinguponlyonaquarter-to-quarterbasis. SoI'llhavetocheck'15-16andthencomebacktoyouonthatnumber.
ShrijaPathak: Okay.Great.MysecondquestionisonthelineofEBITDAmarginfortheVisaandConsular business.Iseethatoverthepastcoupleofyears,youroperationalexpensesasapercentageof revenuehasbeengoingdown.Isitbecauseofthenewmodelasyoushiftedtothemoreself-ownedmodel?Isthatthemajorreasonforthat?
Andwillweseethatkindofcontinue?Iunderstandthatalotoftheexpansioncamebecause ofsomeoftheacquisitions.Butwillweseethistrendaswegoforwardthisfactor contributingsignificantlytoyourEBITDAmarginsincreasing?
AmitSudhakar: TherewerecoupleofreasonsfortheEBITDAmargin.Oneasyousaid,thathasbeenoneof themajorreasonswhywechangedourmodelfrompartnershiptoourown.Secondhasbeen thenewcontractswehavewonatahigherapplicationpricesaswellaswiththisacquisition wehadjustdoneofiDATA.
Theywereata40%to45%EBITDAmargin.Soallthesefactorshaveimprovedour EBITDAmarginoverthelastcoupleofquartersifyousee.
ShrijaPathak: Okay.Great.Justmylastquestionisaboutthebitthatarehappeningrightnowinthemarket. Howmanyhaveyouguysappliedfor?What'stheprogress?Andyes,justalittlebitonthat.
ShikharAggarwal: Yes.Yes.Sobasically,asweseeinthelastcoupleofyears,everycoupleofyears,bidskeep oncomingglobally andwehavealsowonalotofnewcontractsinthelast1year.Andnext fewyears,also,therearemultiplecontractsgoingoninEuropeandNorthAmerica,an

d
differentmultiplecountriesthatwearebiddingforandweareindifferentstagesofbidding. Andoncetheresultisout,wedefinitelyasfortheguidelinesweannouncedwiththemarket. Butdefinitely,thereisabig,big,bigscopeintermsofgrowth.We'vebeenwinningnew contracts.Existinggovernmentsarecomingoutwithre-bids,wherecompetitorsare incumbentandalsonewergovernmentswhichareoutsourcingforthefirsttime. Sothereisagrowthopportunityinboththetrajectories.
Moderator: ThenextquestionisfromthelineofHenaVorafromDAMCapital.
HenaVora: Justonequestionfrommyend.Sowehaveattributedthefactthatmovingtowardsaself-modelhashelpedusinthemargins.Ijustwantedtounderstand,isthisalsoROCaccretiveif youcanjusttellmewhatROCwewillbemakingunderthispartnershipmodelandunderthe self-drivenmodel?
ShikharAggarwal: Sorry.Sorry,whatwasthelastpoint?

HenaVora: IwasaskingwhatsortofROCsdowemakeunderthepartnershipmodelandwhatwe'llbe makingundertheself-drivenmodel?
AmitSudhakar: OurROCnormallyisveryhighbecauseinboththecases,wedon'tinvestintheproperty,but wedoinvestmentintheinfrastructureonly.Whereasinthecaseofpartnershipmodel,we don'tdothatalso.Thewholeinfrastructureandthelogisticsarebeinghandledbythepartner. Soobviously,themarginsaremuchmorewhenyoudoitonyourownversusdoingthrough thepartner.
HenaVora: Okay.JustinballparknumberwouldbeasaretheROCsimilarinboththecases?
AmitSudhakar: Itwilldependfromcountrytocountryandtheinvestmentintheinfrastructure,whichweneed toinvest.
HenaVora: Okay.SoisitfairtoassumethatthepartnershipmodelbetterintermsofROCorthatwould notbethecase?
AmitSudhakar: SoIthinkROCwillbeamuchmorewhenwedoonourown.
Moderator: ThenextquestionisfromthelineofPrateekfromMorganStanley.
Prateek: Congratulationsonagoodsetofnumbers.Myquestionwasifwelookattherevenueforthe existingbusiness,removingtheiDATAnumbers,ImeanQ-on-Q,therevenueisslightly lower.Soisthereareasonforthat?
AmitSudhakar: Soonehasbeenthatthedigitalbusinessrevenuewaslower.Andthesecond,ourbusinessis quiteseasonalinthesensethatQ4andQ1arethehigherrevenuescomparedtoQ2andQ3. Soduetotheseasonalnatureofthebusiness,aswellas...
Prateek: Sure.AndthesecondquestionwasiDATAEBITDAthatgotaccruedthisquarterwasaround INR23crores.Isthatwhat...
AmitSudhakar: Yes.That'sright.OnaINR60croresofrevenue.
Prateek: Okay.AndwhenIwentthroughpresentationthiswasn'tfortheentire3months,it'sfromJuly 9onwardsthatyouareaccreting.
AmitSudhakar: Exactly.Itisfrom9Julyonwards.
Prateek: Sure.AndistheresomeseasonalityinthatbusinessaswellbecauseCY'23,Ithinkthetotal EBITDAforthatbusinesswasaroundINR140-oddcrores.
AmitSudhakar: Yes.Thereisaseasonalityintheirbusinessalso,asyouknow,duringwinter,thetravelto

Europeismuchlesscomparedtoduringthesummer.Sonowthisisaleanseason,whichwill

slowtillDecemberpractically,itcomestothelowestlevelofvolumes.Andthenitstarts
pickingupfromJanuary-Febonwards.
Moderator: ThenextquestionisfromthelineofYashfromStallionAsset.
Yash: SoIthinkinthefirsthalf,you'vedone24%revenuegrowth.Andgiventhestronggrowthin
yourvisaapplicationsaswell,it'sup44%Y-on-Y.Secondhalf,doyouthinkwecangrow
morethan25%?AndeveninFY'26,doyouthinkwecanmaintainthis25%runratein
revenues?
AmitSudhakar: Seerevenuescangomuchhigherbecauseofthenewacquisitions,whichareinthepipeline
andsomehavegotcrystallized.SoitwillhaveanimpactintheQ3aswellasQ4.Weare
anticipatingtherevenuetobehigher.
Yash: Okay.Okay.Gotit.AndIthinkyouhadacquiredthis1business.Ithinkit'scalledAadifidelis
sorry,I'mnotgettingthenamerightontheloanprocessingbusinessinthefirstquarter.Ijust
wanttoseehowlargecanthisbe?Ithinkthisbusinessisapartofyourdigitalbusinessof
loanprocessingandithadaboutINR22croresofEBITDAforFY'24.
AndI'mjusttryingtounderstandhowyoucanscalethosebusinessesupandwhatwouldthe
numberslooklikeinFY'25and'26?
AmitSudhakar: Weareatthelaststageofclosingthistransaction,hopefully,weshouldgetitclosedinthis
month.Therelastyear,auditednumberswereaboutINR600croresofrevenueonwhichthey
hadaINR22croresofEBITDA.Wese

eabigsynergywithourbusinessesbecausewealso
havemorethan30,000CSPsaswellastouchpointsofover1lakh.
Andifwecanworkoutasynergybetweenthosetouchpointsandtheloandistribution
company'sexpertise,wecanscaleupthisbusiness.Andhopefully,we'llseethatoverthenext
coupleofquartersandseehowwecanscaleupthisbusiness.
Yash: Right.Andsir,anysortofnewacquisitionssimilartoiDATA?Becauseobviously,Ithink
discussionisthatyou'vegotalotofcashonbalancesheet.SoImean,ifyouhaven'tgotany
acquisitionssimilartoiDATA,thenanypossibledividendtorewardtheshareholders?
AmitSudhakar: Sowejustclosedanotherone,whichisaCitizenshipInvestabout$31millionacquisition,
whichgotfinalizedinthefirstweekofOctober.AndthatisinDubai.Theyprovideresidency
andcitizenshiptomorethan20countries.Sothatiswherewehaveinvested,Aadifideliswill
bethenextinvestment,whichwillhappenhopefullyinthismonth.
Sowehaveadecent,acquisitionpipeline.Andasandwhentheygetcrystallized,we'llbe
utilizingourfundsanddividendwehavebeenpaying.Sothesurplus,weareusingitfor
dividendaswellasforthenewacquisitions.

Moderator: ThenextquestionisfromthelineofAnujJainfromGlobalCapital.
AnujJain: Andcongratulationsonthewonderfulsetofnumbers.Justwanttounderstand1thingthis
quarter,wehaveseensignificantimprovementintheEBITDAmargins,right?SoImeanthis
isacombinationof2things.OneisiDATAaswellasthesecondoneiswhereyouare
movingfrompartnermodeltoself-managedmodel.
Socanyoupleasehelpmeinunderstandinglikewhatkindoffurtherimprovementwecansee
andhowthispartnermodelandself-managementmodelwillhelpusinincreasingthemargins
goingforward?
ShikharAggarwal: Firstofall,justshiftingfrompartnertoselfmodelisnottheanswer,therearemultiplefactors.
Wehaveincreaseinservicefeesalsoinmanyofthetenderseveninvalue-addedservicesfees
havebeenincreased.Theconversionshavealsoimproved.Somultiplefactorshaveledto
increaseinEBITDAmarginsanddefinitelymovingfrompartner-runmodelwhereinwehave
tosharesomeoftherevenue.
Andprofitabilitywiththem,now100%ofthiswillbecapturedbyus,willdefinitelyhaveled
toanincreaseinEBITDAmargins.Andgoingforward,ourobjectiveistomaintainthis
EBITDAmarginsfirst.Asyouknow,wewereat21%lastyearwhenwegrewto27%inthe
firstquarter.Nowwehavegrown33%.Soourobjectiveistomaintainthenumbersthatwe
haveachieved.
Ithinkit'sahighnumberthatwehavedonenow33%.Sofirstobjectiveisjusttomaintainit.
AndifweseemoresynergiesthatcanimproveEBITDAmargins,thendefinitely,wewilladd
on.ButmainobjectiveistodeliverconsistentEBITDAmarginsatthislevel.
Moderator: ThenextquestionisfromthelineofRaviKumarNaredifromNarediInvestments.
RaviNaredi: Sir,whateveriDATAandothersubsidiarieswebought,wetookINR255croresonborrowing
inspitewehavecashbalanceofINR1,000crores.Anyspecificreasontoborrow?
AmitSudhakar: MainlybecauseofthebetterROIcalculationontheacquisition.Sotheborrowinghasbeen

doneinTurkeyfortheacquisition.it'satax-efficientstructure.Thatwasthemainreason;we didtheacquisitiononasmallamountofborrowing.
RaviNaredi: Okay.Okay.Understand.Anynewvisaapplicationmandate,ifwewoninthisquarter,will youdescribeit?
ShikharAggarwal: See,weareconstantlybiddingformultiplecontracts.Inthisquarter,wehaveopenedoffices innewgeographiesinColombiaandPeru.We'vealsorolledoutcertaincontractsthatwewon, again,forexample,inthePolandandPhilippines.WerecentlystartedPortugalandMorocco. Ithinkitwasinthequarterbeforeorthisquarter,Idon'tknow.

Constantly,wearerollingoutnewercontractsinnewergeographiesandalsoopeningnew officesforourexistingcontracts.Forthisquarteralso,wehavedonethesame.
RaviNaredi: Okay.Andthisinvestorpresentation,youmentionedongoingtransitionfrompartnermodelto self-managedmodel.Whatisthedifference?
ShikharAggarwal: Differenceisthattherearestillcertaincountriesthatyouseethatwehavetheopportunityto transition.Soweareevaluatingthatincertaingeographiesoftheworld.Sothatiswhatit means.
Moderator: ThenextquestionisfromthelineofAnkushAgrawalfromSurgeCapital.
AnkushAgrawal: Withinourvisabusiness,asfaraswemovetoiD

ATArevenuenumberofINR60crores.
Sequentially,ourrevenuenumbersarelowerwithinthevisabusinessdespitethefactthatthe numberofapplicationprocessissimilar.Likeinnowvisabusiness,theEBITDAmarginsare primarilyhigherbecauseEBITDAissimilar,whilerevenuesarelowersequentially.Socan youexplainwhythishashappenedwhiletherevenuesarelowsequentiallywithinvisa business,excludingiDATA.
AmitSudhakar: Thishasbeenmainlyonaccountofconsularnumbersbeingmuchhigher,wheretherevenue perapplicationismuchlower.Whereinwehavepassportrenewalsservicesandtheothers serviceswereuchhighercomparedtotheQ1.Therefore,themixhasbeenalittledifferent. That'swhy.
AnkushAgrawal: Okay.Okay.Itdoesn'thaveanyimpactofaccounting,IthinkinFY'24,wetakethis accountingchangewhereintheembassyfees,whichwasapass-throughwasdirectlybeing passedandwasnotbeingbooked.Hasthatalsoimpactedabitinthisquarterorthathasn't beendoneinFY'24,'25?
AmitSudhakar: Sonothinginthisquarter.
AnkushAgrawal: Okay.ThesecondquestionisaroundiDATA.SoiDATAmarginsareabout37%thisquarter andtherevenuerunrateofINR60croresissimilartothenumbersthatwesharedatthetime ofacquisitionfor2023.Sowantedtounderstandwhytherevenuehasnotgrownpluswhythe marginsarelowerthan,say,55%,58%atiDATAdidin2023tonow,37%inthisquarter.
AmitSudhakar: Nikhilsir,youwilltakeitor?
NikhilGupta: Icantakethat.Twothingshavehappened.Oneisthattherehasbeensomechangesincertain countrieswhereweareoperating,wherethevolumesoftransactionshavecomedown becauseofthingslikee-visa,we'vecompensatedsomeofthatwithhighervolumesandnew additionalvolumesinothercountries.
Andyou'llkeepseeingthisimprovementaswedecidedthatwewilldosynergieswithBLS

where9centersweretobedonein9months.We'vealreadycompleted4ofthem,and therefore,youwillstartseeingimprovementscomingin,inthequartersahead.
AnkushAgrawal: Okay.Butdoweexpectthatwewillbeabletoachievelikesimilarmarginsaspertheirpre-acquisitionlikenow?
NikhilGupta: Weexpecttoimprovethemargins,asIsaidandachievethekindofmarginsthatwewere doingearlier.
AnkushAgrawal: Okay.Thelastquestioniswoulditbepossibleforyoutosharehowmuchofourvisa businessisdependentupontheSpaincontract?Iknowit'salargenumberbutforaballparkof howmuchofourrevenuesandprofitabilitywoulddependonSpaincontract.
AmitSudhakar: Spainwillbearound,say,25%to30%.
AnkushAgrawal: Just25%to30%ofoverallrevenueyouaresaying?
AmitSudhakar: That'sright.That'sright.
AnkushAgrawal: Buttheapplicationstosaleswillbemuchhigherbecauseofthedatathatwehaveshared earlier.
AmitSudhakar: No,theapplicationratiowillbesameorsimilar.
Moderator: ThenextquestionisfromthelineofIshikaBajajfromHeliosCapitalAssetManagement.
IshikaBajaj: Sobookkeepingquestions.SoforcostofserviceinQ2FY'25isgoingdownbyaround INR63crores.Soisthereaparticularreasonforthis?Orisitjustbecauseofthemodel

shiftingfrompartnershiptoself.
AmitSudhakar: Yes.That'sbeenthemajorreasonandwhatthecommissionwewerepayingtothepartner werebookedundercostofservicedirectly,whichisnotthere,andthatexpensesarebeing bookedunderemployeecostsandtheadministrativecosts.
IshikaBajaj: Otherexpenses,that'salsogoneupbyINR50crores.Whatisthereasonforthat?
AmitSudhakar: Exactlythesamereasonthatithasmovedoutofthecostofsalesandtheexpenseshavebeen underotherexpensesandtheemployeecostsbecausenowallthoseofficesarebeing maintainedbyus.
IshikaBajaj: Yes.Understood.Andonemorething,whenthisiDATAacquisitionwasannounced,itwas saidthatinitially,you'regoingtopayEUR50millionandthengoonamilestone-based paymentstructure.Soisthatstillsomethingthatyou'redoingoryoupaidouttheentire INR720crores?

AmitSudhakar: Sowehavepaidtheentireamount,exceptasmall,Ithink,EUR4million,whichistobepaid overthenext1yearorso.
Moderator: ThenextquestionisfromthelineofRuchitaGhadgefromI-Wealth.
RuchitaGhadge: Somyquestionwasonthepartnershipmodel.Sohaveyouconvertedallourcentersfrom partnershipintoself-madeortherearestillafewmodelswhichareremaining.
ShikharAggarwal: Yes.There'sstillafewpendingbutdependingontheo

perationalrequirementsweare analyzingwhetheritisfeasibleenoughtoconvertornot,butmostofthemhavebeen converted.
RuchitaGhadge: Okay.Soweexpectthemargintofurtherincreasefromyour34%,35%PBTmarginthat we'vemadeduringthisquarter.Weseeafurtherimprovementonceweconvertthosemodels aswell?
ShikharAggarwal: Aswesaid,likewehavereallygrownfrom21%marginlevelto27%andnow33%soonan increasedrevenuethatyouexpectinthecomingquartersandyears,consolidationwithallthe companies.Ourmainobjectiveisfirsttomaintainthemarginsthatwe'veachieved.Soasof now,ourobjectiveisjusttomaintainthemarginsthatwehaveachieved.
Andifwegrowfurther,thatwillbeabonus.Butourobjectiverightnow,consolidationthat weplantodointhenextfewyearsistomaintainthemargins.
RuchitaGhadge: AndthisAadifidelisacquisition,whendoweseethesenumberscominginourbooks?
AmitSudhakar: Weareplanningtoseethatitgetsclosedinthecomingmonths.Andhopefully,wewillsee thenumbersreflectinginourQ3numbers.
RuchitaGhadge: Andwhatisthekindofgrowththatweseeinthisbusiness?
AmitSudhakar: Ithinkoncewegetintothebusiness,wewillhaveamuchbetterideaofhowwecangrowit further.
Moderator: ThenextquestionisfromthelineofChandanMishrafromFinvester.
ChandanMishra: Firstofall,congratulationsonpostinggoodsetofnumbers.Myfirstquestionis,ifyouplease quantifytheorganicbusinessgrowthinthecurrentandcomingyearsleavingtheacquisition...
AmitSudhakar: Wecouldn'tgetyourquestion.
ChandanMishra: Sir,pleasequantifytheorganicbusinessgrowthinthecurrentandthecomingyears...
ShikharAggarwal: 18%iswhatwehavegrownorganically.

ChandanMishra: Thisissir,leavingtheacquisitionsaside?
ShikharAggarwal: Correct.Intermsofvolumeapplications.
ChandanMishra: Andsir,mynextquestioniswhataretheacquisitionsplannedinthenearcurrentfuture?
ShikharAggarwal: Rightnowouraimistoconsolidatetheacquisitionsthatwehavedoneandstreamlinethe operations.Andthengoingforward,asyouknow,weareconstantlylookingforgrowth opportunitiesforbothorganicallyandinorganically.Soifgoodopportunityarises,thenwe candefinitelylookatfurtheracquisitions.
ChandanMishra: Onelastquestion,sir.Asitisbeingasked,butmyquestionisjustfollow-uptodigital business.Aswehaveseensomeflatdipindigitalbusinessyear-on-year.Doweexpectsome improvementinupcomingquarterontheyear-end?
ShikharAggarwal: Definitely,aswesaidthatdigitalbusiness,wehaveactuallyinternallyseenagrowthonly becauseoneofthecontractsthatwearerunningwascompletedlastyear.Sothatiswhythe revenuewasnottakenfromthatcontract.Inspiteofthat,ourotherbusinessanddigital businesshavegrown.Sowedoexpectgrowthcomingindigitalbusinessinthecoming quartersandyears.
Moderator: ThenextquestionisfromthelineofBalufromParamiFinancialServices.
Balu: Congratulationsonthegoodsetofnumbers.Ihaveonequestion.Ithinkinthemonthof August,wehadannouncedfortheQIP.Soyourviewsonthose.Whereareweintermsofour

QIP?
ShikharAggarwal: Ithinkwehadjustannouncedenablingresolutionasacompanythatwhatourplanknowsthat everyyearwedoenablingresolution,dependingontherequirement,wewillannouncethe QIP.Rightnow,thereisnorequirementbutthatwasjustenablingresolution.Asandwhen thereisarequirementwherewehaveabigacquisitionopportunityorrequirementoffunds, wewillbeannouncingthat.
Moderator: ThenextquestionisfromthelineofDineshfromFinsight.
Dinesh: Sir,Ithinkmostofmyquestionshavebeenalreadyanswered,butcanyoujusttelluslikethe cash,whichisapproximatelyINR900crores,right,allinclusivewhereisthiscash?Isitin Indiaorisitinforeignoperations?
AmitSudhakar: Sobasicallyit'salloverthe world,butamajorportionisinIndiaandthesecondhighest amountistherein Dubaibecausetherewe consolidate.
Dinesh: Okay,India.Andsir,sir,like,say,asyoumentioned,wehavealreadydoneafewacquisitions andafewaremaybeunderpipeline,I'massumingthat.Sothecashwhichwehaveisafter

payingallthecurrentacquisitionswhichwehavealreadydone,right?Orareweexpecting anydrawdownfromthiscashforanyofthependingacquisitions?
AmitSudhakar: No,wewillbeusingthisforthependingacquisitions.
Dinesh

: Okay.Andhowmuchisthatamount?Andwhatistheamountweareexpectingthere?
AmitSudhakar: See,actually,ifyouseeourresults,wearegeneratingaboutINR500crorestoINR600crores ayearofcashinthecompanywiththecurrentrunrate.Andwehaveusedoutofthismoney $31millionfortheCitizenInvest,whichweannouncedinthefirstweekofOctober.Andnow wearegoingtoevenpayfortheAadifidelisinamonth'stime.
Sothesearethecurrentinvestmentsandothers,whichareinthepipeline.Oncetheyget crystallize,wewillknowhowmuchweneedtopaythem.
Dinesh: Okay.Sothereiscertainpendingamountisstillweareexpecting,right?
AmitSudhakar: That'sright.Andwearegeneratingalso.Soit'sboth.
Moderator: ThenextquestionisfromthelineofYashfromStallionAsset.
Yash: SoIthinklasttime,youhadmentionedthatyouhaveabout$1.5billionto$2billionof opportunity.AndIwantedtounderstandhowmanytendersarenowlikegoingtoberenewed? Whatislikeabiddingpipelineforthenext2years?
ShikharAggarwal: Yes.TheanswerisoutofthosewealreadyannouncedthatwewonSlovakiaGlobalinthelast oneyear,Hungary,whilemultiplecontracts,Italygovernment,Poland,Portugal.Sowehave wonmultiplecontractsandalsowearebiddingfornewercontractsandasandwhenwewin morecontractswe’lldefinitelyannounce.
Yash: Okay.SoImean,isitpossibletoquantifylikewhat...
ShikharAggarwal: Opportunityismuchbigger.It'sdefinitelyupwardsof$1.1billion,$1.5billion.InEurope, therearemultiplecountriesthatarecominginforrenewals,inNorthAmericaalso.Andwe areactivelynowaswegrowasacompany,aswematureasacompany,evenwiththis acquisitionofiDATA,notonlythatwe'veaddedgeographicalpresence,we'vealsoadded somegoodpeoplewhohadgoodpresenceindifferentgeographiesthatwherewewerenot present.
Andtheyhavegoodrelationshipsinthoseterritories.Sodefinitely,weseegoodopportunities comingin,andwearehopefulthatwewillwincertainmarketshareasweareperformingour existingcontractswellre-winningthemaswellandgovernmentsaretakingnoticeandthey havegoodrelianceonus.Sodefinitely,weseethatgovernmentwantstochangethemarket scenariogloballyandstoptheoverrelianceononemonopolyplayer.

Sothatiswhyweseegrowthcomingin,inourcompany.
Yash: Right.Andsir,secondquestionisthatasyousaidthatyouhaveaboutINR500crores to INR600croresofcashgeneration.Soaftertheacquisitionaswell.ImeanisjusttotheBoard asasuggestion,woulditbepossibletoopenforabuyback?
ShikharAggarwal: Ithinkwecanconsiderit.Wearelookingatmultipleoptionsrightnow.Ourmainfocusisto deploythecashintermsofeitheracquisitionsordividendtotheshareholdersthatwe'vebeen doing.We'realsoinvestingintechnologyandalsoopeningofnewercentersconsolidatingour operations.We'realsospendingonbusinessdevelopmentandgettingmorequalitypeopleon board.Definitely,wehavenotexploredthat,butwecandiscussitonournextBoardmeeting.
Moderator: Duetotimeconstraint,thatwasthelastquestionfortoday.Iwouldnowliketohandthe conferenceovertothemanagementforclosingcomments.
ShikharAggarwal: Thankyou,everyone,forjoiningtheQ2FY'25ConferenceCallofBLSInternational.We lookforwardtotalkingtoyouagainnextquarter.

Moderator: Thankyou.OnbehalfofNuvamaWealth,thatconcludesthisconference.Thankyoufor
joiningus,andyoumaynowdisconnectyourlines.

Call: Feb 2025

February 18, 2025

National Stock Exchange of India
Ltd.,
Exchange Plaza, C-1 Block G,
Bandra Kurla Complex Bandra [E],
Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange of
India Ltd. ,
Vibgyor Towers, 4th Floor, Plot No.
C62, G - Block, Opp. Trident Hotel,
Bandra Kurla, Complex, Bandra (E),
Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073 MSE Scrip Symbol: BLS
SUBJECT: Transcript of Earnings Call held on February 12, 2025

Dear Sir/ Ma'am,

In continuation to our intimation dated February 06, 2025 please find enclosed a transcript of the Earnings Call held on Tuesday, February 12, 2025 to discuss the operational and financial performance of the Company for the third quarter and nine month ended December 31, 2024.

The transcript is also available on the Company's website at https://www.blsinternational.com/

You are requested to take the same on your records.

For BLS International Services Limited

…………………………
Dharak A. Mehta
Company Secretary & Compliance Officer
M. No.: FCS12878

Page 1of16"BLS International Services Limited
Q3& 9M FY '25 Earnings Conference Call"
February 12, 2025
MANAGEMENT :MR.NIKHIL GUPTA –MANAGING DIRECTOR
MR.SHIKHAR AGGARWAL –JOINT MANAGING
DIRECTOR
MR.AMITSUDHAKAR –CHIEF FINANCIAL OFFICER
MR.LOKANATH PANDA –CHIEF OPERATING
OFFICER –DIGITAL BUSINESS
MR.GAURAV CHUGH –HEADINVESTOR RELATIONS
MODERATOR :MR.NIKHIL SHETTY –NUVAMA WEALTH
MANAGEMENT
BLS International Services Limited
February 12, 2025
Page 2of16
BLS International Services Limited
February 12, 2025
Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 months FY '25 Earnings Conference Call of BLS International Limited, hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation c oncludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand over the conference over to Mr. Nikhil Shetty from Nuvama Wealth Management.
Thank you, and over to you, sir.

Nikhil Shetty: Thank you, Rutuja. Good day, everyone. On behalf of Nuvama Wealth Management, I appreciate you joining us for the Q3 and 9 months FY '25 earnings call of BLS International Services Limited. Today, we have with us the leadership team to discuss the company's operational and financial performance. So, we have with us Nikhil Gupta, Managing Director; Shikhar Aggarwal, Joint Managing Director; and Amit Sudhakar, CF O; Lokanath Panda, COO, Digital Business; Gaurav Chugh, Head of Investor Relations.

With that, I now hand over the call to Gaurav. Thank you, and over to you.

Gaurav Chugh: Thank you, Nikhil. Good afternoon, everyone. Thank you for taking time out to join this call. Just to remind you that this discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with our businesses that would cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

I would like to hand over the call to Mr. Shikhar Aggarwal for his opening remarks; post which, Mr. Amit Sudhakar will discuss the financial performance of the company; and then we'll open the floor for an interactive Q&A session. Thank you, and over to y ou, Shikhar.

Shikhar Aggarwal: Thank you. Good evening, everyone, and thank you for joining us on BLS International's Q3 and 9 months financial earnings call today. We trust you had the chance to review our results, press release and investor presentation, which are available on both the stock exchanges and our company's website.

I am delighted to present an update on our company's

performance, which reflects a period of significant growth and strength. In the quarter and 9 months of the fiscal year 2025, we have recorded a robust increase in our consolidated revenues of 17% and 2 2% year -on-year to INR 513 crores and INR 1,500 crores, respectively. These figures represent the highest revenue we have attained for the corresponding periods to date. Also to highlight, we have surpassed our FY '24 EBITDA and profit number within 9 mont hs of this fiscal.

In terms of profitability, our performance for the quarter has been remarkable with the EBITDA

experiencing a substantial year -on-year 79% growth to INR 158 crores, with our profit after tax has also seen around a 50% increase to INR 128 crores.

The integration of new businesses (we have acquired iDATA, Citizenship Invest and Aadifidelis,)coupled with our transformative shift from a partner and to a self -managed model, have significantly strengthened our margin profile in the current period. We have witnessed EBITDA margin expansion of approximately 1,000 basis points in both Q3 and 9 mont hs period.

If you look at this fiscal, we have invested over INR 1,000 crores across various acquisitions. While the integration of new business is going as per plan, we continue to witness strong cash flow generation, which translates to a healthy balance sheet wit h a net cash position of around INR 690 crores as of December 31, 2024.

We are committed to delivering robust financial performances, which is evident in our strategic focus and onward structural enhancements we are implementing within our business model. These concentrated efforts are designed to solidify our foundation and propel us towards sustained growth and profitability.

During Q3 FY '25, the number of visa application processed has increased from 7.14 lakhs in Q3 FY '24 to 9.08 lakhs, a strong growth of 27% year -on-year. This growth is in sync with the trajectory of global travel and tourism sector, which has been riding the wave of new trends and technologies, offering a conductive environment for us to expand our business.

Additionally, our net revenue per application has witnessed a year -on-year growth of 26%, climbing from INR 2,250 in Q3 FY '24 to INR 2,837 in Q3 FY '25, reflecting our operational efficiency and value creation. In 9 months, the net revenue per applicatio n has grown by around 40% to around INR 2,800.

The acquisition of Citizenship Invest (CI) was completed in October 2024. Citizenship Invest puts us at the forefront of the industry for residency and citizen programs with an expanded presence in over 15 countries. The strategic move bolsters BLS expertise in providing comprehensive visa solution s but also leverages CI's esteemed standing and influence in the HNI category.

With the acquisition of CI, we are poised to significantly increase our processing volumes and reinforce our market position. We began to consolidate the financial performance of CI into the performance in our quarter.

Further, I'm happy to report we also concluded theacquisition of Aadifidelis Loan Solutions on November 26, 2024, and it's being consolidated under our Digital Service Business as effective the same date.

ASPL stands as a prominent entity in the India's loan distribution and processing sector with an extensive network that spans the nation. Our Digital Business has also been witnessing robust performance, driven by both organic and inorganic growth. Its re venue from operations grew 87% to INR 137 crores in Q3 FY '25 as compared to INR 74 crores in Q3 FY '24. Organic growth of the business was around 16%. EBITDA of the business grew by 88% to around INR 18 crores from INR 9.4 crores in Q3 FY '24.
Looking ahead, we are committed to nurturing organic expansion in our Visa & Consular and Digital Service Business segments, and concurrently, we are on the lookout fo

r avenues of
inorganic growth on both domestic and global markets. Our projections for t he ongoing fiscal year are optimistic, and we are focused on fostering enduring growth.
In conclusion, I want to reaffirm our unwavering confidence in the forthcoming quarters. The BLS team is resolutely dedicated to propelling growth within our principal business divisions. We firmly believe that these strategic measures we have put in plac e will serve as a solid foundation for a sustained success in the years to come.
Now I'll turn over the call to Mr. Amit Sudhakar, our CFO, for further updates on our financial performance. Thank you.
Amit Sudhakar: Thank you, Shikhar. Good afternoon, everyone. I am pleased to present the consolidated financial performance for the third quarter and 9 months ended December 31, 2024. In the quarter Q3 FY '25, we achieved a revenue of INR 513 crores, marked a robust year -on-year increase of 17% from INR 438 crores reported in Q3 FY '24. We continue to see strong momentum and remain optimistic about our potential growth in the coming quarters. Our EBITDA for the quarter surged to INR 158 crores, up from INR 89 crores in the same period last year, registering a substantial growth of 79%.
The EBITDA margin for this quarter was 31%, expanded by 1,059 basis points year -over-year. The increase in our margins is a result of our successful cost optimization strategy, which includes shifting to self -managed models and integration of new businesses. As mentioned by Shikhar as well, we have begun integration of Citizenship Invest into our portfolio in this quarter.
Profit before tax for the quarter was reported at INR 140 crores, a 54% increase from INR 91 crores in the third quarter of previous financial year. The profit after tax also showed a record performance at INR 128 crores compared to INR 87 crores in the c orresponding quarter of the previous year, reflecting a growth of 47%. The earnings per share for the quarter stood at INR 2.93 per share as compared to INR 2.05 per share in Q3 FY '24.
Coming to 9 months performance. The 9 -month revenue stood at INR 1,501 crores as compared to INR 1,229 crores, registering a growth of 22% over previous years. The EBITDA for 9 months FY '25 stood at INR 455 crores versus INR 255 crores in the correspondi ng 9 months

of last year, a robust growth of 78%. The EBITDA margin for 9 months FY '25 stood at 30.3% against 20.8% in 9 months FY '24, an expansion of 956 basis points. The profit after tax stood at INR 394 crores as compared to INR 240 crores in the previous corres ponding 9 months, a growth of 64%.
Now coming to segmental highlights. In Q3 FY '25, our Visa & Consular Service segment’s revenue stood at INR 376 crores. Net revenue grew by 60% Y -o-Y to INR 258 crores as compared to INR 161 crores reported in Q3 FY '24. The EBITDA for this segment expan ded by 77% to INR 140 crores with an EBITDA margin of 37.4%. This represented an increase of 1,564 basis points over 21.7% margin recorded in Q3 FY '24.
Looking at the 9 months, Visa & Consular Service revenue grew by 22% to INR 1,207 crores, up from INR 991 crores in 9 months FY '24. The net revenue was up by 78% Y -o-Y from INR 436 crores to INR 775 crores for 9 months FY '25. The EBITDA for the same per iod experienced a significant year -on-year increase of 85%, reaching INR 414 crores with an EBITDA margin of 34%. The margin widened by 1,171 basis points compared to 23% margins in 9 months FY '24, reflecting an ongoing commitment to growth and efficiency .
In Q3 FY '25, our Digital Business segment reported a robust revenue growth of 87% Y -o-Y to INR 137 crores as compared to INR 74 crores in the same quarter of the previous financial year. This increase includes Aadifidelis Solutions revenue of INR 53 cror es consolidated from November 26, 2024, onwards. The EBITDA for the segment increased significantly by 88% Y -o-Y to INR 18 crores in

Q3 FY '25. EBITDA margin stood at 12.9%.
In 9 months, FY '25, the Digital Business revenue stood at INR 293 crores as compared to INR 238 crores in the corresponding period. EBITDA for the segment stood at INR 42 crores in 9 months FY '25 compared to INR 32 crores in 9 months FY '24. EBITDA marg in stood at 14.2%

in 9 months FY '25 against 13.4% reported in 9 months FY '24.
Having invested upward of INR 1,000 crores in new acquisitions during FY '25, primarily funded through internal accruals, the company remains of strong financial position. As on December 31, 2024, our balance sheet reflects a healthy net cash reserve of I NR 690 crores.
That's all from my side. I will request the moderator to open the floor for questions. Thank you.
Moderator: Thank you very much. The first question is from the line of Hatim Broachwala from JM Financial. Please go ahead.
Hatim Broachwala: Sir, I want to know that how much is the contribution from the acquisition done in the Visa segment for iDATA and the other company which we had acquired, Citizenship company. So how much is the contribution in the Visa segment?
Amit Sudhakar: So, if you look at iDATA in the current quarter, they have contributed about INR 25 crores.

And Citizenship Invest has contributed about INR 4.75 crores of the net profit.
Hatim Broachwala: The INR 25 crores is from iDATA and...
Amit Sudhakar: INR 4.75 crores from Citizenship.
Hatim Broachwala: And sir, can you provide same data for the revenue?
Amit Sudhakar: Yes. So, the revenue in iDATA was around INR 59 crores and Citizenship was about INR 13 crores.
Hatim Broachwala: Sir, if let's say, if I adjust INR 59 crores plus INR 13 crores, so it comes to –INR 72 crores. Let's say, if I reduce from the current number to just see the organic number, then I see a de - growth in the number. But the visa count have increased by 27%. So, I'm not able to understand that, on one hand, the count is increasing.
Shikhar Aggarwal: Yes, I think, we have understood the point. So basically, Amit, you can add. And this is, if you talk about year -on-year, if you see the net revenue, that has actually increased.
Amit Sudhakar: So basically, we look at the net revenue growth, as we have talked about, the change in the business model .
Hatim Broachwala: Yes, sir.
Amit Sudhakar: Can you check that there is a Net Revenue growth matching with the growth in the EBITDA numbers?
Hatim Broachwala: Is your top line impacted by the business model change?
Amit Sudhakar: No, no. Top line has not affected, because of the change. But mainly, it is more on the net revenue.
Hatim Broachwala: Okay, sir. Sir, also in the E -Service segment, how much the acquired company has contributed?
Amit Sudhakar: It's about Aadifidelis , has contributed about INR 49 crores.
Moderator: The next question is from the line of Sandeep Agarwal from Naredi Investments.
Sandeep Agarwal: Sir, my first question is regarding we have categorized three type of services: Core Services, Value -Added and Personalized Citizen Services. Sir, can you provide the bifurcation of turnover and margin between them?
Shikhar Aggarwal: Can you repeat the question?
Sandeep Agarwal: Sir, we have categorized our services in three types of services: Core Services, Value -Added

services and providing Citizenship Services.
Shikhar Aggarwal: You're talking about BLS E -Services?
Sandeep Agarwal: Yes. So, can you bifurcate the turnover and margins between them?
Shikhar Aggarwal: I think that were three lines of business that we are doing, that we are providing banking correspondent services. We are providing e -governance services and we are providing assisted e-commerce at the time of IPO we had mentioned. But the margins are pret ty similar in all these segments.
Till now, we don't bifurcate. Because the same state, we are doing multiple things. We are also running banking c

orrespondents. We are also running e -governance using the same centres.
We're also providing assisted e -commerce using the same centres. So tha t is why we don't bifurcate the numbers.
Sandeep Agarwal: Okay. Okay, sir. Sir, just another one. Sir, other income down from INR 23.4 crores to INR 14.7 crores Q -on-Q basis.
Amit Sudhakar: Shikhar also talked about that we have done the investment in the new businesses. So, the interest from fixed deposits have come down.
Sandeep Agarwal: Okay. And sir, our net operating margin and operating profit margin also down on Q -on-Q basis. And what will be the sustainable margin?
Amit Sudhakar: See, we have been saying that we want to maintain over 30% margin in our Visa business. And Digital business will change because of the mix of Aadifidelis and the other businesses. They have a different percentage of margins. So, there will be a change hap pening depending on the

revenue mix in that particular quarter.
Shikhar Aggarwal: But if you see our Visa business, our margin has grown over 36% in the last quarter. And it was 20% last year. But now it has grown to 37%. So, there are little change in the e -governance business, because of Aadifidelis business that we acquired at lesser margin. But profits overall are growing, if you see. So definitely, Visa business s pecifically, we want to maintain the margins. And E -Services also, probably it will maintain at this level.
Moderator: The next question is from the line of Arpit Shah from Stallion Asset.
Arpit Shah: Yes. Just I had a question around, if we see the seasonality part, if I see last year, number of visa application is around 7.14 lakhs applications in Q2, Q3 and Q4. And this year, you have seen a dip on Q -on-Q basis. From 10 lakh, we have come to 9 lakh v isa applications. So how should we read these numbers? And what kind of numbers should we expect for quarter 4? Should we expect 1.2 million applications for quarter 4? How we should read that number?

Shikhar Aggarwal: So, see, if you see this quarter, we have done around 9 lakh applications. Correct? And if you see the same quarter last year, December '23, we had around 7 lakh applications. But if you see previous quarter, we had done 10 lakhs. So obviously, since this quarter, there is seasonality. People travel less during November, December. So that is why we have done lesser numbers compared to last quarter. Still, because of the acquisition of iDATA and new contracts that we had started, there has been an addition in the numbers.
And it has actually increased from 7 lakhs that we did last year. There were some organic growth, some because of the acquisition, some new tenders. And that is the reason we have done 9 lakhs in this quarter. And going forward, quarter 4, January is also a little less. But February, March, we start seeing numbers coming up. And quarter 1, we see good travel going on. So definitely, going forward, we feel the numbers should go up.
Arpit Shah: No, I was referring to Q2, Q3, Q4 FY '24. The numbers are broadly the same. There was no seasonality impact in FY '24. In FY '25, you have seen a dip of 10% Q -on-Q in Q3 FY '25. How we should read the Q4 numbers?
Shikhar Aggarwal: Actually, last year, what happened was one of our contracts that we have done for the Indian Embassy in Canada, there was a major surge in Q3 in terms of revenue. There was a change in the policy over there, wherein people had to come to the centre, becaus e of some change in regulation in the local laws of the country. So that is why for that quarter last year, we had seen a certain surge in revenue. But now it has come back to normality this year. So that is why normally, on an ongoing ba sis, quarter 3 seasonally is less for us as a company.
Arpit Shah: Got it. So now, if I have to see FY '26, what kind of PAT guidance you would like to give to the market? Because this year, probably you are going to close around

INR 520 crores to INR
550 crores kind of a number on the PAT front in FY '25. So, FY '26, you can still think that the growth would be, let's say, more than 30% on the PAT front, FY '26?
Shikhar Aggarwal: See, if I talk about the past and tell you about the market where it is heading, if you see in the last 5 years, we've done 70% CAGR growth in terms of profitability. In this year, in 9 months, the entire profits of the last year, we have surpassed already . We have already spent INR 1,000 crores on acquisition. If you see in the future many new tenders that we are bidding for, there are billions of dollars of tenders that are coming out on an organic basis. Then inorganically, also, we're looking at acquisition opportunities.
So definitely, first of all, our objective is to maintain. Whatever number that we have achieved, we want to make that a new base. Whatever margins we have achieved, we want to make that the new base. And going forward, definitely there are multiple oppor tunities both on the organic and inorganic front. So definitely, we would want the company to keep on continuing to grow. We have not given any projection or such to the market that this is a percentage you want to grow at.

But as having seen our past, the potential is there. Only 50% of the market is outsourced. Billions of dollars of contracts are coming up for renewal. We are eligible for all these tenders. There are multiple other countries which have never outsourced or outsourced for the first time. We're also looking at inorganic growth, both in BLS International and BLS E -Services. So definitely, I think, if you combine all those multiple factors, there is good leeway for growth in the future.
Arpit Shah: So, you believe INR 700 crores is a reasonable estimate to make for FY '26 as a PAT number?
Shikhar Aggarwal: Sorry, can you repeat?
Arpit Shah: INR 700 crores, is that a reasonable estimate to make for FY '26?
Shikhar Aggarwal: See, actually, what I've told you is that, I don't want to comment on any specific numbers. But what we have done in the past, we want to maintain. Whatever number, we want to make that

as a base. And then, as I have told you, there are many opportunities , both on organic and inorganic front. And definitely we, as a company, negative working capital cash flow in company. So definitely, we feel that we will grow as a company. But the exact numbers, I cannot mention at this stage.

Arpit Shah: Sure, sure. I completely understand. In the Visa & Consular business, what percentage of business is now not directly dependent on visa? Like what percentage would be visa, and what percentage would be non -visa in the Visa & Consular business?

Shikhar Aggarwal: See, that percentage, normally we don't take out. If you see in the COVID period, we did about INR 50 crores of profit each year. Still, that was only on the back of Consular Service business. Obviously, that has also grown. So, I don't know the exact mix of how much is exactly Consular, how much is Visa. Because in many countries, the embassy outsources all the services to us. It is including Consular and the Visa. So, there is no specific mix that we have taken out.

Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: Firstly, just a clarification. The INR 25 crores and INR 4.75 crores number that you gave for iDATA and Citizenship, these are EBITDA numbers, right? Not net profits?

Amit Sudhakar: These are profit numbers.

Ankush Agrawal: Last quarter, you gave INR23 crores EBITDA for iDATA.

Amit Sudhakar: Yes. So iDATA, the revenue was about INR 59 crores. And the profit of INR 25 crores in this quarter.

Ankush Agrawal: No. Q2, you said EBITDA was INR 23 crores. Now you're saying PAT was INR 25 crores for this quarter.

Shikhar Aggarwal: No, no, no. I think, you're very confused. We only me

ntioned about this current quarter. , we have done a profit before tax of around INR 25 crores in iDATA and INR 4.75 crores in Citizenship Invest.

Ankush Agrawal: Okay. What would be the number of applications for iDATA during the quarter?

Shikhar Aggarwal: I think, that we have to find out. That, I don't think we have the bifurcation right now. But we'll get back to you on that.

Ankush Agrawal: Okay. So, the second question was basically this year, if we look at our growth, the growth has probably come from substantial increase in our margins and some of the inorganic acquisition that we have done. Now going ahead next year, do you think there is more room for us to expand our margins from where currently it is and to be able to do certain big ticket size of acquisition? Because, otherwise, I mean, do you think organic -wise, you are looking at some of the contracts that will close, that will deliver you the kind of growth that we have been seen? Because otherwise, sequentially, there is hardly any growth in the core business.

Shikhar Aggarwal: If you see last year, we have done INR 88 crores of EBITDA on a combined level in December quarter. And this year, we have done INR 140 crores of EBITDA.

Ankush Agrawal: Yes. That's what I'm trying to say. This year, obviously, we have seen a substantial increase in our margin.

Shikhar Aggarwal: If you see, we subtract the iDATA and Citizenship number from INR 140 crores, the number comes to around INR 110 crores. So, compared to INR 88 crores, we have got INR 110 crores of EBITDA only on organic basis. So, there has been a surge of 30%, 40% even on the organic business.

Ankush Agrawal: I'm not denying that. Obviously, you have delivered a substantial increase in the core business margins, those were like low 20s, besides that going to 30s. But from here onwards, do you still believe we can expand margins from here? I think that will be d ifficult, right?

Shikhar Aggarwal: See, first of all, we as a company want to operate as a sustainable basis. We are always aiming for obviously more efficiencies that we can bring into the business. If you see last year, we were doing 20% of the EBITDA margin at consolidated level. This ye ar, we have reached 30% level. From last quarter, there has been a little dip, because of the acquisition of our subsidiary, and our subsidiary acquired this company Aadifidelis Solutions, which is at a lesser margin. So definitely, our o bjective, as I've said in the past, is to maintain the margins that we have achieved.

Whatever quarter, whatever margins we achieved, we want to maintain that. And we keep on striving for bringing in efficiencies in our business that may or may not lead to increase in margins in the future. But definitely, whatever we have achieved, we wan t to maintain that.

That is what I want to specify.

Ankush Agrawal: Okay. Got it. Just the iDATA application number for the quarter, if you got it.

Shikhar Aggarwal: Sorry?

Ankush Agrawal: The number of applications for iDATA, if you have got it.

Shikhar Aggarwal: That we can send you this separately. Because we don't have those numbers handy right now.
Moderator: The next question is from the line of Tanish from Beas Capital.
Tanish: Do you have any data on what percentage of your existing contracts are up for renewal in the next 2, 3 years?
Shikhar Aggarwal: We have renewed 90% of our contracts. So, as we have said in the last 1, 2 years, after COVID, a lot of these contracts came up for renewal. Spain, we have won the contract again. Last few years, we have won the contract with Indian Embassy in Canada again . So, 95% of our contracts, 90% of the contracts we have renewed.
Tanish: What percentage will be renewal next year, next 2 years?
Shikhar Aggarwal: Next 2 years, see, all these contracts are 5 to 7 years. Some are 10 years, I think. So, as I said, most of the contracts we have renewed. Next 2 years, probably 5%, 10% of th

e contracts might be coming up for renewal.
Tanish: And what amount of new contracts are you looking to bid in next 2, 3 years, bifurcated by geography, if you have any data? Where is the traction?
Shikhar Aggarwal: No. We have already specified that there are multiple tenders that we are bidding for a multi billion dollar worth of opportunities that we are bidding for. There are different stages of bidding. A lot of this we have won. If you see the press releases and announcements that we have done in the last 1 year, we have added new contracts with Portuguese, Poland, Italy, Hungary, Czech Republic, many governments that we've added.
So, there are multiple other tenders also that we are bidding for. And some of the countries which are outsourcing for the first time also. So, there are multiple opportunities that we are looking at.
Tanish: Okay. Just another bookkeeping question. What is the difference between the net revenue and the revenue from operations in the Visa & Consular segment? Like what line items are not included in the net revenue?
Amit Sudhakar: Yes. So basically, the direct expenses and like commissions, when we had the partner model,

what we used to pay them was a direct expense. For example, courier charges. So, the blue dart payment has been netted off. And , it's the net revenue which we earn per application. And that is what we focus on, and we strive to increase that.
Moderator: The next question is from the line of Akshat Bairathi from RSPN Ventures.
Akshat Bairathi: Sorry, this question is being reiterated. Just wanted to understand on the sequential revenue. So then, we have seen the number of applicants and the revenue per applicant dipping this quarter sequentially, which has impacted our revenues. But in Q2 as wel l, if we remove the iDATA revenue, sequentially, we saw a dip of almost 13.5% to 14%. So, any colour on that will be really helpful. And the second part of the revenue is that we have done three acquisitions in the previous couple of quart ers. So, when do we see this revenue growth kicking in sequentially?
Shikhar Aggarwal: See, I think, we did not understand your questions properly. But from what we've understood is that quarter -on-quarter, as we have explained, there's dip in the volume, because of seasonality impact. Still, if you see our net revenue per application has ac tually gone up, right? So actually, quarter -on-quarter, year -on-year, both the parameters, our revenue per application has gone up. Only the overall revenue has dipped, because of the volume drop. And I think, that is what was the first p oint.
Amit Sudhakar: Second, how we look at it, our existing business growth depends on the growth in the travel industry. And if the travel industry overall grows at around 11% CAGR, then, we work on, say, 15% as a growth in our numbers and revenue.
Akshat Bairathi: All right, sir. Sir, second question is on the cash. We are carrying around INR 700 crores of cash balance. So, are we planning any more acquisitions going further?
Shikhar Aggarwal: See, this year, this financial year, we already spent upwards of INR 1,000 crores in acquisitions. And definitely, we have spent a major chunk. Still, we have INR 700 crores of net cash on the books. Going forward, as we have explained in the past, we are constantly looking at value - accretive opportunities for the company, both from an organic and inorganic basis. But definitely, we are open for inorganic opportunities as well as when we win new tenders, technology, we need to deploy cash. So, we are very open for m ore opportunities in the future.
Moderator: The next question is from the line of Manish Choraghe from KJMC Capital.
Manish Chorge: Mr. Aggarwal, I believe that you have given a number of INR 49 crores as a revenue for Aadifidelis. Is that correct?
Amit Sudhakar: Yes, correct.
Manish Chorge: Okay. So, I just wanted to know that this number is for entire

quarter 3? Or I think it has been acquired at the end of November. So, this number is for December or for the entire quarter 3?

Shikhar Aggarwal: I think, this is some part of November and December.
Amit Sudhakar: 26th November onwards.
Manish Chorge: Okay. So, if I'm not wrong, in FY '24, this company has done a revenue of INR 577 crores. So, can I assume that in quarter 4, the number could be around INR 150 crores for Aadifidelis?
Shikhar Aggarwal: Yes. That is what we are expecting, yes.
Moderator: The next question is from the line of Gopal Krishnan from Uthranush Investments.
Gopal Krishnan: Yes. Fantastic. Actually, sir, I found that this iDATA and Citizenship Invest the EBITDA is phenomenally higher by around 50% from the data that we have provided in the investor presentation. So, going forward, the 30% EBITDA that we have achieved will d efinitely be more, right? So, for example, in FY '26, can I say that your EBITDA will be close to 40%, something like that?
Shikhar Aggarwal: See, if you see the actual numbers that we have given you, at Citizenship Invest our EBITDA is close to 37%. And at iDATA, the EBITDA is close to 41%. And these companies are operating in specific geography for specific governments. We have been operating as a global company across the world. So, some countries, margins are lesser and some countries, the margins are more.
And from that point of view, if you see, we have reached from a 20% last year now to a 30% consolidated margins. And our main objective is to maintain this number. We don't want to have haphazard growth. So, our objective is to maintain the number. And we are looking at cost efficiencies and economies of scale in the future.
Amit Sudhakar: And if you see our quarterly Visa segment EBITDA margin, they are nearing 37%. So, in Visa business, because ofthese companies are coming under Visa & Consular business segment, we are achieving those 37% EBITDA.
Gopal Krishnan: No, actually, the iDATA, the EBITDA is 59% and Citizenship, the EBITDA is 45%. As you said, okay, it is on a specific geography. But going forward, I thought it might average down to around at least 40%. I mean, correct me if I'm wrong.
Shikhar Aggarwal: No, actually, you're wrong, because iDATA EBITDA is at 41%, and are in our numbers that we have achieved this quarter and Citizenship Invest is at 37%. And if you see our visa numbers, we've achieved an EBITDA margin of 37%.
Gopal Krishnan: Okay. And then, my second question is regarding this Digital business. This seems to be a drag on our total business. Is there any plan to spin off Digital business into a separate entity, like what you have done with E -Services?

Shikhar Aggarwal: See, first of all, we do not believe it's a drag. If you see retail business, it is a volume -generating business. And since it is a business mostly operating in India, we get paid in INR. It's a volume business. So, if you see our overall profit this quart er is at INR 18 crores compared to INR 9 crores last year same quarter. So actually, we have doubled our profits in this business. And going forward, we feel that there's a big opportunity.
We have done 87% of revenue growth in this business. So, I feel definitely this business also has a big potential in the next few years. And as we add more value -added service spectra, I think, in the long run, the margins will also go up in this business per application. But if you see in total basis, total revenue is growing, total profits is growing. So definitely, I feel that this is also a good synergistic business for our company.
Moderator: The next question is from the line of Dinesh Kulkarni from Finsight.
Dinesh Kulkarni: Really good set of numbers. Sir, my question is, where do you think the next phase of growth would come for our company, assuming, as you just mentioned that we already have done INR
1,

000 crores of acquisitions, and we have a cash balance close to INR 700 crores. So, I just wanted to know like whether it will be more of organic or inorganic, if you could elaborate on that?
Shikhar Aggarwal: I think, as I've already mentioned in the last couple of questions, the same answer I can give you again, that we are looking at both the opportunities. There are multiple billion dollars of contracts that are coming up for renewal, multiple services, mult iple geographies that we are bidding for and different services. So organically also, we have been winning a lot of tenders and next few years also, we expect the same. Inorganically, also, since we've acquired this three, four companies only in the last 1, 2 years. Next few years also, we are looking at different inorganic opportunities. So, both the places the growth will come from.
Dinesh Kulkarni: So, my question is more on terms of, like say, whatever growth we have achieved in the last, like, 20%, 30% CAGR growth, is that achievable again? Or are we like fully penetrated now and we don't see this kind of high double -digit or 20% plus growth?
Shikhar Aggarwal: As I said, we are still at the tip of the iceberg. There is full potential in the market, only 50% of the market is outsourced. 50% market is still getting outsourced. And out of the 50% market,

which is outsourced, multiple tenders are coming up for renew al, in which we are eligible, and we are bidding for. So definitely, there are still huge potential in this Visa & Consular Services and many other services that we can get into.

Moderator: The next question is from the line of Arpit Shah from Stallion Asset.

Arpit Shah: I just wanted to understand, we have seen a stellar EBITDA growth and stellar net revenue growth of the Visa business. But when it comes to the PAT numbers, we have a bit lagged on the PAT number. So, when will it converge to EBITDA growth numbers, the PAT growth

according to you?

Amit Sudhakar: Sorry, you're talking about taxes?

Arpit Shah: No, the PAT number or the PBT number. The PBT number has lagged the EBITDA growth and the revenue growth number in the Visa business. So, when can we see it converging going ahead?

Amit Sudhakar: I think, over the period, youwillsee, currently, the numbers look a little subdued as far as P AT is concerned. But P BT is going up, there's a tax element which is increasing, because of tax ation has come in Dubai as well as our expansion in Turkey and India businesses. There, the tax percentage is much higher. So, if you see as a percentage of tax over PBT is going up.

Arpit Shah: Okay. So, what kind of tax numbers we should build in for FY '25 and FY '26?

Amit Sudhakar: So, what we are working on last year, the tax percentage was around 9%. This year, we think it will go to around 12%.

Arpit Shah: That is FY '25 expecting 12%. And FY '26?

Amit Sudhakar: 12%. I said, 12%.

Arpit Shah: 12%. Okay. And how are we looking to utilize the cash, theINR690 crores? How are you looking to utilize it? Is it going to be dividends?

Amit Sudhakar: As Shikhar said, we are seriously looking at new opportunities and acquisitions as well as expansion of our existing business with new contract. So those will be there and dividend, obviously, will also be part of it.

Moderator: The next question is from the line of Aahan Tulshan from Trivantage Capital.

Aahan Tulshan: I just wanted to understand what the approximate market shares would be for VFS Global and BLS International?

Shikhar Aggarwal: See, exact numbers, the market is not very structured in terms of any market report or study. So, we don't know the exact numbers. But after this acquisition of iDATA, et cetera, probably we should be globally at 15%, 20% market share in terms of the clien t governments. And we don't know the exact numbers the competition is at. But definitely, we are much ahead.

Moderator: Ladies and gentlemen, due to the time constrai

nt, this will be the last question for today, which is from the line of Mayur Bapodra, an individual investor.

Mayur Bapodra: Congratulations for the great set of numbers. Sir, all my questions have been answered. Just one question regarding capital allocation. So, what is the thought process when we acquire any

company? We are like for the past 3 quarters, we are on acquisitions spree, and we invest INR 1,000 crores in different new companies. So, what is the thought process behind INR 1,000 crores like ROCE, ROE requirements? Or what is your thought process behi nd allocating capital for acquisition?

Shikhar Aggarwal: See, if you see from a business point of view, we have acquired companies that are in our line of business. They are synergistic businesses, high profit point businesses with good government, they are working where we can go globally, we can combine other offices, et cetera. So definitely, whatever margins that we are doing, we can sustain them and learn from them. So that was the strategy from a business point of view, and we will recover our money within a matter of a couple of years. In terms of ROE, ROCE, Amit, if you want to add?

Amit Sudhakar: So, we ensure that our return on investment is much higher compared to what we earn on our dividend, o rinterest from the banks. So, we currently work on ROE of around 15% or so.

Mayur Bapodra: Okay, okay. Great, sir. And sir, I heard Shikhar sir, Amit sir's show on Josh Talks and I enjoyed it thoroughly, like the understanding of business you provided on that. So, and congratulations for the future endeavours. Best of luck.

Amit Sudhakar: Thank you.

Shikhar Aggarwal: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Shikhar Aggarwal: Thank you, everyone, for joining our Q3 FY '25 earnings call. We hope all your queries were answered. In case of any further queries, please free to get in touch with Mr. Gaurav Chugh, our Head of Investor Relations, or the Investor Relations team at E&Y. We look forward to

interacting with you next quarter again. Thank you, and goodbye.
Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

May 21, 2025

National Stock Exchange of India Ltd.,
Exchange Plaza, C-1 Block G, Bandra Kurla Complex
Bandra [E], Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
SUBJECT: Transcript of Earnings Call held on May 16, 2025

Dear Sir/ Ma'am,

In continuation to our intimation dated May 09, 2025 please find enclosed a transcript of the Earnings Call held on Friday, May 16, 2025 to discuss the operational and financial performance of the Company for the fourth quarter and year ended March 31, 2025.

The transcript is also available on the Company's website at https://www.blsinternational.com/

You are requested to take the same on your records.

For BLS International Services Limited

………………………….
Dharak A. Mehta
Company Secretary & Compliance Officer
M. No.: FCS12878

"BLSInternationalServicesLimited
Q4&FY'25EarningsConferenceCall"
May16,2025
MANAGEMENT:MR.NIKHILGUPTA–MANAGINGDIRECTOR
MR.SHIKHARAGGARWAL–JOINTMANAGING
DIRECTOR
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER
MR.LOKANATHPANDA–CHIEFOPERATING
OFFICER–DIGITALBUSINESS
MR.GAURAVCHUGH–HEADINVESTORRELATIONS
MODERATOR:MR.NIKHILSHETTY–NUVAMAWEALTH
MANAGEMENT

Moderator: Ladiesandgentlemen,goodday,andwelcometotheQ4andFY'25ConferenceCallofBLS InternationalServicesLimited.Asareminder,allparticipantlineswillbeinthelisten-only modeandtherewillbeanopportunityforyoutoaskquestionsafterthepresentation concludes.Shouldyouneedassistanceduringtheconferencecall,pleasesignalanoperatorby pressingstar,thenzeroonyourtouchstonephone.Pleasenotethatthisconferenceisbeing recorded.
InowhandtheconferenceovertoMr.NikhilShettyfromNuvamaWealthManagement. Thankyou,andovertoyou,sir.
NikhilShetty: Yes.Thankyou,Alaric.Goodday,everyone.OnbehalfofNuvamaWealthManagement,I appreciateyoualljoiningusfortheQ4andfullyearFY'25EarningsCallofBLS InternationalServicesLimited.
Today,wehavewithustheleadershipteamtodiscussthecompany'soperationaland financialperformance.So,wehavewithusMr.NikhilGupta,ManagingDirector;Shikhar Aggarwal,JointManagingDirector;AmitSudhakar,CFO;LokanathPanda,COO,Digital Business;GauravChugh,HeadofInvestorRelations.
Withthat,nowIhandoverthecalltoGaurav.Thankyou,andovertoyou.
GauravChugh: Thankyou,Nikhil.Goodafternoon,everyone.Thankyoufortakingouttimetojointhiscall today.Justtoremindyouthatthisdiscussionmaycontainforward-lookingstatementsthat mayinvolveknownorunknownrisks,uncertaintiesandotherfactors.Itmaybeviewedin

conjunctionwithourbusinessesthatcouldcausefutureresults,performanceorachievements todiffersignificantlyfromwhatisexpressedorimpliedbysuchforward-lookingstatements.
IwouldliketohandoverthecalltoMr.ShikharAggarwalforhisopeningremarks,post whichMr.AmitSudhakarwilldiscussthefinancialperformanceofthecompany.And subsequently,we'llopenthefloorforQ&A.
Thankyou,andovertoyou,Shikhar.
ShikharAggarwal: Thankyou.Goodevening,everyone,andthankyouforjoiningusonBLSInternational'sQ4 andFY'25EarningsCalltoday.Wetrustyouhadthechancetoreviewourresults,press releaseandinvestorpresentation,whichareavailableonboththestockexchangesandour company'swebsite.
I'mdelightedtoannouncethatFY'25hasbeenanexceptionalyearforuswithrecord-breakingperformanceacrossallkeymetrics.OurconsolidatedrevenuereachedINR2,193 crores,markinganimpressive31%year-on-yeargrowth.OurEBITDAstrengthenedtoINR

629croreswithanenhancedmarginto28.7%,whilenetprofitsurgedtoINR540crores, representingabouta66%increaseoverthepreviousfinancialyear.
Theexceptionalperformanceisdrivenbyseveralkeyfactors.Robustgrowthinbothourvisa &consularanddigitalbusiness,theongoingtransitiontoself-managedmodelandthe strategicintegrationofvariousacquisitionswedidduringthefinancialyear2025,namely iDATA,CitizenshipInvestandAadifidelisinIndia.
Ourvisaandconsularbusinesshasemergedasstrongcontributor,experiencingrobustgrowth fuelledbysustaine

dgrowthintheglobaltravel,positivelyimpactingthevisaapplication volumes,thesuccessfulexecutionofnewcontracts,theintegrationofnewacquisitionsand theongoingtransitiontoself-managedmodelacrossvariousgeographies.
Weachievedarecordhighinvisavolumesreaching37.51lakhinFY'25from28.65lakhin FY'24,withthenetrevenueperapplicationincreasingtoINR2,903fromINR2,146inFY '24,agrowthof35%.Inlinewiththegrowingtrajectoryduringthefinancialyear,wehave successfullyopenednewcentresacrossvariouscountries,includingColombia,Peru,Gambia, SriLanka,Philippines,Egypt,UAE,Vietnamandothers.
Additionally,inChina,wehavetransitionedtoenhanceouroperationalefficiencyfurther. Ecuadoralsosawasignificanttransitionthisyear,furthersolidifyingourcommitmentto expandingourfootprint.
Onthedigitalservicefront,wehavewitnessedstrongtraction,especiallyaftertheintegration ofAadifidelisSolutions,whichhasstrengthenedourpositionwithinthebroaderecosystem andenhancedourmarketpresenceinBCnetwork.
TheDigitalServicesegmentreportedrevenuesofINR540crores,growing71%andEBITDA ofINR60crores,reflectingasolidgrowthof22%.AttheendofFY'25,thedigital ecosystemhadexpandedto44,800+CSPsand142,000+touchpoints,enhancingboth accessibilityandservicedeliveryacrosstheunder-servedarea.
TheverticalalsoenabledloandisbursementofaroundINR12,000crores,includingINR 6,700croresthroughAadifidelissolutions,supportingourfinancialinclusioninitiatives.The comprehensivegrowthstrategynotonlyreinforcesourcommitmenttoservediverse communitybutalsopositionusasakeyplayerindrivingsustainableeconomicdevelopment throughinnovativedigitalsolutions.
Moreover,inourpursuitofenhancingdigitalservices,wehaveforgedstrategicpartnerships withmanykeyinstitutionalserviceproviders,includingCanaraBank,CentralBank,SBIand BajajFinServ.Thesecollaborationshavesignificantlyenhancedouroutreach.
Additionally,ourpartnershipwithinsuranceproviderslikeSBIGeneralInsuranceandAditya

BirlaInsurancehasallowedustotailorourofferingstomeetthediverseneedofourclients. Byleveragingadvancedtechnologyandanalyticalskills,wecontinuetoscaleourbusiness.
InFY'25,weinvestedmorethanINR1,000croresacrossstrategicacquisitions.Despitethis, weendedtheyearwithahealthycashbalanceofINR928crores.
Aswemoveforward,weremaindeeplycommittedtodeliversustainableandprofitable growth.Ourstrategyremainstwo-fold,aggressivelypursueorganicgrowthbywinningnew contractsanddeepenclientengagementwhilealsoexploringvaluegeneration,inorganic opportunitiesintech-enabledoutsourcinganddigitalservicesglobally.
Inconclusion,thisperformancereflectsourcontinuedfocusonoperationalexcellence, strategicexpansionandbusinesstransformation.Aswemoveforward,ourstrong fundamentaldisciplinedexecutionandcustomer-centricapproachpositionsuswelltosustain momentumandcreatelong-termshareholdervalue.Thankyouonceagainforyourcontinued

trustandsupport.
IwillnowhandoverthecalltoourCFO,Mr.AmitSudhakar,totakeyouthroughthe financialhighlightsinmoredetail.
AmitSudhakar: Thankyou,Shikhar.Goodafternoon,everyone.I'mpleasedtopresenttheaudited consolidatedfinancialperformanceforthefourthquarterandfullyearendedMarch31,2025.
IntheQ4FY'25,therevenuestoodatINR693crores,ayear-on-yeargrowthof55%from INR448croresinQ4FY'24.EBITDAforthequartercameinatINR174crores,registering agrowthof93%Y-o-YfromINR90croresinQ4FY'24,withEBITDAmarginimproving by496basispointsY-o-Yto25.1%from20.2%inQ4FY'24,reflectingourtransitiontoa self-managedmodelandcontributionfromhigher-margincontracts.Profitaftertaxforthe quarterwasINR145crores,up70%Y-o-YfromINR85croresinQ4FY'24,supportedby enhancedprofitabilityacrossbothourbusinesssegments.
Duringthisquarter,wewitnessedaremarkableperformanceinourVisa&Consularservice segment,whichdemonstratedrobustgrowth.RevenuesurgedtoINR441crores,reflectinga significantincreaseof19%Y-o-YfromINR370croresinQ4FY'24.
Notably,ourEBITDAmarginexpandedbyanimpressive1,347basispointsY-o-Y,reaching to34.2%comparedto20.8%inpreviousyearQ4FY'24.Thegrowthwasfuelledbya38% Y-o-Yincreaseinapplicationvolum

efrom7.1lakhinQ4FY'24to9.8lakhinQ4FY'25, withnetrevenueperapplicationstandingstrongatINR3,149,agrowthof26%Y-o-Yfrom INR2,500inQ4FY'24.
Inaddition,ourDigitalBusinesssegmentalsoshowedpositiveresults,reportingarevenueof INR252crores,markingaremarkable226%Y-o-YgrowthfromINR77croresinQ4FY'24.
ThegrowthwaslargelydrivenbysuccessfulintegrationofAadifidelisacquisitionandstrong

tractioninourBCnetwork.
TheEBITDAforthissegmentreachedINR23croresshowcasinganexceptionalgrowthof 74%Y-o-YfromINR13croresinQ4FY'24withmarginsstabilizingat9.2%.
ComingtothefullyearFY'25performance,weclosedtheyearwithaconsolidatedrevenue ofINR2,193crores,agrowthof31%Y-o-YfromINR1,677croresinFY'24.Thisisthe highesteverannualrevenueforthecompany.
EBITDAgrewby82%Y-o-YtoINR629croresfromINR346croresinFY'24with EBITDAmarginimprovingfrom808basispointsY-o-Yto28.7%comparedto20.6%inFY '24.Thismarginexpansionwasdrivenbyscale,transitiontoself-managedcenters,higher realizationperapplicationandintegrationofthenewlyacquiredbusinesses.
Ourprofitaftertaxfortheyearroseby66%Y-o-YtoINR540crorescomparedtoINR326 croresinFY'24.TheVisa&Consularbusinesssegmentpostedarobustgrowthwiththe revenuerisingtoINR1,653crorescomparedtoINR1,362croresinFY'24,agrowthof21% Y-o-Y.AndEBITDAmarginexpandedby1,293basispointsY-o-Yto34.5%,upfrom 22.1%inthepreviousyear.
Applicationvolumeincreasedby31%to37.5lakhinFY'25from28.7lakhinFY'24,while netrevenueperapplicationstoodatINR2,903inFY'25,up35%fromINR2,146inFY'24.
ThedigitalsegmentreportedrevenueofINR540crores,up71%Y-o-YfromINR315crores inFY'24,drivenbyAadifidelisacquisitionandtractionintheBusinessCorrespondent business.
EBITDAforthesegmentstoodatINR60crores,up32%Y-o-YfromINR45croresinFY '24withthemarginstabilizingat11%inFY'25.Onthebalancesheetfront,wecontinueto maintainarobustfinancialpositionwithnetcashofINR928croresasonMarch31,2025, evenafterdeployingoverINR1,000croresinstrategicacquisitionsduringtheyear.The returnratiosremainstrongwithROEat31%andROCEof22%forFY'25.TheBoardof DirectorsofthecompanyhaverecommendedadividendofINR1pershare.
Lookingforward,weremainoptimisticaboutourgrowthprospects,ourhealthycashreserve, improvedmarginprofileandexpandingglobalfootprintpositionuswelltocaptureemerging opportunitiesinbothinourcoreaswellasdigitalverticals.
Withthat,Iwillrequestthemoderatortoopenthefloorforquestions.Thankyou.
Moderator: Thankyouverymuch.Wewillnowbeginwiththequestion-and-answersession.Thefirst questioncomesfromthelineofRaviNaredifromNarediInvestments.
RaviNaredi: ShikharjiyouandyourteamunderNikhilGuptaji,youaredoingexcellentwork.Our

companyprofitinMarch2020wasINR50crores,soitincreasedtoINR540crores.First, congratulationstoentireteam.Sir,myfirstquestion,howmanyvisapermissionwehave appliedforwhichweareawaitingsanctionsfromcountries?Andwhatisoursuccessratio?

Meansifweapply10,howmanyweget?
ShikharAggarwal: Soasyouknow,inthisquarter,wehavedonearound9.8lakhapplications.Wehavealready saidcomparedto7.14lakh;itisanincreaseof38%comparedtolastyear.Andwecontinue applyingformultipletendersacrosstheworld.Currently,noneofthetendersweappliedhave notsanctioned.Thereisnosanctionedthathavecomeoutofthosecountriesanyway.
Imeanwecontinuetoapplyfordifferenttenders.Youseetheresultofthebusinessthatthe numberswehaveachieved.Alotofitisorganicandwe'vealsowonnewtenders.Someof thisisdeployedthisyear,someareindeploymentstage.Butatthesametime,wearebidding fornewcontractsindifferentgeographies.
RaviNaredi: Right.Andsecond,sir,inquarter4,ourfeeforvisaisINR3,149.Sonowourbaseis increasing.Sowhatistargetforfinancialyear'26?
ShikharAggarwal: See,ourtargetistofirstmaintainthenumbersthatweachieved.Weneedtomaintainthe targetregardingwhichwearealwaysstrivingatmorecostefficiency,increasingtheprofits, etc.SoImean,rightnow,ahealthygrowthof15%to20%minimumlevelthatisthetarget wewanttoachieve.Wehavebeentargetingthatonlyeveryyear,butwehavebeendelivering better.Sothatiswhatweareagaintargeting.
Ravi

Naredi: 20%,right?
ShikharAggarwal: See,internaltargetsareverydifferent.Butforthemarket,Idon'twanttogiveanyforward-lookingnumberorstatement.Wehavenotgivenanytargetyet,okay?
RaviNaredi: Andsir,lastly,duetoTurkeyinvolvedwithPakinwar,doyouseeanyprobleminour business?
ShikharAggarwal: No,no.Letmeanswer.Weareworkingin70countrieswithmultipleEuropeangovernments indifferentpartsoftheworldanddeliveryofservicesindifferentpartsoftheworld.Sowe areaglobalcompanynow.Sothereisnoissueanywhereintheworld.
Moderator: ThenextquestioncomesfromthelineofYogeshfromMoneyvestaCapitalServices.
Yogesh: IwanttoknowintheVisa&Consularsegment,thereisanimprovementofmorethan10%of EBITDA.Isthislevelsustainableinthefuture?Andcanyouthrowsomelightonthis?
ShikharAggarwal: Yes.ThislevelwillbesustainableinthefutureintheVisa&Consularbusiness.
Moderator: Doesthatansweryourquestion,Yogesh?

YogeshAnand: Sir,canyouexplainsomelightonthereasonofimprovementofthis10%EBITDAmargin?
ShikharAggarwal: Aswehaveexplainedinthepastquartersalso,becausewehavedonealotofefforts,insome countriesthetransitionfrompartner-ledmodelwherewehadsomepartners,operational partners,wearenowcompletelyoperatingonourown.Servicefeehasincreased,conversion ofdifferentserviceshaveimproved,increaseinpriceshavecome.Soalotoffactorshaveled tothisgrowth.
Moderator: ThenextquestioncomesfromthelineofGauravSrivastavafromAbunditaCapital.
GauravSrivastava: Sooncetoallofyourteammembers,verycongratulationfortheexceptionalresultgivenby yourteam.Ithinkit'sateameffortwhichgivesusadecentreturn.Myonequeryisregarding lookingattheP&Laccount,Ifoundtheothercostsincreasedsignificantly,accounting47%.
Sojustwantedtoknowwhatistheothercost?Whyisitsoincreasedforthelast3,4years?
AmitSudhakar: Youmeancostofservice?
GauravSrivastava: Yes.Ijustgonethroughyourexpensesbreakup.Soothercostscontributeto47%ofyourcost.
Earlieritwas10%.Butthisyear,ithasgoneveryhigh?
AmitSudhakar: Yes.SoGaurav,thatisbecauseaswehavebeentalkinginourearlierinvestorcallsalsothat wehavechangedourmodel,nowitisaself-runmodel,aswehavetakenofficesonourown andwehaveourownpeopleratherthanapartnershipmodel.
Sowherethecommissionusedtobepaidinthecostofservices,nowwehaveourown employeesandtherentalsandthelocationadministrationcosts,allarebeingpaidbyus.
Therefore,there'sanincreaseintheotherexpenses,whereasifyouseethecostofservicesare comingdown.Overall,themarginsareimproving.
Moderator: ThenextquestioncomesfromthelineofVarunSubramanianfromAscentCapital.
VarunSubramanian: Justacoupleofquickbook-keepingquestions.Soonrevenue,thenetrevenueseemstobe essentiallyyournetrevenueperapplicationintoanumberofapplications.Isthedeltabetween revenueontheVisa&Consularservicesbusiness?Sothedeltabetweenrevenueandnet revenue,isthatalsopartiallywhatisbeingpassedontotheembassyandsecondly,consular services?Isthatcorrect?
AmitSudhakar: Tosomeextentitisrightthatthecostofservicesgetadjustedbecauseincertainplaces,we havetheembassyfeesbeingpartofthecostofservicesandallthedirectexpenses.
VarunSubramanian: Soessentially,thecostofservicesisbeingcountedasrevenueintheconsolidatedrevenue, right,topline?Netrevenuewillexcludethat…
AmitSudhakar: Yes,forrepresentation,weshowitnetrevenue.

VarunSubramanian: Gotit.SooftheINR150-oddcrores,whichisbasicallyrevenueminusnetrevenue,how muchwouldberoughlytheConsularservices?
AmitSudhakar: Idon'thavethedirectfigure.
VarunSubramanian: CanIassumearound$25intowhatever,9.8lakhapplicationswouldbethecostofservices?
AmitSudhakar: See,thathasnotbeeninallthecountries.Thereareonlyoneortwo,coupleofcountries wherethebillinghappensalongwiththeembassyfees.Soit'snotinallthecountries.
VarunSubramanian: Okay.Understood.Okay.AndsecondthingisonEBITDAmarginsbetweenVisa&Consular Services.Assuming,let'ssay,INR50crores-INR60crorescomingfromConsularservices, whatwouldbetheatleastmarginpercentageindicativelyacrossthesetwobusinesses?And whatkindofgrowthareyouseeingintheConsulars

ervicesbusiness?
AmitSudhakar: Themarginsarepracticallysameinboththebusinesses.Sothis~35%EBITDAmargin, whichwehaveshown,aswehavebeensayingintheearlierconferencecallsalsothatwe wantthistoremainabove30%,andwewanttomaintainit.
VarunSubramanian: Gotit.Andonefinalquestion.Ithinkyou'vebeenabletosortofincreasethenetrevenueper applicationquitesignificantlyoverthelast,let'ssay,5,6quarters.I'massumingthatvalue-addedservicesarelargelydrivingthis.Justwantedtounderstandwheredoyouseethissortof cappingoutbecausethey'realreadyatINR3,000perapplication?
ShikharAggarwal: SoIthink,firstofall,we'vegotanincreaseinourservicefeealsoinmanycountries.Andas youseealotoftendersQCBSbids,wearegettinghighertechnicalmarks.So,ourservicefee perapplicationisalsoincreasing.Sodefinitely,thereisamixoffactorsforincrease.And rightnow,ourtargetistomaintainthat.Nowhowmuchfurtherwecango,wecannotgive youexactnumber.Butdefinitely,westrivetoimproveiteveryyear.
VarunSubramanian: SoifIunderstoodthiscorrectly,it'salsoacombinationofthepassonthattheembassyis givingyou,notjustincreaseinvalue-addservices.
ShikharAggarwal: Correct.
Moderator: ThenextquestioncomesfromthelineofAnujJainfromGlobalCapital.
AnujJain: Congratulationsonthewonderfulsetofnumbers.SoIjustwanttounderstand,Imean,like weareholdingsomeINR900-oddcroresofcashinourbalancesheet.Andwehavedone prettydecentacquisitionsinFY'25.Sowhatareourplansofutilizingthiscashgoingforward? Howweareplanningforthat?
ShikharAggarwal: See,ifyouseelastyear,we'vedoneINR1,000croresplusacquisitionandwe'realsoa dividendpayingcompany.Thisyearalsowehavepaid100%dividendonthefacevaluewe

haveannounced.SoImean,thisisacash-generatingcompany.It'sanegativeworkingcapital business.
Andaswegrow,wegeneratemoreamountofcash.Weareseeingeffectivewaysof utilization.Acquisitionwasone.Dividendswe'vebeenpaying.Weareinvestingondifferent resources,growthofthecompany,gettinggoodqualitypeople,spendingsomeontechnology, capex,etc.
Sogoingforward,Ithinkthegrowththatweforeseeintermsofnewcontractscomingin,etc., somecashwillbeutilizedinthat.Wearereinvestinginimprovingouroffices,technology,etc. Andalso,weareagainopenoncetheacquisitionsthatwehavedone,thesynergiesproperly kickin,weareopentomoreacquisitionsinthefutureaswell.
AnujJain: Okay.AndIjustwanttounderstandonemorething.Imean,likeanynewagreementwithany newcountryisinpipeline.Imean,doweexpectanynewbusinessorit'saroutinebusiness, routinething?
ShikharAggarwal: No,it'sagrowingcompany.Everyyear,ifyousee,weaddnewcontracts,addnewvolume. Sowheneverwesignacontract,wewillannounceit.
Moderator: ThenextquestioncomesfromthelineofSachin,anIndividualInvestor.
Sachin: Congratulationsonagreatsetofresults,sir.I'vebeenalong-terminvestorinthecompany, andyouneverfailtodisappointus.Soabigthankyoufromalltheinvestors.Somyquestion iswithregardstoChina.Canyoupleasetelluswhat'shappeningwithChinaintermsofpost-COVIDvolumes?
Havewecomebacktohowitwasbefore?Andalso,wesawanacquisitionaspartofan exchangenotification,wasthattheIndianEmbassyworkinBeijingthatwastakenover?Are weseeingallofthisbecausethey'reallgettingself-managedbyus?That'sthequestion.
ShikharAggarwal: Correct.SoChina,thevolumeisalmost,not100%,butit'salmostbacktopre-COVIDlevel. WehaveseenagoodgrowthintermsofourrevenuefromChina.Andwe'vealsotransitioned toourownmodelthere.Sothatiswhyyoumusthaveseenanentityincorporationor something.Sowehaveastrongfooting.
Sachin: Canyoualsotellusintermsofcostoptimizationofself-managing.Whatpercentageofcost

optimizationstillremainsdueintermsoflikewhatwetargetedversuswhereweareandhow
muchmorecanweactuallylookatself-managedofficesforourselves?

ShikharAggarwal: Tounderstandyourquestion,you'resayingaboutthecostoptimization?Correct?

Sachin: Yes.Surely,we'llhavelikeaballpark,right?Sowhereareweintermsofhowmuchmore canwedo?

ShikharAggarwal: See,therewasnosettarget,firstofall,sinceweareagrowingcompany,therewasnotarget todocostoptimization.ButasinCOVID,welearnedanew

wayofdoingbusiness.So definitely,wekindoflearnedthat.Buttheacquisitionsthatwehavedone,wherewecando sharingofoffices,economiesofscalecanhelpusthatweareintheprocessofdoing.And we'vedoneinmanycountriesandsomemorecountriesareonthepipeline.Sothatistherefor sure.

Sachin: Okay.Andeverybody'squestionisintermsofthecashbalancesandwhatwedo.Soweknow thatyouwillkeeplookingatacquisitions.ButaretherecompaniesouttherelikeiDATAwith thatsortofEBITDAprofilestillthere,whichcanimproveourcompanyaswell?Orisitall competitive,lessEBITDAsortofcompaniesinthefuture?Becausetheconcernisaround EBITDAnumbersgettingdilutedwiththeBLSE-Servicesnumbersgettingadded,right?So wheneverthereisthat...

ShikharAggarwal: No.Butifyouseethevisabusiness,theEBITDAnumbersare34%,andtheycontinueto remainthat.Andgoingforwardalso,therearestilloneortwocompaniesinthebusiness, whichhavehighEBITDAnumbers.Sowe'llcontinuetoremainonthattrajectory.

Moderator: ThenextquestioncomesfromthelineofSamirPalodfromAUMFundAdvisorsLLP.

SamirPalod: Excellentsetofresults,somanycongratulations.Shikhar,Iwantedyourviewsonsortof whatyouexpectinFY'26,thesustainabilityofthe30%-plusEBITDAmargin.Soifyoucan sortofthrowsomelightonexpectedsalesgrowthfromthishighbasethatyou'vecreatedof almostINR2,200croresandonthemarginsaswellthere?Veryhelpful,thatwouldbe.

ShikharAggarwal: Sosee,thisisafactor,theEBITDApercentagenumberthatwe'veachievedisafactorof effortsthatwestarteddoing5yearsback.Soittookalotoftime.Anditstartedshowing results1.5-2yearsback.Everyquarter,we'veseenanincreaseinEBITDAnumbers.Andwe arequitecomfortablewithwhatwehaveachieved.

SointheVisabusiness,Ithinkourimmediatetargetisjusttomaintainwhateverwehave achieved.There'snoplantogrowthatinthefuture.ButImean,alltheinitiativesthatwetake everyday,soitmightleadtoanincrease.Butrightnow,ourplanistosustainwhatever EBITDAmarginwehaveachieved,andweareatahealthynumber.

Inregardstogrowthinrevenue,etc.,Imean,ifyouseeinthepast,thisfinancialyearwe've done30%revenuegrowthand82%EBITDAgrowth.Ifyouseelast5years,we'vebeen growingatmorethan90%CAGRintermsofprofitifyoustartfrom2021.Sodefinitely,our targetistogrow.

Thereisnosettargetthatwe'regivingtothemarket,butyoucantakegrowthinvisavolumes, etc.Soatleast15%,20%normalgrowththatwe'vebeendoingontopofthat.Thereare multipleotherthingsthatwearefocusingon.SoImean,there'snoexactpercentagethatwe

cantell,butwewishtomaintainthegrowthmomentumthatwehavebeenmaintainingforthe last5years.

SamirPalod: Fairenough.AndyouhadmadeanacquisitioninTurkey,right,oroneofthecompanies whichhadaTurkishcontract?

ShikharAggarwal: No,no.Actually,please,Isuggestthatyouseeandread.WeareworkingwithEuropean Government.SoweacquiredacompanycallediDATA,whichhascontractswithGermany, ItalyandCzechRepublicGovernmentin15countries.SoTurkeyisoneofthecountries wheretheyoperate.

SothatisthescenariowherepeoplefromTurkeywhogotoGermany,Italy,theyapplyfor visainouroffices.Sothereisnocontract.ThecontractsareonlywithGermanGovernment andItalyGovernment.AswehavebeenoperatingfortheSpanishGovernmenttherefrom 2016aswell.Soglobally,weoperatein70countrieswithmultiplegovernments.Thatisthe scenario.

SamirPalod: SonolikelyimpactofanythingtodowithIndia,Turkeytension,right?

ShikharAggarwal: ItoldyouthatweareworkingwithalltheseEuropeangovernmentsglobally.Thereisno issue.

SamirPalod: Right.Andsorry,Idon'thavethebalancesheetdatainfrontofme,butwhatwasthe operatingcashflowinthecurrentyear?

AmitSudhakar: ThenetwehavetalkedaboutisINR928croresisthenetcashbalance.

SamirPalod: Thisiscashflowduringtheyear?I'mnotaskingforthecashbalance.I'maskingforthe operatingcashflowduringtheyear.
AmitSudhakar: SooperatingcashisINR903crores.
Moderator: ThenextquestioncomesfromthelineofManishChoraghefromKJMCCapital.
ManishChoraghe: Congratulationsongreatsetofnumbers.Ijustwantedtoknow,wouldyoubeabletogiveany specificnumbersoniDATAandAadifidelissolutions?
ShikharAggarwal: Ithinkthere'snospecificnumbers,butwhatwecantellyouisthatwehaveachieved EBITDAgrowthof80%fromlastyeara

nd20%ofthatgrowthhascomefromour acquisitions,butmorethan60%hascomefromorganic.Soit'sonly20%growththathas comebecausethefullyearnumbershavenotcapturedthefullyearnumbersofthese acquisitions.
ManishChoraghe: Okay.Andanyfurtheracquisitionspipeline?

ShikharAggarwal: Ithinkwearealwayslookingatdifferentopportunities.Soasandwhenanythingisfinalized, we'lldefinitelyletyouknow.
Moderator: ThenextquestioncomesfromthelineofAnupamafromRatnaTrayaCapital.
Anupama: Yes,Ihadthesamequestionactuallyontheacquisition.Canwehavetherevenuenumbers fortheAadifidelisacquisitionandmaybetheprofitabilityalso?
AmitSudhakar: SoifyoulookatAadifidelis,wehaveaboutINR200croresofrevenueinthecurrent financialyear.
Anupama: AndwhatkindofEBITDAorPATwouldbefromAadifidelis?
AmitSudhakar: AadifidelishasanEBITDAofaround4%to5%.
Anupama: 4%to5%.Okay.Anddowehaveliketheapplicationnumber,someiDATA?
ShikharAggarwal: Ithinkwehavethetotalvolume.Sowehavedonearound9.83lakhapplicationsversus7.14 lakh,whichisagrowthof38%.SothisIthinknumbersincludeorganicgrowthaswellasthe growthfromacquisitions.
Anupama: Right.AndcanIjusthavelikeaguidanceorcommentaryonwhatistheseasonalitywiththe applications?LikelastJune,Icanseeagoodjump,butthenithassortofstabilizedonthat. Andthenthelastyearorso,it'sbeenataroundINR7lakhs.
ShikharAggarwal: Imeanifyouseelast2years,thatishowthebusinessis,youhaveseenthenumbersinthe last2years,everyquarterthatishowitoperatesonanongoingbasis.
Anupama: Sothere'snoseasonalitybetweenthequarters?
ShikharAggarwal: No,thereis.I'msayingasyouareseeingseasonalitybetweendifferentquarterslastfewyears isthesamethingthisyearalso.Sothereisseasonality.
Moderator: ThenextquestioncomesfromthelineofVeerannaSavadi,anIndividualInvestor.
VeerannaSavadi: I'manIndividualInvestorinBLSE-Services.MyquestioniswhatisyourfutureviewforBLSE-Services?Andthesecondquestionis,isthereanythingyouaregoingtoexpandBLS E-ServiceoutsideIndia?Sothesearemytwoquestions.
ShikharAggarwal: SoIthinkifIheardyouright,see,BLSE-Services,ifyouseeourEBITDAhasgrown32%at INR60croresnowcomparedtoINR45croreslastyear.Andweareseeingaphenomenal momentuminBLSE-Services.Ournetworkhasgrowntomorethan120,000centers.We haveenrolledmultiplenewpublicsector&privatesectorbanks

Wehavestarteddifferentadjacentbusinesses,higher-marginbusinessesI'vebeentalking aboutinthepastyears,theB2Csegment,likeinsuranceservices,etc.,thathavestartedto increaseourprofitability.Andtheloandistributionbusinessthatwe'vegotteninto,Ithink Aadifidelisisworkinginsomecodesnow,withourpresencewecanreallytakethatforward. Sointhenextfewyears,weexpectgoodgrowthinBLSE-servicesandwearelookingat multipletenderswithdifferentbankstogrowourBCbusinessaswellase-governance contractsaswehavebeenoperatingin,Imean,Gujarat,WestBengal,wearelookingat multipletendersinotherstatesaswell.SoIfeelitisagoodbusinessthathasagreatpotential togrow.
VeerannaSavadi: Yes.Mysecondquestion,Sir,anythingyouwouldliketoexpandthisbusinessoutsideIndia aswell,likemaybeinneighbourcountries,SriLanka,Bangladesh,theremightbesome opportunitytogrow?
ShikharAggarwal: Yes,definitely,rightnow,themarketisverybiginIndia.Wearekindoffirstachievinga goodvolumerevenuethere.Andtheninthefuture,definitely,weareopensincewecantake thesupportoftheparentcompany,BLSInternational,whichhasofficesin70countries.So definitely,inthefuture,iftheopportunityarises,definitelywewilllookatit.
Moderator: ThenextquestioncomesfromthelineofNikhilShettyfromNuvamaWealthManagement.
NikhilShetty: Shikhar,couldyoupleasesharewhichcountriesareyettotransitionfrompartner-ledtoown

model?Ifyoudon'twanttonamethem,fine,butatleastthepotential,Imean,therevenue
percentagethatwouldbehelpful.Sothisshiftcouldbeameaningfultriggerforthemargin
expansion.AndyouhadmentionedaboutChina.Andcouldyouelaborateonthepotential
financialbenefitthatcouldmaterializefromthisparticularmarket,perhapswithsome
indicativenumbers?
ShikharAggarwal: See,Ithinkalready,ifyouseewehavetra

nsitionedmostofthecountries.Thereis--inmy
knowledge,maybe1or2,butprobablyIdon'tknowifthatwillbethesignificantchangein
revenueornot.ButfromChina,westartedinJanuary.SoImean,thenumbersofChinahave
alreadybeenincorporatedinthefinancialsofthisquarter.Maybesomemoregrowthis
expected.
Sogoingforward,thisgrowthismultiplefactors.Thatisjustoneelement,thetransition.So
thatwillcontinuetobethere.Butifyoutalkaboutifwehaveanalysedwhatrevenuewillget
increasedfromSpaininthefuture,wehavenotdoneanyofthosestudies.Imeanmajorityof
theworkhasalreadybeendone.Therearesomeoneor2morecountriesleftthatwewillbe
doing.
NikhilShetty: Okay.Andalso,whileFY'26appearswellpositionedwiththesteadybasebusinessandfull
integrationoftheacquiredentity.Soitwouldbehelpfulifyoucouldshareyourthoughtson

themedium-tolong-termoutlook,specificallyfor3to5years,whatkindofrevenuegrowth
trajectoryisthemanagementdeciding?
ShikharAggarwal: See,wealwaysliketotakeconservativenumbersforthemarket,andifyouseelast5years,
wehavedoneexceptionallywell.Weunderstandthebasehasincreasedofthecompany,and
itisnoteasyasabigcompanytogrow.Butifyouseetheopportunitysizeinthismarket
there'smulti-billionthere.It'shumongous.
Therearealotofcontractsthatareinthepipeline.Aswegrowasacompany,governments
arebuildingtrustonus.They'rere-awardingtenderstous.Newgovernmentswanttoreduce
themonopoly,giveworktomultipleplayers,whicharequalified,whichonlyhave3inthe
world.
Sowethinkthatthereisabigopportunityintermsofgettinggoodmarketshareorganically.
Thereisanopportunityingrowthinourexistingbusiness.Visavolumeswillgrow.Revenue
perapplication,servicefeeshavebeengrowing.Value-addserviceshavebeengrowing.
Conversionshaveincreased.Wearetryingtodoeconomiesofscalecombiningourmultiple
offices.Sothereisagoodamountoforganicgrowththatwecontinuetofocuson.
Andthenontopofthat,thesetendersthatwearebiddingforandifthere'sanacquisition
opportunitythatcomesalsointhefuture.Soweexpecthealthygrowth.Atbareminimum
15%,20%issomethingthatwewishtomaintain.Wedon'twanttogiveaggressivenumbers
tothemarket.Butdefinitely,ourtargetistoachievemore.
NikhilShetty: Andjusttogetamoresenseonthetenderside,ifyougiveusasenseinnext,say,12to18
months,whatistheopportunitysizewearebiddingforandtheconversionpossibilityfrom
that?Andanybiginnearterm,biggeography,whichisupforrenewalinnearterm?
ShikharAggarwal: Yes.Firstofall,aswehaveexplainedinthepast,ourstrategyasacompanyhasbeentobid
foralltenders.Sowehavebeenbidding.Thatishowwehavegrownthecompany.Wehave
beenbiddingforalltendersinourindustryfromdayonethecompanygotestablished.
Sothereis$1billionworthofcontractsthatarecomingupforrenewalthatweareclearthat
wehavebeenintouchwiththosegovernments.Sodefinitely,wewillbebiddingforthat.And
theninthefuture,moretenderswillcomeupagain.
NikhilShetty: Okay.Andlastly,justontheiDATAandCitizenInvest,howmuchiscontributedforthe
entire'25?
ShikharAggarwal: Imeanfromthegrowth;Iknowthatit'sonly20%ofthegrowthofEBITDAthathascome
fromthebusiness.Outofthe82%growthinEBITDA,only20%hascomethisyearfromthat.
NikhilShetty: Intermsoftopline?

ShikharAggarwal: IntermsofEBITDA.Idon'tknowintermsoftopline,IthinkAmitcan...
NikhilShetty: Yes,Ijustwantrevenuenumbers.I'mfine.
ShikharAggarwal: Otherwise,yes,youcantakeituplater.
Moderator: ThenextquestioncomesfromthelineofSanketfromGEPLCapital.
Sanket: Congratulationstoyouguys.AndIjusthadonequestionthatwehaveacquiredSLWMedia,
justwantedtoknowwhat'stheoutlookforthatcompany?Howarewemovingforwardwith
thatacquisition?
ShikharAggarwal: No,no.Wehaveexplainedinthepastthatwehavenotacquired,thiswasaINR70lakh
investmentthatwedidtoenhanceourbrandandthatisdoingverystrong.Andthatis

profitable.Wehavenofurtherinvestmentthatwearemakinginthatcompany.
Moderator: Ladiesandgentlemen,thatwasthelastquestionfortoday.Iwouldnowliketohandthe conferenceovertothemanagementfortheclosingcomments.
GauravChugh: Thankyou,everyone,forjoiningthiscalltoday.Wehopeallyourquerieshavebeen answered.Incas

eyouhaveanyfurtherqueries,pleasedoreachouttoGauravChughorthe EYteam.Welookforwardtointeractingwithyouagainnextquarter.Thankyou,and goodbye.
Moderator: Thankyou,sir.Ladiesandgentlemen,onbehalfofNuvamaWealthManagement,that concludesthisconference.Youmaynowdisconnectyourlines.

Call: Aug 2025

August 11, 2025

National Stock Exchange of India Ltd.,
Exchange Plaza, C-1 Block G, Bandra Kurla Complex
Bandra [E], Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
SUBJECT: Transcript of Earnings Call held on August 06, 2025

Dear Sir/ Ma'am,

In continuation to our intimation dated July 29, 2025 please find enclosed a transcript of the Earnings Call held on Wednesday, August 06, 2025 to discuss the operational and financial performance of the Company for the first quarter ended June 30, 2025.

The transcript is also available on the Company's website at https://www.blsinternational.com/

You are requested to take the same on your records.

For BLS International Services Limited

………………………….
Dharak A. Mehta
Company Secretary & Compliance Officer
M. No.: FCS12878

"BLSInternationalServicesLimited
Q1FY'26EarningsConferenceCall"
August06,2025
MANAGEMENT:MR.NIKHILGUPTA–MANAGINGDIRECTOR,
MR.SHIKHARAGGARWAL–JOINTMANAGING
DIRECTOR
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER
MR.LOKANATHPANDA–CHIEFOPERATING
OFFICER
MR.GAURAVCHUGH–HEAD-INVESTORRELATIONS
MODERATORS:MR.MOEZCHANDANI–AMBITCAPITAL
Moderator: Ladiesandgentlemen,gooddayandwelcometoBLSInternationalServicesLimitedQ1FY '26EarningsCallhostedbyAmbitCapitalPrivateLimited.
Asareminder,allparticipantlineswillbeinthelisten-onlymodeandtherewillbean opportunityforyoutoaskquestionsafterthepresentationconcludes.Shouldyouneed assistanceduringthisconferencecall,pleasesignalanoperatorbypressing'*',then'0'on yourtouchtonephone.Pleasenotethatthisconferenceisbeingrecorded.
InowhandtheconferenceovertoMr.MoezChandanifromAmbitCapital.Thankyouand overtoyou.

MoezChandani: Thankyou.GoodafternoonandonbehalfofAmbitCapital,IthankthemanagementofBLS InternationalServicesLimitedfortheopportunitytohostyourQ1FY'26EarningsConference Call.
Wehavethefollowingmembersofmanagementwithustoday,Mr.NikhilGupta-Managing Director;Mr.ShikharAggarwal-JointManagingDirector;Mr.AmitSudhakar-Chief FinancialOfficer;Mr.LokanathPanda-COO,DigitalBusinessandMr.GauravChugh-Head ofInvestorRelations.
IwillnowhandoverthecalltoMr.GauravChughtowalkusthroughtheinitialcomments.
Thankyouallandovertoyou,sir.

GauravChugh: Thankyou,Moez.Goodafternoon,everyone.Thankyoufortakingtimeouttojointhiscall today.Thisistoremindyouthatthisdiscussionmaycontainforward-lookingstatementsthat mayinvolveknownorunknownrisks,uncertaintiesandotherfactors.Itmaybeviewedin

conjunctionwithourbusinessesthatcouldcausefutureresults,performanceorachievements
todiffersignificantlyfromwhatisexpressedorimpliedbysuchforward-lookingstatements.
IwouldliketohandoverthecalltoMr.ShikharAggarwalforhisopeningremarks,post
whichMr.AmitSudhakarwilldiscussthefinancialperformanceofthecompany,andwewill
thenopenthefloorforaninteractiveQ&Asession.Thankyouandovertoyou,Shikhar.
ShikharAggarwal: Goodevening,everyone.ThankyouforjoiningusfortheQ1FY'26EarningsCallofBLS
InternationalServicesLimited.Thisyearholdsspecialsignificanceforusaswemarkour20th
anniversary.Aremarkablemilestonethatspeaksofourjourneyofresilience,innovation,
unwaveringcommitmenttoexcellenceoverthelast2decades.
Beforewediveintoourperformance,Iwanttotakeamomenttosincerelythankour
stakeholders,partnersandteammembers.Yourtrustandsupporthavebeencentraltoshaping
BLSintoagloballytrustedbranditistoday.Ourjourneyhasbeendefinedbysustainable
growth,adaptabilitytochangingmarketsandadeep-rootedcustomer-centricapproach.Iam
delightedtosharethatwehavecommencedFY'26onastrongnote.Thisquarter's
performancereflectsthestrengthofouroperatingmodelandtheimpactofourstrategic
execution.
Wehaveyetagainachievedhighest-everquarterlyfinancials.Ourconsolidatedrevenue
reachedRs.710crores,markinganimpressiveyear-on-yeargrowthof44%overthelastyear's
correspondingquarterlyrevenueofRs.493crores.Thegrowthwasledbythe

existing
businessaswellastheconsolidationofouracquiredbusinessesiDATA,CitizenshipInvest
andAadifidelisSolutionsduringthepreviousfinancialyear.
OurEBITDAgrewby53%toRs.204croresfromRs.133croresinQ1FY'25.EBITDA
marginalsoexpandedby171basispointsto28.7%.OurPATstoodatRs.181crores,
witnessingagrowthof50%overQ1FY'25.OurVisaandConsularbusinesscontinuedto
driveourcompany'slong-termgrowthambitions.Thisquartersawstrongtractionaidedby
surgeinglobaltravelandincreasedintegrationofdigitalandtech-ledsolutions.Thesegment
deliveredarevenuegrowthof11%year-on-yeartoRs.461croresandnetrevenuegrowthof
60%year-on-yeartoRs.360crores.Thegrowthwasprimarilydrivenbychangeinour
businessmodelfrompartner-runtoself-managedacrossmanylocationsaswellasdueto
consolidationofiDATA.
WerecordedanEBITDAmarginof40.4%inthesegmentascomparedto29.3%inQ1FY'25,
supportedbythecompany'sstrongfocusoncostefficiencies.Wehavecontinuedtodeliver
robustgrowthinthenumberofapplicationsasweprocessed11.4lakhapplicationsduringthe
quarter,representingayear-on-yeargrowthof33.6%.
Theglobalvisaoutsourcingmarketcontinuestopresentasignificantopportunityprojectedto
growat14%CAGRandexpectedtoreachUSD8.2billionby2028,atrendwearewell
positionedtocapitalizeon.
Now,movingforwardtotheDigitalServicebusiness:
Revenueinthesegmentsurged218%year-on-yeartoRs.250croreswithanEBITDAatRs.
18crores.GrowthherewasprimarilydrivenbytheconsolidationofAadifidelisaswellas
growthinourBCbusiness.Duringthequarter,ourstep-downsubsidiaryZeroMassalso
signedadefinitiveagreementtoacquireCSPsofSBIandHDFCBankfromSub-KIMPACT
Solutions.Thisstrategicacquisitionwillmarkasignificantstepinthecompany'scommitment
toexpandfinancialinclusionandenhancelast-milebankingdeliveryacrossIndia.
OurBusinessCorrespondentandBusinessFacilitatorbusinesscontinuestodrivefinancial
inclusion.Wehaveonboardedover10,000retailersandenteredintoastrategicpartnership
withBajajFinServ,HDFCBankalongwithMicroATM,CSProlloutinOdishaand
furthermore.Beyondbanking,wehavealsoexpandedourdigitalfootprintwithanewproject
inChhattisgarhfordigitizingsub-registraroffices,streamlinedlandrecordregistrationsand
launchingAadhaarEnrollmentCentersinRajasthan,andpartneringwithDelhiveryfor
nationwidecourierservices.
Wecontinuetobenefitfromthesuccessfulintegrationofdecentacquisitionssuchasi DATA,
CitizenshipInvestandAadifidelis.Theseintegrationshaveexpandedourservicecapability,
improvedoperationalefficiencyandextendedourpresenceandmarketshareinhigh-growth
markets.
Aswelookforward,BLSInternationalremainswell-positionedtobuildonthismomentum.
Weareexpandingthroughkeygovernmentpartnershipsanddiversifyingourofferingsinto
areassuchascitizenship,residencyandentryservices.
Withastrongleadershipteam,ahealthypipelineofopportunitiesandincreasingadoptionof
innovativetechnologies,weareconfidentinourabilitytocreatesustainablelong-termvalue.
InowinviteourCFO–Mr.AmitSudhakar,towalkyouthroughtheFinancialHighlights.

AmitSudhakar: Thankyou,Shikharandawarmwelcometoalltheparticipants.Iampleasedtopresentthe consolidatedfinancialresultsforthe1stQuarterofFinancialYear2026,ended30thJune2025.
Wehavestartedtheyearonastrongfooting.ConsolidatedrevenueforthequarterstoodatRs. 710crores,reflectingarobust44%year-on-yeargrowth,comparedtoRs.493croresinQ1FY '25.
Thisgrowthwasdrivenbycontinuousstrengthinourcoreoperationsaswellasfullquarter impactofrecentacquisitionsofiDATA,CitizenshipInvestandAadifidelisSolutions,which wereconsolidatedduringFY'25.EBITDAforthequartergrewby53%Y-o-YtoRs.204 crores,withtheEBITDAmarginexpandingby171basispointsto28.7%.Thismargin improvementisaresultofouroperationalleverage,continuousfocusoncostoptimization,the transitionofself-managedcentersandhighertransactionrealization.Profitaftertaxroseby 50%Y-o-YtoRs.181crores,reflectingimprovedperformanceacrossbothourcorebusiness segments.
Now,movingtoVisaandConsularservices.TheVisaConsularsegmentcontinuedtodeliver strongresults,withrevenueincreasedby11%Y-o-YtoRs.461crores.TheEBITDAmargin inthissegmenti

mprovedsignificantly40.4%upfrom29.3%inQ1FY'25.Thestrong performancewasprimarilydrivenbyenhancedcostefficiencies,higherproportionofself-managedcentersandconsolidationofiDATA’shighmarginoperations.Applicationvolumes grewby34%,reachedRs.11.4lakhwhilenetrevenueperapplicationgrewby19%Y-o-Yto Rs.3,167perapplication.
Digitalsegmentrecordedanexceptionalgrowthwithrevenueincreasedby218%Y-o-YtoRs. 250crores,largelyduetointegrationofAadifidelisSolutionsPrivateLimitedfromNovember
2024.EBITDAindigitalbusinessroseby53%Y-o-YtoRs.18crores,highlightingthe growingmomentumofourdigitalserviceportfolioandtheoperationalprogressmadeduring thequarter.
Balancesheetandoutlook:
OurbalancesheetremainedquitestrongdespiteinvestingoverRs.1,000croresinvarious strategicacquisitionsduringthepreviousfinancialyear.Wecontinuedtomaintainanetcash positionofRs.1,126croresason30thJune2025,comparedtoRs.928croresofnetcashasof 31stMarch2025.
OurQ1performancereflectsthedisciplinedexecutionofourgrowthstrategywithaclear focusonscalability,marginexpansionanddiversificationacrossgeographicandservicelines. Weremainconfidentinourtrajectoryandarecommittedtodeliveringsustainedvaluetoall ourstakeholders.
Withthat,nowIinvitethemoderatortoopenthefloorforquestions.Thankyou.
Moderator: Thankyouverymuch.Wewillnowbeginthequestion-and-answersession.Wewilltakeour firstquestionfromthelineofArpitShahfromStallionAsset.Pleasegoahead.
ArpitShah: Ijustwantedtocongratulatethemanagementforthisquarter'sperformance,40%EBITDA marginsinaquarterwhereitwasfacedwithalotofmacroheadwinds.Anditisalmostdone thisquarter'sEBITDAisalmostequivalenttoFY'23'sfull-yearEBITDA.Iamjustgladtosee suchkindofexecution,suchkindofprogressintermsofexecutionthatthemanagementhas shownus.IhadaquestionregardingtheVFSIPO,whichisprobablyoncards,whichisgoing tobecominginthenextcoupleofquartersorso.Ijustwanttounderstandhowdoyoustack upagainstVFS?Itisprobablythevaluationwhichisrunningaroundthestreetisabouta multi-billiondollar,somethingaround$8-$10billionkindofanIPO.Andhowdowestackup againstsomethinglikeaVFS?AndIjustwantedtounderstand;wehaveseenphenomenal growthinthelastcoupleofyears.Eventhisquarteritwas11lakhapplications,morethan 36%growthY-o-Yinatoughmacroenvironment.So,nowhowdowegoaheadfromhere? Dowesustainthiskindofgrowthrategoingaheadordowenowstepupbeyondthese outsourcing?Dowenowstartdoingbetterthingswithbettermargins,highermargins?Whatis theroadmap?HowdowebecomeRs.1,000croresPATcompanyletussayfromcurrent levels?Howmuchtimedoyouenvisageseeingitcurrently?Andjustcongratulationsona phenomenalperformance,Thankyousomuch.
ShikharAggarwal: Arpit,firstofall,Ithinkbettermargins,sowehavealreadyachieved,ifyouhaveseenthe Visabusinessaround40%EBITDAmargins.Andonanoverallbasis,28.7%onconsolidated basis.So,Ithinkourimmediateandlong-termobjectiveistomaintain.Wehaveincreased from35%inthelastquarterandlastyearwewereat29%.So,wehavenowreached40%.So, ourimmediatetargetistomaintainthat.Wedon'tknowaboutthiscompetition,butdefinitely
morecompaniesgettinglistedinthemarketwillbegoodforus.Therewillbemorecoverage. Rightnow,alotofinvestorssaythatwearetheonlylistedcompanyinthisspaceglobally.It willbeverygoodfortheanalystcommunitytobenchmarkus.Whatweknowisthatglobally,

Ithinkwehaveachievedaround16%-17%globalmarketshare.Ifeelthatwearethesecond largestcompanygloballyinthisbusiness.Andasyouhaveseennow,ifyoucomparethe numbers5yearsback,ourrevenuehasgrown5x,ourEBITDAhasgrown15x.Weasa company,weknowexecutionandthatiswhatwearefocusedon.Keepingourheadsdown,we arefocusedonexecution.So,definitelywefeelthatwhatevernumberswehaveachieved,we canmaintain.Andwhatguidanceorwhatwearetellingpeopleisthatnowwiththeincreased basealso,next3-4years,wewouldcontinuetogrow20%-25%intermsofprofitability, revenue,etc.Andtherearemultipleopportunitiesintermsofnewtenderscomingoutinthe Visafielditself.Andonlyaswespoke,only50%oftheglobalmarketisoutsourced.So,right now,intheoutsourcedm

arket,onlytherearemultipletendersthatarecomingout.Somewe havewon,somewehavedeployed,someareatdifferentstages.So,asyousee,wehavedone 11.36lakhapplications,a33%increasecomparedtosimilarquarterlastyear.So,definitely, thereisabigleewayforgrowthgoingforward.So,definitely,whateverwehaveachieved,we willmaintain,andwewilllookforwardtoconsolidatingthemarket.

ArpitShah: Gotit.AndifIcouldjustspeakaboutseasonality,typicallyifIhavewhateverIseeintermsof EBITDAorthePATnumbersforQuarter1,ifyougoforthefullyear,itistypically4.5-5x ourQuarter1EBITDAorPAT.Shouldweseeasimilarkindofseasonalitygoingaheadeven forthisyear?Ordoyouthinktheseasonalityhaschangedpostacquisitionsandwhereyou havedifferentkindsofcountriesnowparticipatingthatittweakstheseasonality?Ordoyou thinkthattherunratethatweusedtoseefromQuarter1toletussaythefullyear,thatnumber stillmaintain?

ShikharAggarwal: See,post-COVID,alotofthingshavechanged.Trendshavechanged.Asyousee,theglobal traveltrendhaschanged.So,definitelytherearedifferenttimelinesthatwesee,buttypically quarteroneasyouknow,alotofoutboundtravelfromIndiaalsohappensduringthistime.So, definitelyitismore.So,IthinkQuarter3,Quarter4,probably,Idon'trememberexactly,isa littlelesser.Butyes,asyouhaveseeninthelastfewyears,thenumberswehaveachieved, acquisitionetc.So,globally,weareoperatinginmultiplegeographies.So,definitelythereis somehighseasonsomewhereelse,butQuarter1definitelyhasbeengoodforus.

ArpitShah: 11lakhapplications.Congratulationsonthat.Wehaveseenanewhighnumberofapplications. Ithoughtwewouldsaturatearoundamillionperquarter,butIthinkwejustsurpassedthatby anotheronelakhapplications.Congratulations.Thankyousomuch.

ShikharAggarwal: Thankyou.

Moderator: Thankyou.WewilltakeournextquestionsfromthelineofRaviNaredifromNaredi Investments.Pleasegoahead.

RaviNaredi: Thankyouverymuchtogivemeopportunity.Sir,whatisourplantouseRs,1,100crorescash immediately?Anyacquisitiononcardoranynewcontractyoufindwithanycountrywhich youwouldliketotelltoday?

ShikharAggarwal: Asyouknowthatlastyearitself,wedidupwardsofRs.1,200croreinacquisitions.We deployedourmoneyinthatandthatisgettingpositive.Now,ifyouseethisagain,thereisa cashflowingcompany.WeareRs.1,100croreplusnetcashposition.So,definitely,weare lookingatdifferentopportunities.Rightnow,itisconsolidatingourpreviousacquisitions.So, asandwhensomethinggetsmaterialized,wewilldefinitelyletyouknow.

RaviNaredi: Butimmediately,nosuchacquisitiononcard,right?

ShikharAggarwal: WehaveanM&Ateamthatkeepsonlooking.Asandwhensomethinggetsfinalized,wewill tellyou.

RaviNaredi: Sir,youtellyouacquire100%stakeinCitizenshipInvest,whichofferleadingplayerin residencyandcitizenship.Inactual,whatisthebusinessmodelofthatcompany?

ShikharAggarwal: Ithinkwehavealreadyexplainedthismultipletimesinthepastalso,inthelastquarterresults also.ButIcantellyouagainthatthisisacompanythatisintolong-termvisas.Weare currentlyintoshort-termandbusinessvisas.Thiscompanyfacilitatesresidencyandpassports fordifferentcountriesaroundtheworld.

RaviNaredi: Fromwherewegotmoregrowthindigitalserviceorvisaservice?

ShikharAggarwal: Youhaveseenthenumbersthatonaconsollevel,onarevenuebasis,wedid200%plus growthontheDigitalServicebusiness.ButEBITDA,asyouseecombined,wedid55% growthinEBITDA.So,boththebusinesseshaveseengrowth.

Moderator: Thankyou.WewilltakeournextquestionfromthelineofVanshSolankifromRSPN Ventures.Pleasegoahead.

VanshSolanki: Myquestionsareonthemarginside.IfweseethemarginsoftheVisaandConsularsegment anddigitalservicessegmentseparatelyonaQ-o-Qbasis,thenvisaservicesarearound500bps plusmargin.So,IwanttounderstandthatinQ1,themanagementconvertedthemore partnershipmodelintoself-runmodelduringQ1.Andalso,digitalservices,theEBITDA marginhasdeclined.EvenASPLisstillalowermarginsubsidiary,butithasfullimpactona Quarter4.So,whythemarginisdeclinedinQ1?

AmitSudhakar: Youarecorrect.IntheVisabusiness,wehaveconvertedfewmorebusinesseswherethe partnershipmodelwaschangedtoself-managedbusiness,whichhelpedusinimprovementof

EBITDAmargin.Whereasinthedigitalbusiness,themajorportionoftheturnoverhascome fromtheacquisitionwedidofAadifidelis,wherethemarginsareabout4%EBITDA.So,the

Page8of16averagehascomedownbecauseofthat.Growthhasincreased,buttheaveragehascomedown ofthedigitalbusiness.
VanshSolanki: Butthedigitalbusinesshasalready,ASPLisalreadyconsideredfullyonaQuarter4,Iguess?
AmitSudhakar: Yes.
VanshSolanki: Yes.StillmarginisdecreasinginQ1?
AmitSudhakar: Yes,becauseinQuarter4,theygettheincentives.Ifyouunderstandthebusinessof Aadifidelis,theyareintoloandistributionandforthewholeyear,theirperformanceonthe basisofthat,theygetincentives.So,themarginswerehigherduringQ4.
VanshSolanki: AndIjustwanttounderstandthathowmanypercentofstores,theconnectionpointsareina partnershipmodelasofnowandself-ownedmodel?Canyoujustgivemeabifurcationofboth?
AmitSudhakar: So,mostlyallhavenowbeenconvertedintoourownself-managedmodel.Thelastmajorone wasChina,whichwasdoneintheQ1.
VanshSolanki: So,ifIunderstandcorrectly,thenEBITDAmarginwillbethesametilltheQ1.AmIright?
AmitSudhakar: Yes,thatiswhatourexpectationis.
VanshSolanki: Andjustonelastbookkeepingquestion.Canyoujustgivemetherevenuecontributionfor ASPL,iDATAandCitizenshipbusinessforQ1andalsoEBITDAmarginifpossible?
AmitSudhakar: So,approximatelyaroundAadifidelisisaboutRs.150crores.iDATAisabout72orso. CitizenshipwasaboutRs.11croresinthis.
VanshSolanki: AndEBITDAmargin,ASPL,youtold4%approx.andabouttheothers?
AmitSudhakar: Thatisright.
VanshSolanki: OthersforCitizenshipandiDATA?
AmitSudhakar: TheyaremoreorlessasperourVisabusiness,around30%-40%.
VanshSolanki: Thankyou,sir.Andcongratulationsforyourfuture.Allthebest.
Moderator: Thankyou.WewilltakeournextquestionfromthelineofAmitChandrafromHDFC Securities.Pleasegoahead.
AmitChandra: Yes,thanksfortheopportunity.So,myfirstquestionisonthestrongY-o-Ygrowththatwe haveseen,ifyoucanbreakdownthatintowhatwouldbeorganicandwhatwouldbeinorganic

Page9of16inthat.So,44%Y-o-Y,ifyoucanbreakthatdownintoorganicandinorganicgrowth?And alsosecondly,themarginexpansionthatwehaveseenisalsoafunctionofacquiringthe highermarginiDATAbusiness.So,theEBITDAmarginalso,ifyoucanbreakdown?And also,ifyoucanexplainthefundamentalreasonbehindwhatledtothemarginexpansion, specificallybyshiftingintotheself-runmodelversusthepartnershipmodel?Andwhatarethe advantagesofself-runversuspartnership?Butintermsoftheself-runmodel,whatkindof assetsthatweown,howmanyofficeswehaveacross,whichareowned,andwhicharerented, ifyoucangivesomeclarificationonthat?
AmitSudhakar: So,Amit,ifyouseefromY-o-Ybasis,Q1versusQ1,thegrowthfromnewacquisitionshave beeninrevenueabout35%,whichhascontributedandhasalsocontributedtoabout30%in EBITDAmargins,ifyoulookatthat.Andasyousaid,theadvantageofmovingfrom partnershiptoself-managed,thebiggestadvantageonthesamewasthemarginwhichwas keptbythepartnerhasnowbeencominginourownbooks.Andforthat,wehaveeithertaken overtheexistingestablishmentofthepartnerorwehaveopenedourownofficesinthose countries.Andwehavenotpurchasedanyassetsasproperty,butitisallthefurnitureandthe officeinteriorsandeverything.Thosehavebeenacquired.
AmitChandra: So,howmanyofficesyoumusthaveacquiredortakenoverinthatprocess?Andwhat,soif youjustcanexplainthecommercials,howitworkedearlierversusnow,becausethemargin expansionbecauseofthathasbeenprettystrongandwearenotabletounderstandexactlyhow thecommercialshavebeenworkingthere,soIknowwehavedoneagoodjobhere,butjust forclarification,ifwecanunderstandthat?
AmitSudhakar: So,earlierwhenitwasapartnershipmodel,thedirectcostsofthelogisticsaswellas maintainingtheofficesandotherwaspaidtothepartner,whichwasgoinginourdirectcostof services,whereinnowthathascomeoutandthemaintenanceoftherentalsoftheplaceand theemployeecostisgettingdirectlydebitedtoourrespectiveheadsofexpensenow.So,ifyou seeoverthelastyearorso,thecostofservicesiscomingdownasapercentageoftherevenue. Andyouwillseethecosthasgoneupintermsoftheemployeecostsandtheotherexpenses.
Th

atistheadministrativeexpenses.
AmitChandra: So,wearesayingmostoftheofficerunningcostisnowmorelikeanOPEXmodel,right?

AmitSudhakar: Thatisright.
AmitChandra: Andhowmanyofficeswehaveinarentalorownmodel,ifyoucanexplainacrossthecountry?
AmitSudhakar: So,practically100%arebasicallyonarentalbasisonly.
AmitChandra: Understood.Andalsointermsofthecontractsthatwehavecurrently,bothIndianandglobal, whatwouldbethepipelineintermsoftherenewalpipeline?Whatarethemajorcontractsthat arecomingupforrenewalifyoucanhavesomedataonthat?
ShikharAggarwal: Amit,Ithinkwehaveexplainedinthepast,inthelastoneyear,90%ofourcontractshave beenrenewed.Next2-3years,someofthosewillcomeup,butwehaveaclearvisibilityon thenext4-5years,6-7yearsofourrevenue.Evenweexplained,wewonsomecontractswith theUSgovernmentlastyearthatarefor10years.So,wehaveclearvisibility.Wehaveavery strongpositionasacompanyasofnow.
AmitChandra: So,becausethetrendhasbeen,majoroutsourcinghasbeendone,becauseIthinkthisnumber was10%-20%afewyearsback,whichhasgoneupto50%intermsofoutsourcing.So,weare themajorbeneficiariesofthatorbecausethemarkethasexpanded.So,someotherplayersor thecompetitionalsocomeuporitcontinuestobeonlyVFSandBLSkindof?
ShikharAggarwal: Forusonly,honestly,ithasbeen15years.Ittookusalongtimetocomehere.Newplayers,I welcomethemtoentertheindustry.Firstofall,Ithink,asyouknow,thequalificationcriteria andallisprettystrict.Andwearedealingwithmonopolisticplayersandseeboththethings havehappened.Wehavewonmostofthegrowththathascomeinisalsomostlyfromthe contractsthatwehavewonfromthecompetition,butalsomarkethasexpandedabit.Newer clientgovernmentshavealsooutsourced,newerserviceshavebeenoutsourced,newer geographieshavebeenoutsourced.So,itisamixandeveryyear,thebusinessisalso growing,14%,asyouknow,year-on-year,thereisaCAGRgrowthintermsoftravel.So,alot offactorshaveledtothisgrowthwhereweareat.AsIhaveexplainedtoyou,weareworking on10differentfactorsatanygivenpointoftimetoachievegrowthandprofitabilityofthe company.
AmitChandra: AndShikhar,intheSchengenarea,howmanycontractswehaveintermsoftheglobal contracts?Andhowmanywearebiddingasofnow?
ShikharAggarwal: Weareworkingcurrentlywithmorethan40clientgovernmentsinmorethan70countries. AndtherearemultipleSchengengovernments.Ineedtocounthowmanyexactnumberswe have.ButweareworkingforItaly,Germany,Spain,Czech,Portugal,Poland,andHungary. So,weareworkingformultiple,manymoregovernments,Ican'trecallrightnow.Butwe haveinthelastfewyearsmanagedtopenetratealotoftheSchengengovernments.Weare workingfortheUSgovernment,Indiangovernment,Philippinesgovernment,Brazil government.Thatishowyouseewehaveachievedallthisgrowthhascomefromallthese factors.So,inthenextfewyears,manycountriesarecomingoutwiththeirtenders,new governmentsarecomingoutwithcontracts.So,wearebiddingforitactively.Andwefeel nowwehaveapresenceglobally,agoodteamonthegroundandwefeelthatifwecan maintainourexecution,thendefinitelywecanwinmorebusiness.
Moderator: WewilltakeournextquestionfromthelineofGopalakrishnanfromUttranushInvestments. Pleasegoahead.
Gopalakrishnan: Yes,thanksfortheopportunity.AndcongratulationstotheentireBLSteamforthisstellar performance.Reallyhappy.Now,Ijusthaveonequestionregardingthisprofitgrowthversus
salesgrowth.Ithasbeenaphenomenalrunforthecompany.Forexample,trailing12months, yoursalesgrowthis35%andprofitgrowthis58%.Andfor3yearsalso,itis37%and66%. So,salesgrowthisaroundthe35%-37%rangeandprofitgrowthisintherangeof58%-66%. Now,myquestionis,nowthatyouhavedonethepartnertoownershipmodeltransition,have youreachedasaturationpointorarethereanyplanstoimprovethisprofitmargin?Ifso,what arethoseplans?Thatisonething.Andthesecondthingisaboutthisotherincome.Isawinthe annualreportotherincomecomprisesofinterestfromdepositsandsaleofsecuritiesandallof that.Doesitcontinuethesamewayoristhereanyotheradditiontotheotherincome?Thank you.
AmitSudhakar: Thankyou,Gopalakrishnan.See,foryourfirstquestiononthegrowth,aswediscus

sedthatwe
havechangedourbusinessmodelandpracticallywehaveconvertedallthepartnersintoour self-managedoffices.Weseenowthesemarginswillnowgetstabilizedovertheperiodnow andgrowthwillstillbetherebecauseweareaggressivelylookingatnewcontracts,weare lookingatnewM&Aoptionsforgrowth.So,weseethatweshouldbeabletomaintaina decentgrowthoverthenextcoupleofyearsandsomewheremaintainourprofitmarginsat theselevels.Andasforyoursecondquestionabouttheotherincome,yes,becauseasyou know,wehaveahealthycashbalanceonourbooks,whichismorethanRs.1,100croresason today,thatallhasbeenkeptindebtfundsorfixeddepositsandwhateverweearnonthatis

beingpartofourotherincome.
Gopalakrishnan: Actually,myquestionwaslikeregardingthisprofitgrowth,whatyouaresayingis,youhave almostreachedthesaturationlevelandbeyondthis,thesamemarginwillbemaintainedgoing forward.Ismyunderstandingcorrect?
AmitSudhakar: No,Iamsayingthatthemarginwillstabilizeatthislevel,butgrowthwillstillbethere.
Gopalakrishnan: Understood.AndthenUKFTA,anyimpact?Iknowlasttimeyoutolditisaverysmall, minusculeportionofthebusiness,butnowthattheFTAhasbeensignedandarethereany tailwindsfromthat?
AmitSudhakar: No,itdoesn'timpactusinanyway.
Gopalakrishnan: Thankyou.Thatisall.
AmitSudhakar: Thankyou.
Moderator: Thankyou.WewilltakeournextquestionfromthelineofDineshKulkarnifromFinsight. Pleasegoahead.
DineshKulkarni: Yes.Thankyou,sir.Andareallygreatsetofnumbers.Congratulationsonthat.So,two specificquestions.OneisifyouseeiDATAwasincluded,becamepartoftheBLSinJulylast year.So,itwasnotpartinthefirstquarter.So,ifyoucouldjusttellmefortheVisabusiness,
ifwedoapplesforapplescomparison,howtheorganicgrowthlooklike?Iknowthe consolidatednumberseemsveryhighbecausewehaveacquiredotherbusinessesindigital,but ifIjustseeforvisa,howdoesthatcompare?
AmitSudhakar: So,see,ifyoulookatonlyonanorganicbasis,ourEBITDAhasgrownat31%.Therevenue wasaroundthesamelevel,butthemarginshaveimproved.
DineshKulkarni: So,areyouseeinganyadditionalgrowthintheacquiredbusinessesoverthelast1yearorin thestandalonedealwithentities?Likewhereisthegrowthcomingfrom?
AmitSudhakar: So,weareanticipatinggoingforward,thegrowthwillcomefrom,ifyoulookattheVisa business,onefromthetourismgrowthglobally,whichweanticipateshouldbeintherangeof 8%-10%CAGR.Andthebalancewillcomethroughsellingofourvalue-addedservicestothe travelers.So,welookatthatasthegrowthparameterforusonexistingbusinesses.
DineshKulkarni: Soundsgreat,sir.AndIamsureyou'relookingformoreacquisitionswiththecashreserveswe havedefinitely.Justtryingtounderstand,sir,sayweareoperatinginsomanycountries,andI wouldliketounderstandwhereisthenichehere?Isitthetechnologywhichweareoperating orisittheprocesseswhichweemploy?Orisitthe,likehowyouarehandlingthemanpower andtheworkload?Like,whyshouldBLSgetanopportunityevenwhenasyoumentioned, otherplayersarealsogettingintothis.Whyshouldwewinversusothers?Like,whereisthe nichethenifyoucouldexplain?
ShikharAggarwal: Well,playersaregettingintoit.Someinvestorhadonthiscallaskedusthisquestion.So,asI havesaid,therearethreepeoplearequalifiedforthisbidandobviously,technologyis somethingweareanIndiancompany.Thatissomethingthatwehaveanedgeongloballyand thedeliverythatwearedoingglobally.So,thatisthereason.
DineshKulkarni: Yes,butsolikeasaclient,whatisthefirstpreference?Isit,IamsuretheIndiantech companymaynotbetheonlypreferencetheywouldhave,right?Like,youunderstandwhat myquestionis,likeitisintermsofwhyyoushouldwinversusothers?Orisitokay,anyone setsupanothertechnologycompanyandgivesthiskindofservice,likehowfairchancesthey willalsohave?
ShikharAggarwal: See,weareinthisindustryforlast15-20years.So,ourexperience,ourdelivery,ourreference fromclientgovernments,ourplatformthatwearedoingmultiplefactors,notone.
DineshKulkarni: Soundsgood.Anditseemsyouarewinninggreatandhopeyouaregoingtodothis.Thank youverymuch.
ShikharAggarwal: Thankyousomuch,sir.
Moderator: Thankyou.WewilltakeournextquestionfromthelineofViv

ekGautamfromGSInvestment. Pleasegoahead.
VivekGautam: Yes,congratulations,sir,onconsistentgoodperformance.Myquestionis,isacaseofpeak marginforourcompany,especiallyinviewofthefactthatmanynationshavebecomevery sortofxenophobicandnotencouragingthemigrationtotheircountriesforjobsandforstudent visaalsobecomingdifficult.So,whatimpactitishavingonourcase?Andsecondthingis about,whatwouldbetheimpactofoure-visasandvisaonarrivalservicesforourcompany? Andlastquestionisabouthowdowestandwith VFSandourdifferentiator?Theyarethe biggerplayersandsortofbetterimagetheyhaveonsocialmediaalso.Thankyou.
AmitSudhakar: So,asyousaid,countriesaregettingstricterintheirprocessing.Ontheotherhand,theyare talkingaboute-visas.So,thereisacontradictiononbothsides.Thecountrieswhoarelooking strictontheirvisarulesaretheonewhereweworkandtheyarecontrolling.Today,wehavea bottleneckmoreonthenumberofapplicationswhichembassiescanprocess.Andoncethey

de-bottleneckttheirprocessing,ourvolumes,bydefault,willcontinuegoinguponly.So,we don'tseeany,atthemoment,concernonthevolumesperse.Andasfarase-visasare concerned,theyareforsomelimitedcountrieswhichareworkingone-visasandthatisa differentmarketaltogether.

VivekGautam: Dowegetimpactedbecauseofthat,sir?

AmitSudhakar: Notreally,becauseifyoulookatthedevelopednationsanddevelopingnations,theystillgo throughtheproperprocessofscrutinizingthevisaapplicationsandthenprovidingthevisas.

VivekGautam: Thequestionaboutthecomparisonwithourmajorcompetitionandthesocialmediapresence, whichistherefor us?

AmitSudhakar: See,wecompetewithVFSandothercompetitorsinallthebiddingbecausethisisatender process.Andinthat,weareasstrongasanybodyelse.

VivekGautam: Andsir,lastly,thereisnotmuchinstitutioninterestinourcompanyinspitewearecomingout withgreatnumbers.So,wouldyoulikeyourIRoryourcompany'sIRHeadtoparticipate moreintheanalystconferencesandinvitemoreinstitutionalinvestorswithyoubecausethe numbersareconsistentlygood,butunfortunately,exceptforLIC,notmuchofaninterestof late,sir?

AmitSudhakar: So,franklyspeaking,wehavenotbeenfocusingontheinvestmentside.Aboutayearback,we havehiredanIRpersonandnowheisgoingforalltheinvestmentcallsandtheothers.And hopefully,theywillalsolookatourcompanynow.

VivekGautam: Yes,butIbelieveifyoucanparticipateintheanalystconferencesandmeettheresearch houses,itwillbebetterforusandyouarebeingthemajorityshareholder,sir.Youcanthinkof that,sir.AndaskyourIRfirmalsotobemoreproactiveinthatregard,sir.

AmitSudhakar: Thatisright.Thatiswhatwehavestarteddoingoverthelast,Iwouldsay,ayearorso.So,let ussee.Butwehavestartedattendingthoseconferences.

VivekGautam: Weneedtosortofpayattentiontooursocialmediapresencealso,specificallyinourlineof business.So,thatsomehowgetsnegativethingsgetpropagatedoutoftheway.Butpositive thingsarenotthatmuch,sir.Wehavetofocusonthat,sir.

AmitSudhakar: OurInvestorRelationspersonishereonly,andIthinkhewilltakeyourinput.

VivekGautam: Yes.Thankyou,sir.Keepupthegoodwork.

AmitSudhakar: Thankyou,Vivek.

Moderator: Thankyou.WewilltakeournextquestionfromthelineofSachin,anIndividualInvestor. Pleasegoahead.

Sachin: Hi.Manycongratulations.Iamalong-termshareholderinthecompanyforover8years,andit isthebestperformingintermsofrevenues,profitability,aswellasgovernanceaswell.So, manycongratulationsforallthethingsthatyouguyshaveachieved.So,justintermsof,is thereanyrestrictionforustodolikeaforwardintegrationandgetintothetravelindustry?Yes, probablybecomelikeatravelagentandthen,routevisasandallofthat.Doclientgovernments actuallyrestrictusfromgettingintothatsortofthing?Orhasthecompanythoughtabout somethingofthatsort?

ShikharAggarwal: No.Weareactuallyfocusedonourgovernment,likeourbusiness,whichisintogovernment outsourcingservicesandthat'sexclusivecontracts.So,thisiswhatwearefocusedon.And thisiswhatwearetalkingabout.

Sachin: Butthereisnorestrictionsfromclientgovernments?

ShikharAggarwal: Wehavenotexploredthatchecklistbecauseourobjectiveistoremaininthelineofbusiness wherewearein.

Sachin: Allright.Andalso,int

ermsofChina,wesawnewsthattheChinese,travelvisasforChinese folkstravelingintoIndiahasrestarted.Canyoutellushowthattrendisatthemoment?

ShikharAggarwal: Icannotcommentonthetrend,butIcantellyouthatwearetheauthorizedproviderforthe IndianEmbassyinChina.Anddefinitelyanypositivethreadinthatwillleadtoanincreasein numbersforus.

Sachin: Right.Andonelastquestionisonthedividendpolicy.So,weareseeingtheprofitsgoup,but Iamnotsureifinvestorsknowaboutthedividendpolicy.Canyoutellus,lasttimeIaskedthis question,yousaidtheBoardgenerallytakesanappropriatedecision,butistherelikea percentageorsomethingthatissetasideforshareholders?

ShikharAggarwal: So,Ithink,firstofall,weareutilizing,asyouknow,wehavedoneRs.1,200croresworthof acquisitionslastyear.Andalsofromthedaythecompanygotlisted,wehavebeenpaying dividends.Ourpolicyisalreadythereonthewebsiteaswell,whichisupto30%oftheprofits thatwearepayingasdividend.So,wearecontinuingtopaydividends,fromthedaythe companygotlisted.Andwearecontinuingtoinvestthemoneyofthecompanyinthegrowth ofthecompany,whichisacquisitions,technology,etc.

Sachin: Right.Nocomplaints,justintermsofwhatitwas.

ShikharAggarwal: Thankyousomuch.Thankyou.
Moderator: Thankyou.NextquestionisfromthelineofDilip,anIndividualInvestor.Pleasegoahead.
Dilip: Yes,congratulationsforagoodnumberinthisquarter,eventhepreviousquartersandyears also,Ihavejustacoupleofquestions.Oneisthat,inyourinvestorpresentation,youhave mentionedthatoutsourcingandyourin-houseservicesare50-50willbecomein2029.Right now,isthereachancethat50willbecomein-housewillbecomethe30-10ormaybefinally, theywouldnotliketodoitbecausethecostforthegovernmentisincreasingmuchmorethan that?Thatisonequestion.AndsecondquestionthatIdon'tfind,whetheryouhaveapresence inFrance,becausethatisadestinationwhereallinboundtrafficisveryhighforthatcountry. So,Iguesstherewasaquerywhetheryoualsohaveapresencethereanddothosekindof services?
ShikharAggarwal: So,definitely,ifyouseefromthelastfewyears,outsourcinghasincreased.Before,itwaszero outsourcing,now,ithascomeupto50%level.Anddefinitelygoingforward,outsourcingwill bemore.Regardingdifferentcountries,includingthenamethatyoumentioned,weare continuingtotryabidforcontractsglobally.Andasandwhenwewincontractswithdifferent governments,wewillletyouknow.
Dilip: Andthelastquestionisthatyouhaveashareofabout10%asvolume.So,probablywhenyour 50getsreducedfurther,thenIcanpresumethatyoursharewillautomaticallyincrease?
ShikharAggarwal: Definitely,iftheoutsourcingmarketincreases,wewillalsogetbettershareinoutsourcing.
Dilip: OrcanIpresumethatyouaretakingefforttoincreasefrom10%tofurther12%,13%,15%, whateveritis,whoareyournearestcompetitororwhoareitglobally?
ShikharAggarwal: Yes,wearemakingeffortstoincreaseourmarketshare,definitely.

Moderator: Thankyou.NextquestionisfromthelineofVanshSolankifromRSPNVentures.Pleasego ahead.
VanshSolanki: Hello,sir.Justafollowupquestionthat11.4millionapplicationsareonaconsolebasis.But youjustmentionedinacallthatCitizenshiparealong-termvisa,likestandaloneisashort- termvisa.So,canyoujustgivethebifurcationofboththathowisthestandaloneandhow muchisfrom?
ShikharAggarwal: 99%oftheapplicationsarefromtouristandbusinessvisa.So,theCitizenshipInvestvolumeis verylessandrevenueisveryhigh.Thereisaverydifferentcategoryofapplications.So,outof this11.9lakh,99%isofthecorebusiness,whichisreallyshort-termandlong-termbusiness visa.
VanshSolanki: Thankyou,sir.Thatisfrommyside.
ShikharAggarwal: Thankyou.Thankyousomuch.
Moderator: Thankyou.Ladiesandgentlemen,duetotimeconstraints,thatwasthelastspeakerfortoday.I nowhandtheconferenceovertomanagementforclosingcomments.Overtoyou,sir.
ShikharAggarwal: ThankyouallforjoiningourEarningsCallforQ1FY'26.Thankyousomuch.Haveagood day.
Moderator: Thankyou.OnbehalfofAmbitCapital,thatconcludesthisconference.Thankyouforjoining usandyoumaynowdisconnectyourlines.Thankyou.

Call: Nov 2025

November 18, 2025

National Stock Exchange of India Ltd.,
Exchange Plaza, C-1 Block G, Bandra Kurla Complex
Bandra [E], Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
SUBJECT: Transcript of Earnings Call held on November 12, 2025

Dear Sir/ Ma'am,

In continuation to our intimation dated November 04, 2025 please find enclosed a transcript of the Earnings Call held on Wednesday, November 12, 2025 to discuss the operational and financial performance of the Company for the second quarter ended September 30, 2025.

The transcript is also available on the Company's website at https://www.blsinternational.com/transcript

You are requested to take the same on your records.

For BLS International Services Limited

……………………….
Dharak A. Mehta
Company Secretary & Compliance Officer
M. No.: FCS12878

Encl: As above

"BLSInternationalServicesLimited
2QFY'26EarningsConferenceCall"
November12,2025
MANAGEMENT:MR.NIKHILGUPTA–MANAGINGDIRECTOR
MR.SHIKHARAGGARWAL–JOINTMANAGING
DIRECTOR
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER
MR.LOKANATHPANDA–CHIEFOPERATING
OFFICER–DIGITALBUSINESS
MR.GAURAVCHUGH–HEAD,INVESTORRELATIONS
MODERATOR:MR.MOEZCHANDANI–AMBITCAPITAL
Page2of15
BLSInternationalServicesLimited
November12,2025
Moderator: Ladiesandgentlemen,goodday,andwelcometotheBLSInternationalServicesLimited 2QFY'26EarningsConferenceCall,hostedbyAmbitCapital.Asareminder,allparticipant lineswillbeinthelisten-onlymode,andtherewillbeanopportunityforyoutoaskquestions afterthepresentationconcludes.Shouldyouneedassistanceduringtheconferencecall,please signalanoperatorbypressingstarthenzeroonyourtouch-tonephone.Pleasenotethatthis callisbeingrecorded.
InowhandtheconferenceovertoMr.MoezChandanifromAmbitCapital.Thankyou,and overtoyou,sir.
MoezChandani: Thankyou.Goodafternoon,everyone.OnbehalfofAmbitCapital,Iwouldliketowelcome youalltothe2QFY'26EarningsCallforBLSInternationalServicesLimited.Joiningusfrom themanagementtoday,wehaveMr.NikhilGupta,ManagingDirector;Mr.ShikharAggarwal, JointManagingDirector;Mr.AmitSudhakar,ChiefFinancialOfficer;Mr.LokanathPanda, COO,DigitalBusiness;andMr.GauravChugh,HeadInvestorRelations.Ithankthe managementfortheopportunitytohosttheearningscall.
WewillnowbeginwithopeningremarksfromMr.GauravChugh,postwhichtheforumwill beopenforaninteractivequestion-and-answersession.Thankyou,andovertoyou,Gaurav.
GauravChugh: Thankyou,Moez.Goodafternoon,everyone.Thankyoufortakingtimeouttojointhiscall. Thisistoremindyouthatthisdiscussionmaycontainforward-lookingstatementsthatmay involveknownorunknownrisks,uncertainties,andotherfactors.Itmaybeviewedin

conjunctionwithourbusinessrisksthatcouldcausefutureresults,performance,or achievementstodiffersignificantlyfromwhatisexpressedorimpliedbysuchforward-lookingstatements.
IwouldliketohandoverthecalltoMr.ShikharAggarwalforhisopeningremarks,post whichMr.AmitSudhakarwilldiscussthefinancialperformanceofthecompany,andwewill thenopenthefloorforaQ&Asession.Overtoyou,Shikhar.
ShikharAggarwal: Goodafternoon,everyone,andthankyouforjoiningusfortheBLSQ2&H1FY'26Earnings Call.Wetrustthatyouhavehadanopportunitytoreviewtheresults,pressrelease,and investorpresentation,whichhavebeenuploadedtothestockexchangesandourwebsite.
Wearepleasedtosharethatthecompanyhasdeliveredastrongperformanceduringthe quarter,reflectingrobustoperationalmomentumacrossourkeybusinessverticals.Ona consolidatedbasis,revenueforthesecondquarterincreased49%year-on-year,while EBITDAgrewby30%.
Onasequentialbasis,wehavemaintainedourEBITDAmarginsataround29%inthesecond quarter,andwefeelthemarginshavenowstabilizedattheselevels.Profitaftertaxforthe quarterroseby27%.Theresultsprovidedasolidplatformforthesustainedgrowthinthe

remainderofthefiscalyear.
Ourvisaandconsularservicebusinesscontinuedtostrengthenitsglobalfootprintand reinforceourleadershipintheoutsourcedvisaprocessing

industry.Duringthequarter,we securedа3-yearmandatefromtheMEA,GovernmentofIndiatooperateIndiaVisa applicationcentersacrosskeycitiesinChina,includingBeijing,Shanghai,andGuangzhou.
WithimprovingdynamicrelationshipsbetweenIndiaandChina,weanticipateameaningful increaseinvisavolumesgoingforward.Inaddition,wewereawardedacontractbythe governmentofCyprustoestablishavisaapplicationcenterinKazakhstan,therebyfurther enhancingourinternationalpresence.
Visavolumesincreasedby12%duringQ2FY'26,risingto11.3lakhapplicationscompared to10.1lakhapplicationsinQ2FY'25.Netrevenueperapplicationimprovedby12%from INR2,883inQ2FY'25toINR3,223inQ2FY'26,supportedbyenhancedserviceofferingand favorablebusinessmix.Oursubsidiary,iDATA,continueditsstronggrowthmomentum, processingaround1.8lakhapplicationsduringthequarter,demonstratingsustaineddemand andoperationalefficiency.
ThesuccessfulintegrationofiDATAandnewcontractspositionsuswellfortheenhanced expansion.Inamajormilestone,wealsowonaprestigiousandlarge-scalecontractvaluedat aroundINR2,000croresfromtheUniqueIdentificationAuthorityofIndiatoestablish district-levelAadhaarSevaKendra.Thelong-termagreementreinforcesourprovencapability inexecutinglarge-scalee-governanceandpublicservicedeliveryprojects,while strengtheningourroleinIndia'sdigitalecosystem.Thiscontractwillbeexecutedovera periodof6years.
Nowmovingontothedigitalservicebusiness.Revenuefromdigitalservicesincreased significantlyfromINR77croresinQ2FY'25toINR278croresinQ2FY'26,registeringa remarkablegrowthofaround259%year-on-year.Thisisprimarilyduetotheconsolidationof AadifidelisSolutions,whichwasacquiredinNovember2024.
Duringthequarter,ourdigitalservicebusinesscontinuedtostrengthenitspartnerecosystem throughstrategiccollaborationsaimedatexpandingserviceofferingsandenhancingcustomer reach.WeenteredintokeypartnershipswithAdityaBirlaCapitalandPiramalFinanceinJuly 2025,followedbymanyothercompanies.
Inthesamemonth,wealsopartneredwithGrameenFoundationforSocialImpact.The partnershipscollectivelyreinforceourpositionasanintegralanddiversifieddigitalservice platform.Wecontinuetoexpandourdigitalservicenetwork,whichnowexceeds approximately147,000touchpoints,underscoringourcommitmenttoenablingfinancial inclusionandenhancingdigitalservicesacrossIndia.
InourBCbusiness,weprocessedaround3.5croretransactionsduringthequarter,withgross

transactionalvaluecrossingINR27,300crores.Wefurtherstrengthenedourdistribution networkbyaddingmorethan15,000channelservicepartners,takingthetotaltoover45,400 BCsasofSeptember30.OurpartnersgeneratedloanleadsofapproximatelyINR8,600crores forfinancialinstitutionsduringthequarter,comparedtoINR1,400croresinQ2FY'25, reflectingdeepermarketpenetrationandenhancedservicedelivery.
NowI'llturnoverthecalltoMr.AmitSudhakar,ourCFO,forfurtherupdatesonour financialperformance.Thankyou.

AmitSudhakar: Thankyou,Shikhar.Goodafternoon,everyone.I'mpleasedtoshareourconsolidated financialresultsforthesecondquarterandfirsthalfendedSeptember30,2025.ForQ2FY'26, ourrevenuereachedINR737crores,representingastrong49%year-on-yeargrowthfrom INR495croresinQ2FY'25.Thisgrowthwasdrivenbyasteadyincreaseinapplication volumesandtheconsolidationofCitizenshipInvestandAadifidelis,whichaddedfurther momentum.

OurEBITDAforthequarterrosetoINR213crorescomparedtoINR164croreslastyear, recordingagrowthofalmost30%.TheEBITDAmarginstoodat28.9%.Marginshavenow largelystabilizedatthislevel,asthekeybenefitfromshiftingtotheself-operatedcenter modelandintegratingouracquisitionbusinesseshasbeenrealized.

ProfitbeforetaxforthequarterstoodatINR203crores,up24%fromINR164croresinthe samequarterlastyear.Profitaftertaxincreasedby27%toINR186crorescomparedto INR146croresayearago.It'sworthnotingthatthisstronggrowthcamedespitelowerother incomeduringQ2FY'26.TheearningspershareforthequarterwereINR4.25comparedto INR3.36pershareinQ2FY'25.

Nowlookingatthehalf-yearperformance,therevenueforH1FY'26stoodatINR1,447 croresversusINR988croreslastyear,upby46%.EBITDArosetoINR41

7croresfrom

INR297crores,agrowthof40%withthemarginsteadyat29%.Profitaftertaxforthehalf yearwasINR367crorescomparedtoINR267croreslastyear,showinga38%increase.

Comingtosegmentalhighlights.InQ2FY'26,theVisaandConsularServicessegment recordedarevenueofINR457crores,a10%growthoverINR418croreslastyear.EBITDA forthesegmentroseby26%toINR192croreswithamarginof42%,animprovementof549 basispointsfrom36.4%marginlastyear.Visaapplicationvolumesalsogrew12%from10.1 lakhto11.3lakhapplications.Thisimprovementinprofitabilitywasdrivenbyhigher volumes,costoptimization,andthestrategicshifttoaself-runmodelacrosskeygeographies.

Inthefirsthalf,Visa&ConsularservicesrevenuegrewbyINR919crorescompared toINR832croreslastyear.EBITDAforthesegmentrosesharplyby38%toINR378crores withamarginimprovingto41%from33%lastyear,reflectingourfocusonefficiencyand profitability.

IntheDigitalBusinesssegment,revenuereachedINR278croresinQ2FY'26,upfromINR77 croresayearago.EBITDAforthequarterwasINR21crores,a72%risewithamarginof 7.4%.ThisgrowthwasprimarilydrivenbytheconsolidationofAadifidelis.

Forthefirsthalf,theDigitalBusinesssegmentrevenuereachedINR528crorescomparedto INR156croresinH1FY'25.TheEBITDAforH1FY'26wasINR39croresascomparedto INR24croresinthecorrespondingperiodofthepreviousfinancialyear.Thecompany continuestomaintainastrongcashflowandahealthybalancesheetwithnetcashof INR1,306croresasonSeptember30,2025,comparedtoINR928croresason31,March 2025.

Withthat,Iwillnowhandovertothemoderatortoopenthefloorforquestions.Thankyou.

Moderator: Thankyou.Wewillnowbeginthequestion-and-answersession.Thefirstquestioncomes fromthelineofShrenikMehtafromIndoAlpsWealth.

ShrenikMehta: Ihavetwoquestions.One,onthedigitalservice,we'veseenasharpdeclineinEBITDA. WhatisthevisionfortheEBITDAoverthenextfewquarters?Howdoyouseethatevolving?

ShikharAggarwal: No.See,ifyoulookatthedigitalservicebusiness,ourEBITDAmarginhasdropped primarilybecauseoftheacquisitionofnewcompany,Aadifidelis,whichweacquiredin November2024.Themarginis3%ontherevenueandtheincreasedrevenue.Ifyouseeonan overallbasis,ourEBITDAhasgrowntoINR20croresfromINR12croresintheprevious year'slastquarter.

Basically,definitelypercentagehasgonedown,aswesaid,explainedalsoatthetimeof acquisitionofAadifidelis,sinceit'sahighrevenue,lessEBITDAmargincompany.Our immediateobjectiveistomaintaintheEBITDAmargin,butoverall,youcanseethatbothour revenueandprofitabilityhaveincreased.

ShrenikMehta: Youbelievethemarginwouldremainat7%goingforwardaswell?

ShikharAggarwal: No,Imean,inallofourbusiness,ourobjectiveistogrowthemargin,butrightnow,asthe baseofthecompanyhasreallyincreased,weaimtostabilizethemargin.Goingforward,as weintroducemorevalue-addedservices,thereisdefinitelyscopeforimprovement.

ShrenikMehta: Mysecondquestionwasaboutthehotelacquisition.Ireallycan'tseehowe-visacompanyor adigitalservicecompanycansaythatthisisstrategicorthisissomethingwhichisapartof thediversification.Whatwastherealtriggerbehindtheacquisition?Whatdoyouseethe hospitalitysegmentevolvingasfarastheBLSInternationalisconcerned?

ShikharAggarwal: See,ourfirstofall,long-termobjectiveistobeasset-lightplayer.Asyouknow,wewantto bebrandnameowner,asweareintheindustrywhereinweareintouchwithalotoftravel agentsacrosstheworld,wherethepeoplewhoareapplyingfortouristvisa,etc.,theycontinue todemandfordifferentkindofservices,whichisairline,hotels,etc.,bookingfromus,sowe thoughtthatthiswould--wedidaverysmallinvestment,ifyouseefromourcashreserves thatwehave,tounderstandthis,whichitselfgivesusa10%to12%returnonourinvestment. Ourobjectiveisthatoncewelearn,ourobjectiveisnottoinvest,buttoacquiretheexpertise sowecanrunourownbrandname.Ourobjectiveistorunanasset-lightmodelasinthevisa business.Thatwasthestrategybecauseourcustomersarethesame.Wearegloballyintouch withallthetravelagentcommunity,customerswhoaredemandingdifferenttypesofservices. Thatwasthereasoningbehindgettingintothat.

ShrenikMehta: Tomorrow

,ifthecustomersarethinkingaboutanairline,wecouldalsodosomethinginthe airlinesector?

ShikharAggarwal: See,thatobviouslyisamultibillion-dollarbusiness,andwedon'thavethebandwidthtoinvest inthat.AsIsaid,thiswasthatoneinvestmenttounderstandhowthebusinessesare.Then, goingforward,ourobjectiveistobeanasset-lightbusiness.

Moderator: ThenextquestioncomesfromthelineofKrishnamSaraffromSamriddhiFinserveFamily Office.

KrishnamSaraf: Ijusthaveonequestiononthetopline.ThisINR736croresasofQ2,whatwouldbethat number,ifweexcludetheacquisition,CitizenshipandAadifidelis?

ShikharAggarwal: Amit?

AmitSudhakar: ThesetwobusinesseshadcontributedaroundINR200croresintherevenue,whichisabouton thetopline,around20%-25%.

KrishnamSaraf: Excludingthat,it'saroundINR536croresversusINR495croresofQ2oflastyear?

AmitSudhakar: That'sright.OnthePBT,itisabout5%,6%onlybecauseAadifidelis,asShikharsaid,the marginsareabout,2.5%,3%only.

KrishnamSaraf: ThesecondquestionwasontheMEAbanthatwasissued.I'mabitconfusedaroundthat.A fewdaysafterthebanwasissued,thecompanyalsomadeafilingonwinninganewcontract fromtheMEA.Ifyoucouldjustgiveussomecoloronisthebanstilleffective?Thatisone. Secondis,whatwastheactualcauseoftheban?Ifyoucanprovidesomecoloronthataswell.

ShikharAggarwal: Yes.Aswewhenwehadreleasedintheexchanges,wehadalreadyannouncedinthe interviewsthatwehadreceivedanotificationfromtheMEA,sayingthattherewere some customercomplaintsbecauseofthat,theyaretemporarilyputtingabanonapplyingfornew tenders.Thistenderwehadalreadywon.Wearecurrentlyoperatingallgovernmentcontracts

fortheIndiangovernmentaswellasacrosstheworld,sothere'snoissueonthat.Aswesaid, weareworkingtoresolvesoon,andwearehopefulofresolvingthemattersoon.There shouldbenoissueoranyimpactonourfinancials,etc.

KrishnamSaraf: Thebanisstilleffective,ifIunderstandcorrectly.Canyoualsoelaborateonwhatthe customercomplaintswere?Thatwouldbehelpful.

ShikharAggarwal: No,therewereSomeSLA-drivencomplaintsregardingwaitingtime,etc.,thatisnormalwhen you'reprocessingmillionsofapplications.Wehadalreadyannouncedthat.Weareworking towardsresolvingthematterandarehopefulthatitwillberesolvedsoon.Thereisnoimpact onourfinancialsorrevenue.

Moderator: ThenextquestioncomesfromthelineofVanshSolankifromRSPNVentures.

VanshSolanki: MyquestionisaboutorganicgrowthintheVisasegment.IfIlookattheVisaandConsular segment,therevenueisapproximately10%only,whilethemanagementisalwaystellingthat theindustryisalreadygrowingat14%,15%.OurY-o-Ygrowthisveryslowdowninthelast 2quarters.Lastquarterwasalsoaround11%andthisquarterisalsoY-o-Yaround10%only. Evenmynumberofapplicationsaregrowing,netrevenueisalsogrowing,butwhymy revenueisnotsuitingup?

ShikharAggarwal: Amit,ifyoucanexplaintohimthatourEBITDAhasgrownby30%,andyoucanalso explaintohim.

AmitSudhakar: Yes.thegrowthdependsonthevolumeofbusiness.Overthelasttwoquarters,thevolumes haveincreasedby10%,andourrevenuehasalsomatchedthatgrowth.Whereas,ifyoulook atthemargins,theyhaveimprovedoverthelastyear;ifyoucomparethemnowwithlastyear, themarginshaveincreasedbymorethan500basispoints.Improvementhasbeendoneon accountofrationalizationandthecost.

VanshSolanki: IalreadyunderstoodabouttheEBITDAandall,butthatisbecauseofthepartneracquisition, whichwehavedone;ourEBITDAandgrossmarginalsoshotupverynicely.I'mjust concernedabouttheorganicgrowthinthevisasegment,whyitisverystableevenoverthe last3quarters,Isee.InMarchalso,it'sINR440crores,Junealso,it'sINR460croresandin

Septemberalsoit'sINR460croresonly?
AmitSudhakar: Yes.Thatdependsonthevolume,basically.See,thetravelvolumeisgrowingat10%;the revenuewillfollowaccordingly.
VanshSolanki: Anotherquestionontherevenue,canyoujustgivemethesplitofrevenueofCitizenship India,Aadifidelis,andiDATAforthisquarter?
AmitSudhakar: Yes.AsIsaid,CitizenshipInvestwasaboutINR14.5crores,iDATAwasaboutINR71.5

crores.
VanshSolanki: Thelastquestionisontheguidanceofanumberofapplicationsforthefull-year'26?
ShikharAggarwal: See,we

havedone11.3lakhapplicationsthisquarter.Thefirstquarterisahighseason,and oursecondquarterisalsoahighseason.Ourobjectiveistoachievemorenumbersthanwe didlastyear.Rightnow,intermsofvolume,wedon'tknowhowmanyvolumesisexpectedin thirdquarterandfourthquarter.Wedefinitelywishtosurpasswhateverwehaveachievedin thelastfewyears.
Moderator: ThenextquestioncomesfromthelineofVirenSameerDeshpandefromAlphapeak Investments.
VirenDeshpande: Itwasnicetoseethegrowthinallourbusinessescontinueverywell.Wearegrowingthis digitalservicesbusinessinabigway.Now,wesecuredacontractfromthegovernmentwith respecttothisAadharCenterestablishment,etc.,whichis,Ithink,morethanINR2,000crores. Ithinkyouhadmentionedthatthisrevenuewillbereceivedoveraperiodof6years.Isit correct?
ShikharAggarwal: Correct.Thatiscorrect.Wehaverecentlywonthislandmarkprojectfromcentralgovernment, whereinwewillbeestablishingaround250to300centerswithinIndia.Itwillstartfrom December.Gradually,weanticipatethattherevenuewillincrease.Thisistheminimumlevel thatweaimtoachieve,butifwecanprocessmoretransactions,therevenuecanbeeven higher.
VirenDeshpande: Tounderstandthis,youmentionedthatsupposethisworkstartsfromJanuaryonwards,soina quarter,supposeweestablishabout10centers,afterestablishment,percenter,wearegoingto getsomerevenue?
ShikharAggarwal: See,itisaccordingtothevolumethatwegenerate.Oncetheprojectisstartedinfullforce,all thecentersarestarted,andallthevolumesstartcomingin.Ittakessomemonthsforthe volumestogotothenormallevel,thenwewillgetthefullrevenue.Definitely,itwilltake somemonthstorampup,butasIsaid,fromnextyear,therevenuewillstartcoming.
VirenDeshpande: Annually,weexpectanyballparkfigure,anyideaofannualrevenue?
ShikharAggarwal: Youcandivideby6.
VirenDeshpande: AboutINR350-oddcrores,ifIdivide.
ShikharAggarwal: Correct.Whentheprojectisfullyrampedup,weexpectthatrevenuetocomein.
VirenDeshpande: Secondly,youclarifiedaboutthisMinistryofExternalAffairsthingandthecomplaintsand allthosethings.Thatisgood.Wehopetogetitresolvedsooner,butafterthatonly,we

securednewbusinessfromMinistryofExternalAffairs?
ShikharAggarwal: Ijustexplainedthis.Iclarifiedinthepreviousquestionaswell.
VirenDeshpande: Yes.ForChina,wegotthat,thatwasagoodthing.
ShikharAggarwal: Correct.
VirenDeshpande: Regardingthishotel,asyoumentioned,sinceourbusinessisnottobeinvestinginbig,we wanttobeasset-light,pursuethismodelbecauseourmargins,etc.,willbesignificantly dampenedifweinvestinthesetypesofbusinesses.Itwillbegood,werestrictourinvestment inthislineandkeeponmakinggoodmarginsaswearemakingcurrently?
ShikharAggarwal: No.Aswehaveexplained,ourobjectiveistobeintheasset-lightbusiness.Wewanttooffer fulltopographyofservices.Aswesaid,weweregettingalotofcustomerdemandfor differentkindsofservices,hotels,etc.,sowethoughtitwasagoodmodelthatwecouldget intotheasset-lightmanagedhotelbusiness.
Fromthat,wemadeonesmallinvestment.Learningfromthat,thenwecanreplicateacross theworld,sothiswastheobjectiveofhowwestartedthedigitalservicesin2016.Ithinkthis willreallyaddtoourrevenueandprofitabilityinthecomingyearsaswell.
VirenDeshpande: Butwedon'tproposetobuyanypropertiesfurther?
ShikharAggarwal: No.
VirenDeshpande: Ourmarginsarecurrentlyabout28%.Doweexpecttoholdontoaboutthis28%,29%level?
ShikharAggarwal: Correct.Thesearetheconsolidatedmargins.Asyouknow,morethan40%EBITDAmargins wearedoinginthevisabusiness,ourimmediateandlong-termobjectiveistosustainthe marginsthatwehaveachieved.

VirenDeshpande: Yes,becauseVisagivesusagoodbusinessmarginof40%-odd.Thesedigitalserviceswill diluteittosomeextent,butwewillalsobegettinggoodrevenues.Together,blendedmargins shouldbeintherangeof29-30%,whichisourgoal.
ShikharAggarwal: Correct.
Moderator: ThenextquestioncomesfromthelineofArpitShahfromStallionAsset.
ArpitShah: IjustwantedtounderstandwhatkindofcashweareholdingrightnowontheIndianbooks?
AmitSudhakar: You'retalkingabouttheIndianbooks;itwillbearoundINR350crores.
ArpitShah: AboutINR1,000-oddcroreswouldbethenontheinternationalbooks,ri

ght?

AmitSudhakar: Yes.Itwillbeallovertheglobe.Together,itwillbearoundINR1,000crores.
ArpitShah: AnyplanstogetbackthecashfromoverseassubsidiariestoIndia?Becausewhat'stypically happeningrightnowisthatwehavebeenseeingaphenomenalperformanceintermsof revenues,EBITDA,visaapplications,andeverything,butallofthatisnotgettingreflectedin ourvaluationstodayintermsofthemarketcapthatweshouldbehaving.
Webroadlyhavea2-playermarketglobally,weandVFS,andthekindofvaluationsmarkets aregivingustodayisbecauseofprobablythecashthatisstayingoutsideofIndia.Ifwecan probablygetthatcashtoIndiabypayingallkindsoftaxes,whicheverarenecessary,probably thatwillpushupthevaluationsforourcompany,whichisdoingphenomenallywellinterms ofitsexecution,butgiventhecashisoutside,thevaluationstayshasacaptoitsnumber.How areyouthinkingaboutit?
AmitSudhakar: Lastyear,ifyoulookat,wedidaboutINR900croresofinvestmentinnewacquisitions outsideIndia.Itallhappenedfromthecashthere.Inthecurrentyear,wearealsolookingat moreacquisitions.Asandwhentheygetcrystallized,wewillneedcashoutsideIndiarather thaninIndiaforthose.
Secondly,pleaseunderstandthatabout70%ofourcashgetsgeneratedoutsideIndia.Asand whenrequired,intheformofdividendandotherpayments,wearegettingthemoneyfrom there.Dependingonwhereweinvestmentsarerequired,weaccordinglymovethemoneyin thoserespectiveregions.
ArpitShah: Isitpossibletoactuallyformulateapolicyfordividendsbecauseweareaveryhighcash-generatingcompany.Idon'tthinkwewillrequirethatkindofcashgrowtheveryyearthose kindsofopportunitiesarenotavailableinthemarketcurrently,giventherearelimitedplayers whicharedoingvisaprocessing.Wecanactuallyformulateaformaldividendpolicyandstart givingoutthecashtoshareholders.Ithinkthatwouldbeagreatstrategytohave.
AmitSudhakar: Youareright.Wehaveadividendpolicy.Earlier,itwas15%ofourconsolidatedcash generatedamount.Nowwehaveraiseditto30%ofoursurpluscashaftertakingintoaccount anyfundingrequirements,thenetcash.TheBoardhavetheflexibilityofincreasingthe dividendgoingforward.
ArpitShah: Anyplanstohaveabuybackgivenwherethevaluationsareforthecompanyandwhatkindof numbersyouaregoingtobeproducingatleastforthenextcoupleofyearsisprobablyvery muchattractivevaluationsforthecompanythatyouareinandthekindofopportunities whichisoutthere.Doyouthinkabuybackwouldbeagreatopportunitytogoaheadwith?
AmitSudhakar: Personally,Idon'tseeanymajortaxbenefitfortheinvestors,inthecaseofthebuyback. Again,it'saBoarddecision,bothoptionsareopenfortheBoardtotakeacall.

ArpitShah: Becauseminorityinvestors,whatishappeningistypically,themarketcapcreation,which shouldhappenwiththiskindofperformance,isnothappening.Probably,thecashisoneof thereasonsthatisstayingoutsideIndia,andoneofthereasonswhyinvestorsarenotgetting thatkindofconfidencetoactuallybepartofthisjourney.Thatismyonlyfeedback.
AmitSudhakar: Iunderstand,butaspertheSEBIguidelinesforabuyback,thecompanyfreereservesare takenintoaccountfordecidingthequantumofbuyback.Inourcase,thefreereservefor buyback,theamountisverysmall.Dividendbecomes,Iwouldsay,abetteroptionfor rewardingtheshareholders.Yes,thesecanbediscussedbytheBoard,andIwillcertainlyput thoseoptionsforward.
ArpitShah: Ithinkyouallshouldlookatthisvery,verystronglyinthiskindofprocessbecausethatwill reallyhelpeveryoneout.
Moderator: ThenextquestioncomesfromthelineofShreyafromMoneyvestaWealthManagement.
Shreya: Congratulationsontheresults.Ihadaquestionaboutyourkeygovernmentcontract.AsIsaw theofficialMEAreport,theKuwaitcontracthasalreadyexpiredinSeptember2025,andthe CanadacontractwillalsobedueforrenewalinDecember.Couldyouupdateusonwhether thishasbeenrenewed,orifthereisaninterimarrangementinplace,orifthereisanyannual discussiontobegin?

ShikharAggarwal: No.Allourcontractsareongoing,andwehaveextensionsinallourcontracts.Weneedtosee theexactpipelinethatyouarementioning,sorightnow,allourcontractsareintact.
Shreya: ThenextquestionIwanttoask,regardingtheMEAban.Asyoumentioned,it'sa

temporary
ban,soareyoufocusingongoingbeyondthevisaapplication?What'syourbroaderstrategic priorityforthenext2yearsintermsofgovernmentpartnershipsandgeographical diversification?
ShikharAggarwal: No.Aswesaid,whenwestarted,wewereworkingwithonlyonegovernmentfrom2007to '08whenwestarted.NowourrevenuefromtheIndiangovernmentisonly12%ofour revenue.Wehavecontinuedtogrowandgottenmanynewgovernmentclients.Ourstrategyis togetmoregovernmentcontractsthatarecomingupforrenewal,andthatiswhatweare focusedon.
Shreya: LikeoutsideIndia,you'retalkingabout,notonlyintheIndiangovernment,youarefocusing moreontheoutsideIndia,differentgovernmentsforthecontracts?
ShikharAggarwal: Correct.Globally.WearefocusingonIndiaaswellasglobally.
Moderator: ThenextquestioncomesfromthelineofDivyanshuMahawarfromInvexaCapital.
DivyanshuMahawar: Congratsonthegoodsetofnumbers.Myfirstquestionisregardingthevisaapplication

globally.Whatisthetotalnumberofvisaapplicationsthathavebeenhandled?Outofwhich is--howmuchisin-houseandhowmuchisoutsourced?WhatIactuallywantedto understandisthatforthenext2to3years,whatcouldbethepotentialofthatoutsourcingof thetotalvisaapplicationsthatarebeinghandled?
ShikharAggarwal: See,whatwehandled,wecantellyouthatwehandledaround11.3lakhapplicationsthis quarter.Whatwefeelisthatwecurrentlyhave15%to17%globalmarketshare,and50%of themarketisoutsourced.50%isyettobeoutsourced,whichiswhatthenumberswehad showed;there'snoproperstudythatisoutthere,butthisiswhatourassumptionis. Thereisanopportunityfortendersthatarecomingintheoutsourcedmarketaswell.Aswell asthenewgovernment,whichhasneveroutsourced,andalso,there'saprospective opportunitytoevengetcontractsonthat.
DivyanshuMahawar: Secondly,onthevisabusiness,ifyoulookattheEBITDAmargin,Ithinkitisanall-time highEBITDAmargin,roughlyaround42%EBITDAmargin.Justwantedtounderstandwhat percentageofyourwholevisabusinesshasbeenconvertedtoaself-centeredmodel,whichwe usedtomanagebyapartnermodel.It'sa100%self-ownedmodel,orit's10%,5%is remainingonthepartneredmodel.Becauseifit'sremaining,thenIthinkmarginexpansion couldalsobeabigchangeinVisa'sbusiness.Whatareyourthoughtsonthis?
ShikharAggarwal: No.Ourobjectiveistoincreasethebasejusttomaintainthemargins.Weareatavery increasedpace.Wedon'texpectthemarginstogoup.Ourobjectiveistostabilizethemargins. Weareoperatinginmultiplecountries,stillwithpartnersfordifferentreasons,andweneedto checktheexactnumberstodeterminehowmanyweoperate.Themajorityareoperatedbyus independently.Thisistheobjectiverightnow.
DivyanshuMahawar: Isthereanychancethattheremainingcountriesthatweareoperatinginhaveapartnered model?Goingforward,cantheymovetowardsaself-centredmodel?
ShikharAggarwal: Yes,wehavetoseethefeasibility.Thereisapossibilitysomecountriescouldmove,butI don'texpectanyfurtherchangeinmargins,sincewehavereallyreachedaveryhighlevel already.
Moderator: ThenextquestionisfromthelineofAbhijeetfromPiAssetManagers.
Abhijeet: Justtwoquestions.Howdoyouseetherevenuemixbetweenthevisasegmentanddigital services2yearsdowntheline?
ShikharAggarwal: See,revenuemixhaschangedprimarilybecauseoftheacquisitionofAadifidelis,whichisat ahigherrevenueandlessEBITDA.AroundINR200-oddcroresofrevenuehascomefrom Aadifidelis.Thatiswhyifyouseetherevenuemixhasalittlebitchangedinthevisaand digitalbusiness.Goingforward,wefeelthatrevenueintheVisabusinesswillalsogoup.

Revenueinthedigitalbusinesswillalsogoup.
TherecouldbesomesmallchangewhereinVisabusinesscouldcontributemore,butthe digitalservicesbusinessisalsogoingforwardatthesamerate.Idon'texpectanydownward changeintherevenuemixfromtheVisabusiness,butitcouldchangeinthefutureaswewin newcontracts,bothintheVisaanddigitalbusiness.
Abhijeet: Youlargelyexpectthemixtoremainthesame,right?
ShikharAggarwal: Amit,whatdoyouthink?It'sverydifficulttoansweratthispoint.Ifeelthisisthebare minimum.Itcouldonlybebetter.
AmitSudhakar: Ithinkitshouldgettothat70-30rangesomewhereovertheperiod.Again,itissubjec

ttohow
thenewbusinesscomesin,aswellastheacquisition.
ShikharAggarwal: Correct.
Abhijeet: TheotherquestionwasregardingthebanfromMEA.Whatstepsareyoutakingtowardsnot gettingabanfromothergovernmentsbecause...
ShikharAggarwal: Weworkwithgovernmentseveryday.Everyday,weareintalkswiththegovernments.We aremonitoringtheirSLA,etc.,soourstepsarealwaystofulfillallthecontractualobligations. Sothatiswhatwearefocusedon.
Moderator: ThenextquestionisfromthelineofShikhaMehtafromTimeandTideAdvisors.
ShikhaMehta: Ijusthaveafewquestions.I'msorryifthey'rerepetitiveinnature.One,Iwantedto understandwhatouracquisitionpipelineisgoingforward.Ifwehaveanythingcurrentlyin thepipelineorwehaveanytargetsofacquisitionsforthenext,say,12to18months?
AmitSudhakar: Shikha,wehaveacoupleoftargetsweareworkingon,andwehopetoincreaseourpipeline oftargetcompanies,whichwecanreviewandtakethemforward.Wearequiet,Iwouldsay, aggressivelylookingatdecentacquisitionsoverthenextcoupleofyears.
ShikhaMehta: Sir,dowehaveacertainvaluationtargetthatwelookatlikearange,say,2xsalesoracertain kindofEBITDAthatwelooktoacquire?
AmitSudhakar: Yes.ourmainfocusisonthosecompanieswhosevaluationsarebasedonEBITDAmultiple. Weneverlookatrevenuemultiple,andthewholeobjectiveistolookattheROIpointof view,ofreturns,andthenwhatsynergieswecanhave.
ShikhaMehta: WhenwesayROI,dowemeanROIforusasinanacquiringcompany,whatkindofROIis generatedforus,orasanentityasawhole?

AmitSudhakar: Yes,fromourpointofview.Whatreturnonourinvestmentwillwegenerate?Welookatlot ofotherparametersalso.Thiswilltakeacoupleofhourstodiscuss,butmoreorless,the bottomlineisthatweareseriousabouttheacquisitionandexpandingourexistingbusinesses aswell.
ShikhaMehta: Sir,secondly,canyoutellmewhatpercentageourstand-alonebusinesshasgrown,thatis, withoutanyofthenewacquisitions?
AmitSudhakar: Inthisquarter,becauseoftheAadifidelis,ouracquiredbusinesseshavegivenusabout20%-25%oftherevenue,andabout6%,7%inthePBT.
ShikhaMehta: Howmuchhasourvisabusinessgrownwithoutcountinganyoftheotherassets?
AmitSudhakar: Thisquarterispracticallyallorganicgrowth,whichhascomeinQ2.
ShikhaMehta: Broadly,organicgrowthonly.27%year-on-year,broadly,or25%ifyouremoveabitofthe acquisition.Say,25%issomethingyoucanconsideryear-on-yearorganicgrowth?
AmitSudhakar: Theorganicgrowth,ifyouseetheVisabusiness,wehavedoneabout10%thisquarter.That isallintheVisabusinessandanother15%orsowehavedoneintheDigitalbusiness.
Moderator: ThenextquestioncomesfromthelineofAtharSyedfromSmartSyncServices.
AtharSyed: Sir,Ihaveonequestion:Whatisyourvisionforthenext3to5years?Whereareyouseeing yourvisabusinessanddigitalbusiness?Currently,ourvisabusinessisaround75%andour digitalbusinessisaround25%,sowhatshouldweassumeinthefuture?
AmitSudhakar: 70-30iswhatwearelookingfor.Again,thisallwilldependonhowthenewcontractcomes inandhowtheacquisitionhappensovertheperiodoftime.
AtharSyed: Whatkindofcompaniesarewelookingforinacquisitions?Lasttimewedidhotelsandetc., soany...
AmitSudhakar: See,wearelookingatbusinessesthathavesomesynergywithourexistingbusiness,orwe cangrowthosebusinessesbecauseofourreachandourclients,sothatwecansomehow expandthosebusinessesinthefuture.
Moderator: Intheinterestoftime,thiswasthelastquestionfortoday'sconferencecall.Inowhandthe conferenceovertothemanagementforclosingcomments.Overtoyou,sir.
GauravChugh: Thankyou,everyone,forjoiningthisconferencecall.Ifyouhaveanyfurtherquestions,you cangetintouchwiththeEYteamorGauravChugh.Thankyousomuch.
Moderator: Thankyou,sir.OnbehalfofAmbitCapital,thatconcludesthisconference.Thankyoufor

joiningus,andyoumaynowdisconnectyourlines.

Call: Feb 2026

February 12, 2026

National Stock Exchange of India Ltd.,
Exchange Plaza, C-1 Block G, Bandra Kurla Complex
Bandra [E], Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
SUBJECT: Transcript of Earnings Call held on February 06, 2026

Dear Sir/ Ma'am,

In continuation to our intimation dated February 03, 2026 please find enclosed a transcript of the Earnings Call held on Friday, February 06, 2026 to discuss the operational and financial performance of the Company for the third quarter and nine months ended December 31, 2025.

The transcript is also available on the Company's website at https://www.blsinternational.com/transcript

You are requested to take the same on your records.

For BLS International Services Limited

…………………………
Dharak A. Mehta
Company Secretary & Compliance Officer
M. No.: FCS12878

Encl: As above

"BLS International Services Limited
3Q & 9M FY26 Earnings Conference Call"

February 06, 2026

MANAGEMENT : MR. NIKHIL GUPTA – MANAGING DIRECTOR
MR. SHIKHAR AGGARWAL – JOINT MANAGING
DIRECTOR
MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER
MR. LOKANATH PANDA – CHIEF OPERATING
OFFICER , DIGITAL BUSINESS
MR. GAURAV CHUGH – VICE PRESIDENT & HEAD -
INVESTOR RELATIONS

MODERATOR: MR. MOEZ CHANDANI – AMBIT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to BLS International Services Limited Q3 and 9 Month FY '26 Earnings Conference Call hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after th e presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Moez Chandani from Ambit Capital. Thank you, and over to you, sir.
Moez Chandani : Good evening, everyone. On behalf of Ambit Capital, I would like to welcome you all to the Q3FY26 Earnings Call for BLS International Services Limited. Joining us from the management today, we have Mr. Nikhil Gupta, Managing Director; Mr. Shikhar Aggarwal, Joint Managing Director; Mr. Amit Sudhakar, Chief Financial Officer. Mr. Lokanath Panda, COO, Digital Business ; and Mr. Gaurav Chugh, Head, Investor Relations.
I thank the management for the opportunity to host this earnings call. We now begin with opening remarks from Mr. Gaurav Chugh, post which the forum will be open for an interactive question -and-answer session. Thank you, and over to you, Gaurav.
Gaurav Chugh : Thank you, Moez. Good evening, everyone. Thank you for taking out time to join this call today. Before we begin, I would like to point out that some statements made in today's discussion may be forward -looking in nature, and a disclaimer to this effect has been included in our earnings presentation shared with you earlier.
I would like to invite Mr. Shikhar Aggarwal for his opening remarks, post which Mr. Amit Sudhakar will discuss the financial performance of the company. We will then open the floor for an interactive Q&A session. Over to you, Shikhar.
Shikhar Aggarwal : Good evening, everyone, and thank you for joining us on BLS International's Q3 and 9MFY26 Earnings Call. We trust you've had the opportunity to review the results, press release , and investor presentation. We are pleased to share that the company delivered a remarkable performance in Q3 and 9 MFY26.
For the 9 MFY26, our consolidated revenue and PAT experienced a robust growth of 46% and 36% year -on-year, reaching INR2,184 crores and INR537 crores, respectively. This is nearly to the equivalent of the revenue of last year itself that we have achieved in first 9 months.
This performance was driven by higher application volumes, multiple contract wins across major geographies , diversification of service portfolios and consolidation of acquired business over the last few years.

Q3 FY '26 was also a strong quarter for the company as revenue grew by 44% year -on-year driven by healthy momentum across both our businesses. EBITDA for Q3 FY '26 increased 25% year -on-year, while PAT recorded a growth of 33% year -on-year, reflecting disc iplined execution and operational efficiencies.
Our visa and consular service business continues to witness strong growth traction in Q3FY26, while the revenue grew 20% year -on-year, our EBITDA increased by an impressive 28%. This growth highlights BLS strong execution capabilities and positive impact o f our successful transition of a business model from a partner -led to sell -managed model. The number of applications process ed increased by 18% during Q3, rising to 10.7 lakh applications compared to 9.1 lakh in Q3FY25.
Net revenue per application also grew by 19% to INR3,383 in Q3FY26 compared to INR2,841 in Q3FY25. We continue to expand our global footprint by winning newer contracts and renewing existing contracts during the quarter. The company secured a 5 -year global contract from Slovak Repub

lic to establish and operate visa application centres in over 80 countries.
The company was also awarded a 3 -year contract by the Ministry of External Affairs, Government of India to establish Indian visa application centres in China. Further, the company also won a lot of new contracts from the Cyprus government in multiple countries like South Africa, China, Mongolia, et cetera. In addition to these new contracts, we renewed our mandate with the MEA, Government of India to provide attestation and apostille service across 17 major cities in India.
Our digital business also continued to witness significant momentum. Revenue from digital service in Q3FY26 more than doubled to INR287 crores from INR137 crores in Q3FY25, registering a remarkable year -on-year growth of 109%. This is primarily on account of growth in BC and loan distribution business, along with increasing scale in assisted, digital and citizen service offering.

The company's asset -light and scalable operating model remained a key enabler growth, supported by a wide and growing network of 1 ,51,000 -plus touch points and 45,800 -plus service channel partners. The BC business is witnessing significant traction with GTV generated increasing to INR27,000 crores during the quarter as compared to INR21,000 crores during Q3FY25.

In addition to this, the company also achieved a significant milestone of having INR10,000 crores of aggregate bank balances in the bank accounts opened through BLS E -Services channel. The loan lead generation business, also witnessing strong traction as the company generated loan leads worth INR9,700 plus crores during the quarter, which has significantly increased from INR2,900 -plus crores in the last quarter.

Another key highlight for the digital business was winning INR100 crores project from

Government on Bihar for establishing of Permanent Enrolment Centres for Aadhar. This mandate complements the recently received order from UIDAI to upgrade Seva Kendras with aggregate value of around INR2,000 crores.

We are continuing to strengthen our technology across both our business es while leveraging AI, advanced analytics , cloud platforms and automation to enhance security, scalability and performance while delivering smarter, faster and more reliable digital solutions to customers and partners. Our continued investment in technology is helping us deepen trust with governme nts by strengthening our customer -first approach.

While the company is consistently growing, it has also followed a policy of rewarding its shareholders through years by way of dividends. In line with this, the Board has approved an interim dividend of 200% of face value, that is INR2 per equity share in the board meeting today.

Before concluding, I would also like to speak on the recently announced budget, which offers an optimistic outlook for travel and tourism sector. The budget demonstrates a strategic commitment to revitalizing this crucial industry with increased funding allocated for infrastructure development as well as support for setting up five regional medical tourism hub s. The inflow of tourists into the country is expected to increase.

Additionally, the change in tax rates for overseas tourism packages, along with rising disposable income are anticipated to lead in growing number of overseas traveller's into the future. For BLS, as one of the largest global visa outsourcing players, these initiatives are encouraging and are expected to have a positive impact on the business.

To conclude, the period ahead offers meaningful opportunities for BLS International as global mobility continues to normalize and governments increasingly rely on trusted partner for public service delivery. Our well -diversified presence across geography and service li nes, expanding scale in priority markets and a strong pipeline of en

gagement positions us to build on our momentum.

Now I'll hand over the call to Mr. Amit Sudhakar, our CFO, to walk you through the financial performance. Thank you.

Amit Sudhakar : Thanks, Shikhar. Good evening, everyone. I'm pleased to share the consolidated financial results for the third quarter and 9 months ending December 31, 2025. In Q3FY26, our total revenue grew 44% year -on-year to INR737 crores, up from INR513 crores last year. This came from steady growth in both our visa and digital businesses.

EBITDA for the quarter rose 25% to INR198 crores compared to INR158 crores last year. The profit before tax was INR191 crores, up 36% from INR140 crores in the same quarter last year. Profit after tax grew by 33% to INR170 crores from INR128 crores in Q3FY25.

Now looking at the 9 months consolidated financials for FY '26 Revenue increased to INR2,184 crores, up 46% from INR1,501 crores last year. Nine months EBITDA grew 35% to INR615 crores from INR455 crores last year. Profit after tax was INR537 crores, a 36% jump from INR394 crores last year. We nearly hit last full year number in just 9 months, thanks to more visa applications and better operational efficiency.

Coming to the segment highlights in visa and consular services for Q3FY26 recorded revenue of INR449 crores, up 20% from INR376 crores last year. This was driven by 18% more application volume from 10.7 lakhs this quarter versus 9.1 lakhs last year. EBITDA rose by 28% to INR180 crores, with margin s at 40%, an improvement of 275 basis points from 37% margin last year.

For 9 months, visa and consular service segment, revenue rose by 13% to INR1,369 crores

from INR1,207 crores in 9 MFY25. EBITDA jumped by 35% to INR558 crores with margin s
improving to 41% from 34%, reflecting our focus on efficiency and profitability.
In Digital Business, Q3 revenue more than doubled to INR287 crores from INR137 crores.
EBITDA for the quarter was at INR18 crores. For 9 months, Digital Business segment
revenue reached to INR815 crores, up from to INR293 crores in 9 months FY '25.
EBITDA for the 9 MFY26 was INR57 crores compared to INR42 crores last year. The
company continues to generate strong cash flows and healthy balance sheet, hence, the Board
has declared an internal dividend of INR 2 per share.
With that, over to the moderator for questions. Thank you.
Moderator: Our first question comes from the line of Vansh Solanki from RSPN Ventures.
Vansh Solanki : Yes. So, as we saw in this quarter, our visa applications grew very well to 17% YoY. And the
management also talking like for many quarters that many big contracts a re coming globally .
So my question on that can you just say in next 1 year or 2 years, which of the country's contracts
are going to renew and how much that will be worth like c ountry -wise, like I know that there
will be opportunity of very big. But just c ountry -wise that in next 1 or 2 years, which big co untry
is going to give a big order?
Shikhar Aggarwal : So, as we have said that we have grown, our application volume has also grown by 19% this
quarter, and we have already announced that we have won a lot of new contracts with different
governments this quarter. So, there are many governments which are comin g out, and we are
actively working on it as we regularly do. And as and when the results come, we announce that
to the market.
Vansh Solanki : Okay. And the second question is on employee expense. This quarter, the employee expense
grew significantly from like QoQ, if I see, it was 108 to 123. So, is there any one -off or these

are the expenses due to the UIDAI centres , I assume?
Shikhar Aggarwal : I think ,primarily becaus e of the UIDAI.
Vansh Solanki: So like this will be from the normal range from now on, right? This will c

ontinue in the future
also. There is no one -off?
Shikhar Aggarwal: Yes, there is no one -off.
Vansh Solanki : Okay. And just one of a bookkeeping question. Can you just give a revenue of ASPL
Citizenship, iDATA. And also in this quarter, we will have a revenue for U.K. hotel also. So
can you just point the number these four?
Amit Sudhakar : So Aadifidelis about INR200 crores was the revenue, Citizen ship invest is about INR12 crores.
And third one, U.K. Hotel is about INR11 crores.
Vansh Solanki : Okay. And iDATA?
Amit Sudhakar : iDATA is about INR70 crores.
Vansh Solanki : And are you going to continue the visa application as you are seeing the travel is going on. So,
the 15% growth you have mentioned for the FY '26. So, will it be continued through FY '27 and
'28 also?
Shikhar Aggarwal : Yes, we have already said that for the next 5 years, our target is to achieve 20% to 25% growth.
Moderator: Our next question comes from the line of Shreya Kejriwal from Moneyvesta Wealth
Management.
Shreya Kejriwal : Congratulations on the great results. I want to understand the revenue growth split between
organic and inorganic. And also, regarding the EBITDA margin, as I see that it has been like
contracted on year -on-year basis. So, could you elaborate on the key drivers behind this? And
how should we think about the margin normalization going ahead?
Amit Sudhakar : Yes. So, the organic growth has been in the range around 26% in the current quarter.
Shreya Kejriwal: Yes. So my second question was regarding the EBITDA margin. As I see that on year -on-year
basis, the margin has been contracted. So like what's the key driver behind this? Like how
should we think about the margin normalisation going forward?
Amit Sudhakar: So as we have explained in our last call also, the sales mix has changed a little bit . In the visa
business, we have improved our margins Y -o-Y. If you see the segment result s, in the digital
business, the growth has been more than 100%, where the margins have contracted because of
Aadifidelis, which has a lower EBITDA margin business.

Moderator: Our next question comes from the line of Varun Subramanian from Ascent Capital.
Varun Subramanian: Just a couple of things on the consular services business. I see that if I just compare the 9 -month
numbers for FY '25 versus '26 , I think the revenue has come from around INR440 crores to
INR280 crores. There's actually degrowth in that piece, right, ex of visa revenue essentially. So

if you could just talk about that business, Is the number correct?
Secondly, what is the revenue model there? is it only India or is it outside India as well? And also, like, why it's going down and what the margin profile looks like for that ? Because it looks like your margin profile is improving as that revenue share is reducing?
Shikhar Aggarwal: Amit, if you can answer because I didn't understand what revenue he's talking about.
Amit Sudhakar: Yes. Our margins have been improving in the visa business.
Varun Subramanian: Okay. Let me explain. In your visa and consular business, you have the net revenue that's coming from visa applications. That number has been steadily going up, right? So if I take your total visa and consular revenue and subtract that, you understood it n ow?
Amit Sudhakar: We missed out.
Varun Subramanian: Okay. I'm saying that if you take the total visa and consular services revenue, right? And you subtract the visa revenue, which is your net revenue per application revenue, right? That is the consular revenue, correct? Now that consular revenue has been co ming down.
Gaurav Chugh : So the difference between the revenue and the net revenue is basically the cost of services that we exclude or we reduce. There is no separate revenue of visa or consular services. It's all clubbed into one.
Varun Subramanian: Okay.

So the way we should look at revenue is only the net revenue should be looked at. The gross revenues is typically including the cost of service basically?
Amit Sudhakar : See, if you look at our visa revenue, and you reduce the cost of services, which is a direct services cost, that is the net revenue.
Varun Subramanian: Okay. And so where does the consular revenue get booked?
Shikhar Aggarwal: It is part of it, the visa consular is one single segment.
Gaurav Chugh : We don't report separately visa and consular services. It's part of that.
Varun Subramanian: No. But then if I just do a number of applications into net revenue per application, so you're grossing up the consular revenue into the net revenue per application, is that understanding correct?

Gaurav Chugh : No, that's what I'm trying to tell you that the visa and consular services is a single segment that we report. We don't separately report visa and consular servi ces revenue . So if you look at our INR449 crores of revenue in the visa segment, this is both for visa and consular services. EBITDA of INR180 crores or 40% is for both the businesses together.
Varun Subramanian: Yes, exactly. So within that, is the visa revenue INR362 crores? Or is that just the net revenue for the entire segment?
Gaurav Chugh : Okay, I can explain you. INR449 crores is the revenue from operations of the visa and consular services. There are certain cost of services that we have to incur. This is basically , if you look at, we have at certain places, we have partner model. So we have to pay to a partner, we have to pay to certain vendors. So net revenue is the actual revenue that comes to my kitty after paying off various costs, - direct cost. So INR362 crores is the net rev enue for me.
Amit Sudhakar: You can look at it like gross profit of the business. Whatever the direct costs we reduce.
Varun Subramanian: Understood. So that means the cost of services have been coming down, that's because of your own model, the shift to own model?
Amit Sudhakar: Exactly, exactly.
Varun Subramanian: Understood. Okay. That's helpful.
Moderator: Thank you. Our next question comes from the line of Shikha Mehta from Time and Tide Advisors.
Shikha Mehta: So I actually just had one question regarding our all our acquisitions. So (a), do we have acquisitions planned in the future? Going forward, do we have a pipeline of companies we are looking to acquire? And (b), internally, do we have an IRR we want to make as BLS or companies acquired by us?
Shikhar Aggarwal: I think on the first part, I can answer. And as you have seen, we've been acquiring companies in the last few years. Last year, we spent around INR1,300 crores on acquisitions. And again, the synergy has started to come in. We've combine d those offices, etcetera. And so I think definitely, we have M&A team, we are constantly looking at opportunities, but we are very conservative in the kind of companies we want to buy. It gives us long value addition.
Shikha Mehta: Can you elaborate on conservative, sorry? When you say we are extremely conservative, you mean on a valuation front, you mean on the kind of companies you look to acquire?
Shikhar Aggarwal: I meant on synergies, we look at only allied services. These accounts are our government services business, which can provide synergies to our business. The valuations are healthy. We can grow the business quickly. From our existing offices, we can synergize. There can be cost reduction, etcetera. So those are the couple of parameters that we look at.

Shikha Mehta: So then the U.K. acquisition we did, I don't think that actually synergizes with our business, right? So what was the thought process like?
Shikhar Aggarwal: We have already answered that in the last inve

stor call also about that acquisition that we are wanting to get into allied services. And that was a one -off thing that we did. And going forward to utilize the experience as we want to get to a more travel se rvices. And going forward, we want to get into total management contract kind of experience where there is no upfront capex deployment.
Shikha Mehta: So is the understanding correct that if we find another possible acquisition in hotel management at a good valuation, we would look to acquire , or is this a one -off?
Shikhar Aggarwal: As we have explained that last time also that this was that we did to understand experience, gain experience and now we'll utilize that experience to get into management contracts .
Shikha Mehta: Understood. Yes, sir. And lastly, on the IRR generated to BLS as an investor in these acquired companies, what range do we look at?
Amit Sudhakar: If we look at the ROI, at least in double -digits minimum and especially when it is outside India, that is quite a decent return which we are looking at.
Shikha Mehta: So say, on iDATA, Aadifidelis, etera, we look at getting double -digit return over a longer -term period of time as a company that has invested in these businesses?
Amit Sudhakar: That's right.
Shikha Mehta: So I mean, is it possible for you to give a payback period or something of sorts? Because we have a very large goodwill on our books. And if you give a payback period, maybe even ballpark on the 3, 4 companies we've acquired recently, it would help us unde rstand your thought process much better.
Amit Sudhakar: So currently, what we have acquired, they all have a payback between 5 to 7 years.
Shikha Mehta: Five to 7 years. Okay. Understood.
Moderator: Our next question comes from the line of Mehul Panjuani from 40 Cents .
Mehul Panjuani : Sir, I'm new to your company. So I would like to understand what all entails in the digital services? What services come under our digital offerings?
Amit Sudhakar: So in digital offering, we have currently 3 verticals. One is the business correspondent which is a banking business wherein we provide the last mile banking. Then we have our loan distribution company, which we acquired last year, and the third is the E -governance where we provide, (we call it G2C) government to citizens. We provide services on behalf of the

government to the citizens . So these are the 3 verticals we have.
Mehul Panjuani: And sir, please correct me if I'm wrong. Sir, BLS E -Services is that catering to all the digital services? Or is that a wrong understanding?
Amit Sudhakar: No, that's correct. That is the one which is providing all the 3 services.
Moderator: Our next question comes from the line of Atharv from Sonar Capital.
Atharv : Sir, which geographies or visa categories are currently seeing the strongest growth for BLS. And do you expect this trend will continue over the next quarter or the next year also?
Shikhar Aggarwal : See, globally, all the geographies for us are growing. We have seen good growth coming in from the Middle Eastern market, the East Asian market, India, China, Latin American countries, definitely, the trend we see continuing. Going forward, definitely, the re is some war that is happening between Russia and Ukraine that gets streamlined, which there is hope . And definitely, we'll see a good growth in volume coming from that region as well. Because pre-war that was a very big volume for us. But I think after this spends probably the volumes, if they come back then that could be a very big reason.
Atharv: Okay. So now India and Europe, trade deal is almost done. So do you expect some or more volumes from Europe also?
Shikhar Aggarwal : It's too soon. As you know, the trade deal was announced, but it will take time for it to get ratified by different bodies in Europe. But definitely, th

ere will be a jump in the relationship between Europe and India. And definitely, we see that volumes cou ld increase in the future because of that.
Moderator: Our next question comes from the line of Siyaa Deshmukh from Pune E Stock Broking Limited.
Siyaa Deshmukh : I have 2 questions. First is Slovak contract and the international acquisitions can contribute what kind of revenue in top line terms? And second was which quarter can be considered strongest for the company?
Amit Sudhakar: Volumes you will be able to know once these contracts have been active but quarter -wise, Q4 and Q1 are the ones which are the highest volumes and revenue s we get.

Moderator: Our next question comes from the line of Abhijeet from PI Asset s.
Abhijeet : Regarding the Slovak Republic contract, should we expect the temporary margin compression due to consolidated expenses before the is entire series of premium utilization?
Shikhar Aggarwal : We will be utilizing a lot of centres from our existing centres as well across the world. So there

will be economies of scale. So definitely, initially in any contract that we win or deploy in different countries, there is investment. But after that, it is quite streamlined.
Abhijeet: And there was a mention of AI in the investor presentation. So how are you leveraging AI? And can you quantify the impact AI had on the bottom line in the last quarter?
Shikhar Aggarwal : See, it's very difficult to quantify right now of savings that we have made, but we have implemented AI in a very practical manner in different departments of the organization, right from HR to call centre to customer engagement. So our answer percentage has increased. A lot of calls, we picked up quality has improved.
Our recruitment has become better. We are able to put more people faster. Very difficult to quantify in terms of costs, but we definitely have cost savings that we have seen in terms of some of the angles. But I think it's too soon to quantify exactly the number.
Abhijeet: And lastly, I just wanted to get your views on the reason behind allocation of capital and management bandwidth to the digital segment because it effectively and valuably consolidated margin profile. And also regarding this, how do you see the mix of visa and digital services over the next 2 years?
Shikhar Aggarwal : See as we have said this was because of the one of the acquisitions that we did of Aadifidelis Solutions , which is at a 3% EBITDA margin , the digital business definitely is growing. And as we see that we can add more services to that loan business, more margin will come in. So we definitely feel the mix will maintain because we see major growth coming in both the segments of the business.
Abhijeet: So do you foresee margin expansion in the digital services?
Shikhar Aggarwal : I mean visa business also, if you see the margin has expanded to upwards of 40% now in the last few years. So definitely, we see a growth , in the future , in the digital business as well. But right now, as and when we introduce more value -added services and ancillary services, we will see margin improvements.
Abhijeet: No, that's right. The reason I was asking is that because the contribution of Visa segment itself is coming down gradually. So even if the margin has expanded to, say, 38%, 40%, the net impact on the blended margin, I mean it's not that meaningful simply due to the fact that there is severe margin contraction happening in the digital ser vices ?
Shikhar Aggarwal: Yes. Amit, I think what we have discussed is that this was an acquisition that we did to enhance the company. And I think we are very happy with that because going forward, we can grow that company from our existing centres and zero mass. So definitely, we feel that whatever is achieved now will maintain and our target is to improve as such.

Moderator: Next q uestion comes from the line of Viren Sameer Deshpande from Alphapeak Investment .
Viren Sameer Deshpande: Sir, congratulations for the good set of numbers. And the digital services you explained have been growing quite well and all those things. That is good. But actually, as you explained that the salaries and employee benefits have gone up now almost more than 50% year -on-year? So if you take the blended level of our turnover is about INR740 crores in this quarter. And the employee cost is INR123 crores. So what do you expect to be the normalized employee cost going forward?
Amit Sudhakar: If you see our last year audited numbers, our employee cost was about 14.75%. Now our 9 months is about 15.5%. So overall, if you see, we are in that range of 15%.
Viren Sameer Deshpande: So, it will be similar because of this UIDAI or Bihar and all those things, which what we are doing, that is not goi ng to increase it significantly?
Amit Sudhakar: No, See, we have got people on board and revenue will start coming now from this quarter onwards.
Viren Sameer Deshpande: Okay. Okay. But as you mentioned, it will be in the range of around 14.5%, 15%, similar to the last year's level. And secondly, what are the cash and cash equivalents at the end of this quarter?
Amit Sudhakar: About INR 1,400 crores.
Viren Sameer Deshpande: Okay. And what was it last quarter?
Amit Sudhakar: It was about INR1,290 crores or something.
Viren Sameer Deshpande: So, there is an accretion of about INR100 crores. And this Chinese operations which what we

have been allowed by the Ministry of External Affairs to set up offices across China for this purpose. Has the work started there and because there is expected to be a lot of exchange in India and China, which had been halted for COVID, et c. But do you see a good significant revenue coming from that Chinese operations?
Shikhar Aggarwal: Yes. We see a good jump in revenue in the future.
Viren Sameer Deshpande: Because exclusively, we will be operating from Indian side.
Amit Sudhakar: Correct.
Viren Sameer Deshpande: So that will be a good booster for us.
Moderator: Our next question comes from the line of Ikshit Naredi , an Individual Investor.

Ikshit Naredi : I hope you heard the name of company called Atl ys. So the new age business like Atl ys would give hassle -free visa coverages in India of almost all the countries. And personally, I even tried that and they did a great job. So what negatives and positives will have on our business from these type of service businesses? Can you please elabora te on this?
Shikhar Aggarwal: See, we are in the business of exclusive government contracts where anyone who has to apply for a visa for the government we work for will have to go through us. So any company, any travel agent or any start -up or any company that works in the visa domain has to go through one of the providers as our competitors for applying for any business. So we are in the business of exclusive outsourcing, and that is what we are focused on.
Ikshit Naredi : Okay. And my second question is on Slide 10, it's mentioned that your digital services margin drastically reduced from 14.2% to 7%. So can you please explain about that?
Amit Sudhakar: As we explained earlier, this is because of the Aadifidelis , the new acquisition we did last year. And there, the margins are around 3% to 4% of EBITDA. So that Sales mix has changed the overall percentage.
Moderator: Next question comes from the line of Varun Subramanian from Ascent Capital.
Varun Subramanian : I have one question on the e -Visa. So I just wanted to check in terms of when you go to governments or embassies to renew contracts, have they been discussing implementing e -Visa as a process instead of the m

anual process, one? And what part of that process will necessitate people to still come to an embassy? Maybe the biometrics part is one that stands out. But if you could just walk me through what an e -visa process would look like, let's say, if someone like Spain is a large customer for us now, our source of income moves to exclusively e-Visa for their visa application process. How would that affect our business? How would we still play a role? And what will be the revenue impact according to you ?
Shikhar Aggarwal: I think if you do your research and you see that in Europe, they have announced in the next few years, they are also digitizing part of the process. So that will lead to an increase in volume for us itself, and people will have to still come to the centre to do the biometric.
So it is only part of the process that we will only handle digitize. So all the governments that we are working for, the numbers will grow in the near future. And the governments to handle the capacity better, they want to digitize part of the process wher e we will be digitizing it for them. Certain applications will come in that category, all will processe d through us.
So we see the new technologies that are coming in the future as enhancing our business.
Biometric was not there 5, 7 years back. It got to reduced 7 years back. So definitely, we feel that we have a very good grip on the market and we are in touch with the government. We feel that going forward itself, we will see good growth in numbers as you can see more

volumes coming in, and we are adopting whatever technology is coming on.
Varun Subramanian : So the customer will still have to come to a BLS centre . That's the main point?
Shikhar Aggarwal: Correct.
Moderator: Ladies and gentlemen, due to the time constraint , that was the last question for today. I would like to hand the conference over to the management for the closing comments. Thank you, and over to you, team.
Gaurav Chugh: Thank you, everyone, for joining this call today. If you have any further questions or clarifications, you can reach out to Gaurav Chu gh or EY team. Thank you so much. Have a good weekend .
Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of the BLS International Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 25, 2026

National Stock Exchange of India Ltd.,
Exchange Plaza, C-1 Block G, Bandra Kurla Complex
Bandra [E], Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
SUBJECT: Transcript of Earnings Call held on May 20, 2026

Dear Sir/ Ma'am,

In continuation to our intimation dated May 15, 2026 please find enclosed a transcript of the Earnings Call held on Wednesday, May 20, 2026 to discuss the operational and financial performance of the Company for the fourth quarter and financial year ended on March 31, 2026.

The transcript is also available on the Company's website at https://www.blsinternational.com/transcript

You are requested to take the same on your records.

For BLS International Services Limited

…………………………
Dharak A. Mehta
Company Secretary & Compliance Officer
ICSI M. No.: FCS12878

Encl: As above

"BLS International Services Limited
Q4 & FY26 Earnings Conference Call"

May 20, 2026

MANAGEMENT : MR. SHIKHAR AGGARWAL – JOINT MANAGING DIRECTOR
M R. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER
M R. LOKANATH PANDA – CHIEF OPERATING OFFICER – BLS E-SERVICES LIMITED
M R. GAURAV CHUGH – HEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the BLS International Services Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.
Before we proceed, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with the Company’s business risks that could cause future results, performance or achievements to differ significantly from what may be expressed or implied by such forward-looking statements. I now hand the conference over to Mr. Gaurav Chugh from BLS International Services Limited. Thank you, and over to you, Mr. Chugh.
Gaurav Chugh: Good afternoon, everyone. Thank you for taking out time to join this call today. From the management, we have Mr. Shikhar Aggarwal, Joint Managing Director; Mr. Amit Sudhakar, Chief Financial Officer; Mr. Lokanath Panda, Chief Operating Officer from BLS E-Services.
I would like to hand over the call to Mr. Shikhar Aggarwal for his opening remarks, post which Mr. Amit Sudhakar will discuss the financial performance of the company, and then we will open the floor for an interactive Q&A session. Thank you, and over to you, Shikhar.
Shikhar Aggarwal: Good evening, everyone, and thank you for joining us on BLS International's Q4 and FY26 Earnings Call. We hope you have had the opportunity to review the results, press release and Investor Presentation uploaded on the Stock Exchanges as well as our website.
We are pleased to share that the company delivered a remarkable performance in the financial year FY26 with the highest ever performance across all key parameters and metrics. Revenue, EBITDA and PAT grew by 37%, 30% and 34% year-on-year, respectively. The performance was driven by higher application volumes, multiple contract wins across various geographies, diversification of service portfolios and increase in net revenue per application in the Visa business.
I would also like to highlight that the company has demonstrated exceptional performance over the last 3 years, reporting a growth in all parameters like Revenue, EBITDA and PAT at a CAGR of 34%, 54% and 49% respectively. This is a noteworthy achievement by the company, further validating the robust business model as well as the effectiveness of the company's strategies.
Q4 FY26 was also a strong quarter for the company, driven by healthy momentum across both our businesses. EBITDA and PAT for the quarter grew 17% and 29%, respectively, year-on-year.

Our Visa & Consular business continues to witness strong traction for the quarter as well as for the full year. The business continues to witness strong profitability with FY26 EBITDA growing by an impressive 30% year-on-year and EBITDA margins grew to 40% from 34% in FY25. This growth highlights BLS’ strong execution capabilities, operational efficiencies and the positive impact of successful transition of our business model from partner-run to self-managed model.
BLS International has processed more than 44.1 lakh applications during the year, which grew from 37.5 lakh applications. Net revenue per application also witnessed a growth of 14% to INR3,302 per application as compared to INR2,903 per application.
BLS International has also taken several strides in terms of technology enhancement. During the quarter, the company partnered with IACCIA to offer trade document attestation services across 17 centers. We also partnered with Sypha AI to modernize Visa & Consular

business
through AI-powered solutions. We also introduced AI VoiceBots for visa related applications, etcetera.
Our Digital Services business continued to witness significant momentum, crossing INR1,000 crores in revenues. Revenue from Digital business more than doubled to INR1,158 crores, registering a remarkable year-on-year growth of 114%. This is primarily on the account of the BC business, including loan distribution, along with increased scale in assisted digital and citizen service offerings.
The company's asset-light and scalable operating model remains a key enabler of growth, supported by a network of 155,000+ touch points with around 45,800+ channel partners. The BC business is witnessing significant transaction with GTV at more than INR 1.1 lakh+ crores during the year compared to INR 87,000+ crores in FY25.
The company also witnessed strong traction due to acquisition of Aadifidelis. The company

generated leads worth more than INR36,800 crores during the year. We are continuously strengthening our technology by enhancing and leveraging AI, advanced analytics and cloud performance.

While the company is consistently growing, it has also followed the policy of rewarding its shareholders throughout the years by way of dividends. In line with this, the Board has recommended a final dividend of 50% of face value, that is INR0.5 per equity share in addition to the interim dividend of INR2.0 per equity share, already paid during the year. This leads to 250% of dividend of face value and a dividend payout of more than INR100 crores for the entire year.

Before I conclude, I would also like to address the impact of travel industry due to the ongoing

geopolitical situation. What we are witnessing today is a temporary scenario, and a shift where people choose to travel, due to the ongoing tension in Middle East. However, our revenue remains intact.

Thank you so much. I would now like to hand over the call to our CFO, Mr. Amit Sudhakar.

Amit Sudhakar: Thank you. Good evening, everyone. I'm pleased to share the consolidated audited financial highlights for the fourth quarter and full year ended 31st March 2026. Revenue for FY26 increased, to INR2,998 crores, as compared to INR2,193 crores last year, up by 37% Y-o-Y. This growth is on account of increased momentum in both our businesses.

FY26 EBITDA rose to INR819 crores from INR629 crores in FY25, registering a growth of 30% YoY. EBITDA margin stood at 27.3% for FY26. Profit after tax for the full year was INR724 crores compared to INR540 crores last year, showing a 34% increase.

Now looking at Q4 FY26 consolidated performance. For Q4 FY26, we recorded a strong growth of 18% year-on-year in consolidated revenue, increasing to INR815 crores in Q4 FY26 from INR693 crores in Q4 FY25. The growth was driven by steady growth in both Visa and Digital businesses. EBITDA for the quarter increased by 17% year-on-year to INR204 crores as compared to INR174 crores in the same quarter last year. Profit after tax increased by 29% to INR187 crores compared to INR145 crores in Q4 FY25.

Coming to segment highlights. In FY26, Visa & Consular Services grew by 11% to INR1,840 crores compared to INR1,653 crores in FY25. EBITDA for the segment rose sharply by 30% to INR738 crores, with the margin improving to 40.1% from 34.5% last year, reflecting our focus on efficiency and profitability.

In Q4 FY26, the Visa & Consular Services segment recorded a revenue of INR472 crores, a 7% growth over INR441 crores in same quarter last year. The growth in revenue was mainly driven by the increase in visa application volume, which grew by 10% year-on-year to 10.8 lakh application in Q4 FY26 from 9.8 lakh application in Q4 FY25. EBITDA for the segment rose by 19% to INR180 crores with a margin of 38%, an improvement of 400 basis points from 34% margin last year.

In FY26, the Di

gital segment revenue more than doubled to INR1,158 crores compared to INR440 crores in FY25. The EBITDA for FY26 was INR81 crores compared to INR60 crores in the previous financial year. In Q4 FY26, the revenue increased to INR343 crores in Q4 FY26, up from INR252 crores in Q4 FY25. EBITDA for the quarter was at INR24 crores.

The company continued to maintain a strong cash flow and a healthy balance sheet. During the year, the business generated a cash flow from operations of INR903 crores. As on 31st March FY26, the company maintained a strong net cash balance of INR1,434 crores.

With that, I will now hand over to the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. Your first question comes from the line of Mehul Panjwani with 40 Cents. Please go ahead.

Mehul Panjwani: Okay. Sir, congratulations on a great set of numbers. Sir, I have one question about the current situation in West Asia. So, because of this, have you seen any setbacks in the last quarter?

Shikhar Aggarwal: See, if you see our numbers, we have actually grown. On an annual basis, our EBITDA has grown by 30%. And even if you see our EBITDA in the last quarter compared to Q4 of last year, has still grown by 17%.

So, for us, there has been no impact. As we have said before, since the company has been operating from year 2007 and 2008, there are multiple things, geopolitical things happening in the world from back then. And every year, something or the other happens.

So temporary, definitely, some things get affected. But on an annual or a quarterly basis, everything gets balanced. Today, we are in 80+ countries working in more than 40 client

Governments. So definitely, some impact is there on a short-term level, but on an ongoing or annual level, everything gets balanced.
Mehul Panjwani: Right, sir. So, thanks for clarification. But let's say, if this situation, if the war wasn't there, then you would have reported better numbers?
Shikhar Aggarwal: In the last quarter? I don't know exactly if we would have reported any better numbers. I need to check. But definitely, there could be some impact. We have still grown a lot, if you see on an annual and quarterly basis. Maybe, yes, definitely some volume could have come back to us.
Moderator: We take the next question from the line of Vansh Solanki with RSPN Ventures. Please go ahead.
Vansh Solanki: Hi Shikhar, am I audible?
Shikhar Aggarwal: Yes, you are.
Vansh Solanki: Yes. So also just on the war side, so you just told that the Q4 would be better if the war wasn't there. So, in Q1, are we seeing any impact of the war still? Because still the war is not closed or it is not -- all the negotiations are made. So maybe Q1 or maybe Q2 also, can we see the impact? So how are you seeing Q1 and full year FY27 in terms of volume growth, Visa volume growth?
Shikhar Aggarwal: See, it's only May. Right now, we cannot tell you exactly what the impact of the war will be. As of now, we are going strong, and we will continue to maintain our growth from last year. I don't know exactly what the scenario in the future will be. But as of now, things are steady.

Vansh Solanki: Okay. And also, the last -- from many quarters, management has said that many contracts of the governments are pending for renewal. So, is there any visibility for that?
Shikhar Aggarwal: No, we have also announced, many results we have announced. We have won Slovakia, Cyprus, Indian government tender last year. We won a lot of tenders for Italy, Portugal and Poland. So, all of them are part of that. We won a big UIDAI worth INR2,500 crores tender last year. Still, there are many more tenders...
Vansh Solanki: My question is majorly forward-looking, in the FY27, are we tracking any government, which is, contract pending for renewal?
Shikhar A

ggarwal: It is a constant tender business. Many new governments are coming out with tenders. We're actually bidding at different stages. Many governments are outsourcing for the first time. So definitely, we have a big potential for growth in terms of different tenders that are coming up for renewal.
Vansh Solanki: Okay. And the second set of questions is about the UIDAI work order, which we have received. So how much revenue have we actually booked in Q4? And how much -- for how much month like from the...
Shikhar Aggarwal: No. It has only been one or two months since we started the rollout. Right now, Phase I in which we have to roll out 40-50 offices, we have done. Eventually, we have to roll out more than 200 offices. So, I think it will take at least 1-1.5 years for the ramp-up and the full revenue to start coming in.
Moderator: Thank you sir. We take our next question from the line of Shikha Mehta with Time & Tide Advisors. Please go ahead.
Shikha Mehta: Yes, I just had a few questions. One, of course, I wanted to understand the situation on the war and the geopolitical situation in the sense. I'd assume March for us would be close to a washout because I don't think a lot of travel was happening, but maybe this quarter could see slightly better movement. So, I would want some guidance on that from a visa point of view.
And secondly, seeing our Visa & Consular business for Q4 and for the whole year, the number of applications, that is the volume, has grown at a much faster pace than the actual revenue from operations. So, can you help me understand that a bit as well? Because from what I can see in your presentation, the net revenue per application has also increased at a very fast pace. So where is this -- what is the gap between both?
Shikhar Aggarwal: Yes. So, regarding your first question, I can take that. See, we have already answered the question of the geopolitical situation. It's not in our control. Still, if you see in the last quarter, March was not a washout for us. We have grown from similar quarter last year.

So, we've had a major growth of more than 17.6%. So definitely, as someone asked, it could have been further growth. We also won new tenders that you've deployed because of also which the volume has grown. So, I think that is a situation.
And this quarter, we'll see. We'll get to know once the quarter ends. But we are going strong. Obviously, there is some impact but still, we are growing from same quarter last year.
Shikha Mehta: Q1 is usually our strongest quarter of the year. So...

Shikhar Aggarwal: Yes. So, I've said no, that definitely we are going steady.
Shikha Mehta: Okay. Yes. And on the second question, the volume, the number of applications versus the revenue?
Shikhar Aggarwal: Yes, so number of applications have grown because also we have won some contracts, we've deployed them, Cypress, Slovakia, etcetera, some volume has started to come in. So definitely, volume has gone up. And net revenue, maybe Amit can explain that it has gone up, right?
Amit Sudhakar: Yes. The net revenue improvement, Shikha, is on account of mainly two reasons. One, the value-added services per application go up, the net revenue per application increase as well. The new contracts which we have won are at better pricing, that also have an impact on the net revenue improvement.
Shikha Mehta: But sir, if that is the case, how has the number of applications for the year increased by 10% and our revenue from operations just increased by 7% for Q4?
Amit Sudhakar: That's what I said that, if the value-added services in the quarter have gone lower, then the per application revenue will come down.
Shikha Mehta: But sir, per application, we've still shown...
Gaurav Chugh: Shikha, what's happening with that. There is a factor in value-added services conversion. So, if you look at the conversion, if you

look at our net revenue, net revenue has grown by 20%, whereas our application count has grown by 10%. This is for the quarter. So, this ultimately translates that the conversion in the value-added services and our share of value-added services has gone up.
Though it is not reflected in the revenue, it is reflected in the net revenue as well as our EBITDA. So, our EBITDA margins and absolute EBITDA are going up. So, there is revenue sharing between the third-party vendors we take for certain services. So, the true picture is that you should take net revenue growth, which is at 20%, whereas application count growth is around 10%.
Amit Sudhakar: Or we can take it offline if you want further details; we can share that.

Moderator: The next question comes from the line of Deeya with Sapphire Capital. Please go ahead.
Deeya: Hi sir. Thank you for asking my question. So, you said that March has been quite good for you. Can you describe how the month of April has been for us?
Shikhar Aggarwal: We cannot give any forward-looking statements, but we have explained in the previous question also that we are growing steady.
Deeya: So, you're seeing demand picking up?
Shikhar Aggarwal: Yes. But if you see our fourth quarter also, we have grown by more than 17% compared to same quarter last year. So yes, for us, we are a global company now. We operate in 80+ countries. But definitely, for us, if demand goes down to somewhere, sometimes it picks up from somewhere else. Yes, we are going steady.
Deeya: Okay, sir. And any guidance on how our FY27 revenue number is going to look like?
Shikhar Aggarwal: I think this year also, we said that we will grow by 20%-25% on an increased base last year, we've been seeing. But I think growth was much larger than that. We grew at 30% on EBITDA level. So, I think this year, our target is on an increased base to grow the company at 20%-25%. So that is what our internal targets are.
Deeya: Okay, sir. Thank you and all the best.
Moderator: The next question comes from the line of Shreya Kejriwal with Moneyvesta Capital Private Limited. Please go ahead.
Shreya Kejriwal: So, congratulations, sir, on the results. So, my question was regarding the net cash balance. It's like it's around INR1,400 crores. So, what are your key capital allocation priorities going forward? And my second question also regarding can you share the split between the organic and inorganic contribution to the overall revenue growth in this quarter?
Shikhar Aggarwal: Amit, you can answer, please. Thank you.
Amit Sudhakar: So first, as far as the organic and inorganic revenue, technically in the current year, we have not done any new major acquisition. So, the numbers are very much, I would say, as per the previous year and current year could be looked at on a same basis, except for Aadifidelis, which has contributed about, around 25% of the revenue, which has come from November 2024 Aadifidelis. Otherwise, all the other numbers are comparable with last year.
Shreya Kejriwal: And sir, regarding the first question, regarding the net cash balance, what are your key priorities regarding capital allocation?
Amit Sudhakar: So, I think we have announced one acquisition, which is in the pipeline. And we are working

on a few more. And as and when they get crystallized, we will be using funds for that. And as Shikhar said, we are bidding for some contracts currently.
And if they come, we will be deploying and opening those new projects which may come in. So major utilization of the cash will be for the expansion of the existing business as well as for inorganic growth, which we plan to do.
Shreya Kejriwal: Okay, sir. Thank you so much.
Moderator: The next question comes from the line of ValueQuest . Please go ahead.
Analyst: Firstly, congratulations on a good set of num

bers. I had a couple of questions. In the previous answer, Amit, you mentioned that you were working on a few acquisitions. And there was also an interview where Shikhar had mentioned about -- allocating about INR2,000 crores towards acquisition over the next 4-5 years. Could we get some more color in what segment we are looking?
Will this be more on the Digital side or in our core Visa & Consular Services business? That's question one. And I'll follow up with the other question.
Amit Sudhakar: Sure. We are looking at businesses in both the segments. But what happens that sometimes you are working on a couple of opportunities, some get crystallized and some get finalized much earlier than the other. But the intent is to grow in both the businesses, and they have their own growth trajectory, and we see a tremendous growth in both of them.
Yes, Digital currently looks much more domestic driven, whereas Visa & Consular business, we are looking at targets outside India in this business. But we are open at businesses which have synergy with our existing business, or they can add value to our existing businesses.
Analyst: Understood. And my second question was about the Aadhaar contract. So, we've started to sort of set up those centers. So, over the next 6 months, we will start seeing full revenue starting to flow. Could you sort of walk us through what sort of revenues do we expect over FY27 and FY28 through this contract? And on economics, how do the margins look like?
Shikhar Aggarwal: See, this is too soon to right now tell you about a firm picture on that because we have rolled out Phase I, for 40-50 centers have to roll out 200 centers and numbers start coming in from fully -- full implementation takes at least a year. This was, upwards of INR2,000 crores contract that we had won.
And the revenue has to be accrued over the next 5, 6 years to us from the time the contract is fully deployed. And we were expecting a typical margin of, I think, 15% to 20% EBITDA margins in this contract.
Analyst: Understood. And so, this contract sort of expires. So, after 5-6 years, this goes back to the

government?
Shikhar Aggarwal: Normally, no, no, that's not the case. Normally, in any tenders, normally, they are for different durations, 6 years, 7 years, 8 years, 10 years. This contract is for 6 years. So maybe it will come for re-tender, it will get extended, etcetera. We'll see. We don't know what will happen after 6 years.
Analyst: And is this one under BLS International or the E-Services subsidiary?
Shikhar Aggarwal: BLS International. Because see, this is like a passport services project wherein you will have to deploy offices across India. People will come to you, and you will get per application payment, etcetera. And so that is why we felt that this is onshore delivery within India in Tier 1 cities. So, this is under BLS International.
Analyst: Got it. Perfect. All the best for the coming year. Thank you.
Shikhar Aggarwal: Thank you.
Moderator: Your next question comes from the line of Darshil Jhaveri with Crown Capital. Please go ahead.
Darshil Jhaveri: Hello. Good evening, sir. Thank you so much for asking my question. Firstly, congratulations on the great set of results, sir. Sir, just wanted to understand in terms of our EBITDA margins, we performed really well, but the Digital business at a higher scale, I think our margins have suffered a bit. So how do you look at it like going forward, sir?
Amit Sudhakar: I said, we have acquired Aadifidelis, which is a loan distribution company, where the EBITDA margins range around 4% to 5%. So as the mix has changed in the Digital revenue, the margins are showing lower, but there is growth in the absolute number, and that is more than 30% plus growth in the EBITDA.
The business model works on a commission of 2%-2.5% of the loan which gets distributed and a part

ofthe same is passed through to the DSAs and others. So, margins are thin, but volumes are very high.
Darshil Jhaveri: Okay. So, it's a commission business. So Fair enough, sir. So, on an overall basis, like what is the margin that we can expect because the Visa business also, we are hitting really good

margins. So, in terms of capping, like I think 40% margins are really great, but can we sustain them? Like what do we look at in terms of sustainable long-term margins sir, overall, for the business or the Visa business, whatever you would be comfortable commenting, sir?
Amit Sudhakar: So, if you see this year, the Aadifidelis sale has been there throughout the financial year. So, currently, the 7% to 8% EBITDA margin of Digital has stabilized. We are now looking at how to improve it going forward. And whereas the Visa business is currently touching around 40%, we are looking at maintaining these. So, the current margins are what we are going to maintain

going forward.
Darshil Jhaveri: Okay. Fair enough. That's it from my side. Thank you so much sir.
Amit Sudhakar: Thank you.
Moderator: The next question comes from the line of Varun from Ascent Capital. Please go ahead.
Varun: Great set of numbers. Just wanted to check this impact of the war, right? Have you seen -- now that you've been through so many cycles, have you sort of seen that the seasonality impact shifts because obviously, we have that seasonality with regards to maybe the holiday quarters or whatever. Historically, because you've been through COVID and other events in the past, have you seen that impact sort of getting shifted where there's a pent-up demand and it comes back later, at least in specific geographies?
Shikhar Aggarwal: I think definitely, as you've said, 20 years we've been operating, there are different geopolitical scenarios happening time and again. Every year, there's something or the other happening in different part of the world. We are in 80+ countries now. So definitely, there is a little bit of impact on us. But yes, there could be, we are not sure what will happen in the future.
But yes, we have seen a little drop in numbers in some countries, but still we have grown on an annual basis. On a quarter basis, we are still growing. So, we don't know exactly. After COVID, obviously, travel was 0 in COVID. So, numbers obviously came back after COVID. It's not zero right now. There's a little bit of impact. Could be that it comes back. But yes, we cannot comment on that fully.
Varun: Got it. And second thing, I just wanted to check on the UK hotel. What is the sort of update on that? And secondly, is that a space in which you're going to continue to make acquisitions? Or is that still a one-off as of now?
Shikhar Aggarwal: No. I think we have already said in the last few quarters that we will not do any acquisition in the hotel space. This is going strong. And as we have said that we are looking at the model where it's an asset-light model, and that is what we are focused on.
Varun: Understood. Thank you.
Moderator: The next question comes from the line of Sameer Deshpande with Fair Deal Investments. Please go ahead.
Sameer Deshpande: Congratulations on the good results, and the consistency over the last 2, 3 years in growth has been quite good. So, I think with the catching base effect, the growth rates are seeing some tapering off maybe quarterly. But now as you mentioned, I wanted to know about the effective tax rate. Our tax rate is, I think, in early 10%, 12%. So, what is likely to be the tax rate going forward?

Amit Sudhakar: So, see, just to give you a rough position, in Dubai, we have a free trade zone where our company is, which is practically still enjoys the tax-free zone benefits. So, the effective rate of the whole group is currently around 10% to 12%.

This may go a little higher in the future because in Dubai, they may change the tax rate from 9% to 12%, and that will have maybe a minor impact on our net tax position by about 1%. But end of the day, boils down to the sales mix and the profit in the respective countries and the tax rate in those respective countries.
Sameer Deshpande: Except Dubai, we are not expecting any change. So maybe it is 10%, 12%, it may be 13%? It will not be substantially higher?
Amit Sudhakar: that's correct. Unless until, theoretically, if our profit goes very high in a few countries as a percentage it changes and if the taxes are higher in those places, like currently, India is growing faster, and therefore, the mix is changing slowly.
Sameer Deshpande: And after our China operations, which we started, I think, 6 months back after receiving it from the Ministry of External Affairs, how is the business on that front?
Shikhar Aggarwal: It has started, numbers are going steady, and still, there's a lot of potential for numbers to grow.
Sameer Deshpande: So overall, our blended margins are about 25%, considering the lower margins in Digital Services or UIDAI, but very high good margins of about 40% in our Visa & Consular services,

our main core area. So, the core area growth suppose continues in double digits, about 10% to 15%, then that will be good and the Digital Services will grow substantially higher. So, is the blended margin expected to continue about 25%?

Shikhar Aggarwal: As of now, we are going to maintain the margins. Digital business, we are seeing as and when the business grows, we get more services implemented there, definitely, our expectation is in the future margins will go up in the Digital business.

Sameer Deshpande: Okay. They will continue to be -- so current margins are expected to hold going forward?

Amit Sudhakar: Yes, subject to the mix remains the same.

Sameer Deshpande: Okay. That is true. But our Visa & Consular continues to be around 40%. So that is a main key area.

Amit Sudhakar: Yes. See, both the businesses will maintain their current margins.

Sameer Deshpande: And the cash reserves are quite good.

Moderator: We have our next question coming from the line of Gopalakrishnan from Uttranush Investments. Please go ahead.

Gopalakrishnan: Yes, excellent evening, all of you. Thank you for the opportunity and congratulations to the team on a great set of numbers. So, my question is about this other income. This quarter, the other income is the highest. I just wanted to know whether it is -- I know it is through the investment that we make and the FD and all of that, FD interest and all. Is it sustainable? That is my first question.

Amit Sudhakar: This quarter, it is a little higher, about INR5 crores to INR6 crores is because of the foreign exchange gain. That is a one-off. It won't come every year, but the balance amount is mainly on account of interest on the FDs, and the mutual fund debt, which we have debt mutual funds income.

Gopalakrishnan: And also, another thing is about the intangible assets of around INR1,200 crores that you are showing. I just want to know whether -- what it is? And whether -- I mean, it is going to be there sustainable?

Amit Sudhakar: T hey are being tested for impairment by the valuers in all the respective countries. And currently, there is no impairment on that as per the valuations report, which we have received. So, it will depend on how the valuation Report. Every year, we get it done. And on the basis of that, we book the entries.

Gopalakrishnan: Okay. And then update on MEA ban on our company on new tenders and also our Prime Minister has called not to travel for one year, any impact on our business?

Shikhar Aggarwal: We are a global company in 80+ countries. And definitely, increase in travel, both outbound and within India increases appetite for customers to tra

vel. So definitely, we see ourselves going steady.

Gopalakrishnan: And then MEA travel ban? MEA's ban on new tender, any update, sir?

Shikhar Aggarwal: We have already given the update. There is no ban.

Gopalakrishnan: Okay. Thank you. That’s all. Thank you sir.

Moderator: The next question comes from the line of Amit Maheshwari with Maheshwari Family Office. Please go ahead.

Amit Maheshwari: Yes. So first of all, congratulations on a good set of numbers. I actually wanted to get a little more color on the geographical split between our revenues. So, while I understand that it's not possible to share it at a country level basis, but if you could just throw some color on which are the key geographies and their broad contribution to our revenue? So that's my first question. And my second question would be in terms of the presentation mentions that there's a potential opportunity of about $1 billion to $2 billion worth of contracts expected to come up for bidding in the next couple of years. If you can throw some color on the different -- what is -- if we were

to say, split our pipeline in various stages in terms of early evaluation active bidding and sort of early stages of exploratory bidding.

If you could just split, it into those 3 categories at a broad level. I understand you may not have the specific numbers readily available. But if you could just give that, that would help us sort of improve our understanding of the business.

Shikhar Aggarwal: If I can give you some understanding of the business, we've been growing for the last 3 years at 50% CAGR in terms of revenue and bottom line. And if you've seen in the last 10 years growth of the company, that is on back of existing contracts, new contracts. Last year itself, we won 5-8 contracts that we've already won and deployed. That is why you've seen an increase in volume. And as we said, we'll continue to bid for new tenders.

This is the business we are in. Multiple tenders that keep on expiring of our competitors every year, new governments come out for tenders, and we are at different stages of different tenders in Europe, North America, et cetera. As and when the win comes, we'll definitely announce it, but we'll continue to maintain our growth trajectory of 20% to 25% every year.
Amit Maheshwari: Let me -- maybe I can rephrase my question. I'm not trying to understand which we are winning. I just want to understand of, let's say, a potential $1 billion worth of contracts coming in, how much do we expect to potentially come up for a tender, say this year and how much, say, would be next year? Would it be possible to give a broad indication?
Shikhar Aggarwal: I think in the next 1 or 2 years only, most of them are going to come out.
Amit Maheshwari: Okay. And in terms of geographical split, how much of our revenues would be, say, from Europe, Asia, Middle East? Is it possible to give that broad indication?
Amit Sudhakar: Amit, if you're asking the current business or you're asking for the expected tender which are expected?
Amit Maheshwari: No, no, for the current business.
Amit Sudhakar: So last year, I don't have the ready percentages, but I can tell you the big regions we have been catering to, is basically, say, UAE and then you have Saudi, you have Morocco, Algeria, UK, USA, Canada and Singapore. these are the major, and now China, which has picked up well.
Moderator: We have a next question coming -- sorry, a next follow-up question coming from the line of Mehul Panjwani with 40 Cents. Please go ahead.
Mehul Panjwani: Sir, my question is regarding the INR2,500 crores tender you alluded to in one of the responses. Can you throw some light and elaborate on it?
Amit Sudhakar: Which project?

Mehul Panjwani: Sir, you mentioned in one of the responses about INR2,500 crores project or tend

er. So, I missed that one. If you can please elaborate a little.
Amit Sudhakar: UIDAI, Aadhaar project.
Mehul Panjwani: Okay. So that did we win it in FY26 or it is ongoing?
Amit Sudhakar: We have won the contract. We are deploying resources. The whole project has to be in 3 phases. We have completed the first phase, and second phase is under process. And the third one will be completed in the current financial year. And this project is for 6 years.
Mehul Panjwani: Right. Sir, what are we supposed to -- what kind of services are you providing as part of this project?
Amit Sudhakar: We are basically opening offices for Aadhaar, wherein people can come, and get their Aadhaar amended. They can have a new Aadhaar card, and it will be directly under the Aadhaar Department of Central Government.
Mehul Panjwani: So, we are just building the physical infrastructure here, and we are also having a...
Shikhar Aggarwal: It is also a user-pay model. It's also the same user-pay model that we are doing in the Visa outsourcing industry where we get money per application.
Mehul Panjwani: All right, all right. Okay, thank you, sir. Thank you so much and all the best.
Moderator: Ladies and gentlemen, we will take this as our last question for the day. I now hand the conference over to Mr. Gaurav Chugh for closing comments.
Gaurav Chugh: Thank you, everyone, for joining this call. If you have any questions, you can reach out to EY team or myself. We are available for the calls. Thank you so much and have a good evening.
Moderator: Thank you. On behalf of BLS International Services Limited, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines.